INDIAN REGULATORY FRAMEWORK

01 WHAT IS LAW?

Law is a set of obligations and duties imposed by the government for securing welfare and providing justice to society.

02 SOURCES OF LAW

The main sources of law in India are the Constitution, the statutes or laws made by Parliament and State Assemblies, Precedents or the Judicial Decisions of various Courts and in some cases, established Customs and Usages.

You must be aware that India is a parliamentary democracy. We have a constitution which is the basis and source for all laws. We elect our representatives to the parliament as well as to the legislative assemblies of various States.

These representatives of the people make laws in parliament or in their state assemblies as the case may be.

So, Parliament is the ultimate law-making body.

The laws passed by parliament may apply throughout all or a portion of India, whereas the laws passed by state legislatures apply only within the borders of the states concerned.

The Constitution of India, 1950 is the foremost law that deals with the framework within which our democratic system works, and our laws are made for the people, by the people. The Constitution also provides for and protects certain Fundamental rights of citizens. It also lays down Fundamental duties as well as the powers and duties of Governments, both Central and State. The laws in India are interconnected with each other forming a hybrid legal system.

The people who wrote the Constitution decided to divide the law-making power between the Central Government and the various State Governments. So, the Indian Constitution has three lists Viz., Central List, State List and Joint List.

Depending on the list in which it figures a matter would become the subject for Central law or a State law.

For example, Income Tax is a Central subject. So, throughout India we have only one law for Income Tax which is implemented by the Central Government through the Ministry of Finance.

We also have matters for which both Central as well as State Governments can pass laws. Levy of stamp duty is such an example. Both Central Government and State Government have laws governing Levy of stamp duty.

03 THE PROCESS OF MAKING A LAW

When a law is proposed in parliament it is called a Bill. After discussion and debate, the law is passed in Lok Sabha. Thereafter, it has to be passed in Rajya Sabha. It then has to obtain the assent of the President of India. Finally, the law will be notified by the Government in the publication called the Official Gazette of India. The law will become applicable from the date mentioned in the notification as the effective date. Once it is notified and effective, it is called an Act of Parliament.

THEORY QUESTIONS

Question 1: **(SM)**

What do you understand by Law? Also, elaborate the procedure for making a Law.

Answer:

Meaning of Law: Law is a set of obligations and duties imposed by the government for securing welfare and providing justice to society. India's legal framework reflects the social, political, economic, and cultural aspects of our vast and diversified country.

The Process of Making a Law

- When a law is proposed in parliament it is called a Bill.
- After discussion and debate, the law is passed in Lok Sabha.
- Thereafter, it has to be passed in Rajya Sabha.
- It then has to obtain the assent of the President of India.
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- Once it is notified and effective, it is called an Act of Parliament.

Types of laws in the Indian Legal System

The laws in the Indian legal system could be broadly classified as follows:



i. | Criminal Law

Criminal law is concerned with laws pertaining to violations of the rule of law or public wrongs and punishment of the same.

Criminal Law is governed under the Indian Penal Code, 1860, and the Code of Criminal Procedure, 1973 (Crpc).

The Indian Penal Code, 1860, defines the crime, its nature, and punishments whereas the Criminal Procedure Code, 1973, defines exhaustive procedure for executing the punishments of the crimes.

Murder, rape, theft, fraud, cheating and assault are some examples of criminal offences under the law.

ii. | Civil Law

Matters of disputes between individuals or organisations are dealt with under Civil Law.

Civil courts enforce the violation of certain rights and obligations through the institution of a civil suit.

Civil law primarily focuses on dispute resolution rather than punishment.

The act of process and the administration of civil law are governed by the Code of Civil Procedure, 1908 (CPC).

Civil law can be further classified into Law of Contract, Family Law, Property Law, and Law of Tort.

Some examples of civil offences are breach of contract, non-delivery of goods, non-payment of dues to lender or seller defamation, breach of contract, and disputes between landlord and tenant.

iii. | Common Law

A judicial precedent or a case law is common law.

A judgment delivered by the Supreme Court will be binding upon the courts within the territory of India under Article 141 of the Indian Constitution.

The doctrine of *Stare Decisis* is the principle supporting common law. It is a Latin phrase that means "to stand by that which is decided."

The doctrine of *Stare Decisis* reinforces the obligation of courts to follow the same principle or judgement established by previous decisions while ruling a case where the facts are similar or "on all four legs" with the earlier decision.

iv. | Principles of Natural Justice

Natural justice, often known as *Jus Natural* deals with certain fundamental principles of justice going beyond written law.

Nemo judex in causa sua (Literally meaning "No one should be made a judge in his own cause, and it's a Rule against Prejudice), *audi alteram partem* (Literally meaning "hear the other party or give the other party a fair hearing), and reasoned decision are the rules of Natural Justice.

A judgement can override or alter a common law, but it cannot override or change the statute.

THEORY QUESTIONS

Question 1 **(PEQ-Sep-24-6Marks)**

Explain the types of laws in the Indian Legal System considering the Indian Regulatory Framework.

04 ENFORCING THE LAW

After a law is passed in parliament it has to be enforced. Somebody should monitor whether the law is being followed. This is the job of the executive.

Depending on whether a law is a Central law or a State law the Central or State Government will be the enforcing authority.

For this purpose government functions are distributed to various ministries.

Some of the popular Ministries are the Ministry of Finance, the Ministry of Corporate Affairs, the Ministry of Home Affairs, the Ministry of Law and Justice and so on.

These Ministries are headed by a minister and run by officers of the Indian administrative and other services.

Most major Ministries are headed by a Cabinet Minister, who sits in the Union Council of Ministers, and is typically supported by a team of junior ministers called the Ministers of State.

For example, the Income Tax Act is implemented and enforced by the Ministry of Finance through the Central Board for Direct Taxes coming under the Department of Revenue and is administered by the officers of the Indian Revenue Service.

1. | The Ministry of Finance

The Ministry of Finance (Vitta Mantralaya) is a Ministry within the Government of India concerned with the economy of India, serving as the Treasury of India.

In particular, it concerns itself with taxation, financial legislation, financial institutions, capital markets, centre and state finances, and the Union Budget.

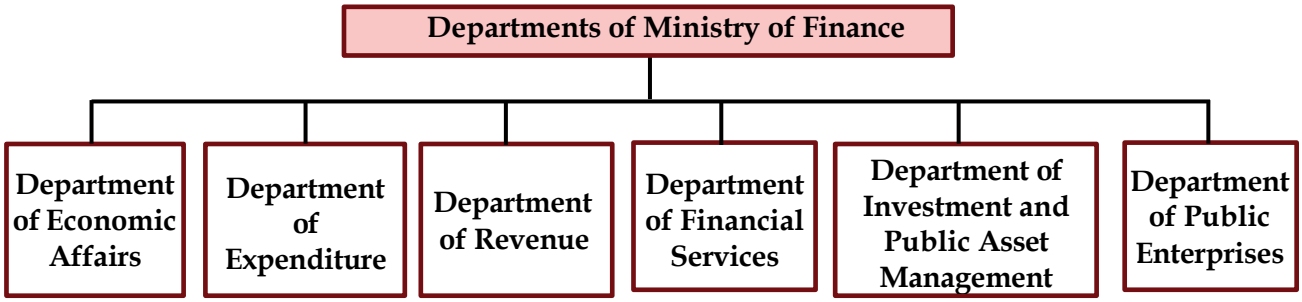
One of the important functions of the Finance Ministry is the presentation of the Union Budget. This annual event is eagerly awaited by professionals and the common man as it provides for the rates of taxes and budget allocations for the ensuing year.

Constitution of the Ministry of Finance-

Ministry of Finance

- Is the apex controlling authority
- Of four central Civil Services, namely;
- Indian Revenue Service
- Indian Audit and Accounts Service
- Indian Economic Service and
- Indian Civil Accounts Service
- Also the apex controlling authority of one of the central commerce servicer namely Indian Cost and Management Accounts Service

Departments under the Ministry of Finance-



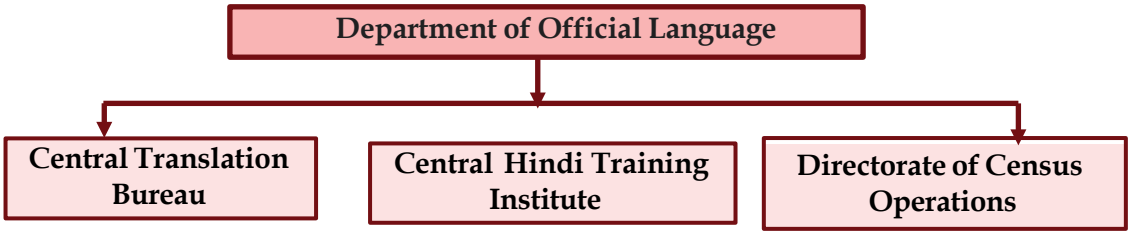
2. | Ministry of Corporate Affairs (MCA)

Ministry of Corporate Affairs

- is an Indian Government Ministry.
- primarily concerned with administration of the Companies Act 2013, the Companies Act 1956, the Limited Liability Partnership Act, 2008, and the Insolvency and Bankruptcy Code, 2016.
- responsible mainly for the regulation of Indian enterprises in the industrial and services sector.
- The highest post, Director General of Corporate Affairs (DGCoA), is fixed at Apex Scale for the ICLS.

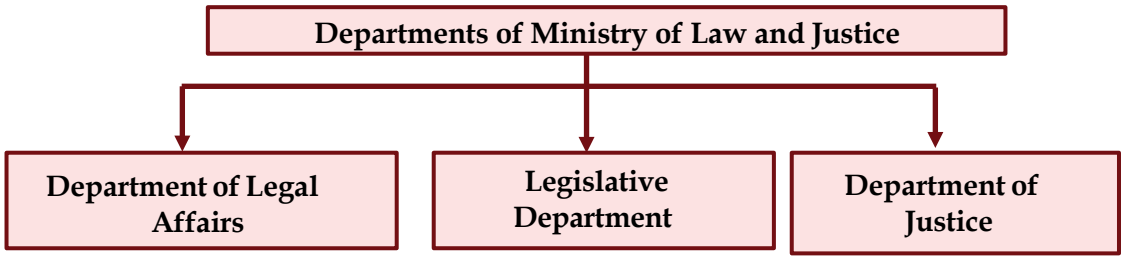
3. | Ministry of Home Affairs (Gṛha Mantralaya)

- is a ministry of the Government of India.
- As an interior ministry of India, it is mainly responsible for the maintenance of internal security and domestic policy.
- The Home Ministry is headed by Union Minister of Home Affairs.



4. | Ministry of Law and Justice

- in the Government of India is a Cabinet Ministry
- deals with the
- management of the legal affairs, through the Department of Legal Affairs
- legislative activities through the Legislative Department
- administration of justice in India through the Department of Justice
- The Department of Legal Affairs is concerned with advising the various Ministries of the Central Government while the Legislative Department is concerned with drafting of principal legislation for the Central Government.



i. | The Securities and Exchange Board of India (SEBI)

- is the regulatory body
- for securities and commodity market in India
- under the ownership of Ministry of Finance within the Government of India.
- It was established on 12 April, 1988 as an executive body and was given statutory powers on 30 January, 1992 through the SEBI Act, 1992.

ii.| Reserve Bank of India (RBI)

- is India's Central Bank and regulatory body responsible for regulation of the Indian banking system.
- It is under the ownership of Ministry of Finance, Government of India.
- It is responsible for the control, issue and maintaining supply of the Indian rupee.
- It also manages the country's main payment systems and works to promote its economic development.
- Bharatiya Reserve Bank Note Mudran (BRBNM) is a specialised division of RBI through which it prints and mints Indian currency notes (INR) in two of its currency printing presses located in Nashik (Western India) and Dewas (Central India).
- RBI established the National Payments Corporation of India as one of its specialised division to regulate the payment and settlement systems in India.
- Deposit Insurance and Credit Guarantee Corporation was established by RBI as one of its specialised division for the purpose of providing insurance of deposits and guaranteeing of credit facilities **to** all Indian banks**.**

iii. | Insolvency and Bankruptcy Board of India (IBBI)-

- is the regulator for overseeing insolvency proceedings and entities like Insolvency Professional Agencies (IPA), Insolvency Professionals (IP) and Information Utilities (IU) in India.
- It was established on 1 October 2016 and given statutory powers through the Insolvency and Bankruptcy Code, which was passed by Lok Sabha on 5th May 2016.
- It covers Individuals, Companies, Limited Liability,

- Partnerships and Partnership firms. The new code will speed up the resolution process for stressed assets in the country.
- It attempts to simplify the process of insolvency and bankruptcy proceedings.
- It handles the cases using two tribunals like NCLT (National company law tribunal) and Debt recovery tribunal.

THEORY QUESTIONS

Question 1 **(PEQ-Jan-26, PEQ-Jun-24-6 Marks)**

Describe in brief about the following Regulatory bodies of the Government of India: -

(i) Securities and Exchange Board of India

(ii) Reserve Bank of India

(iii) Insolvency and Bankruptcy Board of India

05 STRUCTURE OF THE INDIAN JUDICIAL SYSTEM

When there is a dispute between citizens or between citizens and the Government, these disputes are resolved by the judiciary.

The functions of judiciary system of India are:

- Regulation of the interpretation of the Acts and Codes,
- Dispute Resolution,
- Promotion of fairness among the citizens of the land.

In the hierarchy of courts, the Supreme Court is at the top, followed by the High Courts and District Courts.

Decisions of a High Court are binding in the respective state but are only persuasive in other states.

Decisions of the Supreme Court are binding on all High Courts under Article 141 of the Indian Constitution. In fact, a Supreme Court decision is the final word on the matter.

i. | Supreme Court

The Supreme Court is the apex body of the judiciary. It was established on 26th January, 1950. The Chief Justice of India is the highest authority appointed under Article 126. The principal bench of the Supreme Court consists of seven members including the Chief Justice of India. Presently, the number has increased to 34 including the Chief Justice of India due to the rise in the number of cases and workload. An individual can seek relief in the Supreme Court by filing a writ petition under Article 32.

ii. | High Court

The highest court of appeal in each state and union territory is the High Court. Article 214 of the Indian Constitution states that there must be a High Court in each state. The High Court has appellant, original jurisdiction, and Supervisory jurisdiction. However, Article 227 of the Indian Constitution limits a High Court's supervisory power. In India, there are twenty-five High Courts, one for each state and union territory, and one for each state and union territory. Six states share a single High Court. An individual can seek remedies against violation of fundamental rights in High Court by filing a writ under Article 226.

Which is the oldest High Court in India?

The oldest high court in the country in the Calcutta High Court, established on 2nd July, 1862.

iii. | District Court

Below the High Courts are the District Courts. The Courts of District Judge deal with Civil law matters i.e. contractual disputes and claims for damages etc., The Courts of Sessions deals with Criminal matters.

Under pecuniary jurisdiction, a civil judge can try suits valuing not more than Rupees two crore.

Jurisdiction means the power to control. Courts get territorial Jurisdiction based on the areas covered by them. Cases are decided based on the local limits within which the parties reside or the property under dispute is situated.

iv. | Metropolitan courts

Metropolitan courts are established in metropolitan cities in consultation with the High Court where the population is ten lakh or more. Chief Metropolitan Magistrate has powers as Chief Judicial Magistrate and Metropolitan Magistrate has powers as the Court of a Magistrate of the first class.

THEORY QUESTIONS

Question 1

What is the significance of the Supreme Court and High Court in the Indian judiciary?

Question 2 **(PEQ-Jan-25-6 Marks)**

Ashok and Vimal are pursuing chartered accountancy course and discussing about the structure of the Indian judicial system. Explain them the functions of judiciary system of India and the hierarchy of courts and briefly explain their functioning under the Indian Regulatory Framework.

MULTIPLE CHOICE QUESTIONS

1. A Chartered Accountant should be aware of law because
   (a) He has to be an expert in law
   (b) He has to argue in High court and Supreme court
   (c) He has to advice management and clients on legal matters at a basic or threshold level.
   (d) None of the above.

2. Which of the following is not a MAIN source of law in India?
   (a) Legal text books (b) The Parliament
   (c) State Assemblies (d) The Constitution

3. In India we follow the federal system of Government. This means that
   (a) All the power is with the President of India
   (b) Powers are distributed between Centre and States
   (c) All the power is with the Centre
   (d) There are no restrictions on the power of States.

4. The Constitution of India was adopted in
   (a) 1947 (b) 1949 (c) 1950 (d) 1951

5. The law concerned with violation of the rule of law and punishment of the same is called -
   (a) Family law (b) Criminal law (c) Civil law (d) Property law

6. Which of the following is NOT an example of Civil law?
   (a) Breach of contract (b) Non-delivery of goods
   (c) Traffic offenses (d) Non-payment of dues

7. When a law is proposed in Parliament it is called
   (a) Act (b) Statute (c) Bill (d) Notification

8. Which of the following is NOT a department of the Ministry of Finance?
   (a) Department of Economic Affairs (b) Department of Expenditure
   (c) Department of States (d) Department of Revenue

9. Courts get territorial limits based on
   (a) The local limits within which the party resides
   (b) The local limits within which the property under dispute is located
   (c) either a or b
   (d) None of the above

Answers to MCQs

1.	(c)	2.	(a)	3.	(b)	4.	(c)	5.	(b)
6.	(c)	7.	(c)	8.	(c)	9.	(c)		

THE INDIAN CONTRACT ACT, 1872

Unit 1 : Nature of Contract

Section Overview

Section : 1	Short title, extent, Commencement and Saving
Section : 2	Definition
Section : 3	Communication, acceptance & revocation
Section : 4	Communication – when complete
Section : 5	Revocation of proposals and acceptances
Section : 6	Revocation how made.
Section : 7	Acceptance must be absolute
Section : 8	Acceptance by performing conditions
Section : 9	Promises express & implied
Section : 10	Essentials of Valid Contract
Section : 11	Capacity of the parties

1.0 INTRODUCTION

- The law relating to contract is governed by the Indian Contract Act, 1872.
- It came into force on September 01, 1872.
- The preamble to the Act says that it is an Act "to define and amend certain parts of the law relating to contract".
- It extends to the whole of India.
- The Act is divisible into two parts.
- The first part (Section 1-75) deals with the general principles of the law of contract, and therefore applies to all contracts irrespective of their nature.
- The second part (Sections 124-238) deals with certain special kinds of contracts, e.g., Indemnity and guarantee, bailment, pledge, and agency.

1.1 WHAT IS A CONTRACT?

The term contract is defined under Section 2(h) of the Indian Contract Act, 1872 as-
"An agreement enforceable by law"
The contract consists of two essential elements:
(i) an agreement, and
(ii) its enforceability by law.

i. | Agreement - Section 2(e)

"Every promise and every set of promises, forming the consideration for each other"

Promise - Section 2(b)

"when the person to whom the proposal is made signifies his assent there to, the proposal is said to be accepted. Proposal when accepted, becomes a promise."

☛ Agreement = Offer/Proposal + Acceptance

ii. | Enforceability by law

An agreement to become a contract must give rise to a legal obligation which means a duly enforceable by law.

Thus, from above definitions it can be concluded that –

☛ Contract = Accepted Proposal/Agreement + Enforceability by Law

Example

1: A agrees with B to sell car for Rs.2 lacs to B. Here A is under an obligation to give car to B and B has the right to receive the car on payment of Rs.2 lacs and also B is under an obligation to pay Rs. 2 lacs to A and A has a right to receive Rs.2 lacs.

2: Father promises his son to pay him pocket allowance of Rs.500 every month. But he refuses to pay later. The son cannot recover the same in court of law as this is a social agreement. This is not created with an intention to create legal relationship and hence it is not a contract.

However, some obligations are outside the purview of the law of contract.

Example

3: An obligation to maintain wife and children, on order of the court of law etc. These are statue obligations and so out of the scope of the Contract Act.

Difference between Agreement And Contract

Basis	Agreement	Contract
Meaning	Every promise and every set of promises, forming the consideration for each other. (Offer + Acceptance)	Agreement enforceable by law. (Agreement + Legal enforceability)
Scope	It's a wider term including both legal and social agreement.	It is used in a narrow sense with the specification that contract is only legally enforceable agreement.
Legal obligation	It may not create legal obligation. An agreement does not always grant rights to the parties	Necessarily creates a legal obligation. A contract always grants certain rights to every party.
Nature	All agreement are not contracts.	All contracts are agreements.

THEORY QUESTIONS

Question 1:

"All contracts are agreements, but all agreements are not contracts". Comment.

Answer:

An agreement comes into existence when one party makes a proposal or offer to the other party and that other party gives his acceptance to it.

A contract is an agreement enforceable by law.

It means that to become a contract an agreement must give rise to a legal obligation i.e. duly enforceable by law. If an agreement is incapable of creating a duty enforceable by law, it is not a contract.

There can be agreements which are not enforceable by law, such as social, moral or religious agreements.

The agreement is a wider term than the contract. All agreements need not necessarily become contracts but all contracts shall always be agreements.

All agreements are not contracts: When there is an agreement between the parties and they do not intend to create a legal relationship, it is not a contract.

All contracts are agreements: For a contract there must be two things (a) an agreement and (b) enforceability by law. Thus, existence of an agreement is a pre-requisite existence of a contract. Therefore, it is true to say that all contracts are agreements.

Thus, we can say that there can be an agreement without it becoming a contract, but we can't have a contract without an agreement.

1.2 ESSENTIALS OF A VALID CONTRACT

As given by Section 10 of Indian Contract Act, 1872	Not given by Section 10 but are also considered essential
1 Agreement	1 Two parties
2 Free consent	2 Intention to create legal relationship
3 Competency of the parties	3 Fulfilments of legal formalities
4 Lawful consideration	4 Certainty of meaning
5 Legal object	5 Possibility of performance
6 Not expressly declared to be void	

In terms of Section 10 of the Act, "all agreements are contracts if they are made by the free consent of the parties competent to contract, for a lawful consideration and with a lawful object and are not expressly declared to be void".

Since section 10 is not complete and exhaustive, so there are certain others sections which also contains requirements for an agreement to be enforceable. Thus, in order to create a valid contract, the following elements should be present:

1. | **Two Parties:** One cannot contract with himself. A contract involves at least two parties- one party making the offer and the other party accepting it. A contract may be made by natural persons and by other persons having legal existence e.g. companies, universities etc.
It is necessary to remember that identity of the parties be ascertainable.

Example

4: To constitute a contract of sale, there must be two parties- seller and buyer. The seller and buyer must be two different persons, because a person cannot buy his own goods.

Case law

State of Gujarat vs. Ramanlal S & Co.

When on dissolution of a partnership, the assets of the firm were divided among the partners, the sales tax officer wanted to tax this transaction. It was held that it was not a sale. The partners being joint owner of those assets cannot be both buyer and seller.

2. | **Parties must intend to create legal obligations:** There must be an intention on the part of the parties to create legal relationship between them. Social or domestic type of agreements are not enforceable in court of law and hence they do not result into contracts.

Case law

Balfour v. Balfour

A husband agreed to pay to his wife certain amount as maintenance every month while he was abroad. Husband failed to pay the promised amount. Wife sued him for the recovery of the amount.

Here, in this case, wife could not recover as it was a social agreement and the parties did not intend to create any legal relations.

Example

5: Lekhpal promises to pay Rs. 5 lakhs to his son if the son passes the CA exams. On passing the exams, the son claims the money. Here, the son could not recover as it was a social agreement.

6: A sold goods to B on a condition that he must pay for the amount of goods within 30 days. Here A intended to create legal relationship with B. Hence the same is contract. On failure by B for making a payment on due date, A can sue him in the court of law.

3. | **Other Formalities to be complied with in certain cases:** A contract may be written or spoken. As to legal effects, there is no difference between a written contract and contract made by word of mouth. But in the interest of the parties the contract must be written. In case of certain contracts some other formalities have to be complied with to make an agreement legally enforceable.
For e.g. Contract of Insurance is not valid except as a written contract. Further, in case of certain contracts, registration of contract under the laws which is in force at the time, is essential for it to be valid, e.g. in the case of immovable property.

4. | **Certainty of meaning:** The agreement must be certain and not vague or indefinite.

Example

7: A agrees to sell to B a hundred tons of oil. There is nothing certain in order to show what kind of oil was intended for.
8: XYZ Ltd. agreed to lease the land to Mr. A for indefinite years. The contract is not valid as the period of lease is not mentioned.

5. | **Possibility of performance:** The terms of agreement should be capable of performance. An agreement to do an act impossible in itself cannot be enforced.

Example

9: A agrees with B to discover treasure by magic. The agreement cannot be enforced as it is not possible to be performed.

According to Section 10 of the Indian Contract Act, 1872, the following are the essential elements of a Valid Contract:

1. | **Offer and Acceptance or an agreement:** An agreement is the first essential element of a valid contract. An agreement is an outcome of offer and acceptance.

2. | **Free Consent:** Two or more persons are said to consent when they agree upon the same thing in the same sense. This can also be understood as identity of minds in understanding the terms viz consensus ad idem. Further such a consent must be free. Consent would be considered as free consent if it is not caused by coercion, undue influence, fraud, misrepresentation or mistake.

Example

10: A, who owns two cars is selling red car to B. B thinks he is purchasing the black car. There is no consensus ad idem and hence no contract.

To determine consensus ad idem the language of the contract should be clearly drafted. Thus, if A says B "Will you buy my red car for Rs.30000?" and B says "yes" to it. There is said to be consensus ad idem i.e. the meaning is taken in same sense by both the parties.

Example

11: A threatened to shoot B if he (B) does not lend him Rs.2000 and B agreed to it. Here the agreement is entered into under coercion and hence not a valid contract.

3. | Capacity of the parties: Section 11 of the Indian Contract Act specifies that every person is competent to contract who

(a) is of the age of majority according to the law to which he is subject and

(b) is of sound mind and

(c) is not otherwise disqualified from contracting by any law to which he is subject.

A person competent to contract must fulfil all the above three qualifications.

Qualification (a) refers to the age of the contracting person i.e. the person entering into contract must be of 18 years of age. Persons below 18 years of age are considered minor, therefore, incompetent to contract.

Qualification (b) requires a person to be of sound mind i.e. he should be in his senses so that he understands the implications of the contract at the time of entering into a contract. A lunatic, an idiot, a drunken person or under the influence of some intoxicant is not supposed to be a person of sound mind.

Qualification (c) requires that a person entering into a contract should not be disqualified by his status, in entering into such contracts. Such persons are an alien enemy, foreign sovereigns, convicts etc. They are disqualified unless they fulfil certain formalities required by law.

Contracts entered by persons not competent to contract are not valid.

4. | Consideration: It is referred to as 'quid pro quo' i.e. 'something in return'. A valuable consideration in the sense of law may consist either in some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other.

Example

12: A agrees to sell his books to B for Rs. 100.
B's promise to pay Rs. 100 is the consideration for A's promise to sell his books.
A's promise to sell the books is the consideration for B's promise to pay Rs. 100.

5. | Lawful Consideration and Object: The consideration and object of the agreement must be lawful.

Section 23 states that consideration or object is not lawful if it is prohibited by law, or it is such as would defeat the provisions of law, if it is fraudulent or involves injury to the person or property of another or court regards it as immoral or opposed to public policy.

Example

13: 'A' promises to drop prosecution instituted against 'B' for robbery and 'B'. promises to restore the value of the things taken. The agreement is void, as its object is unlawful.

14: A agrees to sell his house to B against 100 kgs of cocaine (drugs). Such agreement is illegal as the consideration is unlawful.

6. | Not expressly declared to be void: The agreement entered into must not be which the law declares to be either illegal or void. An illegal agreement is an agreement expressly or impliedly prohibited by law. A void agreement is one without any legal effects.

Example

15: Threat to commit murder or making/publishing defamatory statements or entering into agreements which are opposed to public policy are illegal in nature. Similarly, any agreement in restraint of trade, marriage, legal proceedings, etc. are classic examples of void agreements.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov.18-2 Marks, Nov.19-2 Marks)**

A husband agreed to pay to his wife certain amount as maintenance every month while he was abroad. Husband failed to pay the promised amount. Wife sued him for the recovery of the amount. Give your answer as per the provisions of Indian Contract Act, 1872 whether wife succeed?

Answer :

- Parties must intend to create legal obligations:
- There must be an intention on the part of the parties to create legal relationship between them.
- Social or domestic type of agreements are not enforceable in court of law and hence they do not result into contracts.
- Here in this case wife could not recover as it was a social agreement and the parties did not intend to create any legal relations. (Balfour v. Balfour)

Question 2: **(PEQ-Sep.25-3 Marks)**

Mr. AT completed his M. Tech. qualification in April 2022. He got married with Ms. Priya in November 2022. He got an appointment as Technical Consultant in a very renowned company in USA on 2nd February 2023. He promised his wife that he will send Rs. 30,000/- per month for her daily routine expenses. Mr. AT went to USA on 25th October 2023. He never sent any money to his wife. Mrs. Priya was not in a position to meet her daily expenses. She was facing severe financial issues regarding rent and other maintenance expenses. On 20th March 2024 during her telephonic discussion with Mr. AT, she came to know that he would never send her money. Due to her financial hardships, she decided to file a suit against him for Rs. 7,50,000/-. Whether Mrs. Priya would be able to recover the above amount according to provisions of the Indian Contract Act, 1872?

Answer :

As per Section 2(h) of the Indian Contract Act, 1872 a contract is an agreement enforceable by law. It means that to become a contract an agreement must give rise to a legal obligation which means duly enforceable by law.

As per Section 10 of the Indian Contract Act, 1872, there must be an intention on the part of the parties to create legal relationship between them. Social or domestic type of agreements are not enforceable in court of law and hence they do not result into contracts.

In the given case, Mr. AT and Mrs. Priya had not entered into an agreement which is legally enforceable by law. As per the facts of the case, Mr. AT agreed to pay to his wife Mrs. Priya Rs. 30,000 per month while he was abroad. Mr. AT failed to pay the promised amount. Mrs. Priya sued him for the recovery of the amount.

In view of the above, Mrs. Priya cannot recover any amount as it was a social agreement and the parties did not intend to create any legal relationships.

Question 3: **(PEQ - Nov. 18-3 Marks)**

Mr. Ramesh promised to pay Rs. 50,000 to his wife Mrs. Lali so that she can spend the sum on her 30th birthday. Mrs. Lali insisted her husband to make a written agreement if he really loved her. Mr. Ramesh made a written agreement and the agreement was registered under the law. Mr. Ramesh failed to pay the specified amount to his wife Mrs. Lali. Mrs. Lali wants to file a suit against Mr. Ramesh and recover the promised amount. Referring to the applicable provisions of the Contract Act, 1872, advise whether Mrs. Lali will succeed.

Answer :

Parties must intend to create legal obligations: There must be an intention on the part of the parties to create legal relationship between them. Social or domestic type of agreements are not enforceable in court of law and hence they do not result into contracts.

In the given question, Mr. Ramesh promised to pay Rs. 50,000 to his wife so that she can spend the same on her birthday. However, subsequently, Mr. Ramesh failed to fulfil the promise, for which Mrs. Lali wants to file a suit against Mr. Ramesh.

Here, in the given circumstance wife will not be able to recover the amount as it was a social agreement and the parties did not intend to create any legal relations.

Question 4: **(PEQ - Dec. 21-6 Marks)**

Examine the validity of the following contracts as per the Indian Contract Act, 1872 giving reasons.

(i) X aged 16 years borrowed a loan of Rs.50,000 for his personal purposes. Few months later he had become major and could not pay back the amount borrowed, on due date. The lender wants to file a suit against X.

(ii) J contracts to take in cargo for K at a foreign port. J's government afterwards declares war against the country in which the port is situated and therefore the contract could not be fulfilled. K wants to file a suit against J.

Answer:

(i) According to Section 11 of the Indian Contract Act, 1872, every person is competent to contract who is of the age of majority according to the law to which he is subject and therefore, a minor is not competent to contract and any agreement with or by a minor is void from the very beginning. A minor cannot ratify it on attaining the majority as the original agreement is void ab initio.

According to Section 68 of the Act, a claim for necessaries supplied to a minor is enforceable by law.

Necessaries mean those things that are essentially needed by a minor. They cannot include luxuries or costly or unnecessary articles.

In the present case, X, the borrower, was minor at the time of taking the loan, therefore, the agreement was void ab initio. Attaining majority thereafter will not validate the contract nor X can ratify it. The loan was for personal purposes and not for necessaries supplied to him.

Hence, the lender cannot file a suit against X for recovery of the loan as it is not enforceable by law.

(ii) As per Section 56 of the Indian Contract Act, 1872 the subsequent or supervening impossibility renders the contract void. Supervening impossibility may take place owing to various circumstances as contemplated under that section, one of which is the declaration of war subsequent to the contract made.

In the instant case the contract when made between J and K was valid but afterwards J's government declares war against the country in which the port is situated as a result of which the contract becomes void.

Hence, K cannot file a suit against J for performance of the contract.

Question 5: **(PEQ - Jan. 21-4 Marks)**

Mr. S aged 58 years was employed in a Government Department. He was going to retire after two years. Mr. D made a proposal to Mr. S to apply for voluntary retirement from his post so that Mr. D can be appointed in his place. Mr. D offered a sum of Rs.10 Lakhs as consideration to Mr. S in order to induce him to retire.

Mr. S refused at first instance but when he evaluated the amount offered as consideration is just double of his cumulative remuneration to be received during the tenure of two years of employment, he agreed to receive the consideration and accepted the above agreement to receive money to retire from his office.

Whether the above agreement is valid? Explain with reference to provision of Indian Contract Act, 1872.

Answer :

Section 10 of the Indian Contract Act, 1872 provides for the legality of consideration and objects thereto. Section 23 of the said Act also states that every agreement of which the object or consideration is unlawful is void.

The given problem talks about entering into an agreement for traffic relating to public office, which is opposed to public policy. Public policy requires that there should be no money consideration for the appointment to an office in which the public is interested. Such consideration paid, being opposed to public policy, is unlawful.

In the given case, Mr. S, who was going to be retired after two years was proposed by Mr. D, to apply for voluntary retirement from his post, in order that he can be appointed in his place. In lieu of that Mr. D offered Mr. S a sum of Rs.10 lakh as consideration. Mr. S refused initially but later accepted the said offer to receive money to retire from his office.

Here, Mr. S's promise of sale for Mr. D, an employment in the public services is the consideration for Mr. D's promise to pay Rs.10 lakh. Therefore, in terms of the above provisions of the Indian Contract Act, the said agreement is not valid. It is void, as the consideration being opposed to public policy, is unlawful.

Question 6: **(PEQ – June 23- 4 Marks)**

Radha invited her ten close friends to celebrate her 25th birthday party on 1st January, 2023 at 7.30 P.M. at a well-known "Hi-Fi Restaurant" at Tonk Road, Jaipur. All invited friends accepted the invitation and promised to attend the said party. On request of the hotel manager, Radha deposited ₹ 5,000/- as non-refundable security for the said party.

On the scheduled date and time, three among ten invited friends did not turn up for the birthday party and did not convey any prior communication to her. Radha, enraged with the behaviour of the three friends, wanted to sue them for loss incurred in the said party. Advise as per the provisions of the Indian Contract Act, 1872.

Would your answer differ if the said party had been a "Contributory 2023 New Year celebration Party" organized by Radha?

Answer:

As per one of the requirements of Section 10 of the Indian Contract Act, 1872, there must be an intention on the part of the parties to create legal relationship between them. Social or domestic agreements are not enforceable in court of law and hence they do not result into contracts.

In the instant case, Radha cannot sue her three friends for the loss incurred in the said party as the agreement between her and her ten friends was a social agreement, and the parties did not intend to create any legal relationship.

If the said party organised by Radha had been a "Contributory 2023 New year celebration party", then Radha could have sued her three friends for the loss incurred in the said party as the agreement between her and her friends would have legal backing; on the basis of which Radha deposited the advance amount and the parties here intended to create legal relationship.

Question 7: **(MTP –June 22- 4 Marks)**

Mr. Joy owns two flats in a building. He wanted to sell flat no.101 to Mr. Roy. Mr. Joy offered to sell his flat no. 101 to Mr. Roy, but Mr. Roy thought that Mr. Joy wanted to sell flat no. 102 and said yes for the agreement. Considering the provisions of Indian Contract Act, 1872, discuss the validity of such a contract.

Answer:

Section 10 of Indian Contract Act, 1872 laid done the essential elements of a valid contract. One of the essential elements of valid contract is free consent. Consent is an express willingness or giving voluntary permission or agreeing to something. Section 13 further clarify" two or more persons are said to consent when they agree upon the same thing in the same sense"

In the present case, both the parties have given a free consent but they are not consenting for the same thing in the same sense. Mr. Joy wants to sell flat no. 101 and Mr. Roy has agreed the contract thinking that it's flat no. 102.

Hence, the agreement would be invalidated at the inception (beginning) stage itself because both the parties did not agree about a thing (sale of flat) in the same sense. Hence, both the parties did not have mutual consent for the contract; therefore it is not a valid contract.

Question 8: **(MTP -NOV-23-4 Marks)**

Mr. Ayush is the principal in Modern Public School. He needs 2000 packets of Biscuits to be distributed to students in his school on the occasion of Republic Day celebration. For this purpose, he contracted with Yograj Biscuit Company. Mr. Ayush visited the workshop of Yograj Biscuit Company and was very much satisfied with the quality of biscuits. He also found that a large number of varieties of biscuits are manufactured in the workshop. He ordered 2000 packs of biscuits and gave the token money but did not specify the category of biscuits, he needed. Yograj Biscuit Company did not supply the biscuits on the due date. Mr. Ayush filed the suit against Yograj Biscuit Company for compensation. State with reasons, whether Yograj Biscuit Company is liable under Indian Contract Act, 1872?

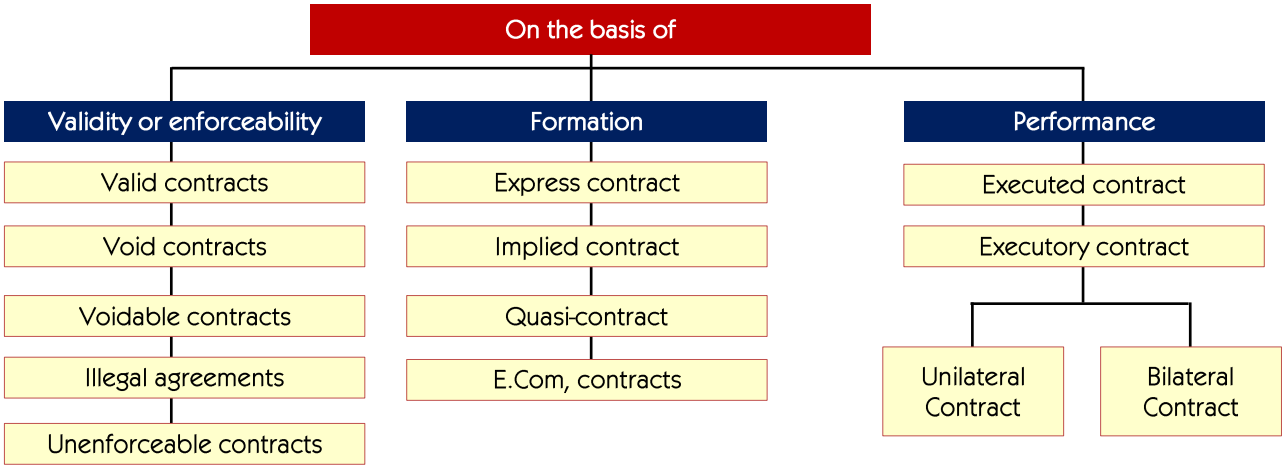
Answer:

According to the Indian Contract Act 1872, the meaning of agreement must be certain and not vague or indefinite. If the meaning of agreement is not certain, the agreement is not enforceable by law.

In the instant case, Mr. Ayush is being principal in Modern Public School ordered 2000 packs of biscuits to Yograj Biscuit Company for the purpose of distribution on Republic Day among students.

He also gave the token money but did not specify the category of biscuits. Yograj Biscuit Company did not supply the biscuits on the due date and Mr. Ayush filed the suit for compensation.
On the basis of above provisions and facts, it can be said that the agreement was not enforceable for want of certainty of meaning as Mr. Ayush did not specify the category of biscuits. Hence, Yograj Biscuit Company is not liable to pay any compensation to Mr. Ayush.

1.3 TYPES OF CONTRACT



I. | On the basis of the validity

1. | Valid Contract: An agreement which is binding and enforceable is a valid contract. It contains all the essential elements of a valid contract.

Example

16: A ask B if he wants to buy his bike for Rs.10,000. B agrees to buy bike. It is agreement which is enforceable by law. Hence, it is a valid contract.

2. | Void Contract: Section 2 (j) "A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable".

Thus a void contract is one which cannot be enforced by a court of law.

Example

17: Mr. X agrees to write a book with a publisher. Such contract is valid. But after few days, X dies in an accident. Here the contract becomes void due to the impossibility of performance of the contract. Thus, a valid contract when cannot be performed because of some uncalled happening becomes void.

18: A contracts with B (owner of the factory) for the supply of 10 tons of sugar, but before the supply is effected, the fire caught in the factory and everything was destroyed.
Here the contract becomes void.

It may be added by way of clarification here that when a contract is void, it is not a contract at all but for the purpose of identifying it, it has to be called a [void] contract.

3. | Section 2(i):- Voidable Contract: "an agreement which is enforceable by law at the option of one or more parties thereto, but not at the option of the other or others is a voidable contract".

This in fact means where one of the parties to the agreement is in a position or is legally entitled or authorized to avoid performing his part, then the agreement is treated and becomes voidable. Such a right might arise from the fact that the contract may have been brought about by one of the parties by coercion, undue influence, fraud or misrepresentation and hence the other party has a right to treat it as a voidable contract.

Example

19: X promise to sell his scooter to Y for Rs.1 Lac. However, the consent of X has been procured by Y at a gun point. X is an aggrieved party and the contract is voidable at his option but not on the option of Y. It means if X accepts the contract, the contract becomes a valid contract then Y has no option of rescinding the contract.

Distinction between a Void Contract and a Voidable Contract

S.No.	Basis	Void Contract	Voidable Contract
1	Meaning	A Contract ceases to be enforceable by law becomes void when it ceases to be enforceable.	An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract.
2	Enforceability	A void contract cannot be enforced at all.	It is enforceable only at the option of aggrieved party and not at the option of other party.
3	Cause	A contract becomes void due to change in law or change in circumstances beyond the contemplation of parties.	A contract becomes a voidable contract if the consent of a party was not free.
4	Performance of contract	A void contract cannot be performed.	If the aggrieved party does not, within reasonable time, exercise his right to avoid the contract, any party can sue the other for claiming the performance of the contract.
5	Rights	A void contract does not grant any legal remedy to any party.	The party whose consent was not free has the right to rescind the contract within a reasonable time. If so rescinded it becomes a void contract. If it is not rescinded it becomes a valid contract.

THEORY QUESTION

Question 1: **(MTP-Nov.18-4 Marks, PEQ – June 23 – 5 Marks)**

What is the difference between void contract and voidable contract?

4. | Illegal Contract: It is a contract which the law forbids to be made. The court will not enforce such a contract but also the connected contracts. All illegal agreements are void but all void agreements are not necessarily illegal. Despite this, there is similarity between them is that in both cases they are void ab initio and cannot be enforced by law.

Example

20: Contract that is immoral or opposed to public policy are illegal in nature. Similarly, if R agrees with S, to purchase brown sugar, it is an illegal agreement.

According to Section 2(g) of the Indian Contract Act, void agreement is "an agreement not enforceable by law is void". The Act has specified various factors due to which an agreement may be considered as void agreement. One of these factors is unlawfulness of object and consideration of the contract i.e. illegality of the contract which makes it void.

The illegal and void agreement differ from each other in the following respects:

Basis	Void agreement	Illegal agreement
Scope	A void agreement is not necessarily illegal.	An illegal agreement is always void.
Nature	Not forbidden under law.	Are forbidden under law.
Punishment	Parties are not liable for any punishment under the law.	Parties to illegal agreements are liable for punishment
Collateral Agreement	It's not necessary that agreements collateral to void agreements may also be void. It may be valid also.	Agreements collateral to illegal agreements are always void.

CASE BASED QUESTION

Question 1: **(PEQ – Nov 22 - 4 Marks)**

X agrees to pay Y ₹ 1,00,000/-, if Y kills Z. To pay Y, X borrows ₹ 1,00,000/- from W, who is also aware of the purpose of the loan. Y kills Z but X refuses to pay. X also to repay the loan to W. Explain the validity of the contract.

(i) Between X and Y.

(ii) Between X and W

Answer:

Illegal Agreement: It is an agreement which the law forbids to be made. As an essential condition, the lawful consideration and object is must to make the agreement valid. (Section 10).

As per Section 23 of the Indian Contract Act, 1872, an agreement is illegal and void, if the consideration and object is unlawful / contrary to law i.e. if forbidden by law. Such an agreement is void and is not enforceable by law. Even the connected agreements or collateral transactions to illegal agreements are also void.

In the present case,

(i) X agrees to give ₹ 1,00,000 to Y if Y kills Z. Thus, the agreement between X and Y is void agreement being illegal in nature.

(ii) X borrows ₹ 1,00,000 from W and W is also aware of the purpose of the loan. Thus, the agreement between X and W is void as the connected agreements of an illegal agreements are also void.

5. | Unenforceable Contract: Where a contract is good in substance but because of some technical defect i.e. absence in writing, barred by limitation etc. one or both the parties cannot sue upon it, it is described as an unenforceable contract.

Example

21: A bought goods from B in 2015. But no payment was made till 2019. B cannot sue A for the payment in 2019 as it has crossed three years and barred by Limitation Act. A good debt becomes unenforceable after the period of three years as barred by Limitation Act.

II. | On the basis of the formation of contract

1. | Express Contracts: A contract would be an express contract if the terms are expressed by words or in writing.

Section 9 of the Act provides that if a proposal or acceptance of any promise is made in words, the promise is said to be express.

Example

22: A tells B on telephone that he offers to sell his house for Rs. 2 lacs and B in reply informs A that he accepts the offer, this is an express contract.

2. | Implied Contracts: Implied contracts in contrast comes into existence by implication. Most often the implication is by action or conduct of parties or course of dealings between them.

Section 9 of the Act contemplates such implied contracts when it lays down that in so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied.

Example

23: Where a coolie in uniform picks up the luggage of A to be carried out of the railway station without being asked by A and A allows him to do so, it is an implied contract and A must pay for the services of the coolie detailed by him.

24: A drinks a coffee in restaurant. There is an implied contract that he should pay for the price of coffee.

Tacit Contracts: The word Tacit means silent. Tacit contracts are those that are inferred through the conduct of parties without any words spoken or written.

It is not a separate form of contract but falls within the scope of implied contracts.

A classic example of tacit contract would be when cash is withdrawn by a customer of a bank from the automatic teller machine [ATM].

Another example of tacit contract is where a contract is assumed to have been entered when a sale is given effect to at the fall of hammer in an auction sale.

3. | **Quasi-Contract:** A quasi-contract is not an actual contract but it resembles a contract. It is created by law under certain circumstances.

The law creates and enforces legal rights and obligations when no real contract exists. Such obligations are known as quasi-contracts.

In other words, it is a contract in which there is no intention on part of either party to make a contract but law imposes a contract upon the parties.

Example

25: Obligation of finder of lost goods to return them to the true owner or liability of person to whom money is paid under mistake to repay it back cannot be said to arise out of a contract even in its remotest sense, as there is neither offer and acceptance nor consent. These are said to be quasi-contracts.

4. | **E-Contracts:** When a contract is entered into by two or more parties using electronics means, such as e-mails is known as e-commerce contracts.

In electronic commerce, different parties/persons create networks which are linked to other networks through EDI - Electronic Data Inter change. This helps in doing business transactions using electronic mode.

These are known as EDI contracts or Cyber contracts or mouse click contracts.

III. | On the basis of the performance of the contract

1. | **Executed Contract:** The consideration in a given contract could be an act or forbearance.

When the act is done or executed or the forbearance is brought on record, then the contract is an executed contract.

Example

26: When a grocer sells a sugar on cash payment it is an executed contract because both the parties have done what they were to do under the contract.

2. | **Executory Contract:** In an executory contract the consideration is reciprocal promise or obligation.

Such consideration is to be performed in future only and therefore these contracts are described as executory contracts.

Example

27: Where G agrees to take the tuition of H, a pre-engineering student, from the next month and H in consideration promises to pay G Rs.1,000 per month, the contract is executor because it is yet to be carried out..

Unilateral or Bilateral are kinds of Executory Contracts and are not separate kinds.

(a) Unilateral Contract: Unilateral contract is a one sided contract in which one party has performed his duty or obligation and the other party's obligation is outstanding.

Example

28: M advertises payment of award of Rs.5000 to any one who finds his missing boy and brings him. As soon as B traces the boy, there comes into existence an executed contract because B has performed his share of obligation and it remains for M to pay the amount of reward to B. This type of Executory contract is also called unilateral contract.

(b) Bilateral Contract: A Bilateral contract is one where the obligation or promise is outstanding on the part of both the parties.

Example

29: A promises to sell his plot to B for Rs.1 lacs cash down, but B pays only Rs. 25,000 as earnest money and promises to pay the balance on next Sunday. On the other hand, A gives the possession of plot to B and promises to execute a sale deed on the receipt of the whole amount. The contract between the A and B is executory because there remains something to be done on both sides. Such Executory contracts are also known as Bilateral contracts.

CASE BASED QUESTION

Question 1: **(RTP-May-20, MTP-June-19-2Marks)**

Explain the type of contracts in the following agreements under the Indian Contract Act, 1872:

(i) A coolie in uniform picks up the luggage of A to be carried out of the railway station without being asked by A and A allows him to do so.

(ii) Obligation of finder of lost goods to return them to the true owner.

(iii) A contracts with B (owner of the factory) for the supply of 10 tons of sugar, but before the supply is effected, the fire caught in the factory and everything was destroyed.

Answer :

(i) It is an implied contract and A must pay for the services of the coolie detailed by him.

Implied Contracts: Implied contracts come into existence by implication. Most often the implication is by law and or by action. Section 9 of the Act contemplates such implied contracts when it lays down that in so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied.

(ii) Obligation of finder of lost goods to return them to the true owner cannot be said to arise out of a contract even in its remotest sense, as there is neither offer and acceptance nor consent. These are said to be quasi-contracts.

Quasi-Contract: A quasi-contract is not an actual contract but it resembles a contract. It is created by law under certain circumstances. The law creates and enforces legal rights and obligations when no real contract exists. Such obligations are known as quasi-contracts. In other words, it is a contract in which there is no intention on part of either party to make a contract but law imposes a contract upon the parties.

(iii) The above contract is a void contract.

Void Contract: Section 2 (j) states as follows: "A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable". Thus, a void contract is one which cannot be enforced by a court of law.

Question 2:

State whether there is any contract in following cases:

(a) A engages B to do certain work and remuneration to be paid as fixed by C.

(b) A and B promise to pay for the studies of their maid's son
(c) A takes a seat in public bus.
(d) A, a chartered accountant promises to help his friend to file his return.

Answer :

(a) It is a valid express contract
(b) It is not a contract as it is a social agreement
(c) It is an implied contract. A is bound to pay for the bus fare.
(d) It is a social agreement without any intention to create a legal relationship.

Question 3: **(RTP- May 21)**

Explain the type of contracts in the following agreements under the Indian Contract Act, 1872:

(i) X promise to sell his scooter to Y for Rs.1 Lac. However, the consent of X has been procured by Y at a gun point.
(ii) A bought goods from B in 2015. But no payment was made till 2019.
(iii) G agrees to give tuitions to H, a pre-engineering student, from the next month and H in consideration promises to pay G Rs.5,000 per month.

Answer :

(i) In the instant case, X is an aggrieved party and the contract is voidable at his option but not at the option of Y. It means if X accepts the contract, the contract becomes a valid contract then Y has no option of rescinding the contract.
(ii) B cannot sue A for the payment in 2019 as it has crossed three years and barred by Limitation Act. A good debt becomes unenforceable after the period of three years as barred by Limitation Act.
(iii) Where, G agrees to give tuitions to H, a pre-engineering student, from the next month and H in consideration promises to pay G Rs.5,000 per month, the contract is executory because it is yet to be carried out.

Question 4: **(PEQ – June 23 – 4 Marks)**

State which of the following agreements are valid contract under the Indian Contract Act, 1872?

(a) A, who owns two cars is selling red car to B. B thinks he is purchasing the black car.
(b) A threatened to shoot B if he (B) does not lend him ₹2,00,000 and B agreed to it.
(c) A agrees to sell his house to B against 100 kgs of cocaine (drugs).
(d) A ask B if he wants to buy his bike for ₹ 50,000. B agrees to buy bike.
(e) Mr. X agrees to write a book with a publisher. But after few days, X dies in an accident.

Answer:

(a) A, who owns two cars is selling red car to B. B thinks he is purchasing the black car. There is no consensus ad idem and hence not a valid contract.
(b) A threatened to shoot B if he (B) does not lend him ₹2,00,000 and B agreed to it. Here the agreement is entered into under coercion and hence not a valid contract.
(c) A agrees to sell his house to B against 100 kgs of cocaine (drugs). Such agreement is illegal as the consideration is unlawful.
(d) A ask B if he wants to buy his bike for ₹ 50,000. B agrees to buy bike. It is agreement which is enforceable by law. Hence, it is a valid contract.
(e) Mr. X agrees to write a book with a publisher. But after few days, X dies in an accident. Here the contract becomes void due to the impossibility of performance of the contract.

Question 5: **(RTP – Nov 22)**

What will be rights with the promisor in following cases? Explain with reasons:

(a) Mr. X promised to bring back Mr. Y to life again.
(b) A agreed to sell 50 kgs of apple to B. The loaded truck left for delivery on 15 th March but due to riots in between reached A on 19th March.
(c) An artist promised to paint on the fixed date for a fixed amount of remuneration but met with an accident and lost his both hands.
(d) Abhishek entered into contract of import of toys from China. But due to disturbance in the relation of both the countries, the imports from China were banned.

Answer:

(a) The contract is void because of its initial impossibility of performance.

(b) Time is essence of this contract. As by the time apples reached B, they were already rotten. The contract is discharged due to destruction of subject matter of contract.

(c) Such contract is of personal nature and hence cannot be performed due to occurrence of an event resulting in impossibility of performance of contract.

(d) Such contract is discharged without performance because of subsequent illegality nature of the contract.

1.4 PROPOSAL / OFFER – Section 2(a)

I. | Definition of Offer/Proposal:

- "when one person signifies to another
- his willingness to do or to abstain from doing anything
- with a view to obtaining the assent of that other
- to such act or abstinence,
- he is said to make a proposal".

Analysis of above definition

1. | The person making the proposal or offer is called the 'promisor' or 'offeror': The person to whom the offer is made is called the 'offeree' and the person accepting the offer is called the 'promisee' or 'acceptor'.

2. | For a valid offer, the party making it must express his willingness 'to do' or 'not to do' something: There must be an expression of willingness to do or not to do some act by the offeror.

Example

30: A willing to sell his good at certain price to B.

31: A is willing to not to dance in a competition if B pays him certain sum of money.

3. | The willingness must be expressed with a view to obtain the assent of the other party to whom the offer is made.

Example

32: Where 'A' tells 'B' that he desires to marry by the end of 2019, it does not constitute an offer of marriage by 'A' to 'B'. Therefore, to constitute a valid offer expression of willingness must be made to obtain the assent (acceptance) of the other. Thus, if in the above example, 'A' further adds, 'Will you marry me', it will constitute an offer.

4. | An offer can be positive as well as negative: Thus "doing" is a positive act and "not doing", or "abstinence" is a negative act; nonetheless both these acts have the same effect in the eyes of law.

Example

33: A offers to sell his car to B for Rs. 3 lacs is an act of doing. So, in this case, A is making an offer to B.

34: When A ask B after his car meets with an accident with B's scooter not to go to Court and he will pay the repair charges to B for the damage to B's scooter; it is an act of not doing or abstinence.

II. | Classification of offer

(a) General offer:

- It is an offer made to public at large
- and hence anyone can accept and do the desired act.
- In terms of Section 8 of the Act, anyone performing the conditions of the offer can be considered to have accepted the offer.
- Until the general offer is retracted or withdrawn, it can be accepted by anyone at any time as it is a continuing offer.

Case law

Carlill Vs. Carbolic Smoke Ball Co. (1893)

Facts: In this famous case, Carbolic smoke Ball Co. advertised in several newspapers that a reward of £100 would be given to any person who contracted influenza after using the smoke balls produced by the Carbolic Smoke Ball Co. according to printed directions. One lady, Mrs. Carlill, used the smoke balls as per the directions of company and even then, suffered from influenza.

Held, she could recover the amount as by using the smoke balls she had accepted the offer.

(b) Special/specific offer:

- When the offer is made to a specific or an ascertained person, it is known as a specific offer.
- Specific offer can be accepted only by that specified person to whom the offer has been made. [Boulton v. Jones]

Example

35: 'A' offers to sell his car to 'B' at a certain cost. This is a specific offer.

(c) Cross offer:

- When two parties exchange identical offers in ignorance at the time of each other's offer, the offers are called cross offers.
- There is no binding contract in such a case because offer made by a person cannot be construed as acceptance of the another's offer.

Example

36: If A makes a proposal to B to sell his car for Rs. 2 lacs and B, without knowing the proposal of A, makes an offer to purchase the same car at Rs. 2 lacs from A, it is not an acceptance, as B was not aware of proposal made by A. It is only cross proposal (cross offer). And when two persons make offer to each other, it cannot be treated as mutual acceptance. There is no binding contract in such a case.

(d) Counter offer:

- When the offeree offers to qualified acceptance of the offer subject to modifications and variations in the terms of original offer, he is said to have made a counter offer.
- Counter-offer amounts to rejection of the original offer.
- It is also called as Conditional Acceptance.

Example

37: 'A' offers to sell his plot to 'B' for Rs.10 lakhs. 'B' agrees to buy it for Rs. 8 lakhs. It amounts to counter offer. It will result in the termination of the offer of 'A'. If later on 'B' agrees to buy the plot for Rs. 10 lakhs, 'A' may refuse.

(e) Standing or continuing or open offer:

- An offer which is allowed to remain open for acceptance over a period of time is known as standing or continuing or open offer.
- Tenders that are invited for supply of goods is a kind of standing offer.

III. | Essential of a valid offer

1. | It must be capable of creating legal relations: Offer must be such as in law is capable of being accepted and giving rise to legal relationship. If the offer does not intend to give rise to legal consequences and creating legal relations, it is not considered as a valid offer in the eye of law. A social invitation, even if it is accepted, does not create legal relations because it is not so intended.

2. | It must be certain, definite and not vague: If the terms of an offer are vague or indefinite, its acceptance cannot create any contractual relationship. Thus, where A offers to sell B 100 quintals of oil, there is nothing whatever to show what kind of oil was intended. The offer is not capable of being accepted for want of certainty.

3. | It must be communicated to the offeree: An offer, to be complete, must be communicated to the person to whom it is made, otherwise there can be no acceptance of it. Unless an offer is communicated, there can be no acceptance by it. An acceptance of an offer, in ignorance of the offer, is not acceptance and does not confer any right on the acceptor.

Case law

Lalman Shukla v. GauriDutt

Facts: G (Gauridutt) sent his servant L (Lalman) to trace his missing nephew. He then announced that anybody who traced his nephew would be entitled to a certain reward. L traced the boy in ignorance of this announcement. Subsequently when he came to know of the reward, he claimed it.

Held, he was not entitled to the reward, as he did not know the offer.

4. | It must be made with a view to obtaining the assent of the other party: Offer must be made with a view to obtaining the assent of the other party addressed and not merely with a view to disclosing the intention of making an offer.

5. | It may be conditional: An offer can be made subject to any terms and conditions by the offeror.

Example

38: Offeror may ask for payment by RTGS, NEFT etc. The offeree will have to accept all the terms of the offer otherwise the contract will be treated as invalid.

6. | Offer should not contain a term the non-compliance of which would amount to acceptance: Thus, one cannot say that if acceptance is not communicated by a certain time the offer would be considered as accepted.

Example

39: A proposes B to purchase his android mobile for Rs.5000 and if no reply by him in a week, it would be assumed that B had accepted the proposal. This would not result into contract.

7. | The offer may be either specific or general: Any offer can be made to either public at large or to the any specific person.

8. | The offer may be express or implied: An offer may be made either by words or by conduct.

Example

40: A boy starts cleaning the car as it stops on the traffic signal without being asked to do so, in such circumstances any reasonable man could guess that he expects to be paid for this, here boy makes an implied offer.

9. | Offer is Different from a mere statement of intention, an invitation to offer, a mere communication of information, a prospectus and Advertisement.

(i) A statement of intention and announcement.

Example

41: A father wrote his son about his wish of making him the owner of all his property is mere a statement of intention.

42: An announcement to give scholarships to children scoring more than 95% in 12th board is not an offer.

(ii) Offer must be distinguished from an answer to a question.

Case law

Harvey vs. Facie [1893] AC 552

In this case, Privy Council succinctly explained the distinction between an offer and an invitation to offer. In the given case, the plaintiffs through a telegram asked the defendants two questions namely,

(i) Will you sell us Bumper Hall Pen? and

(ii) Telegraph lowest cash price.

The defendants replied through telegram that the "lowest price for Bumper Hall Pen is £ 900".

The plaintiffs sent another telegram stating "we agree to buy Bumper Hall Pen at £ 900".

However, the defendants refused to sell the property at the price.

The plaintiffs sued the defendants contending that they had made an offer to sell the property at 900 and therefore they are bound by the offer.

However, the Privy Council did not agree with the plaintiffs on the ground that while plaintiffs had asked two questions, the defendant replied only to the second question by quoting the price but reserved their answer with regard to their willingness to sell. Thus, they made no offer at all.

Their Lordships held that the mere statement of the lowest price at which the vendor would sell contained no implied contract to sell to the person who had enquired about the price.

The above decision was followed in Mac Pherson vs Appanna [1951] A.S.C. 184 where the owner of the property had said that he would not accept less than £ 6000/- for it. This statement did not indicate any offer but indicated only an invitation to offer.

(iii) A statement of price is not an offer: Quoting the price of a product does not constitute it as offer.

Example

43: The price list of goods does not constitute an offer for sale of certain goods on the listed prices. It is an invitation to offer.

(iv) An invitation to make an offer or do business. In case of "an invitation to make an offer", the person making the invitation does not make an offer rather invites the other party to make an offer.

His objective is to send out the invitation that he is willing to deal with any person who, on the basis of such invitation, is ready to enter into contract with him subject to final terms and conditions.

Example

44: An advertisement for sale of goods by auction is an invitation to the offer. It merely invites offers/bids made at the auction.

When goods are sold through auction, the auctioneer does not contract with anyone who attends the sale. The auction is only an advertisement to sell but the items are not put for sale though persons who have come to the auction may have the intention to purchase. Similar decision was given in the case of Harris vs. Nickerson (1873).

Similarly, Red Herring Prospectus issued by a company, is only an invitation to the public to make an offer to subscribe to the securities of the company.

10. | A statement of price is not an offer

What is invitation to offer?

An offer should be distinguished from an invitation to offer.

- An offer is definite and capable of converting an intention into a contract.
- Whereas an invitation to an offer is only a circulation of an offer, it is an attempt to induce offers and precedes a definite offer.
- An invitation to offer is an act precedent to making an offer. Acceptance of an invitation to an offer does not result in the contract and only an offer emerges in the process of negotiation.
- In order to ascertain whether a particular statement amounts to an 'offer' or an 'invitation to offer', the test would be intention with which such statement is made. Does the person who made the statement intend to be bound by it as soon as it is accepted by the other or he intends to do some further act, before he becomes bound by it. In the former case, it amounts to an offer and in the latter case, it is an invitation to offer.

Following are instances of invitation to offer to buy or sell:

(i) An invitation by a company to the public to subscribe for its shares.
(ii) Display of goods for sale in shop windows.
(iii) Advertising auction sales and
(iv) Quotation of prices sent in reply to a query regarding price.

Basis	Offer	Invitation to offer
Meaning	Section 2(a) of the Act, an offer is the final expression of willingness by the offeror to be bound by the offer should the other party chooses to accept it.	Where a party without expressing his final willingness proposes certain terms on which he is willing to negotiate he does not make an offer, but only invites the other party to make an offer on those terms.
Intention of the parties	If a person who makes the statement has the intention to be bound by it as soon as the other accepts, he is making an offer.	If a person has the intention of negotiating on terms it is called invitation to offer
Sequence	An offer cannot be an act precedent to invitation to offer	An invitation to offer is always an act precedent to offer

THEORY QUESTIONS

Question 1: **(RTP- Nov 19)**

Define an offer. Explain the essentials of a valid offer. How an offer is different from an invitation to offer?

CASE BASED QUESTIONS

Question 1: **(MTP-Apr 21-4 Marks, Nov 18- 3 Marks)**

Shambhu Dayal started "self service" system in his shop. Smt. Prakash entered the shop, took a basket and after taking articles of her choice into the basket reached the cashier for payments. The cashier refuses to accept the price. Can Shambhu Dayal be compelled to sell the said articles to Smt. Prakash? Decide as per the provisions of the Indian Contract Act, 1872.

Answer :

Invitation to offer: The offer should be distinguished from an invitation to offer. An offer is the final expression of willingness by the offeror to be bound by his offer should the party chooses to accept it. Where a party, without expressing his final willingness, proposes certain terms on which he is willing to negotiate, he does not make an offer, but invites only the other party to make an offer on those terms. This is the basic distinction between offer and invitation to offer.

The display of articles with a price in it in a self-service shop is merely an invitation to offer. It is in no sense an offer for sale, the acceptance of which constitutes a contract.

In this case, Smt. Prakash by selecting some articles and approaching the cashier for payment simply made an offer to buy the articles selected by her. If the cashier does not accept the price, the interested buyer cannot compel him to sell.

Question 2: **(PEQ-Sep.25-4 Marks)**

Mr. X visited a Cosmo Mega Mall at Nagpur, which has a variety of items for day-to-day use. The mall has a self-service system. Mr. X took a basket, picked up ten different items of his choice, and reached the cashier for payments. The cashier accepted the price of nine items but did not accept the price of remaining one item which was at the highest price of Rs. 10,050/- among the ten items. Decide as per the provisions of the Indian Contract Act, 1872 whether the Cosmo Mega Mall be compelled to sell the said article to Mr. X.

Question 3: **(PEQ - Nov. 18-3 Marks)**

A shop-keeper displayed a pair of dress in the show-room and a price tag of Rs. 2,000 was attached to the dress. Ms. Lovely looked to the tag and rushed to the cash counter. Then she asked the shop-keeper to receive the payment and pack up the dress. The shop-keeper refused to hand-over the dress to Ms. Lovely in consideration of the price stated in the price tag attached to the Ms. Lovely seeks your advice whether she can sue the shop-keeper for the above cause under the Indian Contract Act, 1872.

Answer :

The offer should be distinguished from an invitation to offer. An offer is definite and capable of converting an intention in to a contract. Whereas an invitation to an offer is only a circulation of an offer, it is an attempt to induce offers and precedes a definite offer. Where a party, without expressing his final willingness, proposes certain terms on which he is willing to negotiate, he does not make an offer, but invites only the other party to make an offer on those terms. This is the basic distinction between offer and invitation to offer.

The display of articles with a price in it in a self-service shop is merely an invitation to offer. It is in no sense an offer for sale, the acceptance of which constitutes a contract.

In this case, Ms. Lovely by selecting the dress and approaching the shopkeeper for payment simply made an offer to buy the dress selected by her. If the shopkeeper does not accept the price, the interested buyer cannot compel him to sell.

Question 4: **(MTP-Apr 23, 4 Marks)**

Ashwin goes to super market to buy a Air Conditioner. He selects a branded Air Conditioner having a price tag of ₹ 40,000 after a discount of ₹ 3000. Ashwin reaches at cash counter for making the payment, but cashier says, "Sorry sir, the discount was upto yesterday. There is no discount from today. Hence you have to pay ₹43,000." Ashwin got angry and insists for ₹ 40,000. State with reasons whether under Indian Contract Act, 1872, Ashwin can enforce the cashier to sell at discounted price i.e. ₹ 40,000.

Answer:

An invitation to offer is different from offer. Quotations, menu cards, price tags, advertisements in newspaper for sale are not offer. These are merely invitations to public to make an offer. An invitation to offer is an act precedent to making an offer.

Acceptance of an invitation to an offer does not result in the contract and only an offer emerges in the process of negotiation.

In the instant case, Ashwin reaches to super market and selects a Air Conditioner with a discounted price tag of ₹ 40,000 but cashier denied to sell at discounted price by saying that discount is closed from today and request to make full payment. But Ashwin insists to purchase at discounted price.

On the basis of above provisions and facts, the price tag with Air Conditioner was not offer. It is merely an invitation to offer. Hence, it is the Ashwin who is making the offer not the super market. Cashier has right to reject the Ashwin's offer.

Therefore, Ashwin cannot enforce cashier to sell at discounted price.

Question 5: **(MTP – Oct 21 – 4 Marks)**

Rahul goes to super market to buy a washing machine. He selects a branded washing machine having a price tag of ₹ 15000 after a discount of ₹ 3000. Rahul reaches at cash counter for making the payment, but cashier says, "Sorry sir, the discount was upto yesterday. There is no discount from today. Hence you have to pay ₹ 18000." Rahul got angry and insists for ₹ 15000. State with reasons whether under Indian Contract Act, 1872, Rahul can enforce the cashier to sale at discounted price i.e. ₹ 15000.

Question 6: **(PEQ – Dec – 23 - 3 Marks)**

A mobile phone was displayed in a shop with a price tag of ₹10,000 attached to the mobile display box. As the price displayed was very less as compared to M.R.P. of the mobile phone, Y, a customer rushed to the cash counter and asked the shopkeeper to receive the payment and pack up the mobile phone. The shopkeeper refused to hand over the mobile phone to Y in consideration of the price indicated in the price tag attached to the mobile phone. Y seeks your advice whether he can sue to shopkeeper for the above cause under the Indian Contract Act, 1872.

Answer:

An invitation to offer is different from offer. Quotations, menu cards, price tags, advertisements in newspaper for sale are not offer. These are merely invitations to public to make an offer. An invitation to offer is an act precedent to making an offer.

Acceptance of an invitation to an offer does not result in the contract and only an offer emerges in the process of negotiation.

In the instant case, Y reaches to shop and selects a Mobile Phone with a price tag of 10,000 but the shopkeeper refused to hand over the mobile phone to Y in consideration of the price indicated in the price tag attached to the mobile phone.

On the basis of above provisions and facts, the price tag with the Mobile Phone was not offer. It is merely an invitation to offer. Hence, it is Y who is making the offer and not the shopkeeper. Shopkeeper has the right to reject Y's offer.

Therefore, Y cannot sue the shopkeeper for the above cause.

Question 7: **(RTP – May 22)**

Mr. Aseem is a learned advocate. His car was stolen from his house. He gave an advertisement in newspaper that he will give the reward of ₹ 10,000 who will give the information about his car. Mr. Vikram reads the advertisement and on making some efforts got the stolen car and informed Mr. Aseem. Mr. Aseem found his car but denied giving reward of ₹ 10,000 to Mr. Vikram with the words, "An advertisement in newspaper is just an invitation to make offer and not an offer. Hence, he is not liable to make the reward." State with reasons whether under Indian Contract Act, 1872, Mr. Vikram can claim the reward of ₹ 10,000.

1.5 ACCEPTANCE - Section 2(b)

I. | Definition of Acceptance:

- "When the person to whom the proposal is made
- Signifies his assent thereto,
- Proposal is said to be accepted.
- The proposal, when accepted, becomes a promise".

Analysis of the above definition

1. When the person to whom proposal is made - for example if A offers to sell his car to B for Rs.200000. Here, proposal is made to B.
2. The person to whom proposal is made i.e. B in the above example and if B signifies his consent on that proposal, then we can say that B has signified his consent on the proposal made by A.
3. When B has signified his consent on that proposal, we can say that the proposal has been accepted.
4. Accepted proposal becomes promise.

Relationship between offer and acceptance: According to Sir William Anson "Acceptance is to offer what a lighted match is to a train of gun powder".

II. | Legal Rules regarding a valid acceptance

(1) Acceptance can be given only by the person to whom offer is made: In case of a specific offer, it can be accepted only by the person to whom it is made.

Case law

Boulton vs. Jones (1857)

Facts: Boulton bought a business from Brocklehurst. Jones, who was Broklehurst's creditor, placed an order with Brocklehurst for the supply of certain goods. Boulton supplied the goods even though the order was not in his name.

Jones refused to pay Boultan for the goods because by entering into the contract with Blocklehurst, he intended to set off his debt against Brocklehurst.

Held, as the offer was not made to Boulton, therefore, there was no contract between Boulton and Jones.

In case of a general offer, it can be accepted by any person who has the knowledge of the offer. [Carlill vs. Carbolic Smoke Ball Co. (1893)]

(2) Acceptance must be absolute and unqualified: As per section 7 of the Act, acceptance is valid only when it is absolute and unqualified and is also expressed in some usual and reasonable manner unless the proposal prescribes the manner in which it must be accepted. If the proposal prescribes the manner in which it must be accepted, then it must be accepted accordingly.

Case law

Neale vs. Merret [1930] W. N. 189.

M offered to sell his land to N for £280. N replied purporting to accept the offer but enclosed a cheque for £ 80 only. He promised to pay the balance of £ 200 by monthly instalments of £ 50 each. It was held that N could not enforce his acceptance because it was not an unqualified one.

Union of India v. Bahulal AIR 1968 Bombay 294.
A offers to sell his house to B for Rs. 1,00,000/-. B replied that, "I can pay Rs. 80,000 for it. The offer of 'A' is rejected by 'B' as the acceptance is not unqualified. B however changes his mind and is prepared to pay Rs. 1,00,000/-. This is also treated as counter offer and it is upto A whether to accept it or not.

Example

45: 'A' enquires from 'B', "Will you purchase my car for Rs. 2 lakhs?" If 'B' replies "I shall purchase your car for Rs. 2 lakhs, if you buy my motorcycle for Rs. 50000/-, here 'B' cannot be considered to have accepted the proposal. If on the other hand 'B' agrees to purchase the car from 'A' as per his proposal subject to availability of valid Registration Certificate / book for the car, then the acceptance is in place though the offer contained no mention of R.C. book. This is because expecting a valid title for the car is not a condition. Therefore, the acceptance in this case is unconditional.

(3) The acceptance must be communicated: To conclude a contract between the parties, the acceptance must be communicated in some perceptible form. Any conditional acceptance or acceptance with varying or too deviant conditions is no acceptance. Such conditional acceptance is a counter proposal and has to be accepted by the proposer, if the original proposal has to materialize into a contract. Further when a proposal is accepted, the offeree must have the knowledge of the offer made to him. If he does not have the knowledge, there can be no acceptance. The acceptance must relate specifically to the offer made. Then only it can materialize into a contract.

Case law

Brogden vs. Metropolitan Railway Co. (1877)
Facts: B a supplier, sent a draft agreement relating to the supply of coal to the manager of railway Co. viz, Metropolitian railway for his acceptance. The manager wrote the word "Approved" on the same and put the draft agreement in the drawer of the table intending to send it to the company's solicitors for a formal contract to be drawn up.
By an oversight the draft agreement remained in drawer.
Held, that there was no contract as the manager had not communicated his acceptance to the supplier, B.

Where an offer made by the intended offeree without the knowledge that an offer has been made to him cannot be deemed as an acceptance thereto. (Bhagwandas v. Girdharilal)
A mere variation in the language not involving any difference in substance would not make the acceptance ineffective. [Heyworth vs. Knight [1864] 144 ER 120].

Example

46: A proposed B to marry him. B informed A's sister that she is ready to marry him. But his sister didn't inform A about the acceptance of proposal. There is no contract as acceptance was not communicated to A.

(4) Acceptance must be in the prescribed mode: Where the mode of acceptance is prescribed in the proposal, it must be accepted in that manner. But if the proposer does not insist on the proposal being accepted in the manner prescribed after it has been accepted otherwise, i.e., not in the prescribed manner, the proposer is presumed to have consented to the acceptance.

Example

47: If the offeror prescribes acceptance through messenger and offeree sends acceptance by email, there is no acceptance of the offer if the offeror informs the offeree that the acceptance is not according to the mode prescribed. But if the offeror fails to do so, it will be presumed that he has accepted the acceptance and a valid contract will arise.

(5) Time: Acceptance must be given within the specified time limit, if any, and if no time is stipulated, acceptance must be given within the reasonable time and before the offer lapses. What is reasonable time is nowhere defined in the law and thus would depend on facts and circumstances of the particular case.

Example

48: A offered to sell B 50 kgs of bananas at Rs. 500. B communicated the acceptance after four days. Such is not a valid contract as bananas being perishable items could not stay for a period of week. Four days is not a reasonable time in this case

49: A offers B to sell his house at Rs. 10,00,000. B accepted the offer and communicated to A after 4 days. Held the contract is valid as four days can be considered as reasonable time in case of sell of house.

(6) Mere silence is not acceptance: The acceptance of an offer cannot be implied from the silence of the offeree or his failure to answer, unless the offeree has in any previous conduct indicated that his silence is the evidence of acceptance.

Case law

Felthouse vs. Bindley (1862)

Facts: F (Uncle) offered to buy his nephew's horse for £30 saying "If I hear no more about it I shall consider the horse mine at £30." The nephew did not reply to F at all. He told his auctioneer, B to keep the particular horse out of sale of his farm stock as he intended to reserve it for his uncle. By mistake the auctioneer sold the horse. F sued him for conversion of his property.

Held, F could not succeed as his nephew had not communicated the acceptance to him.

Example

50: 'A' subscribed for the weekly magazine for one year. Even after expiry of his subscription, the magazine company continued to send him magazine for five years. And also 'A' continued to use the magazine but denied to pay the bills sent to him. 'A' would be liable to pay as his continued use of the magazine was his acceptance of the offer.

(7) Acceptance by conduct/Implied Acceptance: Section 8 of the Act lays down that "the performance of the conditions of a proposal, or the acceptance of any consideration for a reciprocal promise which may be offered with a proposal, constitutes an acceptance of the proposal. This section provides the acceptance of the proposal by conduct as against other modes of acceptance i.e. verbal or written communication.

Therefore, when a person performs the act intended by the proposer as the consideration for the promise offered by him, the performance of the act constitutes acceptance.

Example

51: when a tradesman receives an order from a customer and executes the order by sending the goods, the customer's order for goods constitutes the offer, which has been accepted by the trades man subsequently by sending the goods. It is a case of acceptance by conduct.

52: When a cobbler sits with a brush and polish, a person giving his shoes for polishing constitutes as acceptance by conduct.

THEORY QUESTIONS

Question 1: **(PEQ - Jan. 21 - 7 Marks)**

Define the term acceptance under the Indian Contract Act, 1872. Explain the legal rules regarding a valid acceptance.

CASE BASED QUESTION

Question 1: **(RTP-Nov.19)**

A sends an offer to B to sell his second-car for Rs. 1,40,000 with a condition that if B does not reply within a week, he (A) shall treat the offer as accepted. Is A correct in his proposition?

Answer:

Acceptance to an offer cannot be implied merely from the silence of the offeree, even if it is expressly stated in the offer itself. Unless the offeree has by his previous conduct indicated that his silence amount to acceptance, it cannot be taken as valid acceptance. So, in the given problem, if B remains silent, it does not amount to acceptance.

The acceptance must be made within the time limit prescribed by the offer. The acceptance of an offer after the time prescribed by the offeror has elapsed will not avail to turn the offer into a contract.

Question 2: **(MTP-Nov.19-3 Marks)**

Amar offered to sell his flat to Akbar for Rs.1,00,000. Akbar replied purporting to accept the offer and wrote to Amar promising to pay the amount in 5 equal instalments of Rs.20,000 each. Examine the legal position.

Answer :

1. The acceptance must be communicated: In order to conclude a contract between the parties, the acceptance must be communicated in some perceptible form.
2. Any conditional acceptance or acceptance with varying or too deviant conditions is no acceptance. Such conditional acceptance is a counter proposal and has to be accepted by the proposer, if the original proposal has to materialize into a contract.
3. Further, when a proposal is accepted, the offeree must have knowledge of the offer made to him. Otherwise there is no acceptance. The acceptance must specifically relate to the offer made. Only then it will materialize into a contract.
4. As per the facts of the question, Amar offered to sell his flat to Akbar for Rs.1,00,000. Akbar replied purporting to accept the offer and promised to pay the amount in five equal instalments of Rs.20,000 each.
5. The reply by Akbar becomes a counter offer and it is up to Amar to accept it or not.

Question 3: **(RTP – Nov 21)**

Mr. Pratham applied for a job as principal of a school. The school management decided to appoint him. One member of the school management committee privately informed Mr. Pratham that he was appointed but official communication was not given from the school. Later, the management of the school decided to appoint someone else as a principal.

Mr. Pratham filed a suit against the school for cancellation of his appointment and claimed damages for loss of salary. State with reasons, will Mr. Pratham be successful in suit filed against school under the Indian Contract Act, 1872?

Answer:

As per the rules of acceptance, the acceptance should be communicated to offeror by offeree himself or his authorized agent. Communication of acceptance by third person cannot be concluded in valid acceptance.

In the instant case, Mr. Pratham applied for a job as principal of a school and one member of the school management committee privately informed Mr. Pratham that he was appointed. Later, the management of the school appointed someone else as a principal.

On the basis of above provisions and facts, communication of appointment of Mr. Pratham should be made by school management committee or any authorised agent. The communication by third person cannot be termed as communication of acceptance.

Therefore, no valid contract was formed between Mr. Pratham and school and Mr. Pratham cannot file a suit against the school for cancellation of his appointment.

1.6 COMMUNICATION OF OFFER AND ACCEPTANCE

Communication of offer: In terms of Section 4 of the Act, "the communication of offer is complete when it comes to the knowledge of the person to whom it is made"

Example

53: Where 'A' makes a proposal to 'B' by post to sell his house for Rs. 5 lakhs and if the letter containing the offer is posted on 10th March and if that letter reaches 'B' on 12th March the offer is said to have been communicated on 12th March when B received the letter.

Thus, it can be summed up that when a proposal is made by post, its communication will be complete when the letter containing the proposal reaches the person to whom it is made.
Mere receiving of the letter is not sufficient, he must receive or read the message contained in the letter.
He receives the letter on 12th March, but he reads it on 15th of March. In this case offer is communicated on 15th of March, and not 12th of March.

Communication of acceptance: There are two issues for discussion and understanding. They are: The modes of acceptance and when is acceptance complete?
Let us, first consider the modes of acceptance. Section 3 of the Act prescribes in general terms two modes of communication namely, (a) by any act and (b) by omission, intending thereby, to communicate to the other or which has the effect of communicating it to the other.

Communication by act would include any expression of words whether written or oral. Written words will include letters, telegrams, faxes, emails and even advertisements. Oral words will include telephone messages. Again communication would include any conduct intended to communicate like positive acts or signs so that the other person understands what the person 'acting' or 'making signs' means to say or convey.

Communication of acceptance by 'omission' to do something. Such omission is conveyed by a conduct or by forbearance on the part of one person to convey his willingness or assent. However, silence would not be treated as communication by 'omission'.

Example

54 : A offers Rs. 50000 to B if he does not arrive before the court of law as an evidence to the case. B does not arrive on the date of hearing to the court. Here omission of doing an act amounts to acceptance.

Let us now come to the issue of when communication of acceptance is complete. In terms of Section 4 of the Act, it is complete,

(i) **As against the proposer,** when it is put in the course of transmission to him so as to be out of the power of the acceptor to withdraw the same;
(ii) **As against the acceptor,** when it comes to the knowledge of the proposer.

Where a proposal is accepted by a letter sent by the post, the communication of acceptance will be complete as against the proposer when the letter of acceptance is posted and as against the acceptor when the letter reaches the proposer.
For instance in the above example, if 'B' accepts, A's proposal and sends his acceptance by post on 14th, the communication of acceptance as against 'A' is complete on 14th, i.e. when the letter is posted. As against 'B' acceptance will be complete, when the letter reaches 'A'.

Here 'A' the proposer will be bound by B's acceptance, even if the letter of acceptance is delayed in post or lost in transit. The golden rule is proposer becomes bound by the contract, the moment acceptor has posted the letter of acceptance. But it is necessary that the letter is correctly addressed, adequately stamped and duly posted. In such an event the loss of letter in transit, wrong delivery, non delivery etc., will not affect the validity of the contract.

However, from the view point of acceptor, he will be bound by his acceptance only when the letter of acceptance has reached the proposer. So it is crucial in this case that the letter reaches the proposer. If there is no delivery of the letter, the acceptance could be treated as having been completed from the viewpoint of proposer but not from the viewpoint of acceptor. Of course this will give rise to an awkward situation of only one party to the contract, being treated as bound by the contract though no one would be sure as to where the letter of acceptance had gone.

Acceptance over telephone or telex or fax: When an offer is made of instantaneous communication like telex, telephone, fax or through e-mail, the contract is only complete when the acceptance is received by the offeree, and the contract is made at the place where the acceptance is received (Entores Ltd. v. Miles Far East Corporation). However, in case of a call drops and disturbances in the line, there may not be a valid contract.

Communication of special conditions: Sometimes there are situations where there are contracts with special conditions. These special conditions are conveyed tacitly and the acceptance of these conditions are also conveyed by the offeree again tacitly or without him even realizing it.

Example

55: Where a passenger undertakes a travel, the conditions of travel are printed at the back of the tickets, sometimes these special conditions are brought to the notice of the passenger, sometimes not. In any event, the passenger is treated as having accepted the special condition the moment he bought his ticket.

When someone travels from one place to another by air, it could be seen that special conditions are printed at the back of the air ticket in small letters [in a non-computerized train ticket even these are not printed] Sometimes these conditions are found to have been displayed at the notice board of the Airlines office, which passengers may not have cared to read. The question here is whether these conditions can be considered to have been communicated to the passengers of the Airlines and can the passengers be treated as having accepted the conditions. The answer to the question is in the affirmative and was so held in Mukul Datta vs. Indian Airlines [1962] AIR cal. 314 where the plaintiff had travelled from Delhi to Kolkata by air and the ticket bore conditions in fine print. But such terms and condition should be reasonable.

Case law

Lilly White vs. Mannuswamy (1970)

Facts: P delivered some clothes to drycleaner for which she received a laundry receipt containing a condition that in case of loss, customer would be entitled to claim 15% of the market price of value of the article, P lost her new saree.

Held, the terms were unreasonable and P was entitled to recover full value of the saree from the drycleaner.

In the cases referred above, the respective documents have been accepted without a protest and hence amounted to tacit acceptance.

Standard forms of contracts: It is well established that a standard form of contract may be enforced on another who is subjectively unaware of the contents of the document, provided the party wanting to enforce the contract has given notice which, in the circumstances of a case, is sufficiently reasonable. But the acceptor will not incur any contractual obligation, if the document is so printed and delivered to him in such a state that it does not give reasonable notice on its face that it contains certain special conditions. In this connection, let us consider a converse situation.

A transport carrier accepted the goods for transport without any conditions. Subsequently, he issued a circular to the owners of goods limiting his liability for the goods. In such a case, since the special conditions were not communicated prior to the date of contract for transport, these were not binding on the owners of goods [Raipur transport Co. vs. Ghanshyam [1956] A. Nag.145].

1.7 COMMUNICATION OF PERFORMANCE

At times the offeree may be required to communicate the performance (or act) by way of acceptance. In this case it is not enough if the offeree merely performs the act but he should also communicate his performance unless the offer includes a term that a mere performance will constitute acceptance.

1.8 REVOCATION OF OFFER AND ACCEPTANCE

In term of Section 4, communication of revocation (of the proposal or its acceptance) is complete.

(i) **as against the person who makes it** when it is put into a course of transmission to the person to whom it is made so as to be out of the power of the person who makes it, and

(ii) **as against the person to whom it is made,** when it comes to his knowledge.

The above law can be illustrated as follows: If you revoke your proposal made to me by a telegram, the revocation will be complete, as far as you are concerned when you have dispatched the telegram. But as far as I am concerned, it will be complete only when I receive the telegram.

As regards revocation of acceptance, if you go by the above example, I can revoke my acceptance (of your offer) by a telegram. This revocation of acceptance by me will be complete when I dispatch the telegram and against you, it will be complete when it reaches you.

But the important question for consideration is when a proposal can be revoked? And when can an acceptance be revoked? These questions are more important than the question when the revocation (of proposal and acceptance) is complete.

Ordinarily, the offeror can revoke his offer before it is accepted. If he does so, the offeree cannot create a contract by accepting the revoked offer.

Example

56: The bidder at an auction sale may withdraw (revoke) his bid (offer) before it is accepted by the auctioneer by fall of hammer.

An offer may be revoked by the offeror before its acceptance, even though he had originally agreed to hold it open for a definite period of time. So long as it is a mere offer, it can be withdrawn whenever the offeror desires.

Example

57: X offered to sell 50 bales of cotton at a certain price and promised to keep it open for acceptance by Y till 6 pm of that day. Before that time X sold them to Z. Y accepted before 6 p.m., but after the revocation by X. In this case it was held that the offer was already revoked.

In terms of Section 5 of the Act a proposal can be revoked at any time before the communication of its acceptance is complete as against the proposer. An acceptance may be revoked at any time before the communication of acceptance is complete as against the acceptor.

Example

58: A proposes, by a letter sent by post, to sell his house to B. B accepts the proposal by a letter sent by post. A may revoke his proposal at any time before or at the moment when B posts his letter of acceptance, but not afterwards. Whereas B may revoke his acceptance at any time before or at the moment when the letter communicating it reaches A, but not afterwards.

An acceptance to an offer must be made before that offer lapses or is revoked.
The law relating to the revocation of offer is the same in India as in England, but the law relating to the revocation of acceptance is different.
In English law, the moment a person expresses his acceptance of an offer, that moment the contract is concluded, and such an acceptance becomes irrevocable, whether it is made orally or through the post. In Indian law, the position is different as regards contract through post.

Contract through post- As acceptance, in English law, cannot be revoked, so that once the letter of acceptance is properly posted the contract is concluded. In Indian law, the acceptor or can revoke his acceptance any time before the letter of acceptance reaches the offeror, if the revocation telegram arrives before or at the same time with the letter of acceptance, the revocation is absolute.

Contract over Telephone- A contract can be made over telephone. The rules regarding offer and acceptance as well as their communication by telephone or telex are the same as for the contract made by the mutual meeting of the parties. The contract is formed as soon as the offer is accepted but the offeree must make it sure that his acceptance is received by the offeror, otherwise there will be no contract, as communication of acceptance is not complete. If telephone unexpectedly goes dead during conversation, the acceptor must confirm again that the words of acceptance were duly heard by the offeror.

Revocation of proposal otherwise than by communication: When a proposal is made, the proposer may not wait indefinitely for its acceptance. The offer can be revoked otherwise than by communication or sometimes by lapse.

CASE BASED QUESTIONS

Question 1:

Miss Shakuntala puts an application to be a teacher in the school. She was appointed by the trust of the school. Her friend who works in the same school informs her about her appointment informally. But later due to some internal reasons her appointment was cancelled. Can Miss Shakuntala claim for damages?

Answers :

No, Miss Shakuntala cannot claim damages. As per Section 4, communication of acceptance is complete as against proposer when it is put in the course of transmission to him.

In the present case, school authorities have not put any offer letter in transmission. Her information from a third person will not form part of contract.

Question 2: **(MTP-Nov.18-6 Marks)**

Rishi proposed to sell his house to Rajan. Rajan sent his acceptance by post. Next day, Rajan sends a telegram withdrawing his acceptance. Examine the validity of the acceptance in the light of the following:

(i) The telegram of revocation of acceptance was received by Rishi before the letter of acceptance.

(ii) The telegram of revocation and letter of acceptance both reached together.

Answer :

The problem is related with the communication and time of acceptance and its revocation. As per Section 4 of the Indian Contract Act, 1872,

(1) the communication of an acceptance is a complete as against the acceptor when it comes to the knowledge of the proposer.

(2) An acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.

Referring to the above provisions

(3) Yes, the revocation of acceptance by Rajan (the acceptor) is valid.

(4) If Rishi opens the telegram first (and this would be normally so in case of a rational person) and reads it, the acceptance stands revoked.

(5) If he opens the letter first and reads it, revocation of acceptance is not possible as the contract has already been concluded.

Question 3: **(PEQ - Jan. 21- 6 Marks)**

Mr. B makes a proposal to Mr. S by post to sell his house for Rs. 10 lakhs and posted the letter on 10th April 2020 and the letter reaches to Mr. S on 12th April 2020. He reads the letter on 13th April 2020.

Mr. S sends his letter of acceptance on 16th April 2020 and the letter reaches Mr. B on 20th April 2020.

On 17th April Mr. S changed his mind and sends a telegram withdrawing his acceptance. Telegram reaches to Mr. B on 19th April 2020.

Examine with reference to the Indian Contract Act, 1872:

(i) On which date, the offer made by Mr. B will complete?

(ii) Discuss the validity of acceptance.

(iii) What would be validity of acceptance if letter of revocation and letter of acceptance reached together?

Answer :

(i) According to Section 4 of the Indian Contract Act, 1872, "the communication of offer is complete when it comes to the knowledge of the person to whom it is made".

When a proposal is made by post, its communication will be complete when the letter containing the proposal reaches the person to whom it is made. Further, mere receiving of the letter is not sufficient, he must receive or read the message contained in the letter.

In the given question, Mr. B makes a proposal by post to Mr. S to sell his house. The letter was posted on 10th April 2020 and the letter reaches to Mr. S on 12th April 2020 but he reads the letter on 13th April 2020.

Thus, the offer made by Mr. B will complete on the day when Mr. S reads the letter, i.e. 13th April 2020.

(ii) When communication of acceptance is complete: Where a proposal is accepted by a letter sent by the post, in terms of Section 4 of the Act, the communication of acceptance will be complete as against the proposer when the letter of acceptance is posted and as against the acceptor when the letter reaches the proposer.

Revocation of Acceptance: The acceptor can revoke his acceptance any time before the letter of acceptance reaches the offeror, if the revocation telegram arrives before or at the same time with the letter of acceptance, the revocation is absolute.

In the given question, when Mr. S accepts Mr. B's proposal and sends his acceptance by post on 16th April 2020, the communication of acceptance as against Mr. B is complete on 16th April 2020, when the

letter is posted. As against Mr. S acceptance will be complete, when the letter reaches Mr. B i.e. 20th April 2020. Whereas, acceptor, will be bound by his acceptance only when the letter of acceptance has reached the proposer.

The telegram for revocation of acceptance reached Mr. B on 19th April 2020 i.e. before the letter of acceptance of offer (20th April 2020). Hence, the revocation is absolute.

Therefore, acceptance to an offer is invalid.

(iii) It will not make any difference even if the telegram of revocation and letter of acceptance would have reached on the same day, i.e. the revocation then also would have been absolute. As per law, acceptance can be revoked anytime before the communication of acceptance is complete. Since revocation was made before the communication of acceptance was complete and communication can be considered as complete only when the letter of acceptance reaches the proposer i.e. Mr. B.

Question 4: **(PEQ-Sep-24-2 Marks)**

Mr. A offered to sell 25 chairs to Mr. B @ ₹ 1,500 per chair on 12.02.2024. A promised B that he would keep the offer open till 15.02.2024. However, on 13.02.2024, he sold those chairs to Mr. C @ ₹ 1,700 per chair without the knowledge of B. Mr. B communicated the acceptance of the above offer on 14.02.2024.

Advise, with reference to provisions of the Indian Contract Act, 1872 whether Mr. B can claim damages from Mr. A?

Answer :

In terms of Section 5 of the Indian Contract Act, 1872, a proposal can be revoked at any time before the communication of its acceptance is complete as against the proposer.

Accordingly, an offer may be revoked by the offeror before its acceptance, even though he had originally agreed to hold it open for a definite period of time. So long as it is a mere offer, it can be withdrawn whenever the offeror desires.

In the instant case, B cannot claim damages from A because the offer made by A is a mere offer and it can be withdrawn whenever A desires.

Modes of revocation of offer

(i) By notice of revocation:

Example

60: A offered B to sell goods at Rs. 5,000 through a post but before B could accept the offer A received highest bid for the goods from C. So, A revoked the offer to B by informing B over the telephone and sold goods to C.

(ii) By lapse of time: The time for acceptance can lapse if the acceptance is not given within the specified time and where no time is specified, then within a reasonable time. This is for the reason that proposer should not be made to wait indefinitely. It was held in Ramsgate Victoria Hotel Co. Vs Montefiore (1866 L.R.Z. Ex 109), that a person who applied for shares in June was not bound by an allotment made in November. This decision was also followed in India Cooperative Navigation and Trading Co. Ltd. Vs PadamseyPrem Ji. However, these decisions now will have no relevance in the context of allotment of shares since the Companies Act, 2013 has several provisions specifically covering these issues.

(iii) By non-fulfilment of condition precedent: Where the acceptor fails to fulfill a condition precedent to acceptance the proposal gets revoked. This principle is laid down in Section 6 of the Act. The offeror for instance may impose certain conditions such as executing a certain document or depositing certain amount as earnest money. Failure to satisfy any condition will result in lapse of the proposal. As stated earlier 'condition precedent' to acceptance prevents an obligation from coming into existence until the condition is satisfied.

Suppose where 'A' proposes to sell his house to be 'B' for Rs. 5 lakhs provided 'B' leases his land to 'A'. If 'B' refuses to lease the land, the offer of A's. is revoked automatically.

(iv) By death or insanity: Death or insanity of the proposer would result in automatic revocation of the proposal but only if the fact of death or insanity comes to the knowledge of the acceptor.

(v) By counter offer

(vi) By the non-acceptance of the offer according to the prescribed or usual mode

(vii) By subsequent illegality.

THEORY QUESTIONS

Question 1: **(PEQ - Nov. 18-5 Marks, MTP-June 19-7 Marks)**

State the various modes of revocation of offer under the Indian Contract Act, 1872.

CASE BASED QUESTIONS

Question 1: **(PEQ-Jan.26-7 Marks)**

Bright Scholars is a prestigious school in Delhi. The school invited online applications from eligible students for 100 seats of preschool classes. The school indicated in the application form that the list of provisionally selected students would be displayed on the school notice board and website on 15th April, 2025. Those students, who will pay the admission fees online and physically, submit all the documents prescribed in the application by 18th April, 2025 will be confirmed. Vishal's son Aakash was provisionally selected Vishal paid the fees online on 16th April, 2025 but, failed to submit the prescribed documents by 18th April, 2025. On 19th April, 2025 Aakash's admission was cancelled on account of non-submission of documents without informing Vishal and all the fees paid by him was refunded to his account by Management of school.

Vishal contended that he was not informed about cancellation of admission. As he already paid the fees before time, Aakash admission could not be cancelled by school management. On the other hand, he could not submit the documents as he was out of town from 16thApril 2025 to 20th April, 2025.

Analyse with reference to the provisions of the Indian Contract Act, 1872, whether the school's action to cancel the admission of Aakash without communication was valid?

Answer :

Revocation of Proposal otherwise than by Communication:

According to the provisions of Section 6 of the Indian Contract Act, 1872, when a proposal is made, the proposer may not wait indefinitely for its acceptance. The offer can be revoked otherwise than by communication or sometimes by lapse of time.

(i) By Lapse of Time: The time for acceptance can lapse if acceptance is not given within the specified time and where no time is specified, then within a reasonable time period without communication of the acceptance, reason being the proposer should not be made to wait indefinitely.

(ii) By non-fulfilment of condition precedent: Where the acceptor fails to fulfil a condition precedent to acceptance the proposal gets revoked [Section 6(3)]. Failure to satisfy any condition will result in lapse of proposal. As stated earlier 'condition precedent' to acceptance prevents an obligation from coming into existence until the condition is satisfied.

In the instant case, the school indicated in the application form that provisionally selected students who have paid the admission fee and submitted all the documents by 18th April, 2025 will be confirmed.

Vishal paid the admission fee for his son Aakash on 16th April, 2025 but failed to submit the prescribed documents by 18th April 2025. On 19th April, 2025 Aakash's admission was cancelled on account of non-submission of documents without informing Vishal and all the fee was refunded.

As both the conditions regarding payment of admission fee and submission of documents till 18th April 2025 were the conditions precedent for Aakash's admission, the school's action to cancel the admission of Aakash without communication was valid. Vishal's absence from town from 16th April 2025 to 20th April 2025 was no excuse.

Thus, offer can be revoked otherwise than by communication. The school's action to cancel the admission of Vishal is valid.

MULTIPLE CHOICE QUESTIONS

1. An agreement enforceable by law is a
   (a) Promise (b) Contract (c) Obligation (d) Lawful promise

2. A void agreement is one which is -
   (a) Valid but not enforceable
   (b) Enforceable at the option of both the parties
   (c) Enforceable at the option of one party
   (d) Not enforceable in a court of law.

3. An agreement which is enforceable by law at the option of one or more of the parties thereon but not at the option of the other or others is a
   (a) Valid Contract (b) Void contract (c) Voidable contract (d) Illegal contract

4. When the consent of a party is not free, the contract is
   (a) Void (b) Voidable (c) Valid (d) Illegal

5. In case of illegal agreements, the collateral agreements are:
   (a) Valid (b) Void (c) Voidable (d) None of these

6. An offer may lapse by:
   (a) Revocation
   (b) Counter Offer
   (c) Rejection of offer by offeree
   (d) All of these

7. A Proposal when accepted becomes a
   (a) Promise (b) Contract (c) Offer (d) Acceptance

8. If A says to B "I offer to sell my house to you for Rs. 10,00,000" and B accepts the offer by saying clearly "I accept your offer", it is a/an
   (a) Implied offer (b) Express offer (c) General offer (d) None of the above

9. 'A' offered a reward of Rs. 10,000 for recovery of some valuable missing articles. 'B' who did not know of this offer, found the missing articles. Which one of the following is the correct solution to this problem?
   (a) Giving delivery of articles to 'A' amounts to an acceptance and hence 'B' is entitled to get the reward of Rs. 10,000
   (b) Giving delivery of articles to 'A' amounts to performance of a condition precedent to an offer and hence there is valid acceptance. So 'B' must get the reward of Rs. 10,000
   (c) As there is no acceptance of an offer due to want of Knowledge, 'B', is not entitled to get the reward of Rs. 10,000
   (d) In the absence of any legal obligation on 'A', no claim for reward of Rs. 10,000 is maintainable by 'B'.

10. Arun has two cars- one of white colour and another of red colour. He offers to sell one of the cars to Basu thinking that he is selling the car which has white colour. Basu agrees to buy the car thinking that Arun is selling the car which has red colour. Will this agreement becomes a valid contract?
    (a) Yes (b) No
    (c) Insufficient information (d) None of the above.

11. A dress is displayed in the showroom with a price tag attached to the dress. A buyer interested in the dress and ready to pay the price mentioned in the tag approached the shopkeeper for purchasing the dress.
    (a) The shopkeeper can refuse to sell the dress as display of dress is just an invitation to offer.
    (b) The shopkeeper cannot refuse to sell the dress as the buyer has accepted the offer
    (c) In case of refusal, the shopkeeper will be liable for breach of contract
    (d) The shopkeeper cannot refuse to sell the dress but may charge higher price

12. A agrees to pay Rs. 1,000 to B if a certain ship returns within a year. However, the ship sinks within the year. In this case, the contract becomes
(a) Valid (b) Void (c) Voidable (d) Illegal

13. A notice in the newspaper inviting tenders is
(a) a proposal
(b) An invitation to proposal
c) A promise
(d) An invitation for negotiation

14. A telephonic acceptance is complete when the offer is
(a) spoken into the telephone
(b) heard but not understood by the offeror
(c) heard and understood by the offeror
(d) is received, heard and understood by some person in the offeror's house

15. A and B agree to deal in smuggled goods and share the profits. A refuses to give B's share of profit. In this case:
(a) B can enforce the agreement in the court
(b) B can only claim damages
(c) B has no remedy as the contract is illegal
(d) B can enforce the contract and claim damages

16. Which one of the following statements is correct?
(a) Void agreements are always illegal
(b) Illegal agreements are voidable
(c) Illegal agreement can be ratified by the parties
(d) Illegal agreements are always void

17. A voidable contract is one which
(a) Can be enforced at the option of aggrieved party
(b) Can be enforced at the option of both the parties
(c) Cannot be enforced in a court of law
(d) Courts prohibit

18. When offer is made to a definite person, it is known as
(a) General Offer (b) Cross Offer (c) Counter offer (d) Special offer

19. On the face of a ticket, it is mentioned that to look for the terms and conditions look behind. Mr. A bought the ticket but didn't read the terms and conditions. He:
(a) is not bound by the terms and condition
(b) may decide to bound by certain terms and ignore others
(c) is bound by all the terms and conditions whether he read it or not
(d) none of the above

Answers to MCQs

1.	(b)	2.	(d)	3.	(c)	4.	(b)	5.	(b)
6.	(d)	7.	(a)	8.	(b)	9.	(c)	10.	(b)
11.	(a)	12.	(b)	13.	(b)	14.	(c)	15.	(c)
16.	(d)	17.	(a)	18.	(d)	19.	(c)		

THE INDIAN CONTRACT ACT, 1872

UNIT -2: CONSIDERATION

Section Overview:

Section : 2	Definition
▪ 2(d)	Consideration
Section : 25	Validity of Agreement Without Consideration

Consideration is an essential element of a valid contract without which no single promise will be enforceable.

It is a term used in the sense of quid pro quo, i.e., 'something in return'.

2.1 WHAT IS CONSIDERATION?

Section 2(d):

- "When at the desire of the promisor,
- the promisee or any other person
- has done or abstained from doing, or
- does or abstains from doing or
- promises to do or abstain from doing something,
- such an act or abstinence or promise
- is called consideration for the promise".

Analysis of Definition of Consideration

1. | Consideration is an act - doing something.

Example

1: Ajay guarantees Bhuvan for payment of price of the goods which Bhuvan wanted to sell on one month credit to Chaitanya. Here selling of goods on credit by Bhuvan to Chaitanya is consideration for A's promise.

2: A college promises students, who will score above 95% for the job in MNC. Consideration need not to be monetary. Here the promise for recruitment of candidate will be considered as consideration for the act of students scoring above 95%.

2. | Consideration is abstinence - abstain from doing something.

Example

3: Abhishek promises Bharti not to file a suit against her if she (Bharti) would pay him (Abhishek) Rs.1,00,000. Here abstinence on the part of Abhishek would constitute consideration against Bharti's payment of Rs. 1,00,000 in favor of Abhishek.

4: ABC has a shop of electric items. XYZ wishes to open another electric shop next to his shop. ABC offers Rs 2,00,000 to XYZ for shifting the same away from 1 km of ABC's shop. Here, consideration is given for abstaining XYZ from opening his shop nearby.

THEORY QUESTIONS

Question 1: **(MTP- May 23, PEQ - April- 21-5 Marks)**
Define consideration. State the characteristics of a valid consideration.

Question 2: **(PEQ – Nov 19 – 7 Marks)**
Define consideration. what are the legal rules regarding Consideration under Indian Contract Act, 1872?

2.2 LEGAL RULES REGARDING CONSIDERATION

i. | Consideration must move at the desire of the promisor:

- Consideration must be offered by the promisee or the third party at the desire or request of the promisor.
- An act done at the desire of a third party is not a consideration.
- Contract of marriage in consideration of promise of settlement is enforceable.

Example

5: R saves S's goods from fire without being asked to do so. R cannot demand any reward for his services, as the act being done voluntary.

ii. | Consideration may move from promisee or any other person:

- In India, consideration may proceed from the promisee or any other person who is not a party to the contract.
- In other words, there can be a stranger to a consideration but not stranger to a contract.

Case law

Chinnayya vs. Ramayya (1882)
An old lady made a gift of her property to her daughter with a direction to pay a certain sum of money to the maternal uncle by way of annuity. On the same day, the daughter executed a writing in favour of the brother agreeing to pay annuity. The daughter did not, however, pay the annuity and the uncle sued to recover it.
It was held that there was sufficient consideration for the uncle to recover the money from the daughter.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov.18- 4 Marks)**
Mr. Balwant, an old man, by a registered deed of gift, granted certain landed property to Ms. Reema, his daughter. By the terms of the deed, it was stipulated that an annuity of Rs.20, 000 should be paid every year to Mr. Sawant, who was the brother of Mr. Balwant.
On the same day Ms. Reema made a promise to Mr. Sawant and executed in his favour an agreement to give effect to the stipulation. Ms. Reema failed to pay the stipulated sum. In an action against her by Mr. Sawant, she contended that since Mr. Sawant had not furnished any consideration, he has no right of action.
Examining the provisions of the Indian Contract Act, 1872, decide, whether the contention of Ms. Reema is valid?

Answer :

1. In India, consideration may proceed from the promise or any other person who is not a party to the contract.
2. The definition of consideration as given in section 2(d) makes that proposition clear. According to the definition, when at the desire of the promisor, the promisee or any other person does something such an act is consideration. In other words, there can be a stranger to a consideration but not stranger to a contract.

3. In the given problem, Mr. Balwant has entered into a contract with Ms. Reema, but Mr. Sawant has not given any consideration to Ms. Reema but the consideration did flow from Mr. Balwant to Ms. Reema and such consideration from third party is sufficient to the enforce the promise of Ms. Reema, the daughter, to pay an annuity to Mr. Sawant. Further the deed of gift and the promise made by Ms. Reema to Mr. Sawant to pay the annuity were executed simultaneously and therefore they should be regarded as one transaction and there was sufficient consideration for it.
4. Thus, a stranger to the contract cannot enforce the contract but a stranger to the consideration may enforce it. Hence, the contention of Ms. Reema is not valid.

iii. | Executed and executory consideration:

- A consideration which consists in the performance of an act is said to be executed.
- When it consists in a promise, it is said to be executory.
- The promise by one party may be the consideration for an act by some other party, and vice versa.

Example

6: A pays Rs. 5,000 to B and B promises to deliver to him a certain quantity of wheat within a month. In this case, A pays the amount, whereas B merely makes a promise. Therefore, the consideration paid by A is executed, whereas the consideration promised by B is executory.

iv. | Consideration may be past, present or future:

- The words "has done or abstained from doing" [as contained in Section 2(d)] are a recognition of the doctrine of past consideration.
- In order to support a promise, a past consideration must move by a previous request.
- The consideration, if past, may be the motive but cannot be the real consideration of a subsequent promise. But in the event of the services being rendered in the past at the request or the desire of the promisor, the subsequent promise is regarded as an admission that the past consideration was not gratuitous.

Example

7: 'A' performed some services to 'B' at his desire. After a week, 'B' promises to compensate 'A' for the work done by him. It is said to be past consideration and A can sue B for recovering the promised money.
8: A cash sale of goods is an example of present consideration. The consideration is immediately made against delivery of goods.

v. | Consideration need not be adequate:

- Consideration need not to be of any particular value.
- It need not be approximately of equal value with the promise for which it is exchanged but it must be something which the law would regard as having some value.
- Something in return need not be equal to something given.
- It can be considered a bad bargain of the party.
- It may be noted in this context that Explanation 2 to Section 25 states that an agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate.
- But as an exception if it is shockingly less and the other party alleges that his consent was not free than this inadequate consideration can be taken as an evidence in support of this allegation.

Example

9: X promises to sell a house worth Rs. 6 lacs for Rs. 1 lacs only, the adequacy of the price in itself shall not render the transaction void, unless the party pleads that transaction takes place under coercion, undue influence or fraud.

THEORY QUESTIONS

Question 1: **(MTP-June 19-5Marks, RTP- Nov.20, May-21, PEQ-Nov 22-3 Marks)**

"To form a valid contract, consideration must be adequate". Comment.

vi. | Performance of what one is legally bound to perform:

- Consideration must not be performance of existing duty.
- The performance of an act by a person who is legally bound to perform the same cannot be consideration for a contract.
- Hence, a promise to pay money to a witness is void, for it is without consideration. Hence, such a contract is void for want of consideration.
- Similarly, an agreement by a client to pay to his counsel after the latter has been engaged, a certain sum over and above the fee, in the event of success of the case would be void, since it is without consideration.
- But where a person promises to do more that he is legally bound to do, such a promise provided it is not opposed to public policy, is a good consideration. It should not be vague or uncertain.

vii. | Consideration must be real and not illusory:

- It must be something to which the law attaches some value.
- If it is legally or physically impossible it is not considered valid consideration.

Example

10: A man promises to discover treasure by magic, bringing the dead person to live again. This transaction can be said to be void as it is illusory.

viii. | Consideration must not be unlawful, immoral, or opposed to public policy.

- Only presence of consideration is not sufficient it must be lawful.
- Anything which is immoral or opposed to public policy also cannot be valued as valid consideration.

Example

11: ABC Ltd. promises to give job to Mr. X in a Government bank against payment of Rs. 50,000 is void as the promise is opposed to public policy.

2.3 SUIT BY A THIRD PARTY TO A CONTRACT

Though under the Indian Contract Act, 1872, the consideration for an agreement may proceed from a third party, the third party cannot sue on contract. Only a person who is party to a contract can sue on it.

Thus, the concept of stranger to consideration is a valid and is different from stranger to a contract.

Example

12: P who is indebted to Q, sells his property to R and R promises to pay off the debt amount to Q. If R fails to pay, then in such situation Q has no right to sue, as R is a stranger to contract.

The aforesaid rule, that stranger to a contract cannot sue is known as a "doctrine of privity of contract", is however, subject to certain exceptions. In other words, even a stranger to a contract may enforce a claim in the following cases:

1. | **In the case of trust,** a beneficiary can enforce his right under the trust, though he was not a party to the contract between the settler and the trustee.

2. | **In the case of a family settlement,** if the terms of the settlement are reduced into writing, the members of family who originally had not been parties to the settlement may enforce the agreement.

Example

13: Two brothers X and Y agreed to pay an allowance of Rs. 20,000 to mother on partition of joint properties. But later they denied to abide by it. Held their mother although stranger to contract can require their sons for such allowance in the court of law.

3. | **In the case of certain marriage contracts/arrangements,** a provision may be made for the benefit of a person, he may file the suit though he is not a party to the agreement.

Example

14: Mr. X's wife deserted him for ill-treating her. Mr. X promised his wife's father Mr. Puri that he will treat her properly or else pay her monthly allowance. But she was again ill-treated by her husband. Held, she has all right to sue Mr. X against the contract made between Mr. X and Mr. Puri even though she was stranger to contract.

4. | **In the case of assignment of a contract,** when the benefit under a contract has been assigned, the assignee can enforce the contract but such assignment should not involve any personal skill.

5. | **Acknowledgement or estoppel -** where the promisor by his conduct acknowledges himself as an agent of the third party, it would result into a binding obligation towards third party.

Example

15: If L gives to M Rs. 20,000 to be given to N, and M informs N that he is holding the money for him, but afterwards M refuses to pay the money. N will be entitled to recover the same from the former i.e. M.

6. | **In the case of covenant running with the land,** the person who purchases land with notice that the owner of land is bound by certain duties affecting land, the covenant affecting the land may be enforced by the successor of the seller.

Example

16: One owner of the land having two land adjacent to each other. One was agricultural land. He sold the other land containing a condition that it can never be used for Industrial purpose so as to protect the other agricultural land from pollution. Such condition is attached with the land so who so ever is the successor of land has to abide by it. Such are called restrictive covenants and all successor are bind to it.

CASE BASED QUESTIONS

Question 1: **(PEQ - May-19 – 4 Marks)**

Mr. Sohanlal sold 10 acres of his agricultural land to Mr. Mohanlal on 25th September 2020 for Rs. 25 Lakhs. The Property papers mentioned a condition, amongst other details, that whosoever purchases the land is free to use 9 acres as per his choice but the remaining 1 acre has to be allowed to be used by Mr. Chotelal, son of the seller for carrying out farming or other activity of his choice.

On 12th October, 2020, Mr. Sohanlal died leaving behind his son and life. On 15th October, 2020 purchaser started construction of an auditorium on the whole 10 acres of land and denied any land to the son.

Now Mr. Chotelal wants to file a case against the purchaser and get a suitable redressal. Discuss the above in light of provisions of Indian Contract Act, 1872 and decide upon Mr. Chotelal's plan of action?

Answer :

Problem as asked in the question is based on the provisions of the Indian Contract Act, 1872 as contained in section 2(d) and on the principle 'privity of consideration'. Consideration is one of the essential elements to make a contract valid and it can flow from the promisee or any other person.

In view of the clear language used in definition of 'consideration' in Section 2(d), it is not necessary that consideration should be furnished by the promisee only. A promise is enforceable if there is some consideration for it and it is quite immaterial whether it moves from the promisee or any other person.

The leading authority in the decision of the Chinnaya Vs. Ramayya, held that the consideration can legitimately move from a third party and it is an accepted principle of law in India.

In the given problem, Mr. Sohanlal has entered into a contract with Mr. Mohanlal, but Mr. Chotelal has not given any consideration to Mr. Mohanlal but the consideration did flow from Mr. Sohanlal to Mr. Mohanlal on the behalf of Mr. Chotelal and such consideration from third party is sufficient to enforce the promise of Mr. Mohanlal to allow Mr. Chotelal to use 1 acre of land. Further the deed of sale and the promise made by Mr. Mohanlal to Mr. Chotelal to allow the use of 1 acre of land were executed simultaneously and therefore they should be regarded as one transaction and there was sufficient consideration for it.

Moreover, it is provided in the law that "in case covenant running with the land, where a person purchases land with notice that the owner of the land is bound by certain duties affecting land, the covenant affecting the land may be enforced by the successor of the seller."

In such a case, third party to a contract can file the suit although it has not moved the consideration.

Hence, Mr. Chotelal is entitled to file a petition against Mr. Mohanlal for execution of contract.

7. | **Contracts entered into through an agent:** The principal can enforce the contracts entered by his agent where the agent has acted within the scope of his authority and in the name of the principal.

THEORY QUESTIONS

Question 1: **(MTP-Nov.18-6 Marks)**

What is doctrine of privity of contract? What are its exceptions?

Question 2: **(RTP-May 18)**

A stranger to a contract cannot sue, however in some cases even a stranger to contract may enforce a claim. Explain.

Question 3: **(RTP- May 20)**

"Only a person who is party to a contract can sue on it". Explain this statement and describe its exceptions, if any.

Question 4: **(MTP – Dec 23, PEQ – June 23 - 7 Marks)**

As per the general rule, "Stranger to a contract cannot file a suit in case of breach of contract". Comment and explain the exceptions to this rule as per the provisions of the Indian Contract Act, 1872.

2.4 VALIDITY OF AN AGREEMENT WITHOUT CONSIDERATION - Section 25

The general rule is that an agreement made without consideration is void.
However, the Indian Contract Act contains certain exceptions to this rule.
In the following cases, the agreement though made without consideration, will be valid and enforceable.

1. | Natural Love and Affection: Conditions to be fulfilled under section 25(1)

(i) It must be made out of natural love and affection between the parties.
(ii) Parties must stand in near relationship to each other.
(iii) It must be in writing.
(iv) It must also be registered under the law.

A written and registered agreement based on natural love and affection between the parties standing in near relation (e.g., husband and wife) to each other is enforceable even without consideration.

Example

17: A husband, by a registered agreement promised to pay his earnings to his wife. Held the agreement though without consideration, was valid.

18: A out of natural love and affection promises to give his newly wedded daughter- in -law a golden necklace worth Rs. 5,00,000. 'A' made the promise in writing and signed it and registered. The agreement is valid.

THEORY QUESTIONS

Question 1: **(PEQ – Nov 23 - 3 Marks)**

Explain the following statements in the light of provisions of Indian Contract Act, 1872:
"Agreements made out of love and affection are valid agreements."

CASE BASED QUESTIONS

Question 1: **(MTP-Dec 23-4 Marks, RTP – Nov 21)**

Mr. Ram Lal Birla was a big businessman of Pune City having two sons and one married daughter. He decided to gift his house to his daughter. For this purpose, he called his lawyer at his house and made a written document for such gift.

The lawyer advised him to get the transfer document properly registered. When they both were going for registration of document, they met with an accident, and both of them died. Later, the daughter found the document and claimed the house on the basis of that document. Explain, whether she can get the house as gift under the Indian Contract Act, 1872?

Answer:

Section 25 of Indian Contract Act, 1872 provides that an agreement made without consideration is valid if it is expressed in writing and registered under the law for the time being in force for the registration of documents and is made on account of natural love and affection between parties standing in a near relation to each other.

In other words, a written and registered agreement based on natural love and affection between the parties standing in near relation to each other is enforceable even without consideration.

In the instant case, the transfer of house made by Mr. Ram Lal Birla on account of natural love and affection between the parties standing in near relation to each other is written but not registered. Hence, this transfer is not enforceable.

Question 2: **(RTP – June 23)**

Mr. Shyam Mundra was a big businessman having one son and one married daughter. He decided to gift his house to his daughter. For this purpose, he called his lawyer at his house and made a written document for such gift. The lawyer advised him to get the transfer document properly registered.

When they both were going for registration of document, they met with an accident and both died. Later, the daughter found the document and claimed the house on the basis of that document. Explain, whether she can get the house as gift under the Indian Contract Act, 1872?

Question 3: **(PEQ-JAN.26-3 Marks)**

Amol promised to give a gold ring worth Rs. 1 lakh to her friend Chakori on her birthday. Whether the promise made by Amol is enforceable in law as per the provisions of the Indian Contract Act, 1872?

What would be your answer if the relation between Amol and Chakori is of Husband & Wife?

Answer:

According to Section 25 of the Indian Contract Act, 1872, an agreement made without consideration is void, subject to certain exceptions.

One important exception is:

An agreement made out of natural love and affection between parties standing in a near relation to each other is valid, provided it is in writing and registered.

Position when Amol and Chakori are Friends: Since the Amol and Chakori are merely friends (and not near relatives) and do not come within the purview of Section25(1). The promise to give a gold ring is mere promise and not supported by consideration. Hence the promise made by Amol is not legally enforceable.

Position when Amol and Chakori are Husband & Wife: In this position the parties are in near relation and Amol promised out of natural love and affection to gift her wife a gold ring. This can be legally enforceable provided the promise is in writing and registered under the law.

In other words, this can be legally enforceable provided the promise is in writing and registered under the law as Amol and Chakori are in near relation and Amol promised out of natural love and affection to gift her wife which comes within the purview of Section 25(1) of the Indian Contract Act, 1872.

2. | **Compensation for past voluntary services:** A promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, is enforceable under Section 25(2). In order that a promise to pay for the past voluntary services be binding, the following essential factors must exist:

(i) The services should have been rendered voluntarily.
(ii) The services must have been rendered for the promisor.
(iii) The promisor must be in existence at the time when services were rendered.
(iv) The promisor must have intended to compensate the promisee.

Example

19: P finds R's wallet and gives it to him. R promises to give P Rs.10,000. This is a valid contract.

20: Mr. X had helped his nephew Mr. Y to fight a case in the court of law using his knowledge and intellect. After Mr. Y won the case, he promised Mr. X to pay Rs. 10,000. Held, this is a valid contract as it is compensation to past services.

3. | **Promise to pay time barred debt:** Where a promise in writing signed by the person making it or by his authorised agent, is made to pay a debt barred by limitation it is valid without consideration [Section 25(3)].

Example

21: A is indebted to C for Rs. 60,000 but the debt is barred by the Limitation Act. A sign a written promise now to pay Rs. 50,000 in final settlement of the debt. This is a contract without consideration, but enforceable.

THEORY QUESTIONS

Question 1: **(PEQ – Nov 22 – 3 Marks)**

Explain the following statements in the light of provisions of Indian Contract Act, 1872:
"Promise to pay a time barred debt cannot be enforced."

Question 2: **(MTP – Nov 22 – 5 Marks)**

Explain the following statements in the light of provisions of Indian Contract Act, 1872:
(i) "Agreements made out of love and affection are valid agreements."
(ii) "Promise to pay a time barred debt cannot be enforced."

CASE BASED QUESTIONS

Question 1: **(PEQ - Nov. 20 - 2 Marks)**

In light of provisions of the Indian Contract Act, 1872 answer the following:
Mr. Y given loan to Mr. G of INR 30,00,000. Mr. G defaulted the loan on due date and debt became time barred. After the time barred debt, Mr. G agreed to settle the full amount to Mr. Y. Whether acceptance of time barred debt Contract is enforceable in law?

Answer:

Promise to pay time-barred debts - Section 25 (3): Where there is an agreement, made in writing and signed by the debtor or by his agent, to pay wholly or in part a time barred debt, the agreement is valid and binding even though there is no consideration.
In the given case, the loan given by Mr. Y to Mr. G has become time barred. Thereafter, Mr. G agreed to make payment of full amount to Mr. Y.
Referring to above provisions of the Indian Contract Act, 1872 contract entered between parties post time barred debt is valid so, Mr. G is bound to pay the agreed amount to Mr. Y provided the above mentioned conditions of section 25 (3) are fulfilled.

Question 2: **(PEQ-Jan.26-2 Marks)**

Bhuvika borrowed Rs. 4,75,000/- from her relative Madan on 5th April 2020 on interest @ 1% per month for 5 year for running her Cosmetics store. She was paying continuously instalment and interest every month. But due to sudden introduction of nature care products her products became obsolete. As a result, she was unable to pay monthly instalment and interest from May 2021 onwards. The debt got time barred by limitation Act. However, on account of continuous persuasions of her relatives, Bhuvika promised in writing to pay the outstanding amount shortly within a few months. Whether Madan can legally recover the debts from Bhuvika when the loan has already been time barred? Explain with reference to provisions of the Indian Contract Act, 1872.

Answer:

Promise to pay Time Barred Debt: Where a promise in writing signed by the person making it or by his authorized agent, is made to pay a debt barred by limitation, it is valid without consideration [Section 25(3) of the Indian Contract Act, 1872].
Thus, in terms of the provisions of Section 25(3) of the Act, Madan can legally recover the debts with interest from Bhuvika since she had promised in writing to pay the outstanding amount shortly within a few months even though the loan has already been time barred.

4. | **Agency:** According to Section 185 of the Indian Contract Act, 1872, no consideration is necessary to create an agency.

5. | **Completed gift:** In case of completed gifts, the rule no consideration no contract does not apply. Explanation (1) to Section 25 states "nothing in this section shall affect the validity as between the donor and donee, of any gift actually made." Thus, gifts do not require any consideration.

CASE BASED QUESTIONS

Question 1: **(PEQ-Jan.26-2 Marks)**

Chhaya and Abeer are very good friends. On Chhaya's birthday Abeer gifted an I-Phone worth Rs. 1.35 lakh. Whether this gift is valid as per provisions of the Indian Contract Act, 1872?

Answer:

Completed gift: According to Section 25 of the Indian Contract Act, 1872 an agreement made without consideration is void. Further explanation 1 to Section 25 states that nothing in this section shall affect the validity, as between the donor and donee, of any gift actually made.

In case of completed gifts, the rule of no consideration no gift does not apply.

Thus, gifts do not require any consideration.

In the instant case, the gift of I-Phone from Abeer to Chhaya has already been done, which amounts to 'Completed Gift' and is covered by explanation 1 to Section 25.

Hence, gift given by Abeer to Chhaya is valid.

6. | **Bailment:** No consideration is required to affect the contract of bailment. Section 148 of the Indian Contract Act, 1872, defines bailment as the delivery of goods from one person to another for some purpose. This delivery is made upon a contract that post accomplishment of the purpose, the goods will either be returned or disposed of, according to the directions of the person delivering them. No consideration is required to affect a contract of bailment

Example

22: Mr. A hand over the keys of his godown to Mr. Y as Mr. Y had deposited his goods in the same. Mr. Y gets possession of godown but not the ownership. As soon as Mr. Y lifts his goods from godown he is liable to hand over the keys back to Mr. A.

7. | **Charity:** If a promisee undertakes the liability on the promise of the person to contribute to charity, there the contract shall be valid. (Kadarnath v. Gorie Mohammad)

THEORY QUESTIONS

Question 1: **(MTP - June 19 - 5 Marks)**

"No consideration, no contract". Discuss.

Question 2: **(RTP- May 21)**

What do you understand by the term 'Consideration'? Are there any circumstances under which a contract, under the provisions of the Indian Contract Act, 1872, without consideration is valid? Explain.

Question 3: **(PEQ - May-18 - 5 Marks)**

State the exceptions to the rule "An agreement without consideration is void".

Question 4: **(PEQ - Jan. 21, May 22 - 5 Marks)**

The general rule is that an agreement without consideration is void. Discuss the cases where the agreement though made without consideration will be valid and enforceable as per Indian Contract Act, 1872.

CASE BASED QUESTIONS

Question 1: **(PEQ- Sep 24-2 Marks)**

Mr. A was running an orphanage. His friend Mr. S, a philanthropist agreed to donate ₹ 2 lakh for treatment of a child, who was suffering from cancer. On emergency, Mr. A incurred ₹ 1.5 lakh on treatment of child. Now, Mr. S refused to pay. Whether Mr. A can claim ₹ 1.5 lakh from Mr. S with reference to provisions of the Indian Contract Act, 1872?

Answer :

The general rule is that an agreement made without consideration is void (Section 25 of the Indian Contract Act, 1872). However, in the following case, the agreement though made without consideration, will be valid and enforceable. Charity: If a promisee undertakes the liability on the promise of the person to contribute to charity, there the contract shall be valid. In the instant case, Mr. A can claim 1.5 lakh from Mr. S.

MULTIPLE CHOICE QUESTIONS

1. Which of the following statement is false? Consideration:
   (a) Must move at the desire of the promisor. (b) May move from any person
   (c) Must be illusory (d) Must be of some value

2. Consideration must move at the desire of
   (a) Promisor (b) Promisee (c) Any other person (d) Any of these

3. Consideration may be
   (a) Past (b) Present (c) Future (d) All of the above

4. Consideration in simple term means:
   (a) Anything in return (b) Something in return
   (c) Everything in return (d) Nothing is return

5. Which of the following is not an exception to the rule- No consideration, No Contract –
   (a) Compensation for involuntary services (b) Love & Affection
   (c) Contract of Agency (d) Gift

6. Past consideration means
   (a) Consideration and promise should move together (b) Executed consideration
   (c) Consideration is provided prior to the making of the contract (d) Invalid consideration

7. A contract without consideration under Section 25 is:
   (a) void (b) voidable (c) valid (d) illegal

Answers to MCQs

1.	(c)	2.	(a)	3.	(d)	4.	(b)	5.	(a)
6.	(c)	7.	(c)						

THE INDIAN CONTRACT ACT, 1872

UNIT-3: OTHER ESSENTIAL ELEMENTS OF A CONTRACT

Section Overview:

Section : 10	What agreements are contracts
Section : 11	Who are competent to contract
Section : 12	What is a sound mind for the purposes of contracting.
Section : 13	Consent
Section : 14	Free consent
Section : 15	Coercion
Section : 16	Undue influence
Section : 17	Fraud
Section : 18	Misrepresentation
Section : 19	Voidability of agreements without free consent.
Section : 19A	Power to set aside contract induced by undue influence.
Section : 20	Agreement void where both parties are under mistake as to matter of fact.
Section : 21	Effect of mistakes as to law.
Section : 22	Contract caused by mistake of one party as to matter of fact.
Section : 23	What considerations and objects are lawful, and what not.
Section : 24	Agreements void if unlawful in part
Section : 26	Agreement in restraint of marriage void
Section : 27	Agreement in restraint of trade void
Section : 28	Agreement in restraint of legal proceedings void
Section : 29	Agreements void for uncertainty.
Section : 30	Agreements by way of wager, void.
Section : 68	Claim for necessaries supplied to person incapable of contracting, or on his account.
Section : 72	Liability of person to whom money is paid, or thing delivered, by mistake

Section 10 of the Indian Contract Act, 1872 provides that an agreement in order to be a contract, must satisfy the following conditions:

(1) the parties must be competent to contract;
(2) it must be made by the free consent of the parties;
(3) it must be made for a lawful consideration and with a lawful object;
(4) it should not have been expressly declared as void by law.

3.1 CAPACITY TO CONTRACT

Section 11:- Who is competent to contract

- "Every person is competent to contract
- who is of the age of majority according to the law to which he is subject, and
- who is of sound mind and
- is not disqualified from contracting by any law to which he is subject".

Analysis of Section 11

This section deals with personal capacity of three types of individuals only.

A. | Age of Majority:

- In India, the age of majority is regulated by the Indian Majority Act, 1875.
- Every person domiciled in India shall attain the age of majority on the completion of 18 years of age and not before.
- The age of majority being 18 years, a person less than that age even by a day would be minor for the purpose of contracting.

Law relating to Minor's agreement/Position of Minor

1. | A contract made with or by a minor is void ab-initio:

- A minor is not competent to contract and any agreement with or by a minor is void from the very beginning.

Case law

Mohori Bibi vs. Dharmo Das Ghose (1903),
"A, a minor borrowed Rs.20,000 from B and as a security for the same executed a mortgage in his favour. He became a major a few months later and filed a suit for the declaration that the mortgage executed by him during his minority was void and should be cancelled.
It was held that a mortgage by a minor was void and B was not entitled to repayment of money. Further money lender's request for repayment of amount advanced to the minor as part of consideration for the mortgage was also not accepted.

2. | No ratification after attaining majority:

- A minor cannot ratify the agreement on attaining majority as the original agreement is void ab initio and a void agreement can never be ratified.

Example

1: X, a minor makes a promissory note in the name of Y. On attaining majority, he cannot ratify it and if he makes a new promissory note in place of old one, here the new promissory note which he executed after attaining majority is also void being without consideration.

3. | Minor can be a beneficiary or can take benefit out of a contract:

- Though a minor is not competent to contract, nothing in the Contract Act prevents the minor from making the other party bound to him.
- A minor cannot become partner in a partnership firm. However, he may with the consent of all the partners, be admitted to the benefits of partnership (Section 30 of the Indian Partnership Act, 1932).
- Thus, a promissory note duly executed in favour of a minor is not void and can be sued upon by him, because he though incompetent to contract, may yet accept a benefit.

Example

2: A mortgage was executed in favour of a minor. Held, he can get a decree for the enforcement of the mortgage.

4. | A minor can always plead minority:

- A minor can always plead minority and is not stopped to do so even where he has taken any loan or entered into any contract by falsely representing that he was major.
- Rule of estoppel cannot be applied against a minor.

Example

3: A, a minor has falsely induced himself as major and contracted with Mr. X for loan of Rs. 20,000. When Mr. X asked for the repayment A denied to pay. He pleaded that he was a minor so cannot enter into any contract. Held, A cannot be held liable for repayment of amount. However, if he has not spent the same, he may be asked to repay it but the minor shall not be liable for any amount which he has already spent even though he received the same by fraud. Thus, a minor can always plead minority and is not estopped from doing so even where he had produced a loan or entered into some other contract by falsely representing that he was of full age, when in reality he was a minor.

5. | Liability for necessaries:

- The case of necessaries supplied to a minor or to any other person whom such minor is legally bound to support is governed by section 68 of the Indian Contract Act.
- A claim for necessaries supplied to a minor is enforceable by law.
- But a minor is not liable for any price that he may promise and never for more than the value of the necessaries.
- There is no personal liability of the minor, but only his property is liable.

To render minor's estate liable for necessaries two conditions must be satisfied.

(i) The contract must be for the goods reasonably necessary for his support in the station in life.

(ii) The minor must not have already a sufficient supply of these necessaries.

Necessaries mean those things that are essentially needed by a minor. They cannot include luxuries or costly or unnecessary articles. Necessaries extend to all such things as reasonable persons would supply to an infant in that class of society to which the infant belongs. Expenses on minor's education, on funeral ceremonies come within the scope of the word 'necessaries'.

Example

4: Shruti being a minor purchased a laptop for her online classes of Rs. 70,000 on credit from a shop. But her assets could pay only Rs. 20,000. The shop keeper could not hold Shruti personally liable and could recover only amount recoverable through her assets i.e. upto Rs. 20,000.

6. | Contract by guardian - how far enforceable:

- Though a minor's agreement is void, his guardian can, under certain circumstances enter into a valid contract on minor's behalf.
- Where the guardian makes a contract for the minor, which is within his competence and which is for the benefit of the minor, there will be valid contract which the minor can enforce.
- But all contracts made by guardian on behalf of a minor are not valid.
- For instance, the guardian of a minor has no power to bind the minor by a contact for the purchase of immovable Property. But a contract entered into by a certified guardian (appointed by the Court) of a minor, with the sanction of the court for the sale of the minor's property, may be enforced by either party to the contract.

7. | No specific performance:

- A minor's agreement being absolutely void, there can be no question of the specific performance of such an agreement.

8. | No insolvency:

- A minor cannot be declared insolvent as he is incapable of contracting debts and dues are payable from the personal properties of minor and he shall never be held personally liable.

9. | Partnership:

- A minor being incompetent to contract cannot be a partner in a partnership firm, but under Section 30 of the Indian Partnership Act, he can be admitted to the benefits of partnership.

10. | Minor can be an agent:

- A minor can act as an agent. But he will not be liable to his principal for his acts.
- A minor can draw, deliver and endorse negotiable instruments without himself being liable.

Example

5: A minor can have an account in the bank. He can draw a cheque for his purchases. But he shall not be liable for cheque bounces nor can he be sued under court of law for any fraud done from his account.

11. | Minor cannot bind parent or guardian:

- In the absence of authority, express or implied, an infant is not capable of binding his parent or guardian, even for necessaries.
- The parents will be held liable only when the child is acting as an agent for parents.

Example

6: Richa a minor entered into contract of buying a scooty from the dealer and mentioned that her parents will be liable for the payment of scooty. The dealer sent a letter to her parents for money. The parents will not be liable for such payment as the contract was entered by a minor in their absence and out of their knowledge.

12. | Joint contract by minor and adult:

- In such a case, the adult will be liable on the contract and not the minor.
- In Sain Das vs. Ram Chand, where there was a joint purchase by two purchasers, one of them was a minor, it was held that the vendor could enforce the contract against the major purchaser and not the minor.

13. | Surety for a minor:

- In a contract of guarantee when an adult stands surety for a minor then he (adult) is liable to third party as there is direct contract between the surety and the third party.

Example

7: Mr. X guaranteed for the purchase of a mobile phone by Krish, a minor. In case of failure for payment by Krish, Mr. X will be liable to make the payment.

14. | Minor as Shareholder:

- A minor, being incompetent to contract cannot be a shareholder of the company.
- If by mistake he becomes a member, the company can rescind the transaction and remove his name from register.
- But, a minor may, acting though his lawful guardian become a shareholder by transfer or transmission of fully paid shares to him.

15. | Liability for torts:

- A tort is a civil wrong.
- A minor is liable in tort unless the tort in reality is a breach of contract. Thus, where a minor borrowed a horse for riding only he was held liable when he lent the horse to one of his friends who jumped and killed the horse.
- Similarly, a minor was held liable for his failure to return certain instruments which he had hired and then passed on to a friend.

THEORY QUESTIONS

Question 1: **(RTP- May 18, RTP – Nov 22)**

"Though a minor is not competent to contract, nothing in the Contract Act prevents him from making the other party bound to the minor". Discuss.

Answer :

Minor can be a beneficiary or can take benefit out of a contract : Though a minor is not competent to contract, nothing in the Contract Act prevents him from making the other party bound to the minor.

For example: A promissory note duly executed in favour of a minor is not void and can be sued upon by him, because he though incompetent to contract, may yet accept a benefit.

A minor cannot become partner in a partnership firm. However, he may with the consent of all the partners, be admitted to the benefits of partnership (Section 30 of the Indian Partnership Act, 1932).

CASE BASED QUESTIONS

Question 1: **(MTP-June 19-4 Marks)**

Ishaan, aged 16 years, was studying in an engineering college. On 1st March, 2016 he took a loan of Rs.2 lakhs from Vishal for the payment of his college fee and agreed to pay by 30th May, 2017. Ishaan possesses assets worth Rs.15 lakhs. On due date Ishaan fails to pay back the loan to Vishal. Vishal now wants to recover the loan from Ishaan out of his assets. Decide whether Vishal would succeed referring to the provisions of the Indian Contract Act, 1872.

or

Rohit, aged 16 years, was studying in an engineering college. On 1 March, 2016 he took a loan of Rs.1 lakh from Suresh for the payment of his college fees and agreed to pay by 30th May, 2017. Rohit possesses assets worth Rs.10 lakhs. On due date Rohit fails to pay back the loan to Suresh. Suresh now wants to recover the loan from Rohit out of his assets. Whether Suresh would succeed? Decide, referring to the provisions of the Indian Contract Act, 1872. **(MTP-Nov.18-5 Marks)**

or

Vikas , aged 16 years, was studying in an engineering college. On 1st March, 2019 he took a loan of Rs. 2 lakhs from Rahul for the payment of his college fee and agreed to pay by 30th May, 2020. Vikas possesses assets worth Rs. 15 lakhs. On due date, Vikas fails to pay back the loan to Rahul. Rahul now wants to recover the loan from Vikas out of his assets. Decide whether Rahul would succeed referring to the provisions of the Indian Contract Act, 1872. **(MTP-Nov.20-6 Marks)**

Answer :

1. According to Section 11 of the Indian Contract Act, 1872, every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind and is not disqualified from contracting by any law to which he is subject.
2. A person who has completed the age of 18 years is a major and otherwise he will be treated as minor. Thus, Ishaan who is a minor is incompetent to contract and any agreement with him is void [Mohori Bibi Vs Dharmo Das Ghose 1903].
3. Section 68 of the Indian Contract Act, 1872 however, prescribes the liability of a minor for the supply of the things which are the necessaries of life to him. It says that though minor is not personally liable to pay the price of necessaries supplied to him or money lent for the purpose, the supplier or lender will be entitled to claim the money/price of goods or services which are necessaries suited to his condition of life provided that the minor has a property. The liability of minor is only to the extent of the minor"s property.
4. Thus, according to the above provision, Vishal will be entitled to recover the amount of loan given to Ishaan for payment of the college fees from the property of the minor.

Question 2: **(MTP-Dec 23- 6 Marks)**

Ayush, who is a minor, purchased 10 fancy coats for the wedding ceremony of his sister on credit from M/s Surjewala & sons. The cost of all coats was ₹ 80,000. Not even a single coat was a necessity.

Ayush has assets of worth of ₹ 1,00,000. M/s Surjewala & sons file a suit against Ayush for recovery of ₹80,000 out of his assets. Following the provisions of Indian Contract Act, 1872, whether Ayush is liable to pay ₹80,000 to M/s Surjewala & sons?

Answer:

According to Section 11 of Indian Contract Act, 1872, a contract with minor is void-ab-initio. A minor cannot be enforced to pay off his liabilities. Parents or guardians of minor are also not liable for any contract entered by minor. However, a minor is liable for supplies of necessaries out of his assets. Minor is not personally liable even for necessaries.

In the instant case, M/s Surjewala & sons file a suit against Ayush for recovery of ₹ 80,000 out of his assets who purchased 10 fancy coats for the wedding ceremony of his sister on credit from M/s Surjewala & sons.

On the basis of the facts of the problem, coats were not necessary items for Ayush. Hence, his assets cannot be attached for payment of price of coats. Therefore, M/s Surjewala & sons cannot claim ₹ 80,000 from Ayush.

Question 3: **(MTP- Nov 21- 4 Marks)**

Mr. Shekhar wants to sell his car. For this purpose, he appoints Mr. Nadan, a minor as his agent. Mr. Shekhar instructs Mr. Nadan that car should not be sold at price less than Rs. 1,00,000. Mr. Nadan ignores the instruction of Mr. Shekhar and sells the car to Mr. Masoom for Rs. 80,000. Explain the legal position of contract under the Indian Contract Act, 1872 whether:

(i) Mr. Shekhar can recover the loss of Rs. 20,000 from Mr. Nadan?

(ii) Mr. Shekhar can recover his car from Mr. Masoom?

Answer:

According to the provisions of Section 11 of the Indian Contract Act, 1872, a minor is disqualified from contracting. A contract with minor is void-ab-initio but minor can act as an agent. But he will not be liable to his principal for his acts.

In the instant case, Mr. Shekhar appoints Mr. Nadan, a minor as his agent to sale his car. Mr. Shekhar clearly instructed to Mr. Nadan that the minimum sale price of the car should be Rs. 1,00,000 yet Mr. Nadan sold the car to Mr. Masoom for Rs. 80,000.

(i) Considering the facts, although the contract between Mr. Shekhar and Mr. Nadan is valid, Mr. Nadan will not be liable to his principal for his acts. Hence, Mr. Shekhar cannot recover the loss of Rs. 20,000.

(ii) Further, Mr. Masoom purchased the car from agent of Mr. Shekhar, he got good title. Hence, Mr. Shekhar cannot recover his car from Mr. Masoom.

Question 4: **(RTP – June 23)**

Mr. Mukund wants to sell his car. For this purpose, he appoints Mr. Parth, a minor as his agent. Mr. Mukund instructs Mr. Parth that car should not be sold at price less than ₹ 2,00,000. Mr. Parth ignores the instruction of Mr. Mukund and sells the car to Mr. Naman for ₹ 1,50,000. Explain the legal position of contract under Indian Contract Act, 1872 whether:

(a) Mr. Mukund can recover the loss of ₹ 50,000 from Mr. Parth?

(b) Mr. Mukund can recover his car from Mr. Naman?

Question 5: **(RTP – Nov 21)**

Rahul, a minor, falsely representing his age, enters into an agreement with a shopkeeper for a loan amount for purchasing a laptop. He gave his expensive watch as a security and took a loan of ₹ 40,000. He was very happy to get ₹ 40,000 and quickly went to the market and purchased a laptop worth ₹ 30,000. He happily spent the rest of the amount with his friends on a pleasure trip.

Later on, Rahul realized that his watch was an expensive watch and he should not have given like this to the shopkeeper. So, he went back to the shopkeeper and asked for his watch back. Also, he refused to repay the loan amount. The shopkeeper disagrees to this and files a case against minor for recovery of the loan amount. Can the shopkeeper succeed in recovering the loan amount under the Indian Contract Act, 1872?

Answer:

As per Section 11 of Indian Contract Act, 1872, a minor is not competent to enter into any contract. Any agreement with minor is void-ab-initio means void from the very beginning. When a person forms an agreement with minor, such an agreement is devoid of any legal consequences for the person because minor cannot be enforced by law to perform his part of performance in an agreement.

However, if minor obtains any property by fraudulently misrepresenting his age, he can be ordered to restore the property or goods thus obtained. Although no action can be taken against the minor, but if has any property (of other party) in his possession, court can order him to return the same.

Hence, in the present case, Rahul is not liable to repay ₹ 40,000 that he has borrowed from the shopkeeper, but he can be ordered by the court to return the laptop (which was in his possession) to the shopkeeper.

Question 6: **(PEQ - May 22, 6 Marks)**

Srishti, a minor, falsely representing her age, enters into an agreement with an authorised Laptop dealer Mr. Gupta, owner of SP Laptops, for purchase of Laptop on credit amounting ₹ 60,000/- for purchasing a laptop, on 1st August 2021.

She promised to pay back the outstanding amount with interest @ 16% p.a. by 31st July 2022. She told him that in case she won't be able to pay the outstanding amount, her father Mr. Ram will pay back on her behalf. After One year, when Srishti was asked to pay the outstanding amount with interest she refused to pay the amount and told the owner that she is minor and now he can't recover a single penny from her.

She will be adult on 1st January 2024, only after that agreement can be ratified. Explain by which of the following way Mr. Gupta will succeed in recovering the outstanding amount with reference to the Indian Contract Act, 1872.

(i) By filing a case against Srishti, a minor for recovery of outstanding amount with interest?

(ii) By filing a case against Mr. Ram, father of Srishti for recovery of outstanding amount?

(iii) By filing a case against Srishti, a minor for recovery of outstanding amount after she attains maturity?

Answer:

A contract made with or by a minor is void ab-initio: Pursuant to Section 11, a minor is not competent to contract and any agreement with or by a minor is void from the very beginning.

(i) By following the above provision, Mr. Gupta will not succeed in recovering the outstanding amount by filing a case against Srishti, a minor.

(ii) Minor cannot bind parent or guardian: In the absence of authority, express or implied, a minor is not capable of binding his parent or guardian, even for necessaries. The parents will be held liable only when the child is acting as an agent for parents.

In the instant case, Mr. Gupta will not succeed in recovering the outstanding amount by filing a case against Mr. Ram, father of Srishti.

(iii) No ratification after attaining majority: A minor cannot ratify the agreement on attaining majority as the original agreement is void ab initio and a void agreement can never be ratified.

Hence, in this case also, Mr. Gupta will not succeed in recovering the outstanding amount by filing a case against Srishti, after she attains majority.

Question 7: **(RTP DEC-23-5 Marks)**

Paridhee, a minor, falsely representing her age, enters into an agreement with an authorised Laptop dealer Mr. Mittal, owner of MP Laptops, for purchase of Laptop on credit amounting 60,000/- on 1st August 2022. She promised to pay back the outstanding amount with interest @ 16% p.a. by 31st July 2023. She told him that in case she won't be able to pay the outstanding amount, her father Mr. Ram will pay back on her behalf. After One year, when Paridhee was asked to pay the outstanding amount with interest she refused to pay the amount and told the owner that she is minor and now he can't recover a single penny from her.

She will be a major on 1st January 2025 and only after that agreement can be ratified. Explain by which of the following ways, Mr. Mittal will succeed in recovering the outstanding amount with reference to the Indian Contract Act, 1872.

(i) By filing a case against Paridhee, a minor for recovery of outstanding amount with interest?

(ii) By filing a case against Mr. Ram, father of Paridhee for recovery of outstanding amount?

(iii) By filing a case against Paridhee, a minor for recovery of outstanding amount after she attains majority?

Question 8: **(MTP NOV-23- 6 Marks)**

Chhotu of 17 years has purchased a mobile of ₹ 25,000 for his online classes from Mobile Sales Centre on credit. On due date, he did not make the payment of mobile. Mobile Sales Centre sued Chhotu and his parents for the price of mobile. Chhotu has ₹ 15,000 as his cash balance but his father has enough money to pay the price of mobile. Who will be liable to pay the price of mobile under the provisions of Indian Contract Act, 1872?

Answer:
Section 11 of the Indian Contract Act, 1872 provides that a minor is not capable to enter into a contract. A contract with minor is void-ab-initio. A minor cannot be enforced to pay off his liabilities. Parents or guardians of minor are also not liable for any contract entered by minor. However, a minor is liable for supplies of necessaries out of his assets. Minor is not personally liable even for necessaries.
In the instant case, parents of Chhotu are not liable for price of mobile. Chhotu's assets are liable to make the payment of price. Hence, Mobile Sales Centre can recover only ₹ 15,000 from Chhotu i.e. equal to his assets.

B. | Person of sound mind:

- According to Section 12 of Indian Contract Act, "a person is said to be of sound mind for the purposes of making a contract if, at the time when he makes it is capable of understanding it and of forming a rational judgement as to its effect upon his interests."
- A person who is usually of unsound mind, but occasionally of sound mind, may make a contract when he is of sound mind.
- A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind.

Example

8: A patient in a lunatic asylum, who is at intervals, of sound mind, may contract during those intervals.

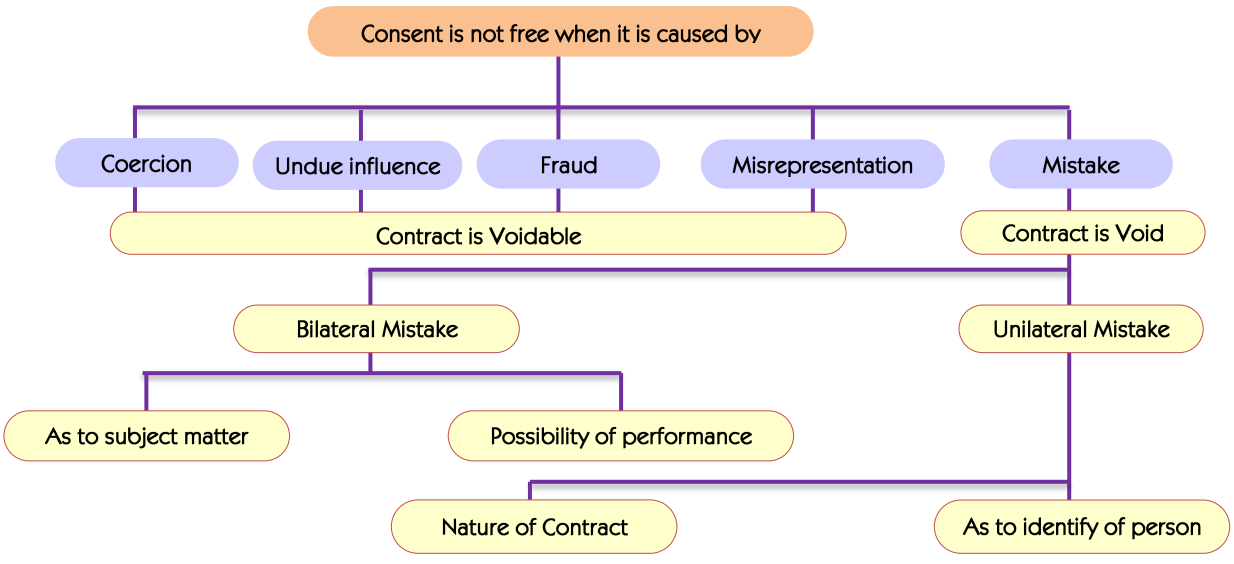
9: A sane man, who is delirious from fever, or who is so drunk that he cannot understand the terms of a contract, or form a rational judgement as to its effect on his interests, cannot contract whilst such delirium or drunkenness lasts.

Position of unsound mind person making a contract: A contract by a person who is not of sound mind is void.

C. | Contract by disqualified persons:

- Besides minors and persons of unsound mind, there are also other persons who are disqualified from contracting, partially or wholly, so that the contracts by such person are void.
- Incompetency to contract may arise from political status, corporate status, legal status, etc.
- The following persons fall in this category: Foreign Sovereigns and Ambassadors, Alien enemy, Corporations, Convicts, Insolvent etc.

3.2 FREE CONSENT



Section 13:- Definition of Consent

- "two or more persons are said to consent when they agree upon the same thing in the same sense."
- Consent may be free or not free.
- Only free consent is necessary for the validity of a contract.

Section 14 :- Definition of 'Free Consent'

Consent is said to be free when it is not caused by:

1. Coercion, as defined in Section 15; or
2. Undue Influence, as defined in Section 16; or
3. Fraud, as defined in Section 17; or
4. Misrepresentation, as defined in Section 18 or
5. Mistake, subject to the provisions of Sections 20, 21, and 22.

- When consent to an agreement is caused by coercion, fraud, misrepresentation, or undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused.
- When the consent is vitiated by mistake, the contract becomes void.

3.3 ELEMENTS VITIATING FREE CONSENT

I. | Section 15 :- Coercion

- "Coercion' is the committing, or threatening to commit, any act forbidden by the Indian Penal Code or
- the unlawful detaining, or threatening to detain any property,
- to the prejudice of any person whatever,
- with the intention of causing any person to enter into an agreement."

Analysis of Section 15

- The section does not require that coercion must proceed from a party to the contract; nor is it necessary that subject of the coercion must be the other contracting party,
- it may be directed against any third person whatever.

Section 19:- Effects of coercion

(i) Contract induced by coercion is voidable at the option of the party whose consent was so obtained.

(ii) As to the consequences of the rescission of voidable contract, the party rescinding a void contract should, if he has received any benefit, thereunder from the other party to the contract, restore such benefit so far as may be applicable, to the person from whom it was received.

(iii) A person to whom money has been paid or anything delivered under coercion must repay or return it. (Section 72)

Example

10: Where husband obtained a release deed from his wife and son under a threat of committing suicide, the transaction was set aside on the ground of coercion, suicide being forbidden by the Indian Penal Code. The threat of suicide amounts to coercion within Section 15.

11: An agent refused to give books of accounts to the principal unless he frees him from all his liabilities. The principal had to give the release deed. Held, the contract was under coercion by unlawful detaining of the principal's property.

THEORY QUESTIONS

Question 1: **(RTP- May 18)**
Explain the term "coercion" and describe its effect on the validity of a contract?

Question 2: **(PEQ-May.25, PEQ - Nov.19- 5 Marks)**
What are the effects of Coercion? "Whether threat to commit suicide is coercion"? Elaborate with reference to provisions of the Indian Contract Act, 1872.

II. | Section 16:- Undue influence

- "A contract is said to be induced by 'undue influence' where
- the relations subsisting between the parties are such
- that one of the parties is in a position to dominate the will of the other and
- he uses that position to obtain an unfair advantage over the other".

A person is deemed to be in position to dominate the will of another:

(a) Where he holds a real or apparent authority over the other; or
(b) Where he stands in a fiduciary relationship to the other; or
(c) Where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness or mental or bodily distress for example, an old illiterate person.
(d) Unconscionable Bargain

Example

12: A having advanced money to his son, B, during his minority, upon B's coming of age obtains, by misuse of parental influence, a bond from B for a greater amount than the sum due in respect of the advance. A employs undue influence.
13: A, a man enfeebled by disease or age, is induced by B's influence over him as his medical attendant, to agree to pay B an unreasonable sum for his professional services. B employs undue influence.
14: A, being in debt to B, the money-lender of his village, contracts a fresh loan on terms which appear to be unconscionable. It lies on B to prove that the contract was not induced by undue influence.
15: A applies to a banker for a loan at a time when there is a stringency in money market. The banker declines to make the loan except at an unusually high rate of interest. A accepts the loan on these terms. This is a transaction in the ordinary course of business, and the contract is not induced by undue influence.

Analysis of Section 16

The essential ingredients under this provision are:

1. | Relation between the parties:
A person can be influenced by the other when a near relation between the two exists.

2. | Position to dominate the will: Relation between the parties exist in such a manner that one of them is in a position to dominate the will of the other. A person is deemed to be in such position in the following circumstances:

(a) Real and apparent authority:
Where a person holds a real authority over the other as in the case of master and servant, doctor and patient and etc.

Example

16: A father, by reason of his authority over the son can dominate the will of the son.

(b) Fiduciary relationship:

Where relation of trust and confidence exists between the parties to a contract. Such type of relationship exists between father and son, solicitor and client, husband and wife, creditor and debtor, etc.

Example

17: By reason of fiduciary relationship, a solicitor can dominate the will of his client and a trustee can dominate the will of the beneficiary.

18: A spiritual guru induced his devotee to gift to him the whole of his property in return of a promise of salvation of the devotee. Held, the consent of the devotee was given under undue influence. Here, the relationship was fiduciary relationship between Guru and devotee and Guru was in a position to dominate the will of devotee.

(c) Mental distress:

An undue influence can be used against a person to get his consent on a contract where the mental capacity of the person is temporarily or permanently affected by the reason of mental or bodily distress, illness or of old age.

Example

19: A doctor is deemed to be in a position to dominate the will of his patient enfeebled by protracted illness.

(d) Unconscionable bargains:

Where one of the parties to a contract is in a position to dominate the will of the other and the contract is apparently unconscionable i.e., unfair, it is presumed by law that consent must have been obtained by undue influence. Unconscionable bargains are witnessed mostly in money-lending transactions and in gifts.

Example

20: A youth of 18 years of age, spend thrift and a drunkard, borrowed Rs.90,000 on a bond bearing compound interest at 2% per mensem (p.m.). It was held by the court that the transaction is unconscionable, the rate of interest charged being so exorbitant [Kirpa Ram vs. Sami-Ud-din Ad. Khan (1903)]

3. | The object must be to take undue advantage:

Where the person is in a position to influence the will of the other in getting consent, must have the object to take advantage of the other.

Example

21: A teacher asks her daughter to get marry to one of his brilliant students. Both the girl and boy were smart, settled and intelligent. Here the teacher had a relation which can have influence on both of them. But as no undue advantage of such influence was taken such contract of marriage is said to be made by free consent.

4. | Burden of proof:

The burden of proving the absence of the use of the dominant position to obtain the unfair advantage will lie on the party who is in a position to dominate the will of the other.

Section 19A:- Power to set aside contract induced by undue influence

When consent to an agreement is caused by undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused.

Any such contract may be set aside either absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, upon such terms and conditions as to the Court may seem just.

Example

22: A, a money lender advances Rs.1,00,000 to B, an agriculturist, and by undue influence induces B to execute a bond for Rs.2,00,000 with interest at 6 percent per month. The court may set aside the bond, ordering B to repay Rs.1,00,000 with such interest as may seem just.

THEORY QUESTIONS

Question 1: **(RTP- May 20)**

Explain the circumstances in which the person is deemed to be in a position to dominate the will of the other person under the Indian Contract Act, 1872.

Question 2: **(PEQ – May – 19 – 5 Marks)**

Discuss the essentials of Undue Influence as per the Indian Contract Act, 1872.

CASE BASED QUESTIONS

Question 1: **(MTP - Nov.18 - 6 Marks)**

What is meant by 'Undue Influence'? Aakash applies to a banker for a loan at a time when there is stringency in the money market. The banker declines to make the loan except at an unusually high rate of interest. Aakash accepts the loan on these terms. Whether the contract is induced by undue influence? Decide.

Answer :

Meaning of Undue Influence: Section 16 of the Indian Contract Act, 1872, states that a contract is said to be induced by undue influence where the relations subsisting between the parties are such that the parties are in a position to dominate the will of the other and used that position to obtain an unfair advantage over the other.

1. A person is deemed to be in that position:
   (a) where he holds real or apparent authority over the other or stands in a fiduciary relation to him;
   (b) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of old age, illness or mental or bodily distress.
   (c) where a man who is in position to dominate the will of the other enters into contract with him and the transaction appears to be unconscionable, the burden of proving that it is fair, is on him, who is in such a position.
2. When one of the parties who has obtained the benefits of a transaction is in a position to dominate the will of the other, and the transaction between the parties appears to be unconscionable, the law raises a presumption of undue influence [section 16(3)].
3. Every transaction where the terms are to the disadvantage of one of the parties need not necessarily be considered to be unconscionable. If the contract is to the advantage of one of the parties but the same has been made in the ordinary course of business the presumption of under influence would not be raised.
4. (a) In the given problem, Aakash applies to the banker for a loan at a time when there is stringency in the money market. The banker declines to make the loan except at an unusually high rate of interest. Aakash accepts the loan on these terms. This is a transaction in the ordinary course of business, and the contract is not induced by undue influence. As between parties on an equal footing, the court will not hold a bargain to be unconscionable merely on the ground of high interest. Only where the lender is in a position to dominate the will of the borrower, the relief is granted on the ground of undue influence.
   (b) But this is not the situation in this problem, and therefore, there is no undue influence.

Question 2: **(RTP- May-18, Nov.19)**

A student was induced by his teacher to sell his brand new car to the later at less than the purchase price to secure more marks in the examination. Accordingly, the car was sold. However, the father of the student persuaded him to sue his teacher. State whether the student can sue the teacher?

Answer:

Yes, A can sue his teacher on the ground of undue influence under the provisions of Indian Contract Act, 1872. According to section 16 of the Indian Contract Act, 1872, "A contract is said to be induced by 'undue influence' where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and he uses that position to obtain an unfair advantage over the other".

A person is deemed to be in position to dominate the will of another:

(a) Where he holds a real or apparent authority over the other; or

(b) Where he stands in a fiduciary relationship to the other; or

(c) Where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness or mental or bodily distress for example, an old illiterate person.

A contract brought as a result of coercion, undue influence, fraud or misrepresentation would be voidable at the option of the person whose consent was caused.

Question 3: **(RTP – Nov 22)**

In the light of the provisions of the Indian Contract Act, 1872, answer the following:

A student was induced by his teacher to sell his brand-new bike to the latter at a price less than the purchase price to secure more marks in the examination. Accordingly, the bike was sold. However, the father of the student persuaded him to sue his teacher. Whether the student can sue the teacher? If yes, on what grounds?

Question 4: **(RTP – May 22)**

Chandan was suffering from some disease and was in great pain. He went to Dr. Jhunjhunwala whose consultation fee was ₹ 300. The doctor agreed to treat him but on the condition that Chandan had to sign a promissory note of ₹ 5000 payable to doctor. Chandan signed the promissory note and gave it to doctor.

On recovering from the disease, Chandan refused to honour the promissory note. State with reasons, can doctor recover the amount of promissory note under the provisions of the Indian Contract Act, 1872?

Answer:

Section 16 of Indian Contract Act, 1872 provides that a contract is said to be induced by "undue influence" where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and uses that position to obtain an unfair advantage over the other.

Further, a person is deemed to be in a position to dominate the will of another—

(a) where he holds a real or apparent authority over the other, or

(b) where he stands in a fiduciary relation to the other; or

(c) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress.

Section 19A provides that when consent to an agreement is caused by undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused. Any such contract may be set aside either absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, upon such terms and conditions as to the Court may seem just.

From the facts of the case, Chandan signed the promissory note under undue influence applied by doctor. Hence, Dr. Jhunjhunwala cannot recover the amount of promissory note but can claim his normal consultation fee from Chandan.

Question 5: **(PEQ – June 23- 2 Marks)**

Mr. A, the employer induced his employee Mr. B to sell his one room flat to him at less than the market value to secure promotion. Mr. B sold the flat to Mr. A. Later on, Mr. B changed his mind and decided to sue Mr. A. Examine the validity of the contract as per the provisions of the Indian Contract Act, 1872.

Answer:

According to section 16 of the Indian Contract Act, 1872, a contract is said to be induced by 'undue influence' where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and he uses that position to obtain an unfair advantage over the other.

When consent to an agreement is caused by undue influence, the contract is voidable at the option of the party, whose consent was so caused.

Hence, the contract between Mr. A and Mr. B is voidable at the option of Mr. B as it was induced by undue influence by Mr. A and therefore Mr. B can sue Mr. A.

Difference between Coercion and Undue influence:

Basis	Coercion	Undue Influence
Nature of action	It involves the physical force or threat. The aggrieved party is compelled to make the contract against its will.	It involves moral or mental pressure.
Involvement of criminal action	It involves committing or threatening to commit and act forbidden by Indian Penal Code or detaining or threatening to detain property unlawfully.	No such illegal act is committed or a threat is given.
Relationship between parties	It is not necessary that there must be some sort of relationship between the parties.	Some sort of relationship between the parties is absolutely necessary.
Exercised by whom	Coercion need not proceed from the promisor nor need it be the directed against the promisor. It can be used even by a stranger to the contract.	Undue influence is always exercised between parties to the contract.
Enforceability	The contract is voidable at the option of the party whose consent has been obtained by the coercion.	Where the consent is induced by undue influence, the contract is either voidable or the court may set it aside or enforce it in a modified form.
Position of benefits received	In case of coercion where the contract is rescinded by the aggrieved party, as per Section 64, any benefit received has to be restored back to the other party.	The court has the discretion to direct the aggrieved party to return the benefit in whole or in part or not to give any such directions.

III. Section 17 :- Fraud

- 'Fraud' means and includes any of the following acts
- committed by a party to a contract, or with his connivance, or by his agent,
- with an intent to deceive another party thereto or his agent,
- or to induce him to enter into the contract:

(1) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;
(2) the active concealment of a fact by one having knowledge or belief of the fact;
(3) a promise made without any intention of performing it;
(4) any other act fitted to deceive;
(5) any such act or omission as the law specially declares to be fraudulent.

Analysis of Section 17

The following are the essential elements of the fraud:

(1) There must be a representation or assertion and it must be false. However, silence may amount to fraud or an active concealment may amount to fraud.
(2) The representation must be related to a fact.
(3) The representation should be made before the conclusion of the contract with the intention to induce the other party to act upon it.
(4) The representation or statement should be made with a knowledge of its falsity or without belief in its truth or recklessly not caring whether it is true or false.

(5) The other party must have been induced to act upon the representation or assertion.
(6) The other party must have relied upon the representation and must have been deceived.
(7) The other party acting on the representation must have consequently suffered a loss.

Effect of Fraud upon validity of a contract:

When the consent to an agreement in caused by the fraud, the contract is voidable at option of the party defrauded and he has the following remedies:

(1) He can rescind the contract within a reasonable time.
(2) He can sue for damages.
(3) He can insist on the performance of the contract on the condition that he shall be put in the position in which he would have been had the representation made been true.

Explanation to Section 17

Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them,

- it is the duty of the person keeping silence to speak, or
- unless his silence is, in itself, equivalent to speech.

Example

23: A sell, by auction, to B, a horse which A knows to be unsound, A says nothing to B about the unsoundness of the horse. This is not fraud by A.
24: B is A's daughter and has just come of age. Here, the relation between the parties would make it A's duty to tell B if the horse is unsound.
25: B says to A -"If you do not deny it, I shall assume that the horse is sound". A says nothing. Here A's silence is equivalent to speech.
26: A and B being traders, enter into a contract. A has private information of a change in prices which would affect B's willingness to proceed with the contract. A is not bound to inform B.

Mere silence is not fraud

- A party to the contract is under no obligation to disclose the whole truth to the other party.
- 'Caveat Emptor' i.e. let the purchaser beware is the rule applicable to contracts.
- There is no duty to speak in such cases and silence does not amount to fraud.
- Similarly, there is no duty to disclose facts which are within the knowledge of both the parties.

Example

27: H sold to W some pigs which were to his knowledge suffering from fever. The pigs were sold 'with all faults' and H did not disclose the fact of fever to W. Held there was no fraud. [Word vs. Hobbs. (1878)].

Silence is fraud when:

1. | **Duty of person to speak:** Where the circumstances of the case are such that it is the duty of the person observing silence to speak. For example, in contracts of uberrimae fidei (contracts of utmost good faith).

   Following contracts come within this category:

   (a) Fiduciary Relationship: Here, the person in whom confidence is reposed is under a duty to act with utmost good faith and make full disclosure of all material facts concerning the agreement, known to him.

Example

28: A broker was asked to buy shares for client. He sold his own shares without disclosing this fact. The client was entitled to avoid the contract or affirm it with a right to claim secret profit made by broker on the transaction since the relationship between the broker and the client was relationship of utmost good faith. (Regier V. Campbell Staurt)

(b) Contracts of Insurance: In contracts of marine, fire and life insurance, there is an implied condition that full disclosure of material facts shall be made, otherwise the insurer is entitled to avoid the contract.

(c) Contracts of marriage: Every material fact must be disclosed by the parties to a contract of marriage (Hazi Ahmed v. Abdul Gassi).

(d) Contracts of family settlement: These contracts also require full disclosure of material facts within the knowledge of the parties.

(e) Share Allotment contracts: Persons issuing 'Prospectus' at the time of public issue of shares/debentures by a joint stock company have to disclose all material facts within their knowledge.

2. | Where the silence itself is equivalent to speech: For example, A says to B "If you do not deny it, I shall assume that the horse is sound." A says nothing. His silence amounts to speech. In case of fraudulent silence, contracts are not voidable if party whose consent was so obtained had the means of discovering the truth with ordinary diligence (Exception to section 19)

THEORY QUESTIONS

Question 1: **(PEQ - May-2018-5 Marks)**

Define Fraud. Whether "mere silence will amount to fraud" as per the Indian Contract Act, 1872?

Question 2: **(PEQ - May-19- 7 Marks)**

"Mere silence is not fraud" but there are some circumstances where the "silence is fraud". Explain the circumstances as per the provision of Indian Contract Act, 1872?

Question 3: **(PEQ DEC-23-5 Marks)**

"Mere silence does not amount to fraud". Explain the statement as per the provisions contained in the Indian Contract Act, 1872.

Question 4: **(PEQ-SEP.25-6 Marks)**

Consent is said to be free when it is not caused by 'Fraud'. According to provisions of the Indian Contract Act, 1872, answer each of the following:

(i) What do you mean by 'Fraud'?

(ii) What would be effect of fraud upon validity of a contract and state the instances in which a contract is not voidable?

CASE BASED QUESTIONS

Question 1: **(MTP - Nov.18 - 4 Marks, May 21 - 3 Marks)**

P sells by auction to Q a horse which P knows to be unsound. The horse appears to be sound but P knows about the unsoundness of the horse. Is this contract valid in the following circumstances:

(a) If P says nothing about the unsoundness of the horse to Q.

(b) If P says nothing about it to Q who is P's daughter who has just come of age.

(c) If Q says to P "If you do not deny it, I shall assume that the horse is sound." P says nothing.

Answer:

According to section 17 of the Indian Contract Act, 1872, mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak, or unless his silence is, in itself, equivalent to speech. Hence, in the instant case,

(a) This contract is valid since as per section 17 mere silence as to the facts likely to affect the willingness of a person to enter into a contract is not fraud. Here, it is not the duty of the seller to disclose defects.

(b) This contract is not valid since as per section 17 it becomes P's duty to tell Q about the unsoundness of the horse because a fiduciary relationship exists between P and his daughter Q. Here, P's silence is equivalent to speech and hence amounts to fraud.

(c) This contract is not valid since as per section 17, P's silence is equivalent to speech and hence amounts to fraud.

Question 2: **(MTP MAY-23-3 Marks)**

Pradeep sells by auction to Rakesh a horse which Pradeep knows to be unsound. The horse appears to be sound, but Pradeep knows about the unsoundness of the horse. Is this contract valid in the following circumstances:

(i) If Pradeep says nothing about the unsoundness of the horse to Rakesh.

(ii) If Pradeep says nothing about it to Rakesh who is Pradeep's son.

(iii) If Rakesh says to Pradeep "If you do not deny it, I shall assume that the horse is sound." Pradeep says nothing.

Question 3: **(RTP – Nov 22, MTP-June 22 – 3 Marks)**

Karan agreed to purchase wooden table for his study room from Mr. X. Table was in good condition and was examined by Karan before purchasing.

He found no defects in it and paid Rs. 20,000 for that table. Later on, it was found that one leg of table is broken and Mr. X has pasted the wood and tried to hide the defects in the table. Can Karan return the table and claim the amount back? Discuss the same with reference to Indian Contract Act, 1872?

Answer:

As per Section 17 of Indian Contract Act, 1872, "A false representation of material facts when made intentionally to deceive the other party to induce him to enter into a contract is termed as a fraud." Section 17(2) further states about active concealment.

When a party intentionally conceals or hides some material facts from the other party and makes sure that the other party is not able to know the truth, in fact makes the other party believe something which is false, then a fraud is committed.

In case a fraud is committed, the aggrieved party gets the right to rescind the contract. (Section 19). If the aggrieved party has obtained some benefits in such a contract (caused by fraud), then all such benefits should be restored or returned back. And if aggrieved party has suffered any losses, it should be compensated by the other party.

On the basis of above provisions and facts of the case, in case a fraud is committed by one party, the contract becomes voidable at the option of the aggrieved party. Hence, Karan can rescind the contract and claim compensation for the loss suffered due to fraud done by Mr. X.

Question 4: **(MTP- March 22 – 6 Marks)**

Kapil went to a departmental store to purchase a steel pan. He asked the salesman about the area in departmental store where steel pans are kept. The salesman indicated him the area with instructions that with steel pans, other metal's pans were also kept. Kapil wrongfully picked an aluminium pan in place of steel pan.

The salesman watched but said nothing to Kapil. Kapil reached his house and found that pan was not a steel pan but actually an aluminium pan. Kapil filed a suit against departmental store for fraud. Discuss, whether Kapil was eligible to file suit for fraud against departmental store under Indian Contract Act, 1872?

Answer:

Section 17 of Indian Contract Act, 1872 defines 'Fraud'. According to section, "Fraud" means and includes any of the following acts committed by a party to a contract or by his agent with intent to deceive or to induce a person to enter into the contract:

(i) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;
(ii) the active concealment of a fact by one having knowledge or belief of the fact;
(iii) a promise made without any intention of performing it;
(iv) any other act fitted to deceive;
(v) any such act or omission as the law specially declares to be fraudulent.

It was also explained that mere silence is not fraud.

Silence amounts to fraud where (a) there is a duty to speak or (b) where silence is equivalent to speech.

On the basis of provisions of Section 17 and the facts given above, it was not the duty of salesman to inform Mr. Kapil about his mistake. Hence, there was no fraud and Kapil was not eligible to file suit for fraud against departmental store under Indian Contract Act, 1872.

IV. | Section 18:- Misrepresentation

Misrepresentation means and includes -

(1) The positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true;

(2) Any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or any one claiming under him; by misleading another to his prejudice or to the prejudice of any one claiming under him;

(3) Causing, however, innocently, a party to an agreement to make a mistake as to the substance of the thing which is the subject of the agreement.

Analysis of Section 18

(1) Statement of fact, which of false, would constitute misrepresentation if the maker believes it to be true but which is not justified by the information he possesses;

(2) When there is a breach of duty by a person without any intention to deceive which brings an advantage to him;

(3) When a party causes, even though done innocently, the other party to the agreement to make a mistake as to the subject matter.

Example

29: A makes a positive statement to B that C will be made the director of a company. A makes the statement on information derived, not directly from C but from M. B applies for shares on the faith of the statement which turns out to be false. The statement amounts to misrepresentation, because the information received second-hand did not warrant A to make the positive statement to B.

30: 'A' believed the engine of his motor cycle to be in an excellent condition. 'A' without getting it checked in a workshop, told to 'B' that the motor cycle was in excellent condition. On this statement, 'B' bought the motor cycle, whose engine proved to be defective. Here, 'A's statement is misrepresentation as the statement turns out to be false.

31: A while selling his mare to B, tells him that the mare is thoroughly sound. A genuinely believes the mare to be sound although he has no sufficient ground for the belief. Later on, B finds the mare to be unsound. The representation made by A is a misrepresentation.

32: A buy an article thinking that it is worth Rs.1000 when in fact it is worth only Rs. 500. There has been no misrepresentation on the part of the seller. The contract is valid.

Distinction between fraud and misrepresentation:

Basis	Fraud	Misrepresentation
Intention	To deceive the other party by hiding the truth.	There is no such intention to deceive the other party.
Knowledge of truth	The person making the suggestion believes that the statement as untrue.	The person making the statement believes it to be true, although it is not true.

Rescission of the contract and claim for damages	The injured party can repudiate the contract and claim damages.	The injured party is entitled to repudiate the contract or sue for restitution but cannot claim the damages.
Means to discover the truth	The party using the fraudulent act cannot secure or protect himself by saying that the injured party had means to discover the truth.	Party can always plead that the injured party had the means to discover the truth.

THEORY QUESTIONS

Question 1: **(PEQ - Nov.20 – 7 Marks)**

Define Misrepresentation and Fraud. Explain the difference between Fraud and Misrepresentation as per the Indian Contract Act, 1872.

- **Section 19:- Legal effects of agreements without free consent**

When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.

A party to contract, whose consent was so caused by fraud or misrepresentation may, if he thinks fit, insist that the contract shall be performed, and that he shall be put in the position in which he would have been if the representation made had been true.

Exception - If such consent was caused by misrepresentation or by silence, fraudulent within the meaning of section 17, the contract is not voidable, if the party whose consent was so caused had the means of discovering the truth with ordinary diligence.

Explanation to Section 19 - A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practiced, or to whom such misrepresentation was made, does not render a contract voidable.

Example

33: A, intending to deceive B, falsely represents that 500 maunds of indigo are made annually at A's factory, and thereby induces B to buy the factory. The contract is voidable at the option of B. This is because when consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.

34: A by a misrepresentation leads B to believe erroneously that 750 tons of sugar is produced per annum at the factory of A. B examines the accounts of the factory, which should have disclosed, if ordinary diligence had been exercised by B, that only 500 tons had been produced. Thereafter B purchases the factory. In the circumstance, B cannot repudiate the contract on the ground of A's misrepresentation.

v. | Mistake (Section 20, 21, 22)

- Mistake may be defined as innocent or erroneous belief which leads the party to misunderstand the others.
- Mistake may be either Bilateral or Unilateral.
- Bilateral mistake is when both the parties to a contract are under a mistake.
- Unilateral mistake is when only one party to the contract is under a mistake.

Effect of mistake on validity of a contract:

Mistake is some unintentional act, omission or error, arising from unconsciousness, ignorance or forgetfulness, imposition or misplaced confidence. It may be of two kinds-

i. | Mistake of Law:

- A mistake of law does not render a contract void as one cannot take excuse of ignorance of the law of his own country.
- But if the mistake of law is caused through the inducement of another, the contract may be avoided.
- Mistake of foreign law is excusable and is treated like a mistake of fact.
- Contract may be avoided on such mistake.

ii. | Mistake of fact:

- Where the contracting parties misunderstood each other and are at cross purposes, there is a bilateral or mutual mistake.
- Where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void.

Example

35: A offers to sell his Ambassador Car to B, who believes that A has only Fiat Car, agrees to buy the car. Here, the two parties are thinking about different subject matter so that there is no real consent and the agreement is void.

CASE BASED QUESTIONS

Question 1: **(MTP - June 19-6 Marks)**

Mr. SAMANT owned a motor car. He approached Mr. CHHOTU and offered to sale his motor car for Rs.3,00,000. Mr. SAMANT told Mr. CHHOTU that the motor car is running at the rate of 30 KMs per litre of petrol. Both the fuel meter and the speed meter of the car were working perfectly.

Mr. CHHOTU agreed with the proposal of Mr. SAMANT and took delivery of the car by paying Rs.3,00,000/- to Mr. SAMANT.

After 10 days, Mr. CHHOTU came back with the car and stated that the claim made by Mr. SAMANT regarding fuel efficiency was not correct and therefore there was a case of misrepresentation. Referring to the provisions of the Indian Contract Act, 1872, decide and write whether Mr. CHHOTU can rescind the contract in the above ground.

or

Mr. SHYAM owned a motor car. He approached Mr. HARISH and offered to sell his motor car for Rs.3,00,000. Mr. SHYAM told Mr. HARISH that the motor car is running at the rate of 20 KMs per litre of petrol. Both the fuel meter and the speed meter of the car were working perfectly.

Mr. HARISH agreed with the proposal of Mr. SHYAM and took delivery of the car by paying Rs.3,00,000/- to Mr. SHYAM.

After 10 days, Mr. HARISH came back with the car and stated that the claim made by Mr. SHYAM regarding fuel efficiency was not correct and therefore there was a case of misrepresentation. Referring to the provisions of the Indian Contract Act, 1872, decide and write whether Mr. HARISH can rescind the contract on the above ground. **(RTP- May 21, Nov 20)**

Answer :

1. As per the provisions of Section 19 of the Indian Contract Act, 1872, when consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.
2. A party to contract, whose consent was caused by fraud or misrepresentation, may, if he think fit, insist that the contract shall be performed, and that he shall be put in the position in which he would have been if the representations made had been true.
3. Exception- If such consent was caused by misrepresentation or by silence, fraudulent within the meaning of section 17, the contract, nevertheless, is not voidable if the party whose consent was so caused had the means of discovering the truth with ordinary diligence.
4. In the situation given in the question, both the fuel meter and the speed meter of the car were working perfectly, Mr. CHHOTU had the means of discovering the truth with ordinary diligence. Therefore, the contract is not voidable. Hence, Mr. CHHOTU cannot rescind the contract on the above ground.

Question 2: **(MTP-Nov.18-4 Marks)**

A by a misrepresentation leads B to believe erroneously that 750 tons of sugar is produced per annum at the factory of A. B examines the accounts of the factory, which should have disclosed, if ordinary diligence had been exercised by B, that only 500 tons had been produced. Thereafter B purchases the factory. State whether B can repudiate the contract As per the provisions of Indian Contract Act, 1872?

Answer :

Legal effects of agreements without free consent – (Section 19):

- When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.
- A party to contract, whose consent was so caused by fraud or misrepresentation may, if he thinks fit, insist that the contract shall be performed, and that he shall be put in the position in which he would have been if the representation made had been true.
- Explanation to Section 19 – A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practiced, or to whom such misrepresentation was made, does not render a contract voidable.
- In the circumstance, B cannot repudiate the contract on the ground of A's misrepresentation.

Question 3: **(MTP-Mar 21-3 Marks)**

Shyam induced Ram to buy his motorcycle saying that it was in a very good condition. After taking the motorcycle, Ram complained that there were many defects in the motorcycle. Shyam proposed to get it repaired and promised to pay 45% cost of repairs. After a few days, the motorcycle did not work at all. Now Ram wants to rescind the contract. Decide giving reasons.

or

Explain the concept of 'misrepresentation' in matters of contract. Sohan induced Suraj to buy his motorcycle saying that it was in a very good condition. After taking the motorcycle, Suraj complained that there were many defects in the motorcycle. Sohan proposed to get it repaired and promised to pay 40% cost of repairs After a few days, the motorcycle did not work at all. Now Suraj wants to rescind the contract. Decide giving reasons whether Suraj can rescind the contract? **(RTP- May 20)**

Answer :

In the instant case, the aggrieved party, in case of misrepresentation by the other party, can avoid or rescind the contract [Section 19, Indian Contract Act, 1872]. The aggrieved party loses the right to rescind the contract if he, after becoming aware of the misrepresentation, takes a benefit under the contract or in some way affirms it. Accordingly, in the given case, Ram could not rescind the contract, as his acceptance to the offer of Shyam to bear 45% of the cost of repairs impliedly amount to final acceptance of the sale.

Question 4: **(MTP MAY-23-3 Marks)**

Rahul induced Neeraj to buy his motorcycle saying that it was in a very good condition. After taking the motorcycle, Neeraj complained that there were many defects in the motorcycle. Rahul proposed to get it repaired and promised to pay 45% of the cost of repairs. After a few days, the motorcycle did not work at all. Now Neeraj wants to rescind the contract. Decide giving reasons under the provisions of Indian Contract Act, 1872.

3.4 LEGALITY OF OBJECT AND CONSIDERATION

Section 23:- Which considerations and objects are lawful, and those which are not

- The consideration or object of an agreement is lawful, unless-
  1. It is forbidden by law; or
  2. Is of such a nature that, if permitted, it would defeat the provisions of any law; or
  3. Is fraudulent; or
  4. Involves injury to the person or property of another; or
  5. The court regards it as immoral; or
  6. Opposed to public policy.

- In each of these cases, the consideration or object of an agreement is said to be unlawful.
- Every agreement of which the object or consideration is unlawful is void.

Example

36: A, B and C enter into an agreement for the division among them of gains acquired, or to be acquired, by them by fraud. The agreement is void, as its object, viz., acquisition of gains by fraud is unlawful.

37: A promises to B to abandon a prosecution which he had instituted against B for robbery and B promises in lieu thereof to restore the value of the property robbed. The agreement is void as its object, namely, the stifling of prosecution, is unlawful.

The following is an example of the agreement which is void because of unlawful consideration.

Example

38: A promises to obtain for B an employment in the public service and B promises, in return, to pay Rs.1,00,000 to A. The agreement is void. The consideration, being opposed to public policy, is unlawful.

Under Section 23 of the Indian Contract Act, in each of the following cases the consideration or object of an agreement is said to be unlawful:

1. | **When consideration or object is forbidden by law:** Acts forbidden by law are those which are punishable under any statute as well as those prohibited by regulations or orders made in exercise of the authority conferred by the legislature.

Example

39: A licence to cut grass is given to X by the Forest Department under the Forest Act.
One of the terms of licence is that the licencee should not assign his interest under the licence without the permission of the Forest Officer, and a fine is prescribed for a breach of this condition. But the observance of the conditions of the licence is not obligatory under the Forest Act. If X in breach of the condition, agrees to assign his interest under the licence to B, that agreement will be valid.
Here, the assignment is not prohibited by law, the condition against assignment has been imposed only for administrative purpose or solely for the protection of revenue.

40: A father had arranged for marriage of his 17 years boy and took dowry from the girl's parents. Such marriage contract cannot take place as in India the minimum age for boy marriage is 21 years and dowry is not permissible in Indian law. Such is not a valid contract as the consideration and object both are forbidden by law.

2. | **When consideration or object defeats the provision of law:** The words 'defeat the provisions of any law' must be taken as limited to defeating the intention which the law has expressed. The court looks at the real intention of the parties to an agreement. If the intention of the parties is to defeat the provisions of law, the court will not enforce it.
Legislative enactment would be defeated by an agreement by a debtor not to plead limitation, as the object is to defeat the provisions of the Limitation Act. The Hindu Law is defeated by an agreement to give son in adoption in consideration of annual allowance to the natural parents.

3. | **When it is fraudulent:** Agreements which are entered into to promote fraud are void. For example, an agreement for the sale of goods for the purpose of smuggling them out of the country is void and the price of the goods so sold, cannot be recovered.

4. | **When consideration involves injury to the person or property of another:** The general term "injury" means criminal or wrongful harm. In the following examples, the object or consideration is unlawful as it involves injury to the person or property of another.

Example

41: An agreement to print a book in violation of another's copyright is void, as the object is to cause injury to the property of another. It is also void as the object of the agreement is forbidden by the law relating to copyright.

42: A promises to repay his debt by doing manual labour daily for a special period and agrees to pay interest at an exorbitant rate in case of default. Here A's promise to repay by manual labour is the consideration for the loan, and this consideration is illegal as it imposes what, in substance, amounts to slavery on the part of A. In other words, as the consideration involves injury to the person A, the consideration is illegal. Here, the object too is illegal, as it seeks to impose slavery which is opposed to public policy. Hence, the agreement is void.

5. | **When consideration is immoral:** The following are the examples of agreements where the object or consideration is unlawful, being immoral.

Example

43: Where P had advanced money to D, a married woman to enable her to obtain a divorce from her husband and D had agreed to marry him as soon as she could obtain the divorce, it was held that P was not entitled to recover the amount, since the agreement had for its object the divorce of D from her husband and the promise of marriage given under these circumstances was against good morals.

6. | **When consideration is opposed to public policy:** The expression 'public policy' can be interpreted either in a wide or in a narrow sense. The freedom to contract may become illusory, unless the scope of 'public policy' is restricted. In the name of public policy, freedom of contract is restricted by law only for the good for the community. In law, public policy covers certain specified topics, e.g., trading with an enemy, stifling of prosecutions, champerty, maintenance, interference with the course of justice, marriage brokerage, sales of public offices, etc. Agreements tending to create interest against duty, agreements tending to create monopolies and agreements not to bid at an auction are also opposed to public policy. An attempt to enlarge the scope of the doctrine is bound to result in the curtailment of individual freedom of contract.

Agreements opposed to public policy

Some of the agreements which are held to be opposed to public policy are-

i. | **Trading with enemy:** Any trade with person owing allegiance to a Government at war with India without the licence of the Government of India is void, as the object is opposed to public policy. Here, the agreement to trade offends against the public policy by tending to prejudice the interest of the State in times of war.

Example

44: India entered in war like situation with China. Mr. A from India entered into contract with China for import of toys. Such contract is void as China is alien enemy of India. The contract if made before such war like situation may be suspended or dissolved. Like India felt apps like tik tok and PUBG will provide some internal information of the country, hence such apps were banned and any contract with them were dissolved.

ii. | **Stifling Prosecution:** An agreement to stifle prosecution i.e. "an agreement to present proceedings already instituted from running their normal course using force" tends to be a perversion or an abuse of justice; therefore, such an agreement is void. The principle is that one should not make a trade of felony. The compromise of any public offence is generally illegal.
Under the Indian Criminal Procedure Code, there is, however, a statutory list of compoundable offences and an agreement to drop proceeding relating to such offences with or

without the permission of the Court, as the case may be, in consideration the accused promising to do something for the complainant, is not opposed to public policy. Thus, where A agrees to sell certain land to B in consideration of B abstaining from taking criminal proceeding against A with respect to an offence which is compoundable, the agreement is not opposed to public policy. But, it is otherwise, if the offence is uncompoundable.

iii. | Maintenance and Champerty: Maintenance is an agreement in which a person promises to maintain suit in which he has no interest.

Example

45: A offer B Rs. 2000, if he sues C for a case which they could have settled mutually under provisions of law, just to annoy C. Such agreement is maintenance agreement.

Champerty is an agreement in which a person agrees to assist another in litigation in-exchange of a promise to hand over a portion of the proceeds of the action.

Example

46: A agrees to pay expenses to B if he sues C and B agrees to pay half of the amount received from result of such suit. This is an agreement of champerty.

The agreement for supplying funds by way of Maintenance or Champerty is valid unless

(a) It is unreasonable so as to be unjust to other party or

(b) It is made by a malicious motive like that of gambling in litigation or oppressing other party by encouraging unrighteous suits and not with the bonafide object of assisting a claim believed to be just.

iv. | Trafficking relating to Public Offices and titles: An agreement to trafficking in public office is opposed to public policy, as it interferes with the appointment of a person best qualified for the service of the public. Public policy requires that there should be no money consideration for the appointment to an office in which the public is interested. The following are the examples of agreements that are void; since they are tantamount to sale of public offices.

(1) An agreement to pay money to a public servant in order to induce him to retire from his office so that another person may secure the appointment is void.

(2) An agreement to procure a public recognition like Padma Vibhushan for reward is void.

Example

47: Harish paid Rs. 15000 to the officer to give his son the job in the Forest department of India. On failure by officer he couldn't recover the amount as such contract amounts to trafficking in public office which is opposed to public policy.

v. | Agreements tending to create monopolies: Agreements having for their object the establishment of monopolies are opposed to public policy and therefore void.

Example

48: XYZ and ABC were only the manufactures of oxygen cylinders in West Bengal. They both entered into contract of supplying the same at very high rates and enjoy the monopoly rates during the covid period in the country. Such contract is opposed to public policy as they intended to create monopolies.

vi. | Marriage brokerage agreements: An agreement to negotiate marriage for reward, which is known as a marriage brokerage contract, is void, as it is opposed to public policy. For instance, an agreement to pay money to a person hired to procure a wife is opposed to public policy and therefore void.

Note: Marriage bureau only provides information and doesn't negotiate marriage for reward, therefore, it is not covered under this point.

vii. | Interference with the course of justice: An agreement whose object is to induce any judicial officer of the State to act partially or corruptly is void, as it is opposed to public policy; so also is an agreement by A to reward B, who is an intended witness in a suit against A in consideration of B's absenting himself from the trial. For the same reasons, an agreement which contemplates the use of under-hand means to influence legislation is void.

viii. | Interest against obligation: The following are examples of agreement that are void as they tend to create an interest against obligation. The object of such agreements is opposed to public policy.

(1) An agreement by an agent to receive without his principal's consent compensation from another for the performance of his agency is invalid.

(2) A, who is the manager of a firm, agrees to pass a contract to X if X pays to A '200,000 privately; the agreement is void.

ix. | Consideration Unlawful in Part: By virtue of Section 24, if any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object, is unlawful, the agreement is void."

This section is an obvious consequence of the general principle of Section 23. There is no promise for a lawful consideration if there is anything illegal in a consideration which must be taken as a whole. The general rule is that where the legal part of a contract can be severed from the illegal part, the bad part may be rejected and the good one can be retained. But where the illegal part cannot be severed, the contract is altogether void.

THEORY QUESTIONS

Question 1: **(PEQ -DEC. 23-7 Marks)**

Explain the terms "Trafficking relating to public offices and titles" and "Stifling prosecution" as per the Indian Contract Act, 1872.

Question 2: **(PEQ-JAN.25-6 Marks)**

What are the agreements which are held to be opposed to public policy under the Indian Contract Act, 1872. Explain any 6 such agreements.

CASE BASED QUESTIONS

Question 1: **(RTP – May 22)**

A enters into a contract with B that he (A) sells his house for ₹ 10,00,000 to B. Further they both signed an agreement that if B uses the house for gambling purposes, then B shall pay A ₹ 50,000 for it. B agreed to this, however after a year of sale, B started gambling business in that house. Can A claim ₹ 50,000 from B? Discuss with reference to the provisions of Indian Contract Act, 1872.

Answer:

According to Section 24 of the Indian Contract Act, 1872, in an agreement, where some part of the object is legal and the other part is illegal, the question arises about the validity and enforceability of such agreements. Where the legal and illegal part can be severed and divided, and separated, lawful part of object is enforceable, and the unlawful part of the object is void. In the given case, A sells the house to B, is a valid transaction as the sale of house and consideration paid for the same i.e. ₹10,00,000 is valid and enforceable. However, the agreement to pay ₹ 50,000 for gambling done in the house is illegal and thus void.

Hence, in the instant case, sale of house agreement is valid agreement and gambling agreement is illegal and not enforceable by law.

3.5 VOID AGREEMENTS

Expressly declared Void Agreements

1.	Made by incompetent parties (Section 11)	6.	Agreement in restraint of marriage (Section 26)
2.	Agreements made under Bilateral mistake of fact (Section 20)	7.	Agreements in restraint of trade (Section 27)
3.	Agreements the consideration or object of which is unlawful (Section 23)	8.	Agreement in restraint of legal proceedings (Section 28)
4.	Agreement the consideration or object of which is unlawful in parts (Section 24)	9.	Agreement the meaning of which is uncertain (Section 29)
5.	Agreements made without consideration (Section 25) [Refer Unit 2]	10.	Wagering Agreement (Section 30)
		11.	Agreements to do impossible Acts (Section 56)

1. | Section 26:- Agreement in restraint of marriage

- Every agreement in restraint of marriage of any person other than a minor, is void.
- So, if a person, being a major, agrees for good consideration not to marry, the promise is not binding and considered as void agreement.

2. | Section 27:- Agreement in restraint of trade

- An agreement by which any person is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.
- But this rule is subject to the following exceptions, namely,
  - where a person sells the goodwill of a business and agrees with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer or his successor in interest carries on a like business therein, such an agreement is valid goodwill is the advantage enjoyed by a business on account of public patronage and encouragement from habitual customers.
    The local limits within which the seller of the goodwill agrees not to carry on similar business must be reasonable.
  - Under Section 36 of the Indian Partnership Act, 1932 if an outgoing partner makes an agreement with the continuing partners that he will not carry on any business similar to that of the firm within a specified period or within specified local limits, such an agreement, thought in restraint of trade, will be valid, if the restrictions imposed are reasonable.
  - Similarly, under Section 11 of that Act an agreement between partners not to carry on competing business during the continuance of partnership is valid.
  - But an agreement of service by which an employee binds himself, during the term of his agreement, not to compete with his employer is not in restraint of trade.

Example

49: B, a physician and surgeon, employs A as an assistant for a term of three years and A agrees not to practice as a surgeon and physician during these three years. The agreement is valid and A can be restrained by an injunction if he starts independent practice during this period.

50: An agreement by a manufacturer to sell during a certain period his entire production to a wholesale merchant is not in restraint of trade.

51: Agreement among the sellers of a particular commodity not to sell the commodity for less than a fixed price is not an agreement in restraint of trade.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov.18-5 Marks)**

Decide with reasons whether the following agreements are valid or void under the provisions of the Indian Contract Act, 1872:

"Sarvesh sells the goodwill of his shop to Vikas for Rs.10,00,000 and promises not to carry on such business forever and anywhere in India."

Answer :

1. As per Section 27 of the Indian Contract Act, 1872, an agreement in restraint of trade is void.
2. However, a buyer can put such a condition on the seller of goodwill,
   (a) Not to carry on same business,
   (b) Provided that the conditions must be reasonable
   (c) Regarding the duration and place of the business.
3. Since in the given case, restraint to carry on business was forever and anywhere in India,
4. so the agreement in question is void.

Question 2: **(RTP-May 18)**

'X' agreed to become an assistant for 2 years to 'Y' who was practicing Chartered Accountant at Jodhpur. It was also agreed that during the term of agreement 'X' will not practice as a Chartered Accountant on his own account within 20 kms of the office of 'Y' at Jodhpur.

At the end of one year, 'X' left the assistantship of 'Y' and started practice on his own account within the said area of 20 kms.

Referring to the provisions of the Indian Contract Act, 1872, decide whether 'X' could be restrained from doing so?

Answer :

Section 27 of the Indian Contract Act, 1872 deals with agreements in restraint of trade. According to the said section, every agreement by which any person is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void. However, in the case of the service agreements restraint of trade is valid.

In an agreement of service by which a person binds himself during the term of agreement not to take service with anyone else directly or indirectly to promote any business in direct competition with that of his employer is not in restraint of trade, so it is a valid contract.

In the instant case, agreement entered by 'X' with 'Y' is reasonable, and do not amount to restraint of trade and hence enforceable.

Therefore, 'X' can be restrained by an injunction from practicing on his own account in within the said area of 20 Kms for another one year.

Question 3: **(MTP- June 22 – 6 Marks)**

Rohan is running a grocery store in Delhi. He sells his grocery business, including goodwill worth ₹1,00,000 to Rohit for a sum of ₹ 5,00,000. After the sale of goodwill, Rohit made an agreement with Rohan. As per this agreement, Rohan is not to open another grocery store (similar kind of business) in the whole of India for next ten years.

However, Rohan opens another store in the same city two months later. What are the rights available with Rohit regarding the restriction imposed on Rohan with reference to Indian Contract Act, 1872?

Answer:

Section 27 of the Indian Contract Act, 1872 provides that any agreement that restrains a person from carrying on a lawful trade, profession or business is void agreement. However, there are certain exceptions to this rule. One of the statutory exceptions includes sale of Goodwill. The restraint as to sale of goodwill would be a valid restraint provided-

(i) Where the restraint is to refrain from carrying on a similar business
(ii) The restrain should be within the specified local limits
(iii) The restraint should be not to carry on the similar business after sale of goodwill to the buyer for a price
(iv) The restriction should be reasonable. Reasonableness of restriction will depend upon number of factors as considered by court.

In the given case, Rohan has sold the goodwill and there is restraint for not carrying on the same business of grocery store. However the restriction imposed on Rohan is unreasonable as he cannot carry similar business in whole of India for next 10 years.

The restriction on restraint to similar kind of trade should be reasonable to make it a valid agreement. Therefore, Rohit cannot take any legal action against Rohan as the restriction is unreasonable as per Section 27 of Indian Contract Act, 1872. Hence, the agreement made between Rohan and Rohit in restraint of trade is void agreement.

Question 4: **(RTP – Dec 23)**

Mukesh is running a grocery store in Delhi. He sells his grocery business, including goodwill worth ₹1,00,000 to Rohit for a sum of ₹ 5,00,000. After the sale of goodwill, Rohit made an agreement with Mukesh.

As per this agreement, Mukesh cannot open another grocery store (similar kind of business) in the whole of India for next ten years. However, Mukesh opens another store in the same city two months later. What are the rights available with Rohit regarding the restriction imposed on Mukesh with reference to Indian Contract Act, 1872?

Question 5: **(RTP – Dec 23)**

Mr. Seth (an industrialist) has been fighting a long-drawn litigation with Mr. Raman (another industrialist). To support his legal campaign, Mr. Seth enlists the services of Mr. X, a legal expert stating that an amount of ₹ 5 lakhs would be paid, if Mr. X does not take up the case of Mr. Raman.

Mr. X agrees, but at the end of the litigation, Mr. Seth refused to pay. Decide whether Mr. X can recover the amount promised by Mr. Seth under the provisions of the Indian Contract Act, 1872.

Answer:

According to Section 27 of Indian Contract Act, 1872 an agreement by which any person is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.

In the instant case, Mr. Seth is in litigation with Mr. Raman since long. Mr. Seth enlists the services of Mr. X a legal expert stating that an amount of ₹ 5 lakhs would be paid, if Mr. X does not take up the case of Mr. Raman. Mr. X agrees, but at the end of the litigation, Mr. Seth refused to pay.

As section 27 makes the contracts in restraint of trade, void, the contract between Mr. Seth and Mr. X is also void. Hence, Mr. X cannot recover the amount promised by Mr. Seth.

3. | Section 28:- Agreement in restraint of legal proceedings

- An agreement in restraint of legal proceeding is the one by which any party thereto is restricted absolutely from enforcing his rights under a contract through a Court or which abridges the usual period for starting legal proceedings.
- A contract of this nature is void.
- However, there are certain exceptions to the above rule:
  - (i) A contract by which the parties agree that any dispute between them in respect of any subject shall be referred to arbitration and that only the amount awarded in such arbitration shall be recoverable is a valid contract.
  - (ii) Similarly, a contract by which the parties agree to refer to arbitration any question between them which has already arisen or which may arise in future, is valid; but such a contract must be in writing.

CASE BASED QUESTIONS

Question 1: **(PEQ - Nov.20 - 4Marks)**

Mr. X a businessman has been fighting a long drawn litigation with Mr. Y an industrialist. To support his legal campaign he enlists the services of Mr. C a Judicial officer stating that the amount of Rs.10 lakhs would be paid to him if he does not take up the brief of Mr. Y.

Mr. C agrees but, at the end of the litigation Mr. X refuses to pay to Mr. C. Decide whether Mr. C can recover the amount promised by Mr. X under the provisions of the Indian Contract Act, 1872?

Answer :

The problem as asked in the question is based on Section 10 of the Indian Contract Act, 1872. This Section says that all agreements are contracts if they are made by the free consent of the parties competent to contract, for a lawful consideration and with a lawful object and are not expressly declared to be void. Further, Section 23 also states that every agreement of which the object is unlawful is void.

Accordingly, one of the essential elements of a valid contract in the light of the said provision is that the agreement entered into must not be which the law declares to be either illegal or void. An illegal agreement is an agreement expressly or impliedly prohibited by law. A void agreement is one without any legal effects.

The given instance is a case of interference with the course of justice and results as opposed to public policy. This can also be called as an agreement in restraint of legal proceedings. This agreement restricts one's right to enforce his legal rights. Such an agreement has been expressly declared to be void under section 28 of the Indian Contract Act, 1872. Hence, Mr. C in the given case cannot recover the amount of Rs.10 lakh promised by Mr. X because it is a void agreement and cannot be enforced by law.

4. | Section 29:- Agreement - the meaning of which is uncertain:

- An agreement, the meaning of which is not certain, is void,
- but where the meaning thereof is capable of being made certain, the agreement is valid.

Example

52: A agrees to sell B "a hundred tons of oil". There is nothing whatever to show what kind of oil was intended. The agreement is void for uncertainty. But the agreement would be valid if A was dealer only in coconut oil; because in such a case its meaning would be capable of being made certain.

THEORY QUESTIONS

Question 1:

"An agreement, the meaning of which is not certain, is void". Discuss.

5. | Section 30:- Wagering agreement:

- An agreement by way of a wager is void.
- It is an agreement involving payment of a sum of money upon the determination of an uncertain event.
- The essence of a wager is that each side should stand to win or lose, depending on the way an uncertain event takes place in reference to which the chance is taken and in the occurrence of which neither of the parties has legitimate interest.

Example

53: A agrees to pay Rs.50,000 to B if it rains, and B promises to pay a like amount to A if it does not rain, the agreement will be by way of wager. But if one of the parties has control over the event, agreement is not a wager.

Essentials of a Wager

1. There must be a promise to pay money or money's worth.
2. Promise must be conditional on an event happening or not happening.
3. There must be uncertainty of event.
4. There must be two parties, each party must stand to win or lose.
5. There must be common intention to bet at the timing of making such agreement.
6. Parties should have no interest in the event except for stake.

Transactions similar to Wager (Gambling)

i. | Lottery transactions:

- A lottery is a game of chance and not of skill or knowledge.
- Where the prime motive of participant is gambling, the transaction amounts to a wager.
- Even if the lottery is sanctioned by the Government of India it is a wagering transaction.
- The only effect of such sanction is that the person responsible for running the lottery will not be punished under the Indian Penal Code.
- Lotteries are illegal and even collateral transactions to it are tainted with illegality (Section 294A of Indian Penal Code).

ii. | Crossword Puzzles and Competitions:

- Crossword puzzles in which prizes depend upon the correspondence of the competitor's solution with a previously prepared solution kept with the editor of a newspaper is a lottery and therefore, a wagering transaction.

Case law

State of Bombay vs. R.M.D. Chamarbangwala AIR (1957)

Facts: A crossword puzzle was given in magazine. Abovementioned clause was stated in the magazine. A solved his crossword puzzle and his solution corresponded with previously prepared solution kept with the editor.

Held, this was a game of chance and therefore a lottery (wagering transaction).

Crossword puzzles, picture competitions and athletic competitions where prizes are awarded on the basis of skill and intelligence are the games of skill and hence such competitions are valid. According to the Prize Competition Act, 1955 prize competitions in games of skill are not wagers provided the prize money does not exceed Rs.1,000.

iii. | Speculative transactions:

- an agreement or a share market transaction where the parties intend to settle the difference between the contract price and the market price of certain goods or shares on a specified day, is a gambling and hence void.

iv. | Horse Race Transactions:

- A horse race competition where prize payable to the bet winner is less than Rs. 500, is a wager.

Example

54: A and B enter into an agreement in which A promises to pay Rs.2,00,000 provided 'Chetak' wins the horse race competition. This is not a wagering transaction.

However, Section 30 is not applicable in an agreement to contribute toward plate, prize or sum of money of the value of Rs.500 or above to be awarded to the winner of a horse race.

Transactions resembling with wagering transaction but are not void

i. | Chit fund: Chit fund does not come within the scope of wager (Section 30). In case of a chit fund, a certain number of persons decide to contribute a fixed sum for a specified period and at the end of a month, the amount so contributed is paid to the lucky winner of the lucky draw.

ii. | Commercial transactions or share market transactions: In these transactions in which delivery of goods or shares is intended to be given or taken, do not amount to wagers.

iii. | Games of skill and Athletic Competition: Crossword puzzles, picture competitions and athletic competitions where prizes are awarded on the basis of skill and intelligence are the games of skill and hence such competition are valid. According to the Prize Competition Act, 1955 prize competition in games of skill are not wagers provided the prize money does not exceed Rs.1,000.

iv. | A contract of insurance: A contract of insurance is a type of contingent contract and is valid under law and these contracts are different from wagering agreements.

Distinction between Contract of Insurance and Wagering Agreement

	Basis	Contracts of Insurance	Wagering Agreement
1.	Meaning	It is a contract to indemnify the loss.	It is a promise to pay money or money's worth on the happening or non-happening of an uncertain event.
2.	Consideration	The crux of insurance contract is the mutual consideration (premium and compensation amount).	There is no consideration between the two parties. There is just gambling for money.
3.	Insurable Interest	Insured party has insurable interest in the life or property sought to be insured.	There is no property in case of wagering agreement. There is betting on other's life and properties.
4.	Contract of Indemnity	Except life insurance, the contract of insurance indemnifies the insured person against loss.	Loser has to pay the fixed amount on the happening of uncertain event.
5.	Enforceability	It is valid and enforceable	It is void and unenforceable agreement.
6.	Premium	Calculation of premium is based on scientific and actuarial calculation of risks.	No such logical calculations are required in case of wagering agreement.
7.	Public Welfare	They are beneficial to the society.	They have been regarded as against the public welfare.

THEORY QUESTIONS

Question 1: **(PEQ - May-2018 - 2 Marks)**
Distinguish between wagering agreement and contract of insurance

Question 2: **(PEQ - Nov-2020 - 5 Marks)**
Enumerate the differences between 'Wagering Agreements' and 'Contract of Insurance' with reference to provision of the Indian Contract Act, 1872.

Question 3: **(RTP- May 20)**
What is a wagering agreement? Describe the transactions which resembles with wagering transactions but are not void.

CASE BASED QUESTIONS

Question 1: **(RTP DEC-23, PEQ - July-21- 4 Marks)**
State with reason(s) whether the following agreements are valid or void:

(i) A clause in a contract provided that no action should be brought upon in case of breach.

(ii) Where two courts have jurisdiction to try a suit, an agreement between the parties that the suit should be filed in one of those courts alone and not in the other.

(iii) X offers to sell his Maruti car to Y. Y believes that X has only Wagon R Car but agrees to buy it.

(iv) X, a physician and surgeon, employs Y as an assistant on a salary of Rs.75,000 per month for a term of two years and Y agrees not to practice as a surgeon and physician during these two years.

Answer :

(i) The given agreement is void.

Reason: As per Section 28 of the Indian Contract Act, 1872, this clause is in restraint of legal proceedings because it restricts both the parties from enforcing their legal rights.

Note: Alternatively, as per Section 23 of the Indian Contract Act, 1872, this clause in the agreement defeats the provision of law and therefore, being unlawful, is treated as void.

(ii) The given agreement is valid.

Reason: An agreement in restraint of legal proceeding is the one by which any party thereto is restricted absolutely from enforcing his rights under a contract through a Court. A contract of this nature is void. However, in the given statement, no absolute restriction is marked on parties on filing of suit. As per the agreement suit may be filed in one of the courts having jurisdiction.

(iii) The said agreement is void.

Reason: This agreement is void as the two parties are thinking about different subject matters so that there is no real consent and the agreement may be treated as void because of mistake of fact as well as absence of consensus.

(iv) The said agreement is valid.

Reason: An agreement by which any person is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void. But, as an exception, agreement of service by which an employee binds himself, during the term of his agreement, not to compete with his employer is not in restraint of trade.

Question 2: **(RTP- May 18)**

Decide with reasons whether the following agreements are valid or void under the provisions of the Indian Contract Act, 1872:

(i) Vijay agrees with Saini to sell his black horse for Rs. 3,00,000. Unknown to both the Parties, the horse was dead at the time of the agreement.

(ii) Sarvesh sells the goodwill of his shop to Vikas for Rs. 10,00,000 and promises not to carry on such business forever and anywhere in India.

(iii) Mr. X agrees to write a book with a publisher. After few days, X dies in an accident.

Answer :

(i) As per Section 20 of the Indian Contract Act, 1872, an agreement under by mistake of fact are void. In this case, there is mistake of fact as to the existence of the subject- matter, i.e., with respect to the selling of horse which was dead at the time of the agreement. It is unknown to both the parties. Therefore, it is a void agreement.

(ii) As per Section 27 of the Indian Contract Act, 1872, an agreement in restraint of trade is void. However, a buyer can put such a condition on the seller of goodwill, not to carry on same business, provided that the conditions must be reasonable regarding the duration and place of the business. Since in the given case, restraint to carry on business was forever and anywhere in India, so the agreement in question is void.

(iii) As per section 2(j) of the Contract Act, "A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable". In the present case, Mr. X agrees to write a book with a publisher. After few days, X dies in an accident. Here the contract becomes void due to the impossibility of performance of the contract.

Question 3: **(PEQ-Jan.25-7 Marks)**

Examine the validity of the following agreements under the provisions of the Indian Contract Act, 1872 and justify your answer:

(i) Mrs. Priya pays a sum of Rs. 10,000 to a marriage bureau to provide information about the prospective grooms for her daughter's marriage.

(ii) Bharat agrees with John to sell his white bull. Unknown to both the parties, the bull was dead at the time of agreement.

(iii) Rishabh sells the goodwill of his shop to Omkar for Rs. 10,00,000 and promises not to carry on such similar business within the local limits so long as Omkar carries on like business.

(iv) A property worth Rs. 2,00,000 was agreed to be sold for just Rs. 25,000 by a person of unsound mind.

Answer :

(i) Under Section 10 of the Indian Contract Act, 1872, a valid contract requires free consent, lawful consideration, and a lawful object. In the instant case, the agreement to pay Rs. 10,000 in exchange for a service (providing information about prospective grooms) is lawful. Hence, the agreement is valid.

(ii) According to section 20, where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, there is a bilateral mistake. In such a case, the agreement is void. In the instant case, the bull's death (unknown to both parties) constitutes a bilateral mistake regarding the subject matter of the contract. Hence, the agreement is void.

(iii) Under Section 27, agreements in restraint of trade are void. However, an exception is provided for contracts involving the sale of goodwill. The local limits within which the seller of the goodwill agrees not to carry on similar business must be reasonable. In the instant case, the restriction is limited to the local area and does not extend indefinitely. Hence, the agreement is valid.

(iv) According to section 12, a contract by a person who is not of sound mind is void. In the instant case, a property worth Rs. 2,00,000 was agreed to be sold for just Rs. 25,000 by a person of unsound mind. Hence, the agreement is void.

MULTIPLE CHOICE QUESTIONS

1. Ordinarily, a minor's agreement is
   (a) Void ab initio (b) Voidable (c) Valid (d) Unlawful

2. Consent is not said to be free when it is caused by
   (a) Coercion (b) Undue influence (c) Fraud (d) All of these

3. When the consent of a party is obtained by fraud, the contract is;
   (a) Void (b) Voidable (c) Valid (d) Illegal

4. The threat to commit suicide amounts to
   (a) Coercion (b) Undue influence (c) Misrepresentation (d) Fraud

5. Moral pressure is involved in the case of
   (a) Coercion (b) Undue Influence (c) Misrepresentation (d) Fraud

6. A wrong representation when made without any intention to deceive the other party amounts to
   (a) Coercion (b) Undue influence (c) Misrepresentation (d) Fraud

7. Which of the following statement is true?
   (a) A threat to commit suicide does not amount to coercion
   (b) Undue influence involves use of physical pressure
   (c) Ignorance of law is no excuse
   (d) Silence always amounts to fraud

8. In case of illegal agreement, the collateral agreements are:
   (a) Valid (b) Void (c) Voidable (d) Any of these

9. An agreement the object or consideration of which is unlawful, is
   (a) Void (b) Valid (c) Voidable (d) Contingent

10. An agreement is void if it is opposed to public policy. Which of the following is not covered by heads of public policy?
    (a) Trading with an enemy (b) Trafficking in public offices
    (c) Marriage brokerage contracts (d) Contracts to do impossible acts.

11. A paid Rs.5000 to a Government servant to get him a contract for the canteen. The Government servant could not get the contract. Can A recover Rs. 5000 paid by him to the Government servant?
    (a) Yes, the agreement is opposed to public policy
    (b) No, the agreement is opposed to public policy
    (c) No, the agreements are a voidable agreement and can be avoided by A
    (d) No, the agreement falls under section 23 and hence illegal

12. With regard to the contractual capacity of a person of unsound mind, which one of the following statements is most appropriate?
    (a) A person of unsound mind can never enter into a contract
    (b) A person of unsound mind can enter into a contract
    (c) A person who is usually of unsound mind can contract when he is, at the time of entering into a contract, of sound mind
    (d) A person who is occasionally of unsound mind can contract although at the time of making the contract, he is of unsound mind

13. An agreement made under mistake of fact, by both the parties, forming the essential subject matter of the agreement is:
    (a) Void (b) Voidable (c) Valid (d) Unenforceable

14. A is in dire need of Rs.1,00,000 but was unable to get any loan from banks as he had no security to offer. A approached his friend B who knowing the helpless position of A lent money at a very high rate of interest, saying that he had himself borrowed money from C. The contract is:
(a) Vitiated by undue influence that B had exercised over A due to his close friendship.
(b) Void as the rate of interest being very high was unconscionable.
(c) Not valid as B had wrongly misled A that he had borrowed money from C.
(d) Valid as a friend could not be supposed to have wielded undue influence only because the money lent carried higher rate of interest.

15. Which of the following is not an exception to the rule that the agreement in restraint of trade is void:
(a) A partner can be prevented for carrying on similar business
(b) An outgoing partner can be restrained on carrying similar business
(c) On dissolution of firm, partners may agree not to carry on similar business
(d) The seller of goodwill of business can be prevented for carrying any kind of business at any place.

16. An agreement to pay money or money's worth on the happening or non-happening of a specified uncertain event, is a
(a) Wagering agreement (b) Contingent contract (c) Quasi contract (d) Uncertain agreement

17. A wagering agreement in India is declared by the Contract Act as
(a) Illegal and void (b) Void but not illegal
(c) Voidable at the option of the aggrieved party (d) Immoral

18. An agreement, the object of which is to procure a public post, is
(a) Void (b) Voidable (c) Valid (d) Defective

19. While obtaining the consent of the promise, keeping silence by the promisor when he has a duty to speak about the material facts, amounts to consent obtained by:
(a) Coercion (b) Misrepresentation (c) Mistake (d) Fraud

20. A enters into an agreement with B who has robbed A of Rs. 10,000 to drop prosecution against him in consideration of B's returning Rs. 8,000. Afterwards B refused to pay. A can get from B
(a) Rs. 8,000 (b) Rs. 100 (c) Nothing (d) Rs. 10,000 plus damages

21. On attaining the age of majority, a minor's agreement:
(a) cannot be ratified by him (b) becomes valid
(c) can be ratified by him (d) becomes void

22. A threat to kidnap one's son in consideration of Rs. 5,00,000 is void because of:
(a) inadequacy of consideration (b) incompetence of parties
(c) absence of free consent (d) all of the above

23. In which of the following case, aggrieved part can sue for damages:
(a) Fraud (b) mistake (c) undue influence (d) misrepresentation

24. A mere attempt to deceive a party to a contract:
(a) is fraud even though the party is not deceived (b) is not fraud unless the party is actually deceived
(c) amounts to coercion (d) amounts to misrepresentation

Answers to MCQS

1.	(a)	2.	(d)	3.	(b)	4.	(a)	5.	(b)	6.	(c)	7.	(c)	8.	(b)
9.	(a)	10.	(d)	11.	(d)	12.	(c)	13.	(a)	14.	(d)	15.	(d)	16.	(a)
17.	(b)	18.	(a)	19.	(d)	20.	(c)	21.	(a)	22.	(c)	23.	(a)	24.	(b)

THE INDIAN CONTRACT ACT, 1872

UNIT - 4 : PERFORMANCE OF CONTRACT

Section Overview:

Section : 37	Obligation of parties
Section : 38	Offer of performance (tender)
Section : 39	Refusal to perform – rescission
Section : 40	Who must perform
Section : 41	Effect of accepting performance from third person
Section : 42	Devolution of joint liabilities
Section : 43	Joint promises
Section : 44	Effect of release of joint promisor
Section : 49	Place of performance
Section : 50	Manner of performance
Section : 51	Simultaneous Performance
Section : 52	Order of Performance
Section : 53	Preventing Performance
Section : 54	Default in Sequential Promises
Section : 55	Time as essence of contract
Section : 56	Agreements to do impossible – void
Section : 57	Reciprocal promises to do legal & illegal things
Section : 58	Alternative promises
Section : 59	Appropriation of payments – by debtor
Section : 60	Appropriation – by creditor
Section : 61	Appropriation – by law
Section : 62	Novation, rescission and alteration
Section : 63	Remission and extension
Section : 64	Consequences of rescission
Section : 65	Obligation of person receiving advantage under void contract
Section : 66	Communication of rescission
Section : 67	Effect of neglect to afford facilities

4.1 OBLIGATIONS OF PARTIES TO CONTRACTS - Section 37

- The parties to a contract must
- either perform, or
- offer to perform,
- their respective promises unless
- such performance is dispensed with or
- Excused under the provisions of the Contract Act or of any other law.

Note: Promises bind the representatives of the promisor in case of death of such promisor before performance, unless a contrary intention appears from the contract.

Example

1: A promises to deliver goods to B on a certain day on payment of Rs. 1,00,000. A die before that day. A's representatives are bound to deliver the goods to B, and B is bound to pay Rs.1,00,000 to A's representatives.

2: A promises to paint a picture for B by a certain day, at a certain price. A die before the day. The contract cannot be enforced either by A's representatives or by B because it involves use of personal skill. It is a contract of personal nature.

Analysis of Section 37

- A contract being an agreement enforceable by law, creates a legal obligation, which subsists until discharged.
- Performance of the promise or promises remaining to be performed is the principal and most usual mode of discharge.
- The basic rule is that the promisor must perform exactly what he has promised to perform.
- The obligation to perform is absolute.
- Thus, it may be noted that it is necessary for a party who wants to enforce the promise made to him, to perform his promise for himself or offer to perform his promise. Only after that he can ask the other party to carry out his promise.
- Thus, it is the primary duty of each party to a contract to either perform or offer to perform his promise.
- He is absolved from such a responsibility only when under a provision of law or an act of the other party to the contract, the performance can be dispensed with or excused.
- Thus, from above it can be drawn that performance may be actual or offer to perform.

Actual Performance: Where a party to a contract has done what he had undertaken to do or either of the parties have fulfilled their obligations under the contract within the time and in the manner prescribed.

Example

3: X borrows Rs. 5,00,000 from Y with a promise to be paid after 1 month. X repays the amount on the due date. This is actual performance.

Offer to perform or attempted performance or tender of performance: It may happen sometimes, when the performance becomes due, the promisor offers to perform his obligation but the promise refuses to accept the performance.

THEORY QUESTIONS

Question 1: **(RTP- May 20)**

"The basic rule is that the promisor must perform exactly what he has promised to perform." Explain stating the obligation of parties to contracts.

CASE BASED QUESTIONS

Question 1: **(PEQ - May 2019 - 6 Marks)**

Mr. Rich aspired to get a self-portrait made by an artist. He went to the workshop of Mr. C an artist and asked whether he could sketch the former's portrait on oil painting canvass. Mr. C agreed to the offer and asked for Rs. 50,000 as full advance payment for the above creative work. Mr. C clarified that the painting shall be completed in 10 sittings and shall take 3 months.

On reaching to the workshop for the 6th sitting, Mr. Rich was informed that Mr. C became paralyzed and would not be able to paint for near future. Mr. C had a son Mr. K who was still pursuing his studies and had not taken up his father's profession yet?

Discuss in light of the Indian Contract Act, 1872?

(i) Can Mr. Rich ask Mr. K to complete the artistic work in lieu of his father?

(ii) Could Mr. Rich ask Mr. K for refund of money paid in advance to his father?

Answer :

A contract which involves the use of personal skill or is founded on personal consideration comes to an end on the death of the promisor. As regards any other contract the legal representatives of the deceased promisor are bound to perform it unless a contrary intention appears from the contract (Section 37 of the Indian Contract Act, 1872). But their liability under a contract is limited to the value of the property they inherit from the deceased.

(i) In the instant case, since painting involves the use of personal skill and on becoming Mr. C paralyzed, Mr. Rich cannot ask Mr. K to complete the artistic work in lieu of his father Mr. C.

(ii) According to section 65 of the Indian Contract Act, 1872, when an agreement is discovered to be void or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it. Hence, in the instant case, the agreement between Mr. Rich and Mr. C has become void because of paralysis to Mr. C. So, Mr. Rich can ask Mr. K for refund of money paid in advance to his father, Mr. C.

4.2 EFFECT OF REFUSAL TO ACCEPT OFFER OF PERFORMANCE – Section 38

- Where a promisor has made an offer of performance to the promisee, and
- the offer has not been accepted,
- then the promisor is not responsible for non-performance,
- nor does he thereby lose his rights under the contract.

Every such offer must fulfill certain conditions which are as follows, namely:

(i) it must be unconditional;

(ii) it must be made at a proper time and place, and under such circumstances that the person to whom it is made may have a reasonable opportunity of ascertaining that the person by whom it is made is able and willing there and then to do the whole of what he is bound by his promise to do;

(iii) if the offer is an offer to deliver anything to the promisee, then the promisee must have a reasonable opportunity of seeing that the thing offered is the thing which the promisor is bound by his promise to deliver.

An offer to one of several joint promises has the same legal consequences as an offer to all of them.

Example

4: P promises to deliver certain goods to R. P takes the goods to the appointed place during business hours but R refuses to take the delivery of goods. This is an attempted performance as P the promisor has done what he was required to do under the contract.

4.3 EFFECT OF REFUSAL OF PARTY TO PERFORM WHOLLY - Section 39

- when a party to a contract has refused to perform or
- disabled himself from performing his promise in its entirety
- the promisee may put an end to the contract unless
- he had signified, by words or conduct
- his acquiescence in its continuance.

Example

5: X, a singer enters into a contract with Y, the manager of a theatre to sing at his theatres two nights in every week during the next two months, and Y engaged to pay her Rs. 10,000 for each night's performance. On the sixth night, X willfully absents herself from the theatre. Y is at liberty to put an end to the contract.

Analysis of Section 39

- in the case under consideration, the following two rights accrue to the aggrieved party, namely,
  (a) to terminate the contract;
  (b) to indicate by words or by conduct that he is interested in its continuance.
- In case the promisee decides to continue the contract, he would not be entitled to put an end to the contract on this ground subsequently.
- In either case, the promisee would be able to claim damages that he suffers as a result on the breach.

THEORY QUESTIONS

Question 1: **(MTP-May 21-6 Marks)**

"When a party to a contract has refused to perform, or disabled himself from performing his promise in its entirety, the promisee may put an end to the contract". Explain.

Answer :

According to Section 39, when a party to a contract has refused to perform, or disabled himself from performing his promise in its entirety, the promisee may put an end to the contract, un less he has signified, by words or conduct, his acquiescence in its continuance.

From language of Section 39 it is clear that in the case under consideration, the following two rights accrue to the aggrieved party, namely, (a) to terminate the contract; (b) to indicate by words or by conduct that he is interested in its continuance.

In case the promisee decides to continue the contract, he would not be entitled to put an end to the contract on this ground subsequently. In either case, the promisee would be able to claim damages that he suffers as a result on the breach.

CASE BASED QUESTIONS

Question 1: **(RTP – Nov 21)**

Mr. X was a Disk Jockey at a five star hotel bar. As per the contract, he is supposed to perform every weekend (i.e. twice a week). Mr. X will be paid ₹ 1500 per day. However, after a month, Mr. X willfully absents himself from the performance.

(i) Does the hotel have the right to end the contract?

(ii) If the hotel sends out a mail to X that they are interested to continue the contract and X accepts, can the hotel rescind the contract after a month on this ground subsequently?

(iii) In which of the cases – (termination of contract or continuance of contract) can the hotel claim damages that it has suffered as a result of this breach?

Answer:

By analyzing Section 39 of the Indian Contract Act 1872, it is understood that when a party to a contract has refused to perform or disabled himself from performing his promise entirely, the following two rights accrue to the aggrieved party (promisee)

(a) To terminate the contract
(b) To indicate by words or by conduct that he is interested in its continuance.

In either of the two cases, the promisee would be able to claim damages that he suffers. In the given case,

(i) Yes, the hotel has the right to end the contract with Mr. X, the DJ.
(ii) The hotel has the right to continue the contract with X. But once this right is exercised, they cannot subsequently rescind the contract on this ground subsequently.
(iii) In both the cases, the hotel (promisee) is entitled to claim damages that has been suffered as a result of breach.

Question 2: **(PEQ – May 22 - 4 Marks)**

Sheena was a classical dancer. She entered into an agreement with Shital Vidya Mandir for 60 dance performances. As per the contract, she was supposed to perform every weekend and she will be paid ₹10,000/- per performance. However, after a month, she was absent without informing, due to her personal reasons. Answer the following questions as per the Indian Contract Act, 1872.

(i) Whether the management of Shital Vidya Mandir has right to terminate the contract?
(ii) If the management of Shital Vidya Mandir informed Sheena about its continuance, can the management still rescind the contract after a month on this ground subsequently?
(iii) Can the Shital Vidya Mandir claim damages that it has suffered because of this breach in any of the above cases?

Answer:

Section 39 provides that when a party to a contract has refused to perform or disabled himself from performing his promise in its entirety the promisee may put an end to the contract unless he had signified, by words or conduct his acquiesce in its continuance. Further, in term of Section 40, the promisee shall be required to perform personally, if there is such an apparent intention of the parties.

Also, as per Section 75 of the Act, a person who rightfully rescinds a contract is entitled to compensation for any damage which he has sustained through non-fulfilment of the contract.

Therefore, in the instant case,

(i) Since, Sheena could not perform as per the terms of contract, Shital Vidya Mandir can terminate the contract.
(ii) In the second situation, the management of Shital Vidya Mandir informed Sheena about the continuance of the contract. Hence, the management cannot now rescind the contract after a month on this ground subsequently.
(iii) As per Section 75, Shital Vidya Mandir can claim damages that it has suffered because of this breach in part (i).

Question 3: **(RTP-DEC-23)**

Shital was a classical dancer. She entered into an agreement with Sharad Vidya Mandir for 50 dance performances. As per the contract, she was supposed to perform every weekend and she will be paid ₹8,000/- per performance. However, after a month, she was absent without informing, due to her personal reasons. Answer the following questions as per the Indian Contract Act, 1872.

(i) Whether the management of Sharad Vidya Mandir has right to terminate the contract?
(ii) If the management of Sharad Vidya Mandir informed Shital about its continuance, can the management still rescind the contract after a month on this ground subsequently?
(iii) Can the Sharad Vidya Mandir claim damages that it has suffered because of this breach in any of the above cases?

Question 4: **(RTP – May 22)**

Mr. Singhania entered into a contract with Mr. Sonu to sing in his hotel for six weeks on every Saturday and Sunday. Mr. Singhania promised to pay ₹ 20,000 for every performance.

Mr. Sonu performed for two weeks but on third week his health condition was very bad, so he did not come to sing. Mr. Singhania terminated the contract. State in the light of provisions of the Indian Contract Act, 1872:-

(a) Can Mr. Singhania terminate the contract with Mr. Sonu?
(b) What would be your answer in case Mr. Sonu turns up in fourth week and Mr. Singhania allows him to perform without saying anything?

(c) What would be your answer in case Mr. Sonu sends Mr. Mika on his place in third week and Mr. Singhania allows him to perform without saying anything?

Answer:

According to Section 40 of the Indian Contract Act, 1872, if it appears from the nature of the case that it was the intention of the parties to any contract that any promise contained in it should be performed by the promisor himself, such promise must be performed by the promisor. Section 41 provides that when a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor. Therefore, in the instant case,

(a) As Mr. Sonu could not perform as per the contract, Mr. Singhania can repudiate the contract.

(b) In the second situation, as Mr. Singhania allowed Mr. Sonu to perform in the fourth week without saying anything, by conduct, Mr. Singhania had given his assent to continue the contract. Mr. Singhania cannot terminate the contract however he can claim damages from Mr. Sonu.

(c) In case Mr. Singhania allows Mr. Mika to perform in the third week without saying anything, by conduct, Mr. Singhania had given his assent for performance by third party. Now Mr. Singhania cannot terminate the contract nor can claim any damages from Mr. Sonu.

4.4 BY WHOM A CONTRACT MAY BE PERFORMED – Section 40-42

A. | Section 40:- Person by whom promise is to be performed

- If it appears from the nature of the case that it was the intention of the parties to any contract that any promise contained in it should be performed by the promisor himself, such promise must be performed by the promisor.
- In other cases, the promisor or his representatives may employ a competent person to perform it.

Example

6: A promises to pay B a sum of money. A may perform this promise, either by personally paying the money to B, or by causing it to be paid to B by another; and if A dies before the time appointed for payment, his representatives must perform the promise, or employ some proper person to do so.

Analysis of Section 40

The promise under a contract may be performed, as the circumstances may permit, by the promisor himself, or by his agent or his legal representative.

1. | Promisor himself: If there is something in the contract to show that it was the intention of the parties that the promise should be performed by the promisor himself, such promise must be performed by the promisor.

This means contracts which involve the exercise of personal skill or diligence, or which are founded on personal confidence between the parties must be performed by the promisor himself.

Example

7: A promises to paint a picture for B and this must be performed by the promisor himself.

2. | Agent: Where personal consideration is not the foundation of a contract, the promisor or his representative may employ a competent person to perform it.

3. | Legal Representatives: A contract which involves the use of personal skill or is founded on personal consideration comes to an end on the death of the promisor. As regards any other contract the legal representatives of the deceased promisor are bound to perform it unless a contrary intention appears from the contract (Section 37, para 2). But their liability under a contract is limited to the value of the property they inherit from the deceased.

Example

8: A promises to B to pay Rs.100,000 on delivery of certain goods. A may perform this promise either himself or causing someone else to pay the money to B. If A dies before the time appointed for payment, his representative must pay the money or employ some other person to pay the money.
If B dies before the time appointed for the delivery of goods, B's representative shall be bound to deliver the goods to A and A is bound to pay Rs.100,000 to B's representative.

9: A promises to paint a picture for B for a certain price. A is bound to perform the promise himself. He cannot ask some other painter to paint the picture on his behalf. If A dies before painting the picture, the contract cannot be enforced either by A's representative or by B.

CASE BASED QUESTIONS

Question 1: **(PEQ – June 23 - 4 Marks)**

Mr. S promises Mr. M to paint a family picture for ₹ 20,000 and assures to complete his assignment by 15th March, 2023. Unfortunately, Mr. S died in a road accident on 1st March, 2023 and his assignment remains undone. Can Mr. M bind the legal representative of Mr. S for the promise made by Mr. S?
Suppose Mr. S had promised to deliver some photographs to Mr. M on 15th March, 2023 against a payment of ₹ 10,000 but he dies before that day. Will his representative be bound to deliver the photographs in this situation? Decide as per the provisions of the Indian Contract Act, 1872.

Answer:

The parties to a contract must either perform, or offer to perform, their respective promises, unless such performance is dispensed with or excused under the provisions of this Act, or of any other law.
Promises bind the representatives of the promisors in case of the death of such promisors before performance, unless a contrary intention appears from the contract. (Section 37 of the Indian Contract Act, 1872).
As per the provisions of Section 40 of the Indian Contract Act, 1872, if it appears from the nature of the case that it was the intention of the parties to any contract that any promise contained in it should be performed by the promisor himself, such promise must be performed by the promisor.
In other cases, the promisor or his representative may employ a competent person to perform it.
In terms of the provisions of Section 40 stated above, in case where Mr. S has to paint a family picture for Mr. M, Mr. M cannot ask the legal representative of Mr. S to complete the painting work on Mr. S's death, since painting involves the use of personal skill.
In terms of the provisions of Section 37 stated above, in case where Mr. S had promised to deliver some photographs to Mr. M, the legal representatives of Mr. S shall be bound to deliver the photographs in this situation

B. | Section 41:- Effect of accepting performance from third person

- When a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor.
- That is, performance by a stranger, if accepted by the promisee, this results in discharging the promisor, although the latter has neither authorised not ratified the act of the third party.

Example

10: A received certain goods from B promising to pay Rs. 100,000/-. Later on, A expressed his inability to make payment. C, who is known to A, pays Rs. 60,000/- to B on behalf of A. However, A was not aware of the payment. Now B is intending to sue A for the amount of Rs. 100,000/-. Therefore, in the present instance, B can sue only for the balance amount i.e., Rs. 40,000/- and not for the whole amount.

C. | Section 42:- Joint promisors

- When two or more persons have made a joint promise,
- then unless a contrary intention appears by the contract,
- all such persons must jointly fulfil the promise.
- If any of them dies, his legal representatives must, jointly with the surviving promisors, fulfil the promise.
- If all of them die, the legal representatives of all of them must fulfil the promise jointly.

Example

11: 'A', 'B' and 'C' jointly promised to pay Rs. 6,00,000 to 'D'. Here 'A', 'B' and 'C' must jointly perform the promise. If 'A' dies before performance, then his legal representatives must jointly with 'B' and 'C' perform the promise, and so on. And if all the three (i.e. 'A', 'B' and 'C') die before performance, then the legal representatives of all must jointly perform the promise.

CASE BASED QUESTIONS

Question 1: **(RTP- May 18)**

A received certain goods from B promising to pay Rs. 1,00,000. Later on, A expressed his inability to make payment. C, who is known to A, pays Rs. 60,000 to B on behalf of A.

However, A was not aware of the payment. Now B is intending to sue A for the amount of Rs.1,00,000. Discuss whether the contention of B is right?

Answer :

As per Section 41 of the Indian Contract Act, 1872, when a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor.

That is, performance by a stranger, accepted by the promisee, produces the result of discharging the promisor, although the latter has neither authorized nor ratified the act of the third party. Therefore, in the present instance, B can sue only for the balance amount i.e. Rs. 40,000 and not for the whole amount.

Question 2: **(PEQ-Jan.25-7 Marks)**

A, B and C jointly promised to pay D a sum of Rs. 6,000. Examine, considering the provisions of the Indian Contract Act, 1872 -

(i) Can D compel any of three parties A, Band C to pay him Rs. 6,000?

(ii) C is compelled to pay the whole of the amount to D. Can he recover anything from A and B, when -

(1) Both A and B were solvents.

(2) A is not in a position to pay anything.

Answer:

Section 42 of the Indian Contract Act, 1872 requires that when two or more persons have made a joint promise, then, unless a contrary intention appears from the contract, all such persons jointly must fulfil the promise. In the event of the death of any of them, his representative jointly with the survivors and in case of the death of all promisors, the representatives of all jointly must fulfil the promise.

Section 43 allows the promisee to seek performance from any of the joint promisors. The liability of the joint promisors has thus been made not only joint but "joint and several". Section 43 provides that in the absence of express agreement to the contrary, the promisee may compel any one or more of the joint promisors to perform the whole of the promise.

Section 43 deals with the contribution among joint promisors. The promisors, may compel every joint promisor to contribute equally to the performance of the promise (unless a contrary intention appears from the contract). If any one of the joint promisors makes default in such contribution the remaining joint promisors must bear the loss arising from such default in equal shares.

In the instant case,

(i) D can compel any of three parties A, B and C to pay him Rs. 6,000.

(ii) (1) C can recover the contribution from A and B because A, B and C are joint promisors.

(2) A is unable to pay anything, C is compelled to pay the whole. C is entitled to receive Rs. 3,000 from B.

4.5 DISTINCTION BETWEEN SUCCESSION AND ASSIGNMENT

Succession :-

- When the benefits of a contract are succeeded to by process of law, then both burden and benefits attaching to the contract, may sometimes devolve on the legal heir.
- Suppose, a son succeeds to the estate of his father after his death, he will be liable to pay the debts and liabilities of his father owed during his life-time.
- But if the debts owed by his father exceed the value of the estate inherited by the son then he would not be called upon to pay the excess.
- In other words, the liability of the son will be limited to the extent of the property inherited by him.

Assignment :-

- In the matter of assignment, however the benefit of a contract can only be assigned but not the liabilities thereunder.
- This is because when liability is assigned, a third party gets involved therein.
- Thus, a debtor cannot relieve himself of his liability to creditor by assigning to someone else his obligation to repay the debt.
- On the other hand, if a creditor assigns the benefit of a promise, he thereby entitles the assignee to realise the debt from the debtor
- but where the benefit is coupled with a liability or when a personal consideration has entered into the making of the contract then the benefit cannot be assigned.

4.6 LIABILITY OF JOINT PROMISOR & PROMISEE - Section 42-45

A. | Section 42:- Devolution of joint liabilities

- When two or more persons have made a joint promise,
- then, unless a contrary intention appears by the contract,
- all such persons, during their joint lives, and,
- after the death of any of them, his representative jointly with the survivor or survivors, and,
- after the death of last survivor, the representatives of all jointly,
- must fulfil the promise.

Example

12: X, Y and Z who had jointly borrowed money must, during their life-time jointly repay the debt. Upon the death of X his representative, say, S along with Y and Z should jointly repay the debt and so on. If in an accident all the borrowers X, Y and Z dies then their legal representatives must fulfill the promise and repay the borrowed amount. This rule is applicable only if the contract reveals no contrary intention.

We have seen that Section 42 deals with voluntary discharge of obligations by joint promisors. But if they do not discharge their obligation on their own volition, what will happen? This is what Section 43 resolves.

B. | Section 43:- Any one of joint promisors may be compelled to perform

- When two or more persons make a joint promise,
- the promisee may, in the absence of express agreement to the contrary,
- compel any one or more of such joint promisors
- to perform the whole of the promise.

Each promisor may compel contribution - Each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract.
In other words, if one of the joint promisors is made to perform the whole contract, he can call for a contribution from others.

Sharing of loss by default in contribution - If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

Explanation to Section 43
Nothing in this section shall prevent a surety from recovering, from his principal, payments made by the surety on behalf of the principal, or entitle the principal to recover anything from the surety on account of payment made by the principal.

Example

13: A, B and C jointly promise to pay D Rs. 3,00,000. D may compel either A or B or C to pay him Rs.3,00,000.
14: A, B and C are under a joint promise to pay D Rs. 3,00,000. C is unable to pay anything A is compelled to pay the whole. A is entitled to receive Rs. 1,50,000 from B.
15: X, Y and Z jointly promise to pay Rs. 6,000 to A. A may compel either X or Y or Z to pay the amount. If Z is compelled to pay the whole amount; X is insolvent but his assets are sufficient to pay one-half of his debts. Z is entitled to receive Rs. 1,000 from X's estate and Rs. 2,500 from Y.

C. | Section 44:- Effect of release of one joint promisor

- Where two or more persons have made a joint promise,
- a release of one of such joint promisors by the promisee does not discharge the other joint promisor or joint promisors,
- neither does it free the joint promisors so released from responsibility to the other joint promisor or promisors.

Example

16: 'A', 'B' and 'C' jointly promised to pay Rs. 9,00,000 to 'D'. 'D' released 'A' from liability. In this case, the release of 'A' does not discharge 'B' and 'C' from their liability. They remain liable to pay the entire amount of Rs. 9,00,000 to 'D'. And though 'A' is not liable to pay to 'D', but he remains liable to pay to 'B' and 'C' i.e. he is liable to make the contribution to the other joint promisors.

D. | Section 45:- Rights of Joint Promisees

- "When a person has made a promise to two or more persons jointly,
- then unless a contrary intention appears from the contract,
- the right to claim performance rests, as between him and them, with them during their joint lives, and
- after the death of any of them, with the representative of such deceased person jointly with the survivor or survivors, and
- after the death of the last survivor, with the representatives of all jointly".

Example

17: A, in consideration of Rs. 5,00,000 rupees lent to him by B and C, promises B and C jointly to repay them that sum with interest on a specified day but B dies. In such a case right to demand payment shall rest with B's legal representatives, jointly with C during C's life-time, and after the death of C, with the legal representatives of B and C jointly.

THEROY QUESTIONS

Question 1: **(PEQ-May.25-4 Marks)**

Give your opinion with reference to provisions of the Indian Contract Act, 1872:

1. Whether Joint promisor and promisee voluntary discharge their obligation even after death?
2. In case they won't be able to discharge their obligation, whether any of the joint promisor may be compelled?
3. What would be the situation in case of default by any one of them?

Answer:

1. According to section 42 of the Indian Contract Act, 1872, if two or more persons have made a joint promise, ordinarily all of them during their life-time must jointly fulfil the promise. After death of any one of them, his legal representative jointly with the survivor or survivors should do so. After the death of the last survivor the legal representatives of all the original co-promisors must fulfil the promise.
   Hence, the legal representative can jointly discharge the obligations of joint promisor and promisee, after their death.
2. As per section 43, each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract. Hence, the joint promisor may be compelled.
3. If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

CASE BASED QUESTIONS

Question 1:

X, Y and Z jointly borrowed Rs.50,000 from A. The whole amount was repaid to A by Y. Decide in the light of the Indian Contract Act, 1872 whether:

(i) Y can recover the contribution from X and Z,
(ii) Legal representatives of X are liable in case of death of X,
(iii) Y can recover the contribution from the assets, in case Z becomes insolvent.

Answer:

1. Section 42 of the Indian Contract Act, 1872 requires that when two or more persons have made a joint promise, then, unless a contrary intention appears from the contract, all such persons jointly must fulfill the promise. In the event of the death of any of them, his representative jointly with the survivors and in case of the death of all promisors, the representatives of all jointly must fulfill the promise.
2. Section 43 allows the promisee to seek performance from any of the joint promisors. The liability of the joint promisors has thus been made not only joint but "joint and several". Section 43 provides that in the absence of express agreement to the contrary, the promisee may compel any one or more of the joint promisors to perform the whole of the promise.
3. Section 43 deals with the contribution among joint promisors. The promisors, may compel every joint promisor to contribute equally to the performance of the promise (unless a contrary intention appears from the contract). If any one of the joint promisors makes default in such contribution the remaining joint promisors must bear the loss arising from such default in equal shares.
   As per the provisions of above sections,
   (i) Y can recover the contribution from X and Z because X, Y and Z are joint promisors.
   (ii) Legal representative of X are liable to pay the contribution to Y. However, a legal representative is liable only to the extent of property of the deceased received by him.
   (iii) Y also can recover the contribution from Z's assets.

Question 2: **(MTP - June 19 - 4 Marks)**

Ajay, Vijay and Dyna jointly borrowed Rs. 50,000 from Jacob. The whole amount was repaid to Jacob by Vijay. Decide in the light of the Indian Contract Act, 1872 whether:

(i) Vijay can recover the contribution from Ajay and Dyna,
(ii) Legal representatives of Ajay are liable in case of death of Ajay,
(iii) Vijay can recover the contribution from the assets, in case Dyna becomes insolvent.

Question 3: **(MTP - Nov 20 - 4 Marks, RTP - May 21)**

X, Y and Z jointly borrowed Rs.1,50,000 from A. The whole amount was repaid to A by Y. Decide in the light of the Indian Contract Act, 1872 whether:

(a) Y can recover the contribution from X and Z,

(b) Legal representatives of X are liable in case of death of X,

(c) Y can recover the contribution from the assets, in case Z becomes insolvent.

Question 4: **(MTP – Nov 19 - 4 Marks, May 21 - 4 Marks)**

Krish, Kamya and Ketan are partners in a firm. They jointly promised to pay Rs. 6,00,000 to Dia. Kamya become insolvent and her private assets are sufficient to pay 1/5 of her share of debts. Krish is compelled to pay the whole amount to Dia. Examining the provisions of the Indian Contract Act, 1872, decide the extent to which Krish can recover the amount from Ketan.

Answer :

I. As per section 43 of the Indian Contract Act, 1872, when two or more persons make a joint promise, the promisee may, in the absence of express agreement to the contrary, compel any one or more of such joint promisors to perform the whole of the promise.

II. Each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract.

III. If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

IV. In the instant case, Krish, Kamya and Ketan jointly promised to pay Rs.6,00,000 to Dia. Kamya become insolvent and her private assets are sufficient to pay 1/5 of her share of debts. Krish is compelled to pay the whole amount. Krish is entitled to receive Rs.40,000 from Kamya's estate, and Rs. 2,80,000 from Ketan.

Question 5: **(PEQ – May 18 – 4 Marks)**

X, Y and Z are partners in a firm. They jointly promised to pay Rs. 3,00,000 to D. Y become insolvent and his private assets are sufficient to pay 1/5 of his share of debts. X is compelled to pay the whole amount to D. Examining the provisions of the Indian Contract Act, 1872, decide the extent to which X can recover the amount from Z.

Question 6: **(PEQ – June 21 – 6 Marks)**

X, Y and Z jointly borrowed Rs. 90,000 from L. Decide each of the following in the light of the Indian Contract Act, 1872:

(i) Whether L can compel only Y to pay the entire loan of Rs. 90,000?

(ii) Whether L can compel only the legal representatives of Y to pay the loan of Rs. 90,000, if X, Y and Z died?

(iii) Whether Y and Z are released from their liability to L and X is released from his liability to Y and Z for contribution, if L releases X from his liability and sues Y and Z for payment?

Answer :

(i) Yes, L can compel only Y to pay Rs. 90,000/- since as per Section 43 of the Indian Contract Act, 1872, in the absence of express agreement to the contrary, the promisee may compel any one or more of the joint promisors to perform the whole of the promise.

(ii) As per Section 42, when two or more persons have made a joint promise, then, unless a contrary intention appears by the contract, all such persons, during their joint lives and after the death of any of them, his representative jointly with the survivor or survivors and after the death of last survivor, the representatives of all jointly must fulfill the promise.

In the instant case, if X, Y and Z died then the legal representatives of all (i.e. X, Y and Z) shall be liable to pay the loan jointly. L cannot compel only the legal representatives of Y to pay the loan of Rs. 90,000.

(iii) According to Section 44, where two or more persons have made a joint promise, a release of one of such joint promisors by the promisee does not discharge the other joint promisor or joint promisors, neither does it free the joint promisors so released from responsibility to the other joint promisor or promisors.

In this case, the release of X does not discharge Y and Z from their liability.

Y and Z remain liable to pay the entire amount of Rs. 90,000 to L. And though X is not liable to pay to L, but he remains liable to pay to Y and Z i.e. he is liable to make the contribution to the other joint promisors.

Question 7: **(PEQ - Dec.21 – 4 Marks)**

A, B, C and D are the four partners in a firm. They jointly promised to pay Rs. 6,00,000 to F. B and C have become insolvent. B was unable to pay any amount and C could pay only Rs. 50,000. A is compelled to pay the whole amount to F. Decide the extent to which A can recover the amount from D with reference to the provisions of the Indian Contract Act, 1872.

Answer :

Joint promisors (Section 42 of the Indian Contract Act, 1872)

When two or more persons have made a joint promise, then unless a contrary intention appears by the contract, all such persons must jointly fulfil the promise.

Any one of joint promisors may be compelled to perform (Section 43)

As per Section 43 of the Indian Contract Act, 1872, when two or more persons make a joint promise, the promisee may, in the absence of express agreement to the contrary, compel any one or more of such joint promisors to perform the whole of the promise.

If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

In the instant case, A, B, C and D have jointly promised to pay Rs. 6,00,000 to F. B and C become insolvent. B was unable to pay any amount and C could pay only Rs. 50,000. A is compelled to pay the whole amount to F.

Hence, A is entitled to receive Rs. 50,000 from C and Rs. 2,75,000 from D, as worked out below:

From C Rs. 50,000 = (C's Liability Rs. 1,50,000 Less: Amount he could not pay Rs. 1,00,000).

From D Rs. 2,75,000 = (D's Liability Rs.1,50,000+1/2 of liability of B (Loss) (1,50,000*1/2) i.e.

Rs. 75,000+1/2 of C's liability (Loss) (1,00,000*1/2) i.e., Rs. 50,000) In other words, equal proportion i.e., Rs.5,50,000 (i.e.Rs.6,00,000-Rs.50,000) / 2.

Thus, total amount A can receive from C and D comes to Rs. 3,25,000 (50,000+2,75,000)

Question 8: **(MTP – Nov 19 - 4 Marks)**

A promised to repay a loan of Rs. 1,00,000 payable to C and D jointly. Discuss what are the rights of joint promisees (C and D) against A?

Answer :

Rights of joint promisees

1. According to section 45 of the Indian Contract Act, 1872, "When a person has made a promise to two or more persons jointly, then unless a contrary intention appears from the contract, the right to claim performance rests, as between him and them, with them during their joint lives, and after the death of any of them with the representatives of such deceased person jointly with the survivor or survivors, and after the death of the last survivor, with the representatives of all jointly".
2. Accordingly, Joint Promisees (C and D) have a right to claim the loan amount from A during his life. If A dies, same right is available to the joint Promisees against his representative/s.

Question 9: **(PEQ-JAN.25-7 Marks)**

A, B and C jointly promised to pay D a sum of Rs. 6,000. Examine, considering the provisions of the Indian Contract Act, 1872 -

(i) Can D compel any of three parties A, Band C to pay him Rs. 6,000?

(ii) C is compelled to pay the whole of the amount to D. Can he recover anything from A and B, when -

(1) Both A and B were solvents.

(2) A is not in a position to pay anything.

Answer :

Section 42 of the Indian Contract Act, 1872 requires that when two or more persons have made a joint promise, then, unless a contrary intention appears from the contract, all such persons jointly must fulfil the promise. In the event of the death of any of them, his representative jointly with the survivors and in case of the death of all promisors, the representatives of all jointly must fulfil the promise.

Section 43 allows the promisee to seek performance from any of the joint promisors. The liability of the joint promisors has thus been made not only joint but "joint and several". Section 43 provides that in the absence of express agreement to the contrary, the promisee may compel any one or more of the joint promisors to perform the whole of the promise.

Section 43 deals with the contribution among joint promisors. The promisors, may compel every joint promisor to contribute equally to the performance of the promise (unless a contrary intention appears from the contract). If any one of the joint promisors makes default in such contribution the remaining joint promisors must bear the loss arising from such default in equal shares.

In the instant case,

(i) D can compel any of three parties A, B and C to pay him Rs. 6,000.

(ii) (1) C can recover the contribution from A and B because A, B and C are joint promisors.

(2) A is unable to pay anything, C is compelled to pay the whole. C is entitled to receive Rs. 3,000 from B.

4.7 TIME AND PLACE FOR PERFORMANCE OF THE PROMISE - Section 46-50

i. | Section 46:- Time for performance of promise, where no application is to be made and no time is specified

- Where, by the contract, a promisor is to perform his promise without application by the promisee, and
- no time for performance is specified,
- the engagement must be performed within a reasonable time.
- Explanation to Section 46 - The expression reasonable time is to be interpreted having regard to the facts and circumstances of a particular case.

ii. | Section 47:- Time and place for performance of promise, where time is specified and no application to be made -

- When a promise is to be performed on a certain day, and
- the promisor has undertaken to perform it without application by the promise,
- the promisor may perform it at any time during the usual hours of business,
- on such day and the place at which the promise ought to be performed.

Example

18: If the delivery of goods is offered say after 8.30 pm, the promisee may refuse to accept delivery, for the usual business hours are over. Moreover, the delivery must be made at the usual place of business.

iii. | Section 48:- Application for performance on certain day to be at proper time and place -

- When a promise is to be performed on a certain day, and
- the promisor has not undertaken to perform it without application by the promisee,
- it is the duty of the promisee to apply for performance at a proper place and within the usual hours of business.
- Explanation to Section 48 states that the question "what is a proper time and place" is, in each particular case, a question of fact.

iv. | Section 49:- Place for the performance of promise, where no application to be made and no place fixed for performance -

- When a promise is to be performed without application by the promisee, and
- no place is fixed for the performance of it,

- it is the duty of the promisor to apply to the promisee to appoint a reasonable place for the performance of the promise, and
- to perform it at such a place.

Example

19: A undertakes to deliver a thousand maunds of jute to B on a fixed day. A must apply to B to appoint a reasonable place for the purpose of receiving it, and must deliver it to him at such place.

v. | Section 50:- Performance in manner or at time prescribed or sanctioned by promisee-

- The performance of any promise may be made in any such manner, or at any time which the promisee prescribes or sanctions.

4.8 PERFORMANCE OF RECIPROCAL PROMISE - Section 51-58

i. | Section 51:- Promisor not bound to perform, unless reciprocal promise ready and willing to perform

- When a contract consists of reciprocal promises to be simultaneously performed,
- no promisor needs to perform his promise unless
- the promisee is ready and willing to perform his reciprocal promise.

Example

20: A and B contract that A shall deliver the goods to B to be paid for by B on delivery. A need not deliver the goods, unless B is ready and willing to pay for the goods on delivery.

- Where A promises to deliver rice and B promises to pay the price on delivery, both the promises are to be performed simultaneously, and both A and B must be ready and willing to perform their respective promises.
- If A, in the above-mentioned example, is unwilling to deliver the rice on payment, A will be guilty of breach of promise and the breach would relieve B of the obligation to perform his promise and would enable B to treat the contract as at an end.

CASE BASED QUESTIONS

Question 1: **(PEQ – Nov 20 - 2 Marks)**

In light of provisions of the Indian Contract Act, 1872 answer the following:

Mr. S and Mr. R made contract wherein Mr. S agreed to deliver paper cup manufacture machine to Mr. R and to receive payment on delivery. On the delivery date, Mr. R didn't pay the agreed price. Decide whether Mr. S is bound to fulfil his promise at the time of delivery?

Answer :

As per Section 51 of the Indian Contract Act, 1872, when a contract consists of reciprocal promises to be simultaneously performed, no promisor needs to perform his promise unless the promisee is ready and willing to perform his reciprocal promise.

Such promises constitute concurrent conditions and the performance of one of the promise is conditional on the performance of the other. If one of the promises is not performed, the other too need not be performed.

Referring to the above provisions, in the given case, Mr. S is not bound to deliver goods to Mr. R since payment was not made by him at the time of delivery of goods.

ii. | Section 52:- Order of performance of reciprocal promises-

- When the order of performance of the reciprocal promises is expressly fixed by the contract,
- they shall be performed in that order; and
- where the order is not expressly fixed by the contract,
- they shall be performed in that order which the nature of the transaction requires.

Example

21: A and B contract that A shall build a house for B at a fixed price. A's promise to build the house must be performed before B's promise to pay for it.

- For example, A and B contract that A shall make over his stock-in-trade to B at a fixed price, and B promises to give security for the payment of the price.
- A's promise to make over his stock need not be performed, until the security is given by, for the nature of the transaction requires that A should have the security from B before he delivers his stock.

iii. | Section 53:- Liability of party preventing event on which the contract is to take effect -

- When a contract contains reciprocal promises, and
- one party to the contract prevents the other from performing his promise,
- the contract becomes voidable at the option of the party so prevented; and
- he is entitled to compensation from the other party for any loss he may sustain in consequence of the nonperformance of the contract.

Example

22: A and B contract that B shall execute some work for A for a thousand rupees. B is ready and willing to execute the work accordingly, but A prevents him from doing so. The contract is voidable at the option of B; and if he elects to rescind it, he is entitled to recover from A compensation for any loss which he has incurred by its non-performance.

23: In a contract for the sale of standing timber, the seller is to cut and cord it, whereupon buyer is to take it away and pay for it. The seller cords only a part of the timber and neglects to cord the rest. In that event the buyer may avoid the contract and claim compensation from the seller for any loss which he may have sustained for the non-performance of the contract.

iv. | Section 54:- Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises

- When a contract consists of reciprocal promises,
- such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and
- the promisor of the promise last mentioned fails to perform it,
- such promisor cannot claim the performance of the reciprocal promise, and
- must make compensation to the other party to the contract for any loss which such other party may sustain by the non- performance of the contract.

Example

24: A hires B's ship to take in and convey, from Kolkata to the Mauritius, a cargo to be provided by A, B receiving a certain freight for its conveyance. A does not provide any cargo for the ship. A cannot claim the performance of B's promise, and must make compensation to B for the loss which B sustains by the non-performance of the contract.

25: A hires B to make a shoe rack. A will supply the plywood, fevicol and other items required for making the shoe rack. B arrived on the appointed day and time but A could not arrange for the required materials. A cannot claim the performance of B's promise, and must make compensation to B for the loss which B sustains by the non-performance of the contract.

v. | Section 55:- Effects of Failure to Perform at a Time Fixed in a Contract in which Time is Essential

- When a party to a contract promises to do certain thing at or before the specified time, and fails to do any such thing at or before the specified time,
- the contract, or so much of it as has not been performed,
- becomes voidable at the option of the promisee,
- if the intention of the parties was that time should be of essence of the contract".

Effect of such failure when time is not essential

- If it was not the intention of the parties that time should be of essence of the contract,
- the contract does not become voidable by the failure to do such thing at or before the specified time;
- but the promisee is entitled to compensation from the promisor for any loss occasioned to him by such failure.

Effect of acceptance of performance at time other than agreed upon -

- If, in case of a contract voidable on account of the promisor's failure to perform his promise at the time agreed,
- the promisee accepts performance of such promise at any time other than agreed,
- the promisee cannot claim compensation for any loss occasioned by the non-performance of the promise at the time agreed,
- unless, at the time of acceptance, he gives notice to the promisor of his intention to do so.

CASE BASED QUESTIONS

Question 1: **(MTP -Dec.23- 4 Marks)**

Mr. Nikhil has decided to get interior work for his new office. For this purpose, he entered into a contract with M/s Sherry Fine Interiors. It was agreed that M/s Sherry Fine Interiors will complete the interior work latest by 31st January, 2023. On 31st January, 2023, Mr. Nikhil observed that only 20% to 30% work has been completed. He decided to cancel the contract with M/s Sherry Fine Interiors.

On cancellation of the contract, M/s Sherry Fine Interiors filed a suit against Mr. Nikhil for recovery of the cost which it has incurred on the interior work.

Mr. Nikhil argued that M/s Sherry Fine Interiors did not complete the work within the time as per contract and further the work done till 31st January, 2023 by M/s Sherry Fine Interiors was of no use for him as he has to appoint a new interior designer.

Explain, whether Mr. Nikhil is liable to pay the cost of work done by M/s Sherry Fine Interiors under the provisions of Indian Contract Act, 1872?

Answer:

Section 2(i) of Indian Contract Act, 1872 provides that an agreement which is enforceable by law at the option of one or more parties thereto, but not at the option of the other or others is a voidable contract. Further, when a party to a contract promise to perform a work within a specified time, could not perform with in that time, the contract is voidable at the option of the promisee. If promisee has received any benefit, he must return to promisor.

In the given problem, the contract is voidable at the option of Mr. Nikhil as work is not completed within the time agreed in the contract. Further, Mr. Nikhil is not liable to pay the cost incurred by M/s Sherry Fine Interiors as that cost did not provide any benefit to him and he has to appoint a new interior designer.

vi. | Section 56:- Agreement to do Impossible Act

- "An agreement to do an act impossible in itself is void".
- Contract to do act afterwards becoming impossible or unlawful: A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful.
- Compensation for loss through non-performance of act known to be impossible or unlawful: where one person has promised to do something which he knew, or, with reasonable diligence, might have known, and
- which the promisee did not know, to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise.

Example

26: A agrees with B to discover treasure by magic. The agreement is void. must make compensation to B for the loss which B sustains by the non-performance of the contract.

Analysis of Section 56

The impossibility of performance may be of the two types, namely

(a) initial impossibility, and

(b) subsequent impossibility.

a. | Initial Impossibility (Impossibility existing at the time of contract):

- When the parties agree upon doing of something which is obviously impossible in itself the agreement would be void.
- Impossible in itself means impossible in the nature of things.
- The fact of impossibility may be and may not be known to the parties.

Example

27: 'A', a Hindu, who was already married, contracted to marry 'B', a Hindu girl. According to law, 'A' being married, could not marry 'B'. In this case, 'A' must make compensation to 'B' for the loss caused to her by the non-performance of the contract.

(i) If known to the parties: It would be observed that an agreement constituted, quite unknown to the parties, may be impossible of being performed and hence void.

Example

28: B promises to pay a sum of Rs.5,00,000 if he is able to swim across the Indian Ocean from Mumbai to Aden within a week. In this case, there is no real agreement, since both the parties are quite certain in their mind that the act is impossible of achievement. Therefore, the agreement, being impossible in itself, is void.

(ii) If unknown to the parties: Where both the promisor and the promisee are ignorant of the impossibility of performance, the contract is void.

Example

29: A contracted B to sell his brown horse for Rs.50,000 both unaware that the horse was dead a day before the agreement.

(iii) If known to the promisor only: Where at the time of entering into a contract, the promisor alone knows about the impossibility of performance, or even if he does not know though he should have known it with reasonable diligence, the promisee is entitled to claim compensation for any loss he suffered on account of nonperformance.

b. | Subsequent or Supervening impossibility (Becomes impossible after entering into contract):

- When performance of promise become impossible or illegal by occurrence of an unexpected event or a change of circumstances beyond the contemplation of parties,
- the contract becomes void e.g. change in law etc.
- In other words, sometimes, the performance of a contract is quite possible when it is made. But subsequently, some event happens which renders the performance impossible or unlawful.
- Such impossibility is called the subsequent or supervening. It is also called the post-contractual impossibility.
- The effect of such impossibility is that it makes the contract void, and the parties are discharged from further performance of the contract.

Example

30: 'A' and 'B' contracted to marry each other. Before the time fixed for the marriage, 'A' became mad. In this case, the contract becomes void due to subsequent impossibility, and thus discharged.

THEORY QUESTIONS

Question 1: **(MTP-Nov 23, MTP – May 22, PEQ – June 21- 5 Marks)**

Explain what is meant by 'Supervening Impossibility' as per the Indian Contract Act, 1872 with the help of an example. What is the effect of such impossibility?

Answer :

According to Section 56 of the Indian Contract Act, 1872, the impossibility of performance may be of the two types, namely (a) initial impossibility, and (b) subsequent impossibility.

Subsequent impossibility is also known as Supervening impossibility i.e. becomes impossible after entering into contract. When performance of promise become impossible or illegal by occurrence of an unexpected event or a change of circumstances beyond the contemplation of parties, the contract becomes void e.g. change in law etc.

In other words, sometimes, the performance of a contract is quite possible when it is made. But subsequently, some event happens which renders the performance impossible or unlawful. Such impossibility is called the subsequent or supervening. It is also called the post-contractual impossibility.

Example: 'A' and 'B' contracted to marry each other. Before the time fixed for the marriage, 'A' became mad. In this case, the contract becomes void due to subsequent impossibility, and thus discharged.

Effect of impossibility: The effect of such impossibility is that it makes the contract void, and the parties are discharged from further performance of the contract.

CASE BASED QUESTIONS

Question 1: **(MTP- Nov 19, May 21- 6 Marks, PEQ – Nov 18 – 4 Marks)**

Mr. X and Mr. Y entered into a contract on 1st August, 2018, by which. Mr. X had to supply 50 tons of sugar to Mr. Y at a certain price strictly within a period of 10 days of the contract. Mr. Y also paid an amount of Rs.50,000 towards advance as per the terms of the above contract. The mode of transportation available between their places is roadway only.

Severe flood came on 2nd August, 2018 and the only road connecting their places was damaged and could not be repaired within fifteen days. Mr. X offered to supply sugar on 20th August, 2018 for which Mr. Y did not agree. On 1st September, 2018, Mr. X claimed compensation of Rs.10,000 from Mr. Y for refusing to accept the supply of sugar, which was not there within the purview of the contract.

On the other hand, Mr. Y claimed for refund of Rs.50.000 which he had paid as advance in terms of the contract. Analyse the above situation in terms of the provisions of the Indian Contract Act, 1872 and decide on Y's contention.

Answer :

Subsequent or Supervening impossibility (Becomes impossible after entering into contract): When performance of promise become impossible or illegal by occurrence of an unexpected event or a change of circumstances beyond the contemplation of parties, the contract becomes void e.g. change in law etc.

Also, according to section 65 of the Indian Contract Act, 1872, when an agreement is discovered to be void or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it.
In the given question, after Mr. X and Mr. Y have entered into the contract to supply 50 tons of sugar, the event of flood occurred which made it impossible to deliver the sugar within the stipulated time.
Thus, the promise in question became void. Further, Mr. X has to pay back the amount of Rs.50,000 that he received from Mr. Y as an advance for the supply of sugar within the stipulated time. Hence, the contention of Mr. Y is correct.

Question 2: **(RTP – Nov 22)**

Mr. Y is a devotee and wants to donate an elephant to the temple as a core part of ritual worship. He contacted Mr. X who wanted to sell his elephant. Mr. X contracted with Mr. Y to sell his elephant for ₹ 20 Lakhs. Both were unaware that the elephant was dead a day before the agreement. Referring to the provisions of the Indian Contract Act, 1872, explain whether it is a void, voidable or a valid contract.

Answer:

As per Section 2(j) of the Indian Contract Act, 1872 a contract which ceases to be enforceable by law becomes void when it ceases to be enforceable. The fact of impossibility may be known or unknown to the promisor or promisee.
It may be added by clarification here that the term "contract" shall be understood as an "agreement".
Thus, when the parties agree on doing something which is obviously impossible in itself the agreement would be void.
In this case, Mr. X and Mr. Y were ignorant of the fact that the elephant was dead and therefore the performance of the contract was impossible from the very start (impossibility ab initio).
Hence, this contract is void being not enforceable by law.

vii. | Section 57:- Reciprocal promise to do certain things that are legal, and also some other things that are illegal

- Where persons reciprocally promise, first to do certain things which are legal and secondly, under specified circumstances, to do certain other things which are illegal, the first set of promises is a valid contract, but the second is a void agreement.

Example

31: A and B agree that A will sell a house to B for Rs. 500,000 and also that if B uses it as a gambling house, he will pay a further sum of Rs. 750,000. The first set of reciprocal promises, i.e. to sell the house and to pay Rs. 500,000 for it, constitutes a valid contract. But the object of the second, being unlawful, is void.

viii. | Section 58:- 'Alternative promise' one branch being illegal

- "In the case of the alternative promise, one branch of which is legal and the other illegal, the legal branch alone can be enforced".

Example

32: A and B agree that A shall pay B Rs. 1,00,000, for which B shall afterwards deliver to A either rice or smuggled opium. This is a valid contract to deliver rice, and a void agreement as to the opium.

4.9 APPROPRIATION OF PAYMENTS- Section 59-61

Sometimes, a debtor owes several debts to the same creditor and makes payment, which is not sufficient to discharge all the debts.
In such cases, the payment is appropriated (i.e. adjusted against the debts) as per Section 59 to 61 of the Indian Contract Act.

i. | Section 59:- Application of payment where debt to be discharged is indicated

- Where a debtor, owing several distinct debts to one person,
- makes a payment to him either with express intimation or
- under circumstances implying that the payment is to be applied to the discharge of some particular debt,
- the payment, if accepted, must be applied accordingly.

ii. | Section 60:- Application of payment where debt to be discharged is not indicated

- Where the debtor has omitted to intimate and
- there are no other circumstances indicating to which debt the payment is to be applied
- the creditor may apply it at his discretion to any lawful debt actually due and payable to him from the debtor,
- where its recovery is or is not barred by the law in force for the time being as to the limitation of suits.
- However he cannot apply the payment to the disputed debt.

iii. | Section 61:- Application of payment where neither party appropriates

- Where neither party makes any appropriation,
- the payment shall be applied in discharge of the debts in order of time,
- whether they are or are not barred by the law in force for the time being as to the limitation of suits.
- If the debts are of equal standing, the payments shall be applied in discharge of each proportionately.

CASE BASED QUESTIONS

Question 1: **(RTP – June 23)**

Mr. Murari owes payment of 3 bills to Mr. Girdhari as on 31st March, 2020.
(i) Rs. 12,120 which was due in May 2016.
(ii) Rs. 5,650 which was due in August 2018
(iii) Rs. 9,680 which was due in May 2019.
Mr. Murari made payment on 1st April 2020 as below without any notice of how to appropriate them:
(i) A cheque of Rs. 9,680
(ii) A cheque of Rs. 15,000
Advice under the provisions of the Indian Contract Act, 1872.

Answer :

If the performance consists of payment of money and there are several debts to be paid, the payment shall be appropriated as per provisions of Sections 59, 60 and 61.
The debtor has, at the time of payment, the right of appropriating the payment. In default of debtor, the creditor has option of election and in default of either the law will allow appropriation of debts in order of time.
In the present case, Mr. Murari had made two payments by way of two cheques.

One cheque was exactly the amount of the bill drawn. It would be understood even though not specifically appropriated by Mr. Murari that it will be against the bill of exact amount. Hence cheque of Rs. 9,680 will be appropriated against the bill of Rs. 9,680 which was due in May 2019.

Cheque of Rs.15000 can be appropriated against any lawful debt which is due even though the same is time-barred.

Hence, Mr. Girdhari can appropriate the same against the debt of Rs.12,120 which was due in 2016 and balance against Rs. 5650 which was due in August 2018.

Question 2: **(MTP – Nov 19 - 4 Marks)**

A had borrowed from B the amounts as detailed below:

Date of Borrowing	Amount	Due Date
01-06-2018	25,000	01-08-2018
15-06-2018	37,500	03-08-2018
27-06-2018	13,000	15-08-2018
01-07-2018	24,000	21-08-2018

On 15-08-2018, A paid B Rs. 13,000 with a request to appropriate the same against amount borrowed on 27-06-2018. Does A, as a debtor, have a right to decide the debt towards which payment is to be appropriated? Explain with reference to Indian Contract Act, 1872

Answer :

1. According to section 59 of the Indian Contract Act, 1872, "Where a debtor, owing several distinct debts to one person, makes a payment to him either with express intimation or under circumstances implying that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly".
2. Where a debtor owes a number of debts and he pays an amount with express or implied instructions towards appropriation, the debtor is at will to appropriate to any debt and the creditor is bound by it.
3. This is set out in the Latin Maxim of "quicquid sovitur, sovit section undum modum solventis" meaning that whatever is paid, is paid according to intention or manner of party paying. The right of debtor to decide the appropriation is also known as decision in Clayton's case.

   Hence, in the given question A, the debtor has a right to decide the debt towards which the payment of Rs.13,000 (made on 15.8.2018) is to be appropriated.

Question 3: **(PEQ – Nov 19 – 6 Marks)**

Mr. Sonumal a wealthy individual provided a loan of Rs. 80,000 to Mr. Datumal on 26.02.2019. The borrower Mr. Datumal asked for a further loan of Rs. 1,50,000. Mr. Sonumal agreed but provided the loan in parts at different dates. He provided Rs. 1,00,000 on 28.02.2019 and remaining Rs. 50,000 on 03.03.2019.

On 10.03.2019 Mr. Datumal while paying off part Rs. 75,000 to Mr. Sonumal insisted that the lender should adjusted Rs. 50,000 towards the loan taken on 03.03.2019 and balance as against the loan on 26.02.2019.

Mr. Sonumal objected to this arrangement and asked the borrower to adjust in the order of date of borrowal of funds.

Now you decide:

(i) Whether the contention of Mr. Datumal correct or otherwise as per the provisions of the Indian Contract Act, 1872?

(ii) What would be the answer in case the borrower does not insist on such order of adjustment of repayment?

(iii) What would the mode of adjustment/appropriation of such part payment in case neither Mr. Sonumal nor Mr. Datumal insist any order of adjustment on their part

Answer :

Appropriation of Payments: In case where a debtor owes several debts to the same creditor and makes payment which is not sufficient to discharge all the debts, the payment shall be appropriated (i.e. adjusted against the debts) as per the provisions of Section 59 to 61 of the Indian Contract Act, 1872.

(i) As per the provisions of 59 of the Act, where a debtor owing several distinct debts to one person, makes a payment to him either with express intimation or under circumstances implying that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly.

Therefore, the contention of Mr. Datumal is correct and he can specify the manner of appropriation of repayment of debt.

(ii) As per the provisions of 60 of the Act, where the debtor has omitted to intimate and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his discretion to any lawful debt actually due and payable to him from the debtor, where its recovery is or is not barred by the law in force for the time being as to the limitation of suits.

Hence in case where Mr. Datumal fails to specify the manner of appropriation of debt on part repayment, Mr. Sonumal the creditor, can appropriate the payment as per his choice.

(iii) As per the provisions of 61 of the Act, where neither party makes any appropriation, the payment shall be applied in discharge of the debts in order of time, whether they are or are not barred by the law in force for the time being as to the limitation of suits. If the debts are of equal standing, the payments shall be applied in discharge of each proportionately.

Hence in case where neither Mr. Datumal nor Mr. Sonumal specifies the manner of appropriation of debt on part repayment, the appropriation can be made in proportion of debts.

Question 4: **(PEQ-Dec. 23-4 Marks)**

T owes G, the following debts as per the table given below:

Amount of the Debt (in ₹)	Position of Debt
5,000	Time barred on 01st July, 2023 as per the provisions of the Limitation Act,1963
3,000	Time barred on 01st July, 2023 as per the provisions of the Limitation Act,1963
12,500	Due on 1st April, 2022
10,000	Due on 15th July, 2023
7,500	Due on 25th November, 2023

G makes payment on 1st April, 2023 mentioned as below without any notice regarding how to appropriate the amount/ payment.

(i) A cheque of ₹ 12,500

(ii) A cheque of ₹ 4,000

In such a situation how the appropriation of the payment is done against the debts as per the provisions of the Indian Contract Act, 1872 by assuming that T also has not appropriated the amount received towards any particular debt.

Answer:

As per the provisions of Section 59 of the Indian Contract Act, 1872, where a debtor, owing several distinct debts to one person, makes a payment to him, either with express intimation, or under circumstances implying that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly.

As per the provisions of Section 61 of the Indian Contract Act, 1872, where neither party makes any appropriation, the payment shall be applied in discharge of the debts in order of time, whether they are or are not barred by the law in force for the time being as to the limitation of suits. If the debts are of equal standing, the payment shall be applied in discharge of each proportionably.

In the present case, G made two payments by way of two cheques. Also, neither G nor T said anything as to the appropriation of the amount towards any particular debt.

Since one of the issued cheques was exactly the amount of the debt due i.e. of ₹12,500, by applying the provisions of Section 59 we can say that this is a circumstance indicating for appropriation against that particular debt.

Cheque of ₹ 4,000 can be appropriated in terms of the provisions of Section 61 since neither of the parties, have made any appropriation. The amount will be appropriated in discharging of the debts in order of time against any lawful debt whether they are or are not barred by the law in force for the time being as to the limitation of suits.Hence cheque of ₹ 12,500 will be appropriated against the debt of ₹ 12,500 which is due on 1st April, 2022. As per the scenario given in the question, since two debts are persisting in order of time which were treated as time barred on 1st July 2023, the amount of ₹ 4,000 will be appropriated proportionately, i.e. in proportion of 5,000:3,000. Therefore as per the provisions of the Indian Contract Act, 1872, ₹2,500 will be appropriated for the first debt and ₹ 1,500 will be appropriated towards the second debt.

Question 5: **(RTP DEC-23)**

Mr. Sohan, a wealthy individual provided a loan of ₹ 80,000 to Mr. Mukesh on 26th February, 2021. The borrower, Mr. Mukesh asked for a further loan of ₹ 1,50,000. Mr. Sohan agreed but provided the loan in parts on different dates. He provided ₹ 1,00,000 on 28th February, 2021 and remaining ₹ 50,000 on 3rd March, 2021.

On 10th March, 2021 Mr. Mukesh while paying off part ₹ 75,000 to Mr. Sohan insisted that the lender should adjusted ₹ 50,000 towards the loan taken on 3rd March, 2021 and balance as against the loan on 26th February, 2021.

Mr. Sohan objected to this arrangement and asked the borrower to adjust in the order of date of borrowal of funds.

Now you decide:

(i) Whether the contention of Mr. Mukesh correct or otherwise as per the provisions of the Indian Contract Act, 1872?

(ii) What would be the answer in case the borrower does not insist on such order of adjustment of repayment?

(iii) What would be the mode of adjustment/appropriation of such part payment in case neither Mr. Sohan nor Mr. Mukesh insist any order of adjustment on their part?

4.10 CONTRACTS, WHICH NEED NOT BE PERFORMED WITH THE CONSENT OF BOTH THE PARTIES - Section 62-67

The law is contained in Sections 62 to 67 of the Contract Act.

i. | Section 62:- Effect of novation, rescission, and alteration of contract

"If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed"

Analysis of Section 62

a. | Effect of novation:

- The parties to a contract may substitute a new contract for the old. If they do so, it will be a case of novation.
- On novation, the old contract is discharged and consequently it need not be performed.
- Thus, it is a case where there being a contract in existence some new contract is substituted for it either between the same parties or between different parties the consideration mutually being the discharge of old contract.
- Novation can take place only by mutual agreement between the parties.

Example

33: A owes B Rs.100,000. A, B and C agree that C will pay B and he will accept Rs. 100,000 from C in lieu of the sum due from A. A's liability thereby shall come to an end, and the old contract between A and B will be substituted by the new contract between B and C.

b. | Effect of rescission:

- A contract is also discharged by rescission.
- When the parties to a contract agree to rescind it, the contract need not be performed.
- In the case of rescission, only the old contract is cancelled and no new contract comes to exist in its place.
- It is needless to point out that novation also involves rescission.
- Both in novation and in rescission, the contract is discharged by mutual agreement.

c. | Effect of alteration of contract:

- As in the case of novation and rescission, so also in a case where the parties to a contract agree to alter it,
- the original contract is rescinded, with the result that it need not be performed.
- In other words, a contract is also discharged by alteration.
- The terms of contract may be so altered by mutual agreement that the alteration may have the effect of substituting a new contract for the old one.
- In other words, the distinction between novation and alteration is very slender.

Novation and alteration: In both these cases the original contract need not be performed. Still there is a difference between these two.

- Novation means substitution of an existing contract with a new one.
- Novation may be made by changing in the terms of the contract or there may be a change in the contracting parties.
- But in case of alteration the terms of the contract may be altered by mutual agreement by the contracting parties but the parties to the contract will remain the same.
- In case of novation there is altogether a substitution of new contract in place of the old contract.
- But in case of alteration it is not essential to substitute a new contract in place of the old contract. In alteration, there may be a change in some of the terms and conditions of the original agreement.

ii. | Section 63:- Promisee may waive or remit performance of promise

- "Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him, or may extend the time for such performance or may accept instead of it any satisfaction which he thinks fit".
- In other words, a contract may be discharged by remission.

Example

34: A owes B Rs. 5,00,000. A pays to B, and B accepts, in satisfaction of the whole debt, Rs. 2,00,000 paid at the time and place at which the Rs. 5,00,000 were payable. The whole debt is discharged.

iii. | Section 64:- Restoration of Benefit under a Voidable Contract

- "When a person at whose option a contract is voidable rescinds it,
- the other party thereto need not perform any promise therein contained in which he is the promisor.
- The party rescinding avoidable contract shall, if he has received any benefit thereunder from another party to such contract, restore such benefit, so far as may be, to the person from whom it was received".

Example

35: An insurance company may rescind a policy on the ground that material fact has not been disclosed. When it does so, the premium collected by it in respect of the policy reduced by the amount of expenses incurred by it in this connection must be repaid to the policy holder.

iv. | Section 65:- Obligations of Person who has Received Advantage under Void Agreement or contract that becomes void

- "When an agreement is discovered to be void or when a contract becomes void,
- any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it."

Example

36: A pays B Rs. 1,00,000, in consideration of B's promising to marry C, A's daughter. C is dead at the time of the promise. The agreement is void, but B must repay A Rs.1,00,000.

In a case, the plaintiff hired a godown from the defendant for twelve months and paid the whole of the rent in advance. After about seven months the godown was destroyed by fire, without any fault or negligence on the part of the plaintiff and the plaintiff claimed a refund of a proportionate amount of the rent. Held, the plaintiff was entitled to recover the rent for the unexpired term, of the contract.

The Act requires that a party must give back whatever he has received under the contract. The benefit to be restored under this section must be benefit received under the contract (and not any other amount). A agrees to sell land to B for Rs. 400,000. B pays to A Rs. 40,000 as a deposit at the time of the contract, the amount to be forfeited by A if B does not complete the sale within a specified period. B fails to complete the sale within the specified period, nor is he ready and willing to complete the sale within a reasonable time after the expiry of that period. A is entitled to rescind the contract and to retain the deposit. The deposit is not a benefit received under the contract, it is a security that the purchaser would fulfil his contract and is ancillary to the contract for the sale of the land.

CASE BASED QUESTIONS

Question 1: **(MTP - May 19 - 4 Marks)**

Mr. JHUTH entered into an agreement with Mr. SUCH to purchase his (Mr. SUCH's) motor car for Rs.5,00,000/- within a period of three months. A security amount of Rs. 20,000/- was also paid by Mr. JHUTH to Mr. SUCH in terms of the agreement.

After completion of three months of entering into the agreement, Mr. SUCH tried to contract Mr. JHUTH to purchase the car in terms of the agreement. Even after lapse of another three month period, Mr. JHUTH neither responded to Mr. SUCH, nor to his phone calls. After lapse of another period of six months.

Mr. JHUTH contracted Mr. SUCH and denied to purchase the motor car. He also demanded back the security amount of Rs.20,000/- from Mr. SUCH. Referring to the provisions of the Indian Contract Act, 1872, state whether Mr. SUCH is required to refund the security amount to Mr. JHUTH.

Also examine the validity of the claim made by Mr. JHUTH, if the motor car would have destroyed by an accident within the three month's agreement period.

Answer :

(i) In terms of the provisions of Section 65 of the Indian Contract Act, 1872, when an agreement is discovered to be void or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it.

Referring to the above provision, we can analyse the situation as under.

(ii) The contract is not a void contract.

Mr. SUCH is not responsible for Mr. JHUTH's negligence. Therefore Mr. SUCH can rescind the contract and retain the security amount since the security is not a benefit received under the contract, it is a security that the purchaser would fulfill his contract and is ancillary to the contract for the sale of the Motor Car.

(iii) Regarding the second situation given in the question, the agreement become void due to the destruction of the Motor Car, which is the subject matter of the agreement here. Therefore, the security amount received by Mr. SUCH is required to be refunded back to Mr. JHUTH.

Question 2: **(MTP - May 23 - 6 Marks)**

Mr. Gaurav and Mr. Vikas entered into a contract on 1st July, 2022, according to which Mr. Gaurav had to supply 100 tons of sugar to Mr. Vikas at a certain price strictly within a period of 10 days of the contract. Mr. Vikas also paid an amount of ₹ 70,000 towards advance as per the terms of the above contract.

The mode of transportation available between their places is roadway only. Severe flood came on 2nd July, 2022 and the only road connecting their places was damaged and could not be repaired within fifteen days. Mr. Gaurav offered to supply sugar on 20th July, 2022 for which Mr. Vikas did not agree.

On 1st August, 2022, Mr. Gaurav claimed compensation of ₹ 20,000 from Mr. Vikas for refusing to accept the supply of sugar, which was not there within the purview of the contract. On the other hand, Mr. Vikas claimed for refund of ₹ 70,000, which he had paid as advance in terms of the contract. Analyse the above situation in terms of the provisions of the Indian Contract Act, 1872 and decide on Mr. Vikas contention.

Answer:

Subsequent or Supervening impossibility (Becomes impossible after entering into contract): When performance of promise become impossible or illegal by occurrence of an unexpected event or a change of circumstances beyond the contemplation of parties, the contract becomes void e.g. change in law etc.

Also, according to section 65 of the Indian Contract Act, 1872, when an agreement is discovered to be void or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it.

In the given question, after Mr. Gaurav and Mr. Vikas have entered into the contract to supply 100 tons of sugar, the event of flood occurred which made it impossible to deliver the sugar within the stipulated time. Thus, the promise in question became void. Further, Mr. Gaurav has to pay back the amount of ₹ 70,000 that he received from Mr. Vikas as an advance for the supply of sugar within the stipulated time. Hence, the contention of Mr. Vikas is correct.

v. | Section 66:- Communication of rescission

- You have noticed that a contract voidable at the option of one of the parties can be rescinded; but rescission must be communicated to the other party in the same manner as a proposal is communicated under Section 4 of the Contract Act.
- Similarly, a rescission may be revoked in the same manner as a proposal is revoked.

vi. | Section 67:- Effects of neglect of promisee to afford promisor reasonable facilities for performance

- If any promisee neglects or refuses to afford the promisor reasonable facilities for the performance of his promise,
- the promisor is excused by such neglect or refusal as to any non-performance caused thereby.

Example

37: If an apprentice refuses to learn, the teacher cannot be held liable for not teaching.

38: A contracts with B to repair B's house. B neglects or refuses to appoint out to A the places in which his house requires repair. A is excused for the non-performance of the contract, if it is caused by such neglect or refusal.

THEORY QUESTIONS

Question 1: **(PEQ – Nov 21, PEQ-May 22, MTP Nov 23- 7 Marks)**

Explain any five circumstances under which contracts need not be performed with the consent of both the parties.

Question 2: **(PEQ – Nov 22 – 5 Marks)**

Differentiate between Novation and Alteration as per the Indian Contract Act, 1872.

CASE BASED QUESTIONS

Question 1: **(RTP - May 21)**

What will be rights with the promisor in following cases? Explain with reasons:

(a) Mr. X promised to bring back Mr. Y to life again.

(b) A agreed to sell 50 kgs of apple to B. The loaded truck left for delivery on 15th March but due to riots in between reached B on 19th March.

(c) An artist promised to paint on the fixed date for a fixed amount of remuneration but met with an accident and lost his both hands.

(d) Abhishek entered into contract of import of toys from China. But due to disturbance in the relation of both the countries, the imports from China were banned.

Answer :

(a) The contract is void because of its initial impossibility of performance.

(b) Time is essence of this contract. As by the time apples reached B, they were already rotten. The contract is discharged due to destruction of subject matter of contract.

(c) Such contract is of personal nature and hence cannot be performed due to occurrence of an event resulting in impossibility of performance of contract.

(d) Such contract is discharged without performance because of subsequent illegality nature of the contract.

4.11 DISCHARGE OF A CONTRACT

A contract is discharged when the obligations created by it come to an end.

A contract may be discharged in any one of the following ways:

i. | **Discharge by performance:** It takes place when the parties to the contract fulfil their obligations arising under the contract within the time and in the manner prescribed. Discharge by performance may be

(1) Actual performance; or

(2) Attempted performance.

Actual performance is said to have taken place, when each of the parties has done what he had agreed to do under the agreement. When the promisor offers to perform his obligation, but the promisee refuses to accept the performance, it amounts to attempted performance or tender.

Example

39: A contracts to sell his car to B on the agreed price. As soon as the car is delivered to B and B pays the agreed price for it, the contract comes to an end by performance.

40: A contracted to supply certain quantity of timber to B. B made the supply of timber at appointed time and place but A refused to accept the delivery. This is called as attempted performance.

ii. | **Discharge by mutual agreement:** Section 62 of the Indian Contract Act provides if the parties to a contract agree to substitute a new contract for it, or to rescind or remit or alter it, the original contract need not be performed. The principles of Novation, Rescission, Alteration and Remission are already discussed.

Example

41: A owes B Rs. 1,00,000. A enters into an agreement with B and mortgage his (A's), estates for Rs.50,000 in place of the debt of Rs.1,00,000. This is a new contract and extinguishes the old.

42: A owes B Rs. 5,00,000. A pays to B Rs. 3,00,000 who accepts it in full satisfaction of the debt. The whole is discharged.

iii. | Discharge by impossibility of performance: The impossibility may exist from the very start. In that case, it would be impossibility ab initio. Alternatively, it may supervene. Supervening impossibility may take place owing to:

(a) an unforeseen change in law;
(b) the destruction of the subject-matter essential to that performance;
(c) the non-existence or non-occurrence of particular state of things, which was naturally contemplated for performing the contract, as a result of some personal incapacity like dangerous malady;
(d) the declaration of a war (Section 56).

Example

43: A agrees with B to discover a treasure by magic. The agreement is void due to initial impossibility.
44: A and B contract to marry each other. Before the time fixed for the marriage, A goes mad. The contract becomes void.
45: A contracts to act at a theatre for six months in consideration of a sum paid in advance by B. On several occasions A is too ill to act. The contract to act on those occasions becomes void.
46: X agrees to sell his horse to Y for Rs. 5,000 but the horse died in an accident. Here, it become impossible to perform the contract due to destruction of the subject. Thus, a valid contract changes into void contract because of impossibility of performance.

iv. | Discharge by lapse of time: A contract should be performed within a specified period as prescribed by the Limitation Act, 1963. If it is not performed and if no action is taken by the promisee within the specified period of limitation, he is deprived of remedy at law.

Example

47: If a creditor does not file a suit against the buyer for recovery of the price within three years, the debt becomes time-barred and hence irrecoverable.

v. | Discharge by operation of law: A contract may be discharged by operation of law which includes by death of the promisor, by insolvency etc.

vi. | Discharge by breach of contract: Breach of contract may be actual breach of contract or anticipatory breach of contract. If one party defaults in performing his part of the contract on the due date, he is said to have committed breach thereof. When on the other hand, a person repudiates a contract before the stipulated time for its performance has arrived, he is deemed to have committed anticipatory breach. If one of the parties to a contract breaks the promise the party injured thereby, has not only a right of action for damages but he is also discharged from performing his part of the contract.

Example

48: A contracted with B to supply 100 kgs of rice on 1st June. But A failed to deliver the same on said date. This is actual breach of contract. If time is not essential essence of contract B can give him another date for supply of goods and he will not be liable to claim for any damages if prior notice for the same is not given to A while giving another date.

vii. | Promisee may waive or remit performance of promise: Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him, or may extend the time for such performance or may accept instead of it any satisfaction which he thinks fit. In other words, a contract may be discharged by remission. (Section 63)

Example

49: A owes B Rs. 5,00,000. C pays to B Rs. 1,00,000 and B accepts them, in satisfaction of his claim on A. This payment is a discharge of the whole claim.

viii. | **Effects of neglect of promisee to afford promisor reasonable facilities for performance:** If any promisee neglects or refuses to afford the promisor reasonable facilities for the performance of his promise, the promisor is excused by such neglect or refusal as to any non-performance caused thereby. (Section 67)

ix. | **Merger of rights:** Sometimes, the inferior rights and the superior rights coincide and meet in one and the same person. In such cases, the inferior rights merge into the superior rights. On merger, the inferior rights vanish and are not required to be enforced.

Example

50: A took a land on lease from B. Subsequently, A purchases that very land. Now, A becomes the owner of the land and the ownership rights being superior to rights of a lessee, the earlier contract of lease stands terminated.

THEORY QUESTIONS

Question 1: **(MTP - June 19 - 7 Marks, Nov 19, May 21 - 6 Marks)**

State the grounds upon which a contract may be discharged under the provisions of the Indian Contract Act, 1872

MULTIPLE CHOICE QUESTIONS

1. On the valid performance of the contractual obligations by the parties, the contract.
   (a) Is discharged (b) Becomes enforceable
   (c) Becomes void (d) None of these

2. Which of the following person can perform the contract?
   (a) Promisor alone (b) Legal representatives of promisor
   (c) Agent of the promisor (d) All of these

3. A contract is discharge by novation which means the
   (a) cancellation of the existing contract
   (b) change in one or more terms of the contract
   (c) substitution of existing contract for a new one
   (d) none of these

4. A contract is discharge by rescission which means the
   (a) change in one or more terms of the contract (b) acceptance of lesser performance
   (c) abandonment of rights by a party (d) cancellation of the existing contract

5. If a person accepts a lesser sum of money than what was contracted for in discharge of the whole debt, it is know as:
   (a) Waiver (b) Rescission (c) Alteration (d) Remission

6. Novation discharges a contract
   (a) No, it means, no new contract comes to existence
   (b) No, it means, new contract comes to existence, but old contract is not discharged
   (c) Yes, on novation, old contract is discharged and consequently it need not be performed
   (d) Yes, but only if parties agreed to discharge.

7. Novation and alteration are same
   (a) True, both result in discharging old contract.
   (b) False, novation discharges old contract, in alteration, the obligation remains.
   (c) False, however, both may have the effect of substituting a new contract for the old one
   (d) None of the above

8. A, B and C jointly promised to pay Rs. 60,000 to D. before performance of the contract, C dies. Here, the contract
   (a) Becomes void on C's death
   (b) Should be performed by A and B along with C's legal representatives
   (c) Should be performed by A and B alone
   (d) Should be renewed between A, B and D.

9. Vivaan lives on rent in a house owned by Swasti. Later he purchases the house from Swasti. The rent agreement is discharged due to:
   (a) Waiver of rights
   (b) Novation of contract
   (c) Merger of rights
   (d) Remission of contract

10. When prior to the due date of performance, the promisor refuses to perform the contract, it is known as:
   (a) Novation of the contract
   (b) Anticipatory breach of contract
   (c) Actual breach of contract
   (d) waiver of contract

11. A owes Rs. 15000 to B. A die leaving his estate of Rs.12000. Legal representatives of A are:
   (a) liable to pay Rs. 12,000 to B
   (b) liable to pay Rs. 15,000 to B
   (c) not liable to pay B
   (d) liable to pay Rs. 3,000 to B

12. Rani contracted to teach dance to Shruti. Shruti paid an advance of Rs. 5000 for the same. Rani met with an accident and will not be able to dance. She has a daughter as her legal representative. Shruti can
   (a) force her daughter to teach her dance
   (b) rescind the contract and ask for refund of money
   (c) rescind the contract but cannot ask for refund
   (d) can sue Rani for non-performance of contract

Answers to MCQs

1.	(a)	2.	(d)	3.	(c)	4.	(d)	5.	(d)	6.	(c)
7.	(c)	8.	(b)	9.	(c)	10.	(b)	11.	(a)	12.	(b)

THE INDIAN CONTRACT ACT, 1872

UNIT -5 : BREACH OF CONTRACT AND ITS REMEDIES

Section Overview

Section : 39	Effect of refusal of party to perform promise wholly.
Section : 73	Compensation for Loss or Damage
Section : 74	Compensation for Breach where Penalty is Stipulated
Section : 75	Party Rightfully Rescinding Entitled to Compensation

- Breach means failure of a party to perform his or her obligation under a contract.
- Breach of contract may arise in two ways:
  (1) Actual breach of contract
  (2) Anticipatory breach of contract

5.1 ANTICIPATORY BREACH OF CONTRACT

- An anticipatory breach of contract is a breach of contract occurring before the time fixed for performance has arrived.
- When the promisor refuses altogether to perform his promise and signifies his unwillingness even before the time for performance has arrived, it is called Anticipatory Breach.
- Anticipatory breach of a contract may take either of the following two way:
  (a) Expressly by words spoken or written, and
  (b) Impliedly by the conduct of one of the parties.

Example

1: Where A contracts with B on 15th July, 2020 to supply 10 bales of cotton for a specified sum on 14th August, 2020 and on 30th July informs B, that he will not be able to supply the said cotton on 14th August, 2020, there is an express rejection of the contract.

2: Where A agrees to sell his white horse to B for Rs. 50,000/- on 10th of August, 2020, but he sells this horse to C on 1st of August, 2020, the anticipatory breach has occurred by the conduct of the promisor.

- Section 39 of the Indian Contract Act deals with anticipatory breach of contract and provides as follows-
  "When a party to a contract has refused to perform or disable himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, but words or conduct, his acquiescence in its continuance."

Effect of anticipatory breach: The promisee is excused from performance or from further performance. Further he gets an option:

(1) To either treat the contract as "rescinded and sue the other party for damages from breach of contract immediately without waiting until the due date of performance;

(2) He may elect not to rescind but to treat the contract as still operative, and wait for the time of performance and then hold the other party responsible for the consequences of non-performance. But in this case, he will keep the contract alive for the benefit of the other party as well as his own, and the guilty party, if he so decides on re-consideration, may still perform his part of the contract and can also take advantage of any supervening impossibility which may have the effect of discharging the contract.

THEORY QUESTIONS

Question 1: **(MTP - May 23, MTP-Nov 20, May 21-7 Marks)**

"An anticipatory breach of contract is a breach of contract occurring before the time fixed for performance has arrived". Also, discuss the effect of anticipatory breach on contracts.

Answer :

An anticipatory breach of contract is a breach of contract occurring before the time fixed for performance has arrived. When the promisor refuses altogether to perform his promise and signifies his unwillingness even before the time for performance has arrived, it is called Anticipatory Breach. The law in this regard has very well summed up in Frost v. Knight and Hochster v. DelaTour.

Effect of anticipatory breach: The promisee is excused from performance or from further performance. Further he gets an option:

(1) To either treat the contract as "rescinded and sue the other party for damages from breach of contract immediately without waiting until the due date of performance; or

(2) He may elect not to rescind but to treat the contract as still operative, and wait for the time of performance and then hold the other party responsible for the consequences of non - performance. But in this case, he will keep the contract alive for the benefit of the other party as well as his own, and the guilty party, if he so decides on re-consideration, may still perform his part of the contract and can also take advantage of any supervening impossibility which may have the effect of discharging the contract.

5.2 ACTUAL BREACH OF CONTRACT

- In contrast to anticipatory breach, it is a case of refusal to perform the promise on the scheduled date.
- The parties to a lawful contract are bound to perform their respective promises.
- But when one of the parties breaks the contract by refusing to perform his promise, he is said to have committed a breach.
- In that case, the other party to the contract obtains a right of action against the one who has refused to perform his promise.

Actual breach of contract may be committed-

(a) At the time when the performance of the contract is due.

Example

3: A agrees to deliver 100 bags of sugar to B on 1st February 2020. On the said day, he failed to supply 100 bags of sugar to B. This is actual breach of contract. The breach has been committed by A at the time when the performance becomes due.

(b) During the performance of the contract: Actual breach of contract also occurs when during the performance of the contract, one party fails or refuses to perform his obligation under it by express or implied act.

5.3 REMEDIES FOR BREACH OF CONTRACT

(1) Suit for Damages (Discussed in 5.4)

(2) Rescission of Contract

- When a contract is broken by one party, the other party may treat the contract as rescinded. In such a case he is absolved of all his obligations under the contract and is entitled to compensation for any damages that he might have suffered.

Example

4: A promises B to deliver 50 bags of cement on a certain day. B agrees to pay the amount on receipt of the goods. A failed to deliver the cement on the appointed day. B is discharged from his liability to pay the price.

(3) Suit for specific performance

- Where damages are not an adequate remedy in the case of breach of contract, the court may in its discretion on a suit for specific performance direct party in breach, to carry out his promise according to the terms of the contract.

THEORY QUESTIONS

Question 1: **(PEQ – Nov 2020 – 2 Marks)**

A & B entered into a contract to supply unique item, alternate of which is not available in the market. A refused to supply the agreed unique item to B. What directions could be given by the court for breach of such contract?

Answer:

Where there is a breach of contract for supply of a unique item, mere monetary damages may not be an adequate remedy for the other party. In such a case, the court may give order for specific performance and direct the party in breach to carry out his promise according to the terms of contract. Here, in this case, the court may direct A to supply the item to B because the refusal to supply the agreed unique item cannot be compensated through money.

(4) Suit for Injunction

- Where a party to a contract is negating the terms of a contract, the court may by issuing an 'injunction orders', restrain him from doing what he promised not to do.

Example

5: N, a film star, agreed to act exclusively for a particular producer, for one year. During the year she contracted to act for some other producer. Held, she could be restrained by an injunction.

6: A, a singer, agreed with B to perform at his theatre for two months, on a condition that during that period, he would not perform anywhere. In this case, B could move to the Court for grant of injunction restraining A from performing in other places.

(5) Suit upon quantum meruit

- Where one person has rendered service to another in circumstances which indicate an understanding between them that it is to be paid for although no particular remuneration has been fixed, the law will infer a promise to pay.
- Quantum Meruit i.e. as much as the party doing the service has deserved.
- It covers a case where the party injured by the breach had at time of breach done part but not all of the work which he is bound to do under the contract and seeks to be compensated for the value of the work done.
- For the application of this doctrine, two conditions must be fulfilled:
  (1) It is only available if the original contract has been discharged.
  (2) The claim must be brought by a party not in default.
- The object of allowing a claim on quantum meruit is to recompensate the party or person for value of work which he has done.
- Damages are compensatory in nature while quantum merit is restitutory.
- It is but reasonable compensation awarded on implication of a contract to remunerate.
- Where a person orders only 12 bottles of a whiskey from a wine merchant but also receives 2 bottles of brandy, and the purchaser accepts them, the purchaser must pay a reasonable price for the brandy.

The claim for quantum meruit arises in the following cases:

(a) When an agreement is discovered to be void or when a contract becomes void.

(b) When something is done without any intention to do so gratuitously.

(c) Where there is an express or implied contract to render services but there is no agreement as to remuneration.

(d) When one party abandons or refuses to perform the contract.

(e) Where a contract is divisible and the party not in default has enjoyed the benefit of part performance.

(f) When an indivisible contract for a lump sum is completely performed but badly the person who has performed the contract can claim the lump sum, but the other party can make a deduction for bad work.

Example

7: X wrongfully revoked Y's (his agent) authority before Y could complete his duties. Held, Y could recover, as a quantum meruit, for the work he had done and the expenses he had incurred in the course of his duties as an agent.

8: A agrees to deliver 100 bales of cottons to B at a price of Rs.1000 per bale. The cotton bales were to be delivered in two instalments of 50 each. A delivered the first instalment but failed to supply the second. B must pay for 50 bags.

THEORY QUESTIONS

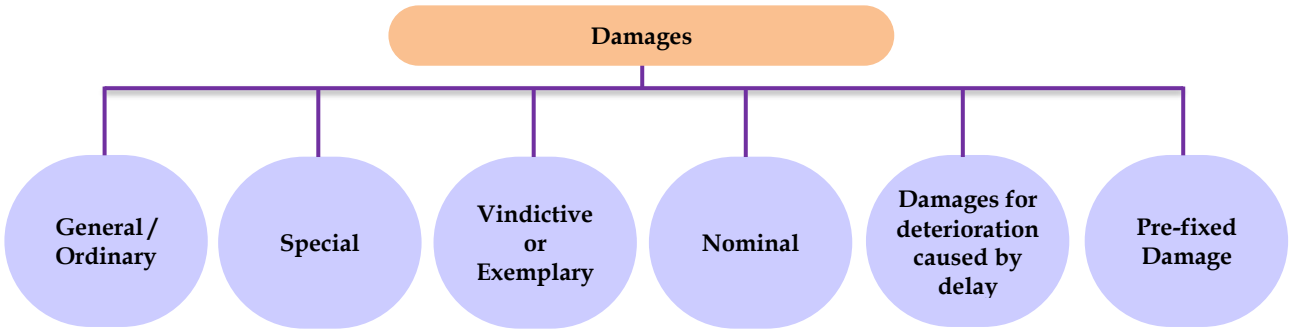
Question 1: **(RTP- May 20)**

What do you mean by Quantum Meruit and state the cases where the claim for Quantum Meruit arises?

Question 2: **(PEQ-Sep.25-6 Marks)**

What is the meaning of the term Quantum Meruit? Explain any four cases in which a claim for Quantum Meruit can arise.

5.4 SUIT FOR DAMAGES



(i) Ordinary damages [Section 73]

- When a contract has been broken,
- the party who suffers by such breach is entitled to receive,
- from the party who has broken the contract,
- compensation for any loss or damage cause to him thereby,
- which naturally arose in the usual course of things from such breach,
- or which the parties know, when they made the contract, to be likely to result from the breach of it:
- Such compensation is not to be given for any remote and indirect loss or damage sustained by reasons of the breach.

Example

9: A agrees to sell to B bags of rice at Rs. 5,000 per bag, delivery to be given after two months. On the date of delivery, the price of rice goes up to Rs. 5,500 per bag. A refuse to deliver the bags to B. B can claim from A Rs. 500 as ordinary damages arising directly from the breach.

Case law

HADLEY vs. BAXENDALE-

Facts: The crankshaft of H's flour mill had broken. He gives it to B, a common carrier who promised to deliver it to the foundry in 2 days where the new shaft was to be made. The mill stopped working, B delayed the delivery of the crankshaft so the mill remained idle for another 5 days. H received the repaired crankshaft 7 days later than he would have otherwise received. Consequently, H sued B for damages not only for the delay in the delivering the broken part but also for loss of profits suffered by the mill for not having been worked.

The court held that H was entitled only to ordinary damages and B was not liable for the loss of profits because the only information given by H to B was that the article to be carried was the broken shaft of a mill and it was not made known to them that the delay would result in loss of profits.

(ii) Special damages:

- Where a party to a contract receives a notice of special circumstances affecting the contract,
- He will be liable not only for damages arising naturally and directly from the breach but also for special damages.

Example

10: 'A' delivered a machine to 'B', a common carrier, to be conveyed to 'A's mill without delay. 'A' also informed 'B' that his mill was stopped for want of the machine. 'B' unreasonably delayed the delivery of the machine, and in consequence 'A' lost a profitable contract with the Government.

In this case, 'A' is entitled to receive from 'B', by way of compensation, the average amount of profit, which would have been made by running the mill during the period of delay. But he cannot recover the loss sustained due to the loss of the Government contract, as 'A's contract with the Government was not brought to the notice of 'B'.

(iii) Vindictive or Exemplary damages

- These damages may be awarded only in two cases -

(a) for breach of promise to marry because it causes injury to his or her feelings; and

(b) for wrongful dishonour by a banker of his customer's cheque because in this case the injury due to wrongful dishonour to the drawer of cheque is so heavy that it causes loss of credit and reputation to him. A business man whose credit has suffered will get exemplary damages even if he has sustained no pecuniary loss. But a non-trader cannot get heavy damages in the like circumstances, unless the damages are alleged and proved as special damages. (Gibbons v West Minister Bank)

THEORY QUESTIONS

Question 1: **(RTP – Nov 22)**

In the light of the provisions of the Indian Contract Act, 1872, answer the following:

Give the circumstances as to when "Vindictive or Exemplary Damages" may be awarded for breach of a contract.

(iv) Nominal damages:

- Nominal damages are awarded where the plaintiff has proved that there has been a breach of contract but he has not in fact suffered any real damage.
- It is awarded just to establish the right to decree for the breach of contract. The amount may be a rupee or even 10 paise.

(v) Damages for deterioration caused by delay:

- In the case of deterioration caused to goods by delay, damages can be recovered from carrier even without notice.
- The word 'deterioration' not only implies physical damages to the goods but it may also mean loss of special opportunity for sale.

(vi) Pre-fixed damages:

- Sometimes, parties to a contract stipulate at the time of its formation that on a breach of contract by any of them, a certain amount will be payable as damage.
- It may amount to either liquidated damages (i.e., a reasonable estimate of the likely loss in case of breach) or a penalty (i.e., an amount arbitrarily fixed as the damages payable).
- Section 74 provides that if a sum is named in a contract as the amount to be paid in case of a breach, the aggrieved party is entitled to receive from the party at fault a reasonable compensation not exceeding the amount so named.

Example

11: If the penalty provided by the contract is Rs.1,00,000 and the actual loss because of breach is Rs.70,000, only Rs.70,000 shall be available as damages, i.e., the amount of actual loss and not the amount stipulated. But if the loss is, say, Rs.1,50,000, then only, Rs.1,00,000 shall be recoverable.

12: X promised Y, a priest, to pay Rs.10,000 as charity. The priest on X's promise incurred certain liabilities towards the repairing of the temple to the extent of Rs. 7,500. Y, the priest, can recover from X Rs.7,500.

THEORY QUESTIONS

Question 1: **(MTP-June 19-5 Marks)**

In the light of the provisions of the Indian Contract Act, 1872, answer the following:
When a contract has been broken, the party who suffers by such a breach is entitled to receive compensation for any loss or damage caused to him". Discuss.

Answer :

Compensation for loss or damage caused by breach of contract (Section 73)
When a contract has been broken,

(1) the party who suffers by such a breach
(2) is entitled to receive,
(3) from the party who has broken the contract,
(4) compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach,
(5) or which the parties knew, when they made the contract, to be likely to result from the breach of it.
(6) Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.
(7) In view of above, the statement given in the question seems to be incorrect.

Question 2: **(RTP- Nov 19)**

What is the law relating to determination of compensation, on breach of contract, contained in section 73 of the Indian Contract Act, 1872?

CASE BASED QUESTIONS

Question 1: **(MTP - June 19 - 6 Marks, RTP - Nov 20)**

'X' entered into a contract with 'Y' to supply him 1,000 water bottles @Rs.5.00 per water bottle, to be delivered at a specified time.

Thereafter, 'X' contracts with 'Z' for the purchase of 1,000 water bottles @Rs.4.50 per water bottle, and at the same time told 'Z' that he did so for the purpose of performing his contract entered into with 'Y'. 'Z' failed to perform his contract in due course and market price of each water bottle on that day was Rs.5.25 per water bottle.

Consequently, 'X' could not procure any water bottle and 'Y' rescinded the contract. Calculate the amount of damages which 'X' could claim from 'Z' in the circumstances?

What would be your answer if 'Z' had not informed about the 'Y's contract? Explain with reference to the provisions of the Indian Contract Act, 1872.

Answer:

(i) BREACH OF CONTRACT- DAMAGES: Section 73 of the Indian Contract Act, 1872 lays down that when a contract has been broken, the party who suffers by such breach is entitled to receive from the party who has broken the contract compensation for any loss or damage caused to him thereby which naturally arose in the usual course of things from such breach or which the parties knew when they made the contract to be likely to result from the breach of it.

(ii) The leading case on this point is "Hadley v. Baxendale" in which it was decided by the Court that the special circumstances under which the contract was actually made were communicated by the plaintiff to the defendant, and thus known to both the parties to the contract, the damages resulting from the breach of such contract which they would reasonably contemplate, would be the amount of injury which would ordinarily follow from the breach of contract under these special circumstances so known and communicated.

(iii) The problem asked in this question is based on the provisions of Section 73 of the Indian Contract Act, 1872. In the instant case 'X' had intimated to 'Z' that he was purchasing water bottles from him for the purpose of performing his contract with 'Y'. Thus, 'Z' had the knowledge of the special circumstances. Therefore, „X" is entitled to claim from „Z" Rs. 500/- at the rate of 0.50 paise i.e. 1000 water bottles x 0.50 paise (difference between the procuring price of water bottles and contracted selling price to 'Y') being the amount of profit 'X' would have made by the performance of his contract with 'Y'.

(iv) If 'X' had not informed 'Z' of 'Y's contract, then the amount of damages would have been the difference between the contract price and the market price on the day of default. In other words, the amount of damages would be Rs. 750/- (i.e. 1000 water bottles x 0.75 paise).

Question 2: **(MTP-Nov.19-3 Marks)**

K entered into a contract with P for the purchase of 1000 bags of rice at the rate of Rs.1,000 per bag. P has not supplied the goods within the due date and due to this K suffered a loss of Rs.1,00,000 as he has to purchase these bags at the rate of Rs. 1,100 per bag from the market to deliver the same to its customers. Decide how much compensation can be claimed by K from P.

Answer :

1. The given problem is related to compensation for loss or damage caused by breach of contract covered under section 73 of the Indian Contract Act, 1872.
2. According to the provision, when a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.
3. In estimating the loss or damage arising from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account.

   Discussion & Conclusion: Given facts states that K entered into contract with P for purchase of 1000 bags of rice at the rate of Rs. 1,000 per bag. P breaks his promise as to supply of goods within the due date. This act of P resulted loss to K of Rs. 1,00,000 as he has to purchase these bags @ of Rs. 1,100 per bag from market to deliver it further to its customers.

Accordingly, as per the provision in the given situation, K is entitled to receive from P by way of compensation, the sum, by which the contract price falls short of the price (i.e., @ Rs. 100 per bag) from the market price on the day of default. The amount of damages will be Rs. 1,00,000 (i.e., 1000 of rice bags x Rs. 100).

Question 3: **(RTP- May 18)**

PM Ltd., contracts with Gupta Traders to make and deliver certain machinery to them by 30th June 2017 for Rs. 21.50 Lakhs. Due to labour strike, PM Ltd. could not manufacture and deliver the machinery to Gupta Traders.

Later Gupta Traders procured the machinery from another manufacturer for Rs. 22.75 lakhs. Gupta Traders was also prevented from performing a contract which it had made with Zenith Traders at the time of their contract with PM Ltd. and were compelled to pay compensation for breach of contract. Calculate the amount of compensation which Gupta Traders can claim from PM Ltd., referring to the legal provisions of the Indian Contract Act, 1872.

Answer :

Section 73 of the Indian Contract Act, 1872 provides for compensation for loss or damage caused by breach of contract. According to it, when a contract has been broken, the party who suffers by such a breach is entitled to receive from the party who has broken the contract, compensation for any loss or damage caused to him thereby which naturally arose in the usual course of things from such breach or which the parties knew when they made the contract, to be likely to result from the breach of it.

Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.

It is further provided in the explanation to the section that in estimating the loss or damage from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account.

Applying the above principle of law to the given case, PM Ltd. is obliged to compensate for the loss of Rs.1.25 lakhs (i.e. Rs. 22.75 lakhs – Rs. 21.50 lakhs) which had naturally arisen due to default in performing the contract by the specified date.

Regarding the amount of compensation which Gupta Traders were compelled to make to Zenith Traders, it depends upon the fact whether PM Ltd. knew about the contract of Gupta Traders for supply of the contracted machinery to Zenith Traders on the specified date. If so, PM Ltd. is also obliged to reimburse the compensation which Gupta Traders had to pay to Zenith Traders for breach of contract. Otherwise PM Ltd. is not liable for that.

Question 4: **(May 18-6 Marks)**

M Ltd., contract with Shanti Traders to make and deliver certain machinery to them by 30.6.2017 for Rs. 11.50 lakhs. Due to labour strike, M Ltd. could not manufacture and deliver the machinery to Shanti Traders. Later, Shanti Traders procured the machinery from another manufacturer for Rs. 12.75 lakhs.

Due to this Shanti Traders was also prevented from performing a contract which it had made with Zenith Traders at the time of their contract with M Ltd. and were compelled to pay compensation for breach of contract. Advise Shanti Traders the amount of compensation which it can claim from M Ltd., referring to the legal provisions of the Indian Contract Act, 1872.

Answer :

Section 73 of the Indian Contract Act, 1872 provides for consequences of breach of contract. According to it, when a contract has been broken, the party who suffers by such breach is entitled to receive from the party who has broken the contract, compensation for any loss or damage caused to him thereby which naturally arose in the usual course of things from such breach or which the parties knew when they made the contract, to be likely to result from the breach of it.

Such compensation is not given for any remote and indirect loss or damage sustained by reason of the breach. It is further provided in the explanation to the section that in estimating the loss or damage from a breach of contract, the means which existed of remedying the inconvenience caused by the non- performance of the contract must be taken into account.

Applying the above principle of law to the given case, M Ltd. is obliged to compensate for the loss of Rs. 1.25 lakh (i.e. Rs. 12.75 minus Rs. 11.50 = Rs. 1.25 lakh) which had naturally arisen due to default in performing the contract by the specified date.

Regarding the amount of compensation which Shanti Traders were compelled to make to Zenith Traders, it depends upon the fact whether M Ltd., knew about the contract of Shanti Traders for supply of the contracted machinery to Zenith Traders on the specified date. If so, M Ltd is also obliged to reimburse the compensation which Shanti Traders had to pay to Zenith Traders for breach of contract. Otherwise M Ltd is not liable.

Question 5: **(MTP – May 22- 4 Marks)**

Mr. Murti was travelling to Manali with his wife by bus of Himalya Travels Pvt. Ltd. Due to some technical default in the bus, the driver has to stop the bus in a mid way in cold night.

Driver advised the passenger to get the shelter in nearest hotel which was at a distance of only one kilometre from that place.

The wife of Mr. Murti caught cold and fell ill due to being asked to get down and she had to walk in cold night to reach hotel. Mr. Murti filed the suit against Himalya Travels Pvt. Ltd. for damages for the personal inconvenience, hotel charges and medical treatment for his wife. Explain, whether Mr. Murti would get compensation for which he filed the suit?

Answer:

Section 73 of Indian Contract Act, 1872 provides that when a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.

But such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.

In the instant case, Mr. Murti filed the suit against Himalya Travels Pvt. Ltd. for damages for the personal inconvenience, hotel charges and medical treatment for his wife.

On the basis of above provisions and facts of the case, it can be said that Mr. Murti can claim damages for the personal inconvenience and hotel charges but not for medical treatment for his wife because it is a remote or indirect loss.

Question 6: **(MTP MAY-23-4 Marks)**

Mr. Harish was travelling to Shimla with his wife by bus of Himalya Travels Pvt. Ltd. Due to some technical default in the bus, the driver has to stop the bus in a mid-way in cold night. The driver advised the passengers to get to the shelter in the nearest hotel which was at a distance of only one kilometer from that place. The wife of Mr. Harish caught cold and fell ill due to being asked to get down and she had to walk in cold night to reach hotel. Mr. Harish filed the suit against Himalya Travels Pvt. Ltd. for damages for the personal inconvenience, hotel charges and medical treatment for his wife. Explain, whether Mr. Harish would get compensation for which he filed the suit under the Indian Contract Act, 1872?

Question 7: **(MTP-Nov 22, RTP – May 22-6 Marks)**

Seema was running a boutique in New Delhi. She has to deliver some cloth to her friend Kiran who was putting up an exhibition at Mumbai. Seema delivered the sewing machine and some cloth to a railway company to be delivered at a place where the exhibition was to be held.

Seema expected to earn an exceptional profit from the sales made at this exhibition however she did not bring this fact to the notice of the railway's authorities. The goods were delivered at the place after the conclusion of the exhibition. On account of such breach of contract by railways authorities, can Seema recover the loss of profits under the Indian Contract Act, 1872?

Answer:

As per Section 73 to 75 of Indian Contract Act, 1872, Damage means a sum of money claimed or awarded in compensation for a loss or an injury. Whenever a party commits a breach, the aggrieved party can claim the compensation for the loss so suffered by him.

General damages are those which arise naturally in the usual course of things from the breach itself. (Hadley Vs Baxendale).

Therefore, when breach is committed by a party, the defendant shall be held liable for all such losses that naturally arise in the usual course of business. Such damages are called ordinary damages.

However, special damages are those which arise in unusual circumstances affecting the aggrieved party and such damages are recoverable only when the special circumstances were brought to the knowledge of the defendant.

If no special notice is given, then the aggrieved party can only claim the ordinary damages.
In the given case, Seema was to earn an exceptional profit out of the sales made at the exhibition, however she never informed about it to the railway authorities. Since the goods were delivered after the conclusion of the exhibition, therefore Seema can recover only the losses arising in the ordinary course of business. Since no notice about special circumstances was given to railways authorities, she could not recover the loss of profits.

Question 8: **(PEQ-DEC 23-3 Marks)**

On 1st March 2023, T Readymade Dress Garments, Shimla enters into a contract with J Readymade Garments, Jaipur for the supply of different sizes of shirts 'S' (Small), 'M' (Medium), and 'L' (Large). As per the terms of the contract, 300 pieces of each category i.e. 'S' @₹900; 'M'@ 1,000 and 'L' @ 1,100 per piece have to be supplied on or before 31st May, 2023.
However, on 1st May, 2023, T Readymade Dress Garments, Shimla informed J Readymade Garments, Jaipur that the firm is not willing to supply the shirts at the above rate due to the rise of prices in the raw material cost.
In the meantime, prices for similar shirts have gone up in the market to the tune of ₹ 1,000; ₹1,100; and ₹1,200 for 'S', 'M' and 'L' sizes respectively.
Examine the rights of J Readymade Garments, Jaipur in this regard as per the provisions of the Indian Contract Act, of 1872.

Answer:

As per the provisions of Section 39 of the Indian Contract Act, 1872, when a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance.
J Readymade Garments in the given situation has two options, out of which he has to select any one:

(i) Either to treat the contract as rescinded and sue T Readymade Dress Garments for damages from breach of contract immediately without waiting until the due date of performance or

(ii) He may elect not to rescind but to treat the contract as still operative and wait for the time of performance and then hold the other party responsible for the consequences of non-performance.

Important Note: The answer can also be given as per Section 73 of the Indian Contract Act, 1872 which lays down that when a contract has been broken, the party who suffers by such breach is entitled to receive from the party who has broken the contract, compensation for any loss or damage caused to him thereby which naturally arose in the usual course of things from such breach or which the parties knew when they made the contract to be likely to result from the breach of it.
In the instant case, J Readymade Garments, Jaipur would be entitled to get the damages i.e. difference between the contract price and the market price on the day of default from T Readymade Dress Garments, Shimla. In other words, the amount of damages would be ₹ 90,000 [300 piece @ ₹ 100 (Small), 300 piece @ ₹ 100 (Medium) and 300 piece @ ₹ 100 (Large)].

5.5 PENALTY AND LIQUIDATED DAMAGES- Section 74

The parties to a contract may provide before hand, the amount of compensation payable in case of failure to perform the contract. In such cases, the question arises whether the courts will accept this figure as the measure of damage.

English Law:

According to English law, the sum so fixed in the contract may be interpreted either as liquidated damages or as a penalty.

- **Liquidated Damages:**
  If the sum fixed in the contract represents a genuine pre-estimate by the parties of the loss, which would be caused by a future breach of the contract it is liquidated damages. It is an assessment of the amount which in the opinion of the parties will compensate for the breach. Such a clause is effective and the amount is recoverable.

- **Penalty:**
  But where the sum fixed in the contract is unreasonable and is used to force the other party to perform the contract; it is penalty. Such a clause of disregarded and the injured party cannot recover more than the actual loss.

Indian Law:

- Indian law makes no distinction between 'penalty 'and liquidated damages'.
- The Courts in India award only a reasonable compensation not exceeding the sum so mentioned in the contract.
- Section 74 of the Contract Act lays down if the parties have fixed what the damages will be, the courts will never allow more.
- But the court may allow less.
- A decree is to be passed only for reasonable compensation not exceeding the sum named by the parties.
- Thus, Section 74 entitles a person complaining of breach of contract to get reasonable compensation and does not entitle him to realise anything by way of penalty.

Exception:

- Where any person gives any bond to the Central or State government for the performance of any public duty or act in which the public are interested, on breach of the condition of any such instrument, he shall be liable to pay the whole sum mentioned therein.

Example

13: A contracts with B, that if A practices as a surgeon in Kolkata, he will pay B Rs.50,000. A practice as a surgeon at Kolkata, B is entitled to such compensation not exceeding Rs.50,000 as the court considers reasonable.

14: A borrows Rs.10,000 from B and gives him a bond for Rs.20,000 payable by five yearly instalments of Rs.4,000 with a stipulation that in default of payment, the whole shall become due. This is a stipulation by way of penalty.

15: A undertakes to repay B, a loan of Rs.10,000 by five equal monthly instalments with a stipulation that in default of payment of any instalment, the whole shall become due. This stipulation is not by way of penalty and the contract may be enforced according to its terms.

Distinction between liquidated damages and penalty

Penalty and liquidated damages have one thing in common that both are payable on the occurrence of a breach of contract.

It is very difficult to draw a clear line of distinction between the two but certain principles as laid down below may be helpful.

1. If the sum payable is so large as to be far in excess of the probable damage on breach, it is certainly a penalty.
2. Where a sum is expressed to be payable on a certain date and a further sum in the event of default being made, the latter sum is a penalty because mere delay in payment is unlikely to cause damage.
3. The expression used by the parties is not final. The court must find out whether the sum fixed in the contract is in truth a penalty or liquidated damages. If the sum fixed is extravagant or exorbitant, the court will regard it is as a penalty even if, it is termed as liquidated damages in the contract.
4. The essence of a penalty is payment of money stipulated as a terrorem of the offending party. The essence of liquidated damages is a genuine pre-estimate of the damage.

5. English law makes a distinction between liquidated damages and penalty, but no such distinction is followed in India. The courts in India must ascertain the actual loss and award the same which amount must not, however exceed the sum so fixed in the contract. The courts have not to bother about the distinction but to award reasonable compensation not exceeding the sum so fixed.

Section 75 - Party rightfully rescinding contract, entitled to compensation

A person who rightfully rescinds a contract is entitled to compensation for any damage which he has sustained through non-fulfilment of the contract.

Example

16: A, a singer, contracts with B, the manager of a theatre, to sing at his theatre for two nights in every week during the next two months, and B engages to pay her Rs.100 for each night's performance. On the sixth night, A wilfully absents herself from the theatre, and B, in consequence, rescinds the contract. B is entitled to claim compensation for the damage which he has sustained through the non¬fulfilment of the contract.

THEORY QUESTIONS

Question 1: **(PEQ – May 22, RTP- May 21 - 5 Marks)**

"Liquidated damage is a genuine pre-estimate of compensation of damages for certain anticipated breach of contract whereas Penalty on the other hand is an extravagant amount stipulated and is clearly unconscionable and has no comparison to the loss suffered by the parties". Explain.

Answer :

Liquidated damage is a genuine pre-estimate of compensation of damages for certain anticipated breach of contract. This estimate is agreed to between parties to avoid at a later date detailed calculation and the necessity to convince outside parties.

Penalty on the other hand is an extravagant amount stipulated and is clearly unconscionable and has no comparison to the loss suffered by the parties.

In terms of Section 74 of the Act "where a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damages or loss is proved to have been caused thereby, to receive from the other party who has broken the contract, a reasonable compensation not exceeding the amount so named, or as the case may be the penalty stipulated for.

Explanation to Section 74

A stipulation for increased interest from the date of default may be a stipulation by way of penalty.

In terms of Section 74, courts are empowered to reduce the sum payable on breach whether it is 'penalty' or "liquidated damages" provided the sum appears to be unreasonably high.

Sri ChunniLal vs. Mehta & Sons Ltd (Supreme Court)

Supreme Court laid down the ratio that the aggrieved party should not be allowed to claim a sum greater than what is specific in the written agreement. But even then, the court has powers to reduce the amount if it considers it reasonable to reduce.

the court may direct A to supply the item to B because the refusal to supply the agreed unique item cannot be compensated through money.

CASE BASED QUESTIONS

Question 1: **(RTP- May 21)**

In light of provisions of the Indian Contract Act, 1872 answer the following:

(i) Mr. S and Mr. R made contract wherein Mr. S agreed to deliver paper cup manufacture machine to Mr. R and to receive payment on delivery. On the delivery date, Mr. R didn't pay the agreed price. Decide whether Mr. S is bound to fulfil his promise at the time of delivery?

(ii) Mr. Y has given loan to Mr. G of Rs. 30,00,000. Mr. G defaulted the loan on due date and debt became time barred. After the time barred debt, Mr. G agreed to settle the full amount to Mr. Y. Whether acceptance of time barred debt contract is enforceable in law?

(iii) A & B entered into a contract to supply unique item, alternate of which is not available in the market. A refused to supply the agreed unique item to B. What directions could be given by the court for breach of such contract?

Answer :

(i) As per Section 51 of the Indian Contract Act, 1872, when a contract consists of reciprocal promises to be simultaneously performed, no promisor needs to perform his promise unless the promisee is ready and willing to perform his reciprocal promise. Such promises constitute concurrent conditions and the performance of one of the promise is conditional on the performance of the other. If one of the promises is not performed, the other too need not be performed.

Referring to the above provisions, in the given case, Mr. S is not bound to deliver goods to Mr. R since payment was not made by him at the time of delivery of goods.

(ii) Promise to pay time-barred debts - Section 25 (3): Where there is an agreement, made in writing and signed by the debtor or by his agent, to pay wholly or in part a time barred debt, the agreement is valid and binding even though there is no consideration.

In the given case, the loan given by Mr. Y to Mr. G has become time barred. Thereafter, G agreed to make payment of full amount to Mr. Y.

Referring to above provisions of the Indian Contract Act, 1872 contract entered between parties post time barred debt is valid so, Mr. G is bound to pay the agreed amount to Mr. Y provided the above mentioned conditions of section 25 (3) are fulfilled.

(iii) Where there is a breach of contract for supply of a unique item, mere monetary damages may not be an adequate remedy for the other party. In such a case the court may give order for specific performance and direct the party in breach to carry out his promise according to the terms of contract. Here, in this case,

MULTIPLE CHOICE QUESTIONS

1. When prior to the due date of performance, the promisor absolutely refuses to perform the contract, it is known as
   (a) abandonment of contract (b) remission of Contract
   (c) actual breach of contract (d) anticipatory breach of contract

2. In case of anticipatory breach, the aggrieved party may treat the contract
   (a) as discharged and bring an immediate action for damages
   (b) as operative and wait till the time for performance arrives
   (c) exercise option either (a) or (b)
   (d) only option (a) is available

3. In case of breach of contract, which of the following remedy is available to the aggrieved party?
   (a) Suit for rescission (b) Suit for damages
   (c) Suit for specific performance (d) All of these

4. Sometimes, a party is entitled to claim compensation in proportion to the work done by him. It is possible by a suit for
   (a) Damage (b) injunction (c) quantum meruit (d) none of these

5. Generally, the following damages are not recoverable?
   (a) Ordinary damages (b) Special damages (c) Remote damages (d) Nominal damages

6. Damages which arise naturally in usual course of things from breach itself are called:
   (a) Special damages (b) Liquidated damages
   (c) Nominal damages (d) General damages

7. A contracted to supply 200 bags of rice to B on 30th December, 2019. After supplying 20 bags of rice, a informed B that he will not supply remaining bags of rice to B. In this case,
   (a) There is anticipatory breach of contract (b) There is actual breach of contract
   (c) Both of the above (d) None of the above

8. Where the Court orders the defaulting party to carry out the promise according to the terms of the contract, it is called
   (a) Quantum Meruit (b) Rescission
   (c) Injunction (d) Specific Performance

9. Quantum Meruit means
   (a) a non-gratuitous promise (b) as gratuitous promise
   (c) as much as is earned (d) as much as is paid

10. Wrongful dishonor of cheque by a banker having sufficient funds in the account of customer, the court may award;
    (a) Mitigation of damages (b) contemptuous damages
    (c) Quantum Meruit (d) exemplary damages

Answers to MCQs

1.	(d)	2.	(c)	3.	(d)	4.	(c)	5.	(c)
6.	(d)	7.	(b)	8.	(d)	9.	(c)	10.	(d)

THE INDIAN CONTRACT ACT, 1872

UNIT -6 : CONTINGENT AND QUASI CONTRACTS

Section Overview

Section : 31	Contingent contracts
Section : 32	Enforcement of contingent contract on event happening
Section : 33	Enforcement of contracts contingent on an event not happening.
Section : 34	Event dependent on conduct of person
Section : 35	Contracts contingent on future event
Section : 36	Agreement contingent on impossible events void.
Section : 68	Claim for necessaries supplied to person incapable of contracting
Section : 69	Reimbursement for payment on another's behalf
Section : 70	Obligation of person enjoying benefit of non-gratuitous act
Section : 71	Responsibility of finder of goods.
Section : 72	Liability of person to whom money is paid, or thing delivered, by mistake

6.1 CONTINGENT CONTRACTS - Section 31

- A contract may be absolute or a contingent.
- An Absolute contract is one where the promisor undertakes to perform the contract in any event without any condition.

Definition of 'Contingent Contract'

- "A contract to do or not to do something,
- if some event, collateral to such contract,
- does or does not happen".

Contracts of Insurance, indemnity and guarantee fall under this category.

Example

1: A contracts to pay B Rs.1,00,000 if B's house is burnt. This is a contingent contract.
2: A makes a contract with B to buy his house for Rs.5,00,000 if he is able to secure to bank loan for that amount. The contract is contingent contract.

Meaning of collateral Event

"an event which is neither a performance directly promised as part of the contract, nor the whole of the consideration for a promise".

Example

3: A contracts to pay B Rs. 100,000 if B's house is burnt. This is a contingent contract. Here the burning of the B's house is neither a performance promised as part of the contract nor it is the consideration obtained from B. The liability of A arises only on the happening of the collateral event.
4: A agrees to transfer his property to B if her wife C dies. This is a contingent contract because the property can be transferred only when C dies.

Essentials of a contingent contract

a. | The performance of a contingent contract would depend upon the happening or non-happening of some event or condition. The condition may be precedent or subsequent.

Example

5: 'A' promises to pay Rs. 50,000 to 'B' if it rains on first of the next month.

b. | The event referred to as collateral to the contract. The event is not part of the contract. The event should be neither performance promised nor a consideration for a promise.

Thus,

(i) where A agrees to deliver 100 bags of wheat and B agrees to pay the price only afterwards, the contract is a conditional contract and not contingent; because the event on which B's obligation is made to depend is part of the promise itself and not a collateral event.

(ii) Similarly, where A promises to pay B Rs.1,00,000 if he marries C, it is not a contingent contract.

(iii) 'A' agreed to construct a swimming pool for 'B' for Rs.200,000. And 'B' agreed to make the payment only on the completion of the swimming pool. It is not a contingent contract as the event (i.e. construction of the swimming pool) is directly connected with the contract.

c. | The contingent event should not be a mere 'will' of the promisor. The event should be contingent in addition to being the will of the promisor.

Example

6: If A promises to pay B Rs. 100,000, if he so chooses, it is not a contingent contract. (In fact, it is not a contract at all). However, where the event is within the promisor's will but not merely his will, it may be contingent contract.

7: If A promises to pay B Rs. 100,000 if it rains on 1st April and A leave Delhi for Mumbai on a particular day, it is a contingent contract, because going to Mumbai is an event no doubt within A's will, but raining is not merely his will.

d. | The event must be uncertain. Where the event is certain or bound to happen, the contract is due to be performed, then it is a not contingent contract.

Example

8: 'A' agreed to sell his agricultural land to 'B' after obtaining the necessary permission from the collector. As a matter of course, the permission was generally granted on the fulfilment of certain formalities. It was held that the contract was not a contingent contract as the grant of permission by the collector was almost a certainty.

THEORY QUESTIONS

Question 1: **(MTP - Nov 20 - 5 Marks, RTP - May 20)**

Explain the meaning of 'Contingent Contracts' and state the rules relating to such contracts.

Question 2: **(PEQ – Nov 18 – 7 Marks)**

What is Contingent Contract? Discuss the essentials of Contingent Contract as per the Indian Contract Act, 1872.

6.2 RULES RELATING TO ENFORCEMENT- Section 32-36

a. | Section 32:- Enforcement of contracts contingent on an event happening

- "where a contingent contract is made to do or not to do anything if an uncertain future event happens,
- it cannot be enforced by law unless and until that event has happened.
- If the event becomes impossible, such contracts become void".

Example

9: *A contracts to pay B a sum of money when B marries C. C dies without being married to B. The Contract becomes void.*

b. | Section 33:- Enforcement of contracts contingent on an event not happening

- "Where a contingent contract is made to do or not do anything if an uncertain future event does not happen,
- it can be enforced only when the happening of that event becomes impossible and not before".

Example

10: Where 'P' agrees to pay 'Q' a sum of money if a particular ship does not return, the contract becomes enforceable only if the ship sinks so that it cannot return.

c. | Section 34:- A contract would cease to be enforceable if it is contingent upon the conduct of a living person when that living person does something to make the 'event' or 'conduct' as impossible of happening

- "if a contract is contingent upon as to how a person will act at an unspecified time,
- the event shall be considered to have become impossible
- when such person does anything which renders it impossible that he should so act within any definite time or otherwise than under further contingencies".

Example

11: Where 'A' agrees to pay 'B' a sum of money if 'B' marries 'C'. 'C' marries 'D'. This act of 'C' has rendered the event of 'B' marrying 'C' as impossible; it is though possible if there is divorce between 'C' and 'D'.

In Frost V. Knight, the defendant promised to marry the plaintiff on the death of his father. While the father was still alive, he married another woman. It was held that it had become impossible that he should marry the plaintiff and she was entitled to sue him for the breach of the contract.

d. | Section 35:- Contingent on happening of specified event within the fixed time

- Contingent contracts to do or not to do anything, if a specified uncertain event happens within a fixed time, becomes void if,
- at the expiration of time fixed, such event has not happened, or
- if, before the time fixed, such event becomes impossible.

Example

12: A promises to pay B a sum of money if certain ship returns within a year. The contract may be enforced if the ship returns within the year, and becomes void if the ship is burnt within the year.

e. | Section 35:- Contingent on specified event not happening within fixed time

- "Contingent contracts to do or not to do anything, if a specified uncertain event does not happen within a fixed time, may be enforced by law
- when the time fixed has expired, and such event has not happened or
- before the time fixed has expired, if it becomes certain that such event will not happen".

Example

13: A promises to pay B a sum of money if a certain ship does not return within a year. The contract may be enforced if the ship does not return within the year, or is burnt within the year.

CASE BASED QUESTIONS

Question 1: **(RTP – Nov 21)**

PQR, a hospital in Delhi, recruits Dr. A, on contract basis for a period of 3 months. The hospital management promises to pay Dr. A, a lumpsum amount of ₹ 1,00,000 if Dr. A test positive for noval corona virus (Covid 19) during the contract period of 3 months.

Identify the type of contract and highlight the rule of enforcement. Also, what will happen if Dr. A does not contract Covid 19.

Answer:

Section 31 of the Indian Contract Act, 1872 provides that "A contract to do or not to do something, if some event, collateral to such contract, does or does not happen" is a Contingent Contract.

Section 35 says that Contingent contracts to do or not to do anything, if a specified uncertain event happens within a fixed time, becomes void if, at the expiration of time fixed, such event has not happened, or if, before the time fixed, such event becomes impossible.

In the instant case, the contract between PQR hospital & Dr. A is a Contingent Contract because the promisor, PQR hospital need to perform his obligation of paying Dr. A, the lumpsum amount of ₹ 1,00,000, only if he contracts with Covid 19 within a span of 3 months.

In Case, if Dr. A does not contract Covid 19, then the contract stands void automatically.

f. | Section 36:- Contingent on an impossible event

- Contingent agreements to do or not to do anything, if an impossible event happens are void,
- whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.

Example

14: 'A' agrees to pay 'B' Rs. 1,00,000 if sun rises in the west next morning. This is an impossible event and hence void.

15: X agrees to pay Y Rs. 1,00,000 if two straight lines should enclose a space. The agreement is void.

Difference between a contingent contract and a wagering contract

Basis of difference	Contingent contract	Wagering contract
Meaning	A contingent contract is a contract to do or not to do something with reference to a collateral event happening or not happening.	A wagering agreement is a promise to give money or money's worth with reference to an uncertain event happening or not happening.
Reciprocal promises	Contingent contract may not contain reciprocal promises.	A wagering agreement consists of reciprocal promises.
Uncertain event	In a contingent contract, the event is collateral.	In a wagering contract, the uncertain event is the core factor.
Nature of contract	Contingent contract may not be wagering in nature.	A wagering agreement is essentially contingent in nature.

Interest of contracting parties	Contracting parties have interest in the subject matter in contingent contract.	The contracting parties have no interest in the subject matter.
Doctrine of mutuality of lose and gain	Contingent contract is not based on doctrine of mutuality of lose and gain.	A wagering contract is a game, losing and gaining alone matters.
Effect of contract	Contingent contract is valid.	A wagering agreement is void.

THEORY QUESTIONS

Question 1: **(MTP - May 23, PEQ – June 21 - 7 Marks)**

Explain the term Contingent Contract with reference to the Indian Contract Act, 1872 with the help of an example. Also discuss the rules relating to enforcement of a contingent contract.

6.3 QUASI CONTRACTS - Section 68-72

- A valid contract must contain certain essential elements, such as offer and acceptance, capacity to contract, consideration and free consent. But sometimes the law implies a promise imposing obligations on one party and conferring right in favour of the other even when there is no offer, no acceptance, no genuine consent, lawful consideration, etc. and in fact neither agreement nor promise.
- Such cases are not contract in the strict sense, but the Court recognises them as relations resembling those of contracts and enforces them as if they were contracts. Hence the term Quasi -contracts (i.e. resembling a contract).
- Even in the absence of a contract, certain social relationships give rise to certain specific obligations to be performed by certain persons.
- These are known as quasi contracts as they create same obligations as in the case of regular contract.
- Quasi contracts are based on principles of equity, justice and good conscience.
- A quasi or constructive contract rest upon the maxims, "No man must grow rich out of another person's loss".

Example

16: T, a tradesman, leaves goods at C's house by mistake. C treats the goods as his own. C is bound to pay for the goods.

17: A pays some money to B by mistake. It is really due to C. B must refund the money to A.

18: A fruit parcel is delivered under a mistake to R who consumes the fruits thinking them as birthday present. R must return the parcel or pay for the fruits. Although there is no agreement between R and the true owner, yet he is bound to pay as the law regards it a Quasi-contract.Act.

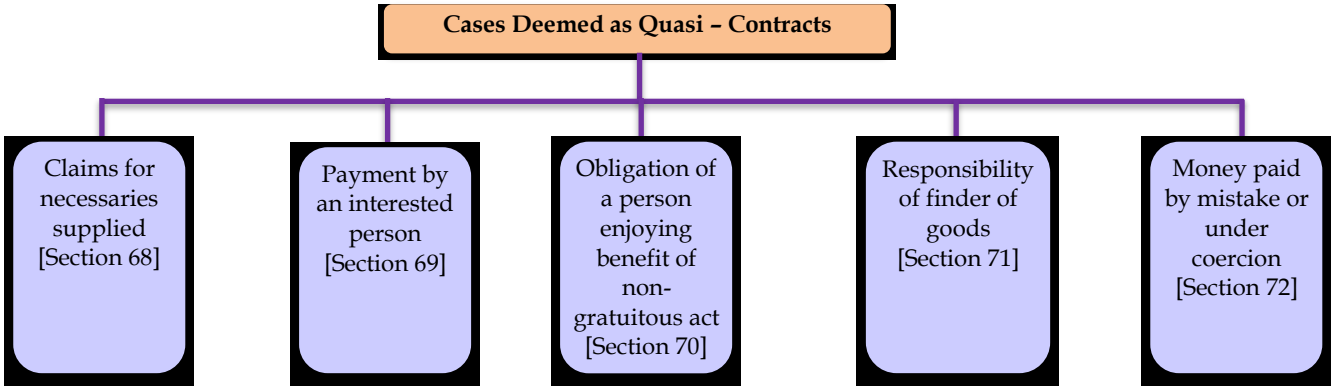
These relations are called as quasi-contractual obligations. In India it is also called as 'certain relation resembling those created by contracts.

Salient features of quasi contracts:

(a) In the first place, such a right is always a right to money and generally, though not always, to a liquidated sum of money.

(b) Secondly, it does not arise from any agreement of the parties concerned, but is imposed by the law; and

(c) Thirdly, it is a right which is available not against all the world, but against a particular person or persons only, so that in this respect it resembles a contractual right.



a. | Section 68:- Claim for necessaries supplied to persons incapable of contracting: If a person, incapable of entering into a contract, or anyone whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person.

Example

19: A supplies B, a lunatic, or a minor, with necessaries suitable to his condition in life. A is entitled to be reimbursed from B's property.

To establish his claim, the supplier must prove not only that the goods were supplied to the person who was minor or a lunatic but also that they were suitable to his actual requirements at the time of the sale and delivery.

THEORY QUESTIONS

Question 1: **(PEQ - May 2018 – 2 Marks)**

Examine with reason that the given statement is correct or incorrect "Minor is liable to pay for the necessaries supplied to him".

Answer :

Minor is liable to pay for the necessaries supplied to him: This statement is incorrect. The case of necessaries supplied to a minor or to any other person whom such minor is legally bound to support is governed by section 68 of the Indian Contract Act, 1872.

A claim for necessaries supplied to a minor is enforceable by law, only against minor's estate, if he possesses. But a minor is not liable for any price that he may promise and never for more than the value of the necessaries. There is no personal liability of the minor, but only his property is liable.

Question 2: **(PEQ - May 2025 – 6 Marks)**

With reference to provisions of the Indian Contract Act, 1872 define the following terms:

(i) Quasi Contracts and its salient features

(ii) Responsibility of finder of goods

CASE BASED QUESTIONS

Question 1:

X, a minor was studying in M.Com. in a college. On 1st July, 2019 he took a loan of Rs.1,00,000 from B for payment of his college fees and to purchase books and agreed to repay by 31st December, 2019.

X possesses assets worth Rs. 9 lakhs. On due date, X fails to pay back the loan to B. B now wants to recover the loan from X out of his (X's) assets. Referring to the provisions of Indian Contract Act, 1872 decide whether B would succeed.

Answer :

Yes, B can proceed against the assets of X. According to section 68 of Indian Contract Act, 1872, if a person, incapable of entering into a contract, or any one whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person.

Since the loan given to X is for the necessaries suited to the conditions in life of the minor, his assets can be sued to reimburse B.

Question 2: **(PEQ – Nov 23 - 6 Marks)**

Mr. Y aged 21 years, lost his mental balance after the death of his parents in an accident. He was left with his grandmother aged 85 years, incapable of walking and dependent upon him. Mr. M their neighbour, out of pity, started supplying food and other necessaries to both of them. Mr. Y and his grandmother used to live in the house built by his parents.

Mr. M also provided grandmother some financial assistance for her emergency medical treatment. After supplying necessaries to Mr. Y for four years, Mr. M approached the former asking him to payback ₹ 15 Lakhs inclusive of ₹ 7 Lakhs incurred for the medical treatment of the lady (grandmother). Mr. Y pleaded that he has got his parent's jewellery to sell to a maximum value of ₹ 4 Lakhs, which may be adjusted against the dues. Mr. M refused and threatened Mr. Y of legal suit to be brought against for recovering the money.

Now, you are to decide upon based on the provisions of the Indian Contract Act, 1872:

(i) Will Mr. M succeed in filing the suit to recover money? Elaborate the related provisions?

(ii) What is the maximum amount- of money that can be recovered by Mr. M?

(iii) Shall the provisions of the above act also apply to the medical treatment given to the grandmother?

Answer:

(i) Claim for necessaries supplied to persons incapable of contracting (Section 68 of the Indian Contract Act, 1872):

If a person, incapable of entering into a contract, or anyone whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person.

In the instant case, Mr. M supplied the food and other necessaries to Mr. Y (who lost his mental balance) and Mr. Y's grandmother (incapable of walking and dependent upon Mr. Y), hence, Mr. M will succeed in filing the suit to recover money.

(ii) Supplier is entitled to be reimbursed from the property of such incapable person. Hence, the maximum amount of money that can be recovered by Mr. M is ₹ 15 Lakhs and this amount can be recovered from Mr. Y's parent's jewellery amounting to ₹ 4 Lakhs and rest from the house of Y's Parents. (Assumption: Y has inherited the house property on the death of his parents)

(iii) Necessaries will include the emergency medical treatment. Hence, the above provisions will also apply to the medical treatment given to the grandmother as Y is legally bound to support his grandmother.

b. | Section 69:- Payment by an interested person: A person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other.

Example

20: B holds land in Bengal, on a lease granted by A, the zamindar. The revenue payable by A to the Government being in arrear, his land is advertised for sale by the Government. Under the revenue law, the consequence of the sale will be the annulment of B's lease. B, to prevent the sale and the consequent annulment of his own lease, pays to the government the sum due from A. A is bound to make good to B the amount so paid.

CASE BASED QUESTIONS

Question 1: **(MTP - Nov 18 - 3 Marks)**

Z rent out his house situated at Mumbai to W for a rent of Rs.10,000 per month. A sum of Rs. 5 lac, the house tax payable by Z to the Municipal Corporation being in arrears, his house is advertised for sale by the corporation.

W pays the corporation, the sum due from Z to avoid legal consequences. Referring to the provisions of the Indian Contract Act, 1872 decide whether W is entitled to get the reimbursement of the said amount from Z.

Answer :

- Section 69 of the Indian Contract Act, 1872 provides that "A person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other".
- In the given problem W has made the payment of lawful dues of Z in which W had an interest. Therefore, W is entitled to get the reimbursement from Z.

Question 2:

P left his carriage on D's premises. Landlord of D seized the carriage against the rent due from D. P paid the rent and got his carriage released. Can P recover the amount from D?

Answer :

Yes, P can recover the amount from D. Section 69 states a person who is interested in the payment of money which another person is bound by law to pay, and who therefore pays it, is entitled to get it reimbursed by the other.

In the present case, D was lawfully bound to pay rent. P was interested in making the payment to D's landlord as his carriage was seized by him. Hence being an interested party P made the payment and can recover the same from D.

Question 3: **(PEQ-SEP.24-3 Marks)**

Mr. L let out his residential house to Mr. M for ₹ 50,000 p.m. for a period of one year. According to the Rent agreement, electricity bill will be paid by Mr. L. But Mr. L could not pay electricity dues up to 5 months, due to his financial hardships. The Electricity Board sent the notice of disconnection, if it is not paid within a week's time. To avoid all this, Mr. M paid the electricity bill of ₹ 50,000 with penalty. Later on, L refused to reimburse ₹ 50,000 and argued that he has paid bill voluntarily because of his own interest. Decide with reference to provisions of the Indian Contract Act, 1872 whether Mr. M is entitled to be reimbursed by Mr. L?

Answer :

According to Section 69 of the Indian Contract Act, 1872, a person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other.

In the instant case, Mr. M paid the electricity bill to avoid the disconnection that was pending due to Mr. L's failure to fulfil his contractual obligation. Hence, Mr. M is entitled to be reimbursed ₹ 50,000 from Mr. L.

c. | Section 70 :- Obligation of person enjoying benefits of non-gratuitous act: In term of section 70 of the Act "where a person lawfully does anything for another person, or delivers anything to him not intending to do so gratuitously and such other person enjoys the benefit thereof, the latter is bound to pay compensation to the former in respect of, or to restore, the thing so done or delivered".

It thus follows that for a suit to succeed, the plaintiff must prove:

(i) that he had done the act or had delivered the thing lawfully;
(ii) that he did not do so gratuitously; and
(iii) that the other person enjoyed the benefit.

The above can be illustrated by a case law where 'K' a government servant was compulsorily retired by the government. He filed a writ petition and obtained an injunction against the order. He was reinstated and was paid salary but was given no work and in the meantime

government went on appeal. The appeal was decided in favour of the government and 'K' was directed to return the salary paid to him during the period of reinstatement. [Shyam Lal vs. State of U.P. A.I.R (1968) 130]

Example

21: A, a tradesman, leaves goods at B's house by mistake. B treats the goods as his own. He is bound to pay A for them.

d. | Section 71 :- Responsibility of finder of goods: 'A person who finds goods belonging to another and takes them into his custody is subject to same responsibility as if he were a bailee'. Thus, a finder of lost goods has:

(i) to take proper care of the property as man of ordinary prudence would take
(ii) no right to appropriate the goods and
(iii) to restore the goods if the owner is found.

Case law

Hollins vs. Howler L. R. & H. L.,

'H' picked up a diamond on the floor of 'F's shop and handed over the same to 'F' to keep till the owner was found. In spite of the best efforts, the true owner could not be traced. After the lapse of some weeks, 'H' tendered to 'F' the lawful expenses incurred by him and requested to return the diamond to him. 'F' refused to do so. Held, 'F' must return the diamond to 'H' as he was entitled to retain the goods found against everybody except the true owner.

Example

22: 'P' a customer in 'D's shop puts down a brooch worn on her coat and forgets to pick it up and one of 'D's assistants finds it and puts it in a drawer over the weekend. On Monday, it was discovered to be missing. 'D' was held to be liable in the absence of ordinary care which a prudent man would have taken.

THEORY QUESTIONS

Question 1: **(PEQ - Nov.19 - 4 Marks)**

X found a wallet in a restaurant. He enquired of all the customers present there but the true owner could not be found. He handed over the same to the manager of the restaurant to keep till the true owner is found.

After a week he went back to the restaurant to enquire about the wallet. The manager refused to return it back to X, saying that it did not belong to him.

In the light of the Indian Contract Act, 1872, can X recover it from the Manager?

Answer :

Responsibility of finder of goods (Section 71 of the Indian Contract Act, 1872): A person who finds goods belonging to another and takes them into his custody is subject to same responsibility as if he were a bailee.

Thus, a finder of lost goods has:

(i) to take proper care of the property as man of ordinary prudence would take
(ii) no right to appropriate the goods and
(iii) to restore the goods if the owner is found.

In the light of the above provisions, the manager must return the wallet to X, since X is entitled to retain the wallet found against everybody except the true owner.

Question 2: **(RTP DEC-23 - 3 Marks)**

Rohan found a wallet in a restaurant. He enquired all the customers present there but the true owner could not be found. He handed over the same to the manager of the restaurant to keep the wallet till the true owner is found. After a week, Rohan went back to the restaurant to enquire about the wallet. The manager refused to return it to Rohan, saying that it did not belong to him. In the light of the Indian Contract Act, 1872, can Rohan recover the wallet from the Manager?

e. | Section 72 Money paid by mistake or under coercion: "A person to whom money has been paid or anything delivered by mistake or under coercion, must repay or return it".
Every kind of payment of money or delivery of goods for every type of 'mistake' is recoverable. [Shivprasad Vs Sirish Chandra A.I.R. 1949 P.C. 297]

Example

23: A payment of municipal tax made under mistaken belief or because of mis-understanding of the terms of lease can be recovered from municipal authorities. The above law was affirmed by Supreme Court in cases of Sales tax officer vs. Kanhaiyalal A. I. R. 1959 S. C. 835

Similarly, any money paid by coercion is also recoverable. The word coercion is not necessarily governed by section 15 of the Act. The word is interpreted to mean and include oppression, extortion, or such other means [Seth Khanjelek vs National Bank of India].

In a case where 'T' was traveling without ticket in a tram car and on checking he was asked to pay Rs. 5/- as penalty to compound transaction. T filed a suit against the corporation for recovery on the ground that it was extorted from him. The suit was decreed in his favour. [Trikamdas vs. Bombay Municipal Corporation A. I. R.1954]

In all the above cases the contractual liability arose without any agreement between the parties.

Difference between quasi contracts and contracts

Basis of distinction	Quasi- Contract	Contract
Essential for the valid contract	The essentials for the formation of a valid contract are absent	The essentials for the formation of a valid contract are present
Obligation	Imposed by law	Created by the consent of the parties

THEORY QUESTIONS

Question 1: **(MTP – Nov 19- 6 Marks, RTP - Nov 19)**
Explain the meaning of 'Quasi-Contracts'. State the circumstances which are identified as quasi contracts by the Indian Contract Act, 1872.

Question 2: **(PEQ – Dec 21 - 5 Marks)**
Enumerate the differences between 'Wagering Agreements' and 'Contract of Insurance' with reference to provision of the Indian Contract Act, 1872.

MULTIPLE CHOICE QUESTIONS

1. A contract dependent on the happening or non-happening of future uncertain event, is
   (a) Uncertain contract (b) Contingent contract
   (c) void contract (d) Voidable contract

2. A contingent contract is
   (a) Void (b) Voidable (c) Valid (d) Illegal

3. A contingent contract dependent on the happening of future uncertain even can be enforced when the event
   (a) happens (b) becomes impossible (c) does not happen (d) either of these

4. A agrees to pay Rs. 1 lakh to B if he brings on earth a star from sky. This is a contingent contract and
   (a) Illegal (b) Valid (c) Voidable (d) Void

5. Which of the following is not a contingent contract:
   (a) A promise to pay B if he repairs his scooter.
   (b) A promise to pay B Rs. 10,000 if B's scooter is stolen.
   (c) A promise to pay B Rs. 10,000 if B's burnt his hands.
   (d) A promise to pay B Rs. 10,000 if it rains on first of the next month.

6. Which of the following statements regarding Quasi-contracts is incorrect:
   (a) It resembles a contract (b) It is imposed by law
   (c) It is based on the doctrine of unjust enrichment (d) It is voluntarily created

7. For a contingent contract the event must be:
   (a) Certain (b) Uncertain (c) Independent (d) Uncertain and collateral

8. Which one of the following is not a characteristic of a contingent contract?
   (a) Performance depends upon a future event (b) The event must be uncertain
   (c) The event must be collateral to the contract (d) There must be reciprocal promises

9. Wagering contracts are:
   (a) Void (b) Voidable (c) Valid (d) Illegal

10. A contract of insurance is:
    (a) Wagering contract (b) unilateral contract
    (c) Quasi contract (d) contingent contract

11. Finder of goods should take care of goods as
    (a) bailee (b) owner (c) insurer (d) custodian

12. A swiggy man wrongly delivered the food to Mr. Ishaan. Ishaan who took the delivery ate the food immediately. The swiggy boy returned soon once he got information about wrong delivery. Ishaan should make the payment as his case is deemed to be a quasi-contract under:
    (a) Claim for necessaries supplied to persons incapable of contracting
    (b) responsibility of finder of goods
    (c) Payment by an interest person
    (d) obligation of person enjoying benefits under non-gratuitous act

Answers to MCQs

1.	(b)	2.	(c)	3.	(a)	4.	(d)	5.	(a)	6.	(d)
7.	(d)	8.	(d)	9.	(a)	10.	(d)	11.	(a)	12.	(d)

THE COMPANIES ACT, 2013

Section Overview:

Section 2:	Definition
▪ 2(5)	Articles of Association
▪ 2(6)	Associate Company
▪ 2(8)	Nominal or authorised or registered capital
▪ 2(15)	Called-up capital
▪ 2(20)	Company
▪ 2(21)	Company limited by guarantee
▪ 2(22)	Company limited by shares
▪ 2(42)	Foreign Company
▪ 2(45)	Government Company
▪ 2(46)	Holding Company
▪ 2(50)	Issued capital
▪ 2(52)	Listed company
▪ 2(56)	Memorandum of Association
▪ 2(62)	One Person Company (OPC)
▪ 2(68)	Private Company
▪ 2(69)	Promoters
▪ 2(71)	Public company
▪ 2(72)	Public Financial Institutions (PFI)
▪ 2(81)	Securities
▪ 2(84)	Share
▪ 2(85)	Small Company
▪ 2(86)	Subscribed capital
▪ 2(87)	Subsidiary company
▪ 2(92)	Unlimited company
Section 3:	Formation of a company
Section 4:	Memorandum of Association
Section 5:	Articles of Association
Section 6:	Act to override memorandum, articles, etc
Section 7:	Incorporation of company
Section 8:	Formation of companies with charitable objects etc.
Section 9:	Effect of registration
Section 10:	Effect of Memorandum and Articles
Section 14:	Alteration of articles
Section 43:	Kinds of share capital
Section 44:	Nature of shares or debentures.
Section 45:	Numbering of shares.
Section 60:	Publication of authorised, subscribed and paid-up capital.
Section 92:	Annual return
Section 399:	Inspection, production and evidence of documents kept by Registrar.
Section 406:	Provision relating to Nidhis and its application, etc.
Section 447:	Punishment for fraud
Section 455:	Dormant company

00 INTRODUCTION

- The Companies Act, 2013 was enacted to consolidate and amend the law relating to the companies.
- The Companies Act, 2013 was preceded by the Companies Act, 1956.
- Due to changes in the national and international economic environment and to facilitate expansion and growth of our economy, the Central Government decided to replace the Companies Act, 1956 with a new legislation.
- The Companies Act, 2013 contains 470 sections and seven schedules. The entire Act has been divided into 29 chapters.
- A substantial part of this Act is in the form of Companies Rules.

01 COMPANY: MEANING AND ITS FEATURES

Meaning: Section 2(20)

"Company means a company incorporated under this Act or under any previous company law".

Applicability of the Companies Act, 2013:

- Companies incorporated under this Act or under any previous company law.
- Insurance companies (except where the provisions of the said Act are inconsistent with the provisions of the Insurance Act, 1938 or the IRDA Act, 1999)
- Banking companies (except where the provisions of the said Act are inconsistent with the provisions of the Banking Regulation Act, 1949)
- Companies engaged in the generation or supply of electricity (except where the provisions of the above Act are inconsistent with the provisions of the Electricity Act, 2003)
- Any other company governed by any special Act for the time being in force.
- Such body corporate which are incorporated by any Act for time being in force, and as the Central Government may by notification specify in this behalf.

Following are the main features:

I. | Separate Legal Entity:

- The most striking feature in the company form of organisation vis-a-vis the other forms of business organisations is that it acquires a unique character of being a separate legal entity.
- When a company is registered, it is clothed with a legal personality.
- It comes to have almost the same rights and powers as a human being.
- Its existence is distinct and separate from that of its members.
- A company can own property, have bank account, raise loans, incur liabilities and enter into contracts.
  - (a) It is at law, a person which is different from the subscribers to the memorandum of association. Its personality is distinct and separate from the personality of those who compose it.
  - (b) Even members can contract with company, acquire right against it or incur liability to it. For the debts of the company, only its creditors can sue it and not its members.
  - ➢ A company is capable of owning, enjoying and disposing of property in its own name. Although the capital and assets are contributed by the shareholders, the company becomes the owner of its capital and assets. The shareholders are not the private or joint owners of the company's property.

➢ A member does not even have an insurable interest in the property of the company.

Case law

Macaura Vs. Northern Assurance Co. Limited (1925):
Fact : Macaura (M) was the holder of nearly all (except one) shares of a timber company. He was also a major creditor of the company. M insured the company's timber in his own name. The timber was lost in a fire. M claimed insurance compensation.
Held, the insurance company was not liable to him as no shareholder has any right to any item of property owned by the company, for he has no legal or equitable interest in them.

II. | Perpetual Succession:

- Members may die or change, but the company goes on till it is wound up on the grounds specified by the Act.
- The shares of the company may change hands infinitely but that does not affect the existence of the company.
- Since a company is an artificial person created by law, law alone can bring an end to its life.
- Its existence is not affected by the death or insolvency of its members.

Example

1: Many companies in India are in existence for over 100 years. This is possible only due to the fact that the company has perpetual existence. There was a company which has 7 members and all of them died in an aircraft. Despite this the company still exists unlike partnership form of business.

III. | Limited Liability:

- The liability of a member depends upon the kind of company of which he is a member.
- In the case of a limited liability company, the debts of the company in totality do not become the debts of the shareholders. The liability of the members of the company is limited to the extent of the nominal value of shares held by them. In no case can the shareholders be asked to pay anything more than the unpaid value of their shares.
- In the case of a company limited by guarantee, the members are liable only to the extent of the amount guaranteed by them and that too only when the company goes into liquidation.
- In the case of an unlimited company, the liability of its members is unlimited as well.

IV. | Artificial Legal Person:

- A company is an artificial person as it is created by a process other than natural birth. It is legal or judicial as it is created by law. It is a person since it is clothed with all the rights of an individual.
- Further, the company being a separate legal entity can own property, have banking account, raise loans, incur liabilities and enter into contracts. Even members can contract with company, acquire right against it or incur liability to it. It can sue and be sued in its own name. It can do everything which any natural person can do except be sent to jail, take an oath, marry or practice a learned profession. Hence, it is a legal person in its own sense.
- As the company is an artificial person, it can act only through some human agency, viz., directors. The directors cannot control affairs of the company and act as its agency, but they are not the "agents" of the members of the company. The directors can either on their own or through the common seal (of the company) can authenticate its formal acts.

V. | Common Seal:

- A company being an artificial person is not bestowed with a body of a natural being. Therefore, it works through the agency of human beings.
- Common seal is the official signature of a company, which is affixed by the officers and employees of the company on its every document.
- The Companies (Amendment) Act, 2015 has made the common seal optional by omitting the words "and a common seal" from Section 9.
- Rational for this amendment is that common seal is seen as a relic of medieval times. Even in the U.K., common seal has been made optional since 2006.
- This amendment provides that the documents which need to be authenticated by a common seal will be required to be so done, only if the company opts to have a common seal.
- In case a company does not have a common seal, the authorization shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

THEORY QUESTIONS

Question 1: **(PEQ-Jan-25 - 2 Marks)**

Whether it is mandatory to have common seal for the company? If not, then what are the other options available as per the Companies Act, 2013?

Answer:

No, it is not mandatory to have common seal for the company.

In case a company does not have a common seal, the authorization shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

Question 2: **(RTP-Nov-18, May-18, May-20) (MTP-Nov-18, Nov-20, June-19 - 3 Marks)**

Examine the following whether they are correct or incorrect along with reasons:

(i) A company being an artificial person cannot own property and cannot sue or be sued.

(ii) A private limited company must have a minimum of two members, while a public limited company must have at least seven members.

(iii) Affixing of Common seal on company's documents is compulsory.

(iv) When a company is registered, it is clothed with a legal personality. Explain.

Answer :

(i) Incorrect:

A company is an artificial person as it is created by a process other than natural birth. It is legal or judicial as it is created by law. It is a person since it is clothed with all the rights of an individual.

Further, the company being a separate legal entity can own property, have banking account, raise loans, incur liabilities and enter into contracts. Even members can contract with company, acquire right against it or incur liability to it. It can sue and be sued in its own name. It can do everything which any natural person can do except be sent to jail, take an oath, marry or practice a learned profession. Hence, it is a legal person in its own sense.

(ii) Correct:

Section 3 of the Companies Act, 2013 deals with the basic requirement with respect to the constitution of the company. In the case of a public company, any 7 or more persons can form a company for any lawful purpose by subscribing their names to memorandum and complying with the requirements of this Act in respect of registration. In exactly the same way, 2 or more persons can form a private company.

(iii) Incorrect:

The common seal is a seal used by a corporation as the symbol of its incorporation. The Companies (Amendment) Act, 2015 has made the common seal optional by omitting the words "and a common seal" from Section 9 so as to provide an alternative mode of authorization for companies who opt not to have a common seal.

This amendment provides that the documents which need to be authenticated by a common seal will be required to be so done, only if the company opts to have a common seal. In case a company does not have a common seal, the authorization shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

(iv) When a company is registered, it is clothed with a legal personality. It comes to have almost the same rights and powers as a human being. Its existence is distinct and separate from that of its members. A company can own property, have bank account, raise loans, incur liabilities and enter into contracts.

(a) It is at law, a person different altogether from the subscribers to the memorandum of association. Its personality is distinct and separate from the personality of those who compose it.

(b) Even members can contract with company, acquire right against it or incur liability to it. For the debts of the company, only its creditors can sue it and not its members.

A company is capable of owning, enjoying and disposing of property in its own name. Although the capital and assets are contributed by the shareholders, the company becomes the owner of its capital and assets. The shareholders are not the private or joint owners of the company's property.

Question 3: **(PEQ-Sep-25 - 7 Marks)**

Do you agree that a company is an artificial person? Elucidate. Also explain how the authorization by M/s Beeta Limited, a company incorporated under the Companies Act, 2013 can be made in case it does not have a common seal.

Answer:

Yes, I agree that a company is an Artificial Person.

A Company incorporated under the provisions of the Companies Act, 2013 is an artificial person as it is created by a process other than natural birth. It is legal or judicial as it is created by law.

Further, the Company being a separate legal entity can own property, have banking account, raise loans, incur liabilities and enter into contracts. Even members can contract with company, acquire right against it or incur liability to it. It can sue and be sued in its own name. It can do everything which any natural person can do except be sent to jail, take an oath, marry or practice a learned profession. Hence, it is a legal person in its own sense.

As the Company is an artificial person, it can act only through some human agency, viz., directors. The directors can control affairs of the company but they are not the "agents" of the members of the company. The directors can either on their own or through the common seal, if any, (of the company) can authenticate its formal acts.

Further, the Company being an artificial person has perpetual succession and it continues to exist until it is legally dissolved. The members of a company may come and go but the company will go on forever.

However, the Company being an artificial person cannot have citizenship, lack of physical action and corporate veil can be lifted.

Thus, a company is an artificial legal person.

Authorization by a Company not having a Common Seal:

In case a company does not have a common seal, the authorization shall be made by two directors or by a director and the Company Secretary, wherever the Company has appointed a Company Secretary.

Hence, M/s Beeta Limited can do the authorization as mentioned in the above manner.

CASE BASED QUESTIONS

Question 1: **(RTP-Nov-18)**

ABC Pvt. Ltd., is a Private Company having five members only. All the members of the company were going by car to Mumbai in relation to some business. An accident took place and all of them died. Answer with reasons, under the Companies Act, 2013 whether existence of the company has also come to the end?

Answer:

Death of all members of a Private Limited Company, Under the Companies Act, 2013: The most distinguishing feature of a company is its being a separate entity from the shareholders and promoters who form it.

This lends stability and perpetuity to the company form of business organization. In short, a company is brought into existence by a process of law and can be terminated or wound up or brought to an end only by a process of law.

Its life is not impacted by the death, insolvency or retirement of any or all shareholder(s) or director(s).
The provision for transferability or transmission of the shares helps to preserve the perpetual existence of a company by allowing the constitution and identity of shareholders to change.

Question 2: **(RTP-June-23) (MTP-June-22 - 3 Marks)**

Five persons are the only members of a private company Flower Fans Limited. All of them go in a boat on a pleasure trip into an open sea. The boat capsizes and all the 5 die being drowned.

(a) Is the private company Flower Fans Limited no longer in existence?

(b) Further is it correct to say that a company being an artificial person cannot own property and cannot sue or be sued? Explain with reference to the provisions of Companies Act, 2013.

Answer:

(a) Perpetual Succession – A company on incorporation becomes a separate legal entity. It is an artificial legal person and have perpetual succession which means even if all the members of a company die, the company still continues to exist. It has permanent existence.

In the instant case, five persons who were the only members of private company and they have died being drowned in the sea. The existence of a company is independent of the lives of its members.

It has a perpetual succession. In this problem, the company will continue as a legal entity. The company's existence is in no way affected by the death of all its members.

(b) The statement given is incorrect. A company is an artificial person as it is created by a process other than natural birth. It is legal or judicial as it is created by law. It is a person since it is clothed with all the rights of an individual.

Further, the company being a separate legal entity can own property, have banking account, raise loans, incur liabilities and enter into contracts. Even members can contract with company, acquire right against it or incur liability to it. It can sue and be sued in its own name. It can do everything which any natural person can do except be sent to jail, take an oath, marry or practice a learned profession. Hence, it is a legal person in its own sense.

Question 3: **(MTP-Nov-22 - 3 Marks)**

Mr. Sunny sold his business of cotton production to a cotton production company CPL Private Limited in which he held all the shares except one which was held by his wife. He is also the creditor in the company for a certain amount. He also got the insurance of the s tock of cotton of CPL Private Limited but in his own name not in the name of company.

After one month, all the stocks of the cotton of CPL Private Limited were destroyed by fire. Mr. Sunny filed the claim for such loss with the Insurance company. State with reasons that whether the insurance company is liable to pay the claim?

Answer:

According to the decision taken in case of Salomon v/s Salomon & Co. Ltd., a company has separate legal entity. A company is different from its members.

Further, according to the decision taken in case of Macaura v/s Northern Assurance Co. Ltd., a member or creditor does not have any insurable interest in the property of company. Members or creditors of the company cannot claim ownership in the property of company.

On the basis of above provisions and facts, it can be said Mr. Sunny and CPL Private Limited are separate entities. Mr. Sunny cannot have any insurable interest in the property of CPL Private Limited neither as member nor as creditor. Hence, the insurance company is not liable to pay to Mr. Sunny for the claim for the loss of stock by fire.

Question 4: **(PEQ-Sep-24 - 3 Marks)**

After incorporation of Goodwill Private Limited (the company) on 15th May, 2024 the share certificates were issued to Amit, Sumit and Sumati being subscribers to the Memorandum of Association of the company without affixing the common seal thereon and under the signature of Amit and Sumit, the directors of the company. The company has yet to appoint a company secretary. On objection raised by Sumati, a director, about the validity of the share certificate signed by other two directors, Amit and Sumit, clarified that since the company has opted not to have the common seal for the company the share certificates (i.e. the document) signed by two directors are valid. Referring to the provisions of the Companies Act, 2013, examine the correctness of the

objection raised by one of the directors and in response, the clarification offered by other directors.
Would your answer be different, if the company had a company secretary?

Answer:

The documents which need to be authenticated by a common seal will be required to be so done, only if the company opts to have a common seal.

In case a company does not have a common seal, the authorization shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

In the instant case, the objection of Sumati is not valid as the share certificate was signed by two directors Amit and Sumit as the company secretary was not appointed.

If the company had a company secretary, then the share certificate has to be signed by a director and the Company secretary.

Hence, yes, the answer will be different.

02 CORPORATE VEIL THEORY

i. | Corporate Veil:

- Corporate Veil refers to a legal concept whereby the company is identified separately from the members of the company.
- The term Corporate Veil refers to the concept that members of a company are shielded from liability connected to the company's actions.
- If the company incurs any debts or contravenes any laws, the corporate veil concept implies that members should not be liable for those errors. In other words, they enjoy corporate insulation.
- Thus, the shareholders are protected from the acts of the company.

Case law

Salomon Vs. Salomon and Co Ltd.

In Salomon vs. Salomon & Co. Ltd. the House of Lords laid down that a company is a person distinct and separate from its members. In this case one Salomon incorporated a company named "Salomon & Co. Ltd.", with seven subscribers consisting of himself, his wife, four sons and one daughter. This company took over the personal business assets of Salomon for £ 38,782 and in turn, Salomon took 20,000 shares of £ 1 each, debentures worth £ 10,000 of the company with charge on the company's assets and the balance in cash. His wife, daughter and four sons took up one £ 1 share each. Subsequently, the company went into liquidation due to general trade depression.

The unsecured creditors to the tune of £ 7,000 contended that Salomon could not be treated as a secured creditor of the company, in respect of the debentures held by him, as he was the managing director of one-man company, which was not different from Salomon and the cloak of the company was a mere sham and fraud.

It was held by Lord Mac Naughten:

"The Company is at law a different person altogether from the subscribers to the memorandum, and though it may be that after incorporation the business is precisely the same as it was before and the same persons are managers, and the same hands receive the profits, the company is not in law the agent of the subscribers or trustees for them. Nor are the subscribers, as members, liable, in any shape or form, except to the extent and in the manner provided by the Act.

"Thus, this case clearly established that company has its own existence and as a result, a shareholder cannot be held liable for the acts of the company even though he holds virtually the entire share capital. The whole law of corporation is in fact based on this theory of separate corporate entity.

CASE BASED QUESTIONS

Question 1: **(MTP-May-22, May-23 – 3 Marks)**

Mr. Raj formed a company with a capital of ₹ 50,000. He sold his business to another company for ₹ 40,000. For the payment of sale, he accepted shares worth ₹ 30,000 (3000 shares of ₹ 1 each).

The balance 10,000 was considered as loan and Mr. Raj secured the amount by issue of debentures. His wife and three daughters took one share each. Owing to strike the company was wound up. The assets of the company were valued at ₹ 6000. The debts due to unsecured creditors were ₹ 8000.

Mr. Raj retained the entire sum of ₹ 6000 as part payment of loan. To this, the other creditors objected. Their contention was that a man could not own any money to himself, and the entire sum of ₹ 6000 should be paid to them.

Examine the rights of Mr. Raj and other creditors. Who will succeed?

Answer:

Separate Legal Entity: Corporate Veil refers to a legal concept whereby the company is identified separately from the members of the company.

The term Corporate Veil refers to the concept that members of a company are shielded from liability connected to the company's actions. If the company incurs any debts or contravenes any laws, the corporate veil concept implies that members should not be liable for those errors. In other words, they enjoy corporate insulation.

Thus, the shareholders are protected from the acts of the company. The leading case law of Saloman Vs Saloman and Company Limited, laid the foundation of concept of corporate veil or independent corporate personality. A company is a person distinct and separate from its members.

Based on the above discussion and provisions, Mr. Raj was entitled to the assets of the company as he was a secured creditor of the company and the contention of the creditors that Mr. Raj and the company are one and same person is wrong.

Now, the question may arise whether this Veil of Corporate Personality can even be lifted or pierced.

ii. | Lifting of Corporate Veil:

The following are the cases where company law disregards the principle of corporate personality or the principle that the company is a legal entity distinct and separate from its shareholders or members:

1. | To determine the character of the company i.e. to find out whether co-enemy or friend:

- In the law relating to trading with the enemy where the test of control is adopted.
- The leading case in this point is Daimler Co. Ltd. vs. Continental Tyre & Rubber Co., if the public interest is not likely to be in jeopardy, the Court may not be willing to crack the corporate shell. But it may rend the veil for ascertaining whether a company is an enemy company.
- It is true that, unlike a natural person, a company does not have mind or conscience; therefore, it cannot be a friend or foe.
- It may, however, be characterised as an enemy company, if its affairs are under the control of people of an enemy country.
- For this purpose, the Court may examine the character of the persons who are really at the helm of affairs of the company.

2. | To protect revenue/tax:

- Where corporate entity is used to evade or circumvent tax, the Court can disregard the corporate entity.

Case law

Dinshaw Maneckjee Petit

It was held that the company was not a genuine company at all but merely the assessee himself disguised under the legal entity of a limited company. The assessee earned huge income by way of dividends and interest. So, he opened some companies and purchased their shares in exchange of his income by way of dividend and interest. This income was transferred back to assessee by way of loan. The Court decided that the private companies were a sham and the corporate veil was lifted to decide the real owner of the income.

3. | To avoid a legal obligation:

- Where it was found that the sole purpose for the formation of the company was to use it as a device to reduce the amount to be paid by way of bonus to workmen, the Supreme Court upheld the piercing of the veil to look at the real transaction.

Case law

Workmen of Associated Rubber Industry ltd., v. Associated Rubber Industry Ltd:

The facts of the case are that "A Limited" purchased shares of "B Limited" by investing a sum of Rs.4,50,000. The dividend in respect of these shares was shown in the profit and loss account of the company, year after year. It was taken into account for the purpose of calculating the bonus payable to workmen of the company. Sometime in 1968, the company transferred the shares of B Limited, to C Limited a subsidiary, wholly owned by it. Thus, the dividend income did not find place in the Profit & Loss Account of A Ltd., with the result that the surplus available for the purpose for payment of bonus to the workmen got reduced. Here a company created a subsidiary and transferred to it, its investment holdings in a bid to reduce its liability to pay bonus to its workers. Thus, the Supreme Court brushed aside the separate existence of the subsidiary company. The new company so formed had no assets of its own except those transferred to it by the principal company, with no business or income of its own except receiving dividends from shares transferred to it by the principal company and serving no purpose except to reduce the gross profit of the principal company so as to reduce the amount paid as bonus to workmen.

4. | Formation of subsidiaries to act as agents:

- A company may sometimes be regarded as an agent or trustee of its members, or of another company, and may therefore be deemed to have lost its individuality in favour of its principal.
- Here the principal will be held liable for the acts of that company.

Case law

Merchandise Transport Limited vs. British Transport Commission (1982)

A transport company wanted to obtain licences for its vehicles but could not do so if applied in its own name. It, therefore, formed a subsidiary company, and the application for licence was made in the name of the subsidiary. The vehicles were to be transferred to the subsidiary company.

Held, the parent and the subsidiary were one commercial unit and the application for licences was rejected.

5. | Company formed for fraud/improper conduct or to defeat law:

- Where the device of incorporation is adopted for some illegal or improper purpose, e.g., to defeat or circumvent law, to defraud creditors or to avoid legal obligations.
- [Gilford Motor Co. vs. Horne]

THEORY QUESTIONS

Question 1: **(PEQ–June-23 - 6 Marks)**

Explain the concept of 'Corporate Veil'. Briefly state the circumstances when the corporate veil can be lifted as per the provisions of the Companies Act, 2013.

Question 2: **(PEQ-Nov-18 - 6 Marks)**

There are cases where company law disregards the principle of corporate personality or the principle that the company is a legal entity distinct from its shareholders or members. Elucidate.

Question 3: **(PEQ-Sep-24 - 5 Marks)**

"Corporate veil sometimes fails to protect the members of the company from the liability connected to the company's actions." Explain any three instances.

CASE BASED QUESTIONS

Question 1: **(MTP- Nov-18, May-19, May-21 - 4 Marks)**

F, an assessee, was a wealthy man earning huge income by way of dividend and interest. He formed three Private Companies and agreed with each to hold a bloc of investment as an agent for them.

The dividend and interest income received by the companies was handed back to F as a pretended loan. This way, F divided his income into three parts in a bid to reduce his tax liability.

Decide, for what purpose the three companies were established? Whether the legal personality of all the three companies may be disregarded.

Answer :

1. The House of Lords in Salomon Vs Salomon & Co. Ltd. laid down that a company is a person distinct and separate from its members, and therefore, has an independent separate legal existence from its members who have constituted the company.
2. But under certain circumstances the separate entity of the company may be ignored by the courts. When that happens, the courts ignore the corporate entity of the company and look behind the corporate façade and hold the persons in control of the management of its affairs liable for the acts of the company.
3. Where a company is incorporated and formed by certain persons only for the purpose of evading taxes, the courts have discretion to disregard the corporate entity and tax the income in the hands of the appropriate assessee.

(1) The problem asked in the question is based upon the aforesaid facts. The three companies were formed by the assessee purely and simply as a means of avoiding tax and the companies were nothing more than the façade of the assessee himself. Therefore the whole idea of Mr. F was simply to split his income into three parts with a view to evade tax. No other business was done by the company.

(2) The legal personality of the three private companies may be disregarded because the companies were formed only to avoid tax liability.

Question 2: **(PEQ-Nov-19 - 3 Marks)**

A, an assessee, had large income in the form of dividend and interest. In order to reduce his tax liability, he formed four private limited company and transferred his investments to them in exchange of their shares. The income earned by the companies was taken back by him as pretended loan. Can A be regarded as separate from the private limited company he formed?

Question 3: **(MTP-May-23 - 6 Marks)**

Mr. Rajeev, an assessee, was a wealthy man earning huge income by way of dividend and interest. He formed three Private Companies and agreed with each to hold a bloc of investment as an agent for them.

The dividend and interest income received by the companies was handed back to Mr. Rajeev as a pretended loan. This way, Mr. Rajeev divided his income into three parts in a bid to reduce his tax liability.

Decide, for what purpose the three companies were established? Whether the legal personality of all the three companies may be disregarded.

Question 4: **(RTP-Nov-19) (MTP-Nov-18 - 4 Marks)**

Some of the creditors of Pharmaceutical Appliances Ltd. have complained that the company was formed by the promoters only to defraud the creditors and circumvent the compliance of legal provisions of the Companies Act, 2013.

In this context they seek your advice as to the meaning of corporate veil and when the promoters can be made personally liable for the debts of the company.

Answer:

Corporate Veil: Corporate Veil refers to a legal concept whereby the company is identified separately from the members of the company.

The term Corporate Veil refers to the concept that members of a company are shielded from liability connected to the company's actions. If the company incurs any debts or contravenes any laws, the corporate veil concept implies that members should not be liable for those errors. In other words, they enjoy corporate insulation.

Thus, the shareholders are protected from the acts of the company.

However, under certain exceptional circumstances the courts lift or pierce the corporate veil by ignoring the separate entity of the company and the promoters and other persons who have managed and controlled the affairs of the company.

Thus, when the corporate veil is lifted by the courts, the promoters and persons exercising control over the affairs of the company are held personally liable for the acts and debts of the company.

The following are the cases where company law disregards the principle of corporate personality or the principle that the company is a legal entity distinct and separate from its shareholders or members:

(i) To determine the character of the company i.e. to find out whether co-enemy or friend
(ii) To protect revenue/tax
(iii) To avoid a legal obligation
(iv) Formation of subsidiaries to act as agents
(v) Company formed for fraud/improper conduct or to defeat law

Question 5: **(RTP- Nov-21)**

Mr. Dhruv was appointed as an employee in Sunmoon Timber Private Limited on the condition that if he was to leave his employment, he will not solicit customers of the company. After some time, he was fired from company. He set up his own business under proprietorship and undercut Sunmoon Timber Private Limited's prices.

On the legal advice from his legal consultant and to refrain from the provisions of breach of contract, he formed a new company under the name Seven Stars Timbers Private Limited. In this company, his wife and a friend of Mr. Dhruv were the sole shareholders and directors.

They took over Dhruv's business and continued it. Sunmoon Timber Private Limited files a suit against Seven Stars Timbers Private Limited for violation of contract. Seven Stars Timbers Private Limited argued that the contract was entered between Mr. Dhruv and Sunmoon Timber Private Limited and as company has separate legal entity, Seven Stars Timbers Private Limited has not violated the terms of agreement.

Explain with reasons, whether separate legal entity between Mr. Dhruv and Seven Stars Timbers Private Limited will be disregarded?

Answer:

It was decided by the court in the case of Gilford Motor Co. Vs. Horne, that if the company is formed simply as a mere device to evade legal obligations, though this is only in limited and discrete circumstances, courts can pierce the corporate veil. In other words, if the company is mere sham or cloak, the separate legal entity can be disregarded.

On considering the decision taken in Gilford Motor Co. Vs. Horne and facts of the problem given, it is very much clear that Seven Stars Timbers Private Limited was formed just to evade legal obligations of the agreement between Mr. Dhruv and Sunmoon Timber Private Limited.

Hence, Seven Stars Timbers Private Limited is just a sham or cloak and separate legal entity between Mr. Dhruv and Seven Stars Timbers Private Limited should be disregarded.

Question 6: **(RTP-May-22)**

An employee Mr. Karan signed a contract with his employer company ABC Limited that he will not solicit the customers after leaving the employment from the company. But after Mr. Karan left ABC Limited, he started up his own company PQR Limited and he started soliciting the customers of ABC Limited for his own business purposes.

ABC Limited filed a case against Mr. Karan for breach of the employment contract and for soliciting their customers for own business. Mr. Karan contended that there is corporate veil between him, and his company and he should not be personally held liable for this.

In this context, the company ABC Limited seek your advice as to the meaning of corporate veil and when the veil can be lifted to make the owners liable for the acts done by a company?

Answer:

Corporate Veil: Corporate Veil refers to a legal concept whereby the company is identified separately from the members of the company.

The term Corporate Veil refers to the concept that members of a company are shielded from liability connected to the company's actions. If the company incurs any debts or contravenes any laws, the corporate veil concept implies that members should not be liable for those errors. In other words, they enjoy corporate insulation.

Thus, the shareholders are protected from the acts of the company.

However, under certain exceptional circumstances the courts lift or pierce the corporate veil by ignoring the separate entity of the company and the promoters and other persons who have managed and controlled the affairs of the company. Thus, when the corporate veil is lifted by the courts, the promoters and persons exercising control over the affairs of the company are held personally liable for the acts and debts of the company.

The following are the cases where company law disregards the principle of corporate personality or the principle that the company is a legal entity distinct and separate from its shareholders or members:

(i) To determine the character of the company i.e. to find out whether co-enemy or friend.
(ii) To protect revenue/tax
(iii) To avoid a legal obligation
(iv) Formation of subsidiaries to act as agents
(v) Company formed for fraud/improper conduct or to defeat law

Based on the above provisions and leading case law of Gilford Motor Co. Vs Horne, the company PQR Limited was created to avoid the legal obligation arising out of the contract, therefore that employee Mr. Karan and the company PQR Limited created by him should be treated as one and thus veil between the company and that person shall be lifted. Karan has formed the only for fraud/improper conduct or to defeat the law. Hence, he shall be personally held liable for the acts of the company.

Question 7: **(RTP-Nov-22)**

A transport company wanted to obtain licences for its vehicles but could not obtain licences if applied in its own name. It, therefore, formed a subsidiary company and the application for licence was made in the name of the subsidiary company. The vehicles were to be transferred to the subsidiary company. Will the parent and the subsidiary company be treated as separate commercial units? Explain in the light of the provisions of the Companies Act, 2013.

Answer:

If the subsidiary is formed to act as agent of the Principal Company, it may be deemed to have lost its individuality in favour of its principal. The veil of Corporate Personality is lifted and the principal will be held liable for the acts of subsidiary company.

The facts of the case are similar to the case of Merchandise Transport Limited vs. British Transport Commission (1982), wherein a transport company wanted to obtain licences for its vehicles but could not do so, if applied in its own name.

It, therefore, formed a subsidiary company, and the application for the licence was made in the name of the subsidiary. The vehicles were to be transferred to the subsidiary company. Held, the parent and the subsidiary were held to be one commercial unit and the application for licences was rejected.
Hence, in this case the parent and the subsidiary company shall not be treated as separate commercial units.

Question 8: **(RTP-Nov-22)**
ABC Pvt Ltd, has been overstating expenditures in their Profit & Loss account for the past few years. On Inquiry, it was found that the mere purpose was to avoid tax. However, there was no fraudulent intentions. Should the corporate veil of the company be lifted? Kindly justify.

Answer:
Corporate veil refers to the concept that members of a company are shielded from liability connected to the company's action. It is the legal concept whereby the company is identified separately from the members of the company. However, under the below circumstances, the company law disregards the principle of corporate personality.

- To determine the character of the company
- To protect revenue/tax
- To avoid a legal obligation
- Formation of subsidiaries to act as agents
- Company formed for fraud/improper conduct.

In the given scenario, though the intention of the company was not fraudulent to defeat law, it had the intention of avoiding taxes and protecting revenue.
Hence, corporate veil should be lifted and the principles of corporate personality will be disregarded.

03 CLASSES OF COMPANIES UNDER THE ACT

1. | On the basis of liability:

a. | Section 2(22):- Company limited by shares

- Section 2(22) of the Companies Act, 2013, defines that when the liability of the members of a company is limited by its memorandum of association to the amount (if any) unpaid on the shares held by them, it is known as a company limited by shares.
- It thus implies that for meeting the debts of the company, the shareholder may be called upon to contribute only to the extent of the amount, which remains unpaid on his shareholdings. His separate property cannot be encompassed to meet the company's debt.
- It may be worthwhile to know that though a shareholder is a co-owner of the company, he is not a co-owner of the company's assets. The ownership of the assets remains with the company, because of its nature as a legal person. The extent of the rights and duties of a shareholder as co-owner is measured by his shareholdings.

b. | Section 2(21):- Company limited by guarantee

- Section 2(21) of the Companies Act, 2013 defines it as the company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake by the memorandum to contribute to the assets of the company in the event of its being wound up.
- Thus, the liability of the member of a guarantee company is limited upto a stipulated sum mentioned in the memorandum. Members cannot be called upon to contribute beyond that stipulated sum.

☞ SIMILARITY

The common features between a 'guarantee company' and 'the company having share capital' are legal personality and limited liability. In the latter case, the member's liability is limited by the amount remaining unpaid on the share, which each member holds. Both of them have to state in their memorandum that the members' liability is limited.

☞ DIFFERENCE

However, the point of distinction between these two types of companies is that in the former case the members may be called upon to discharge their liability only after commencement of the winding up and only subject to certain conditions; but in the latter case, they may be called upon to do so at any time, either during the company's life-time or during its winding up.

THEORY QUESTIONS

Question 1: **(MTP-June-19, June-21 - 6 Marks)**

What is meant by a Guarantee Company? State the similarities and dissimilarities between a Guarantee Company and a Company having Share Capital.

Question 2: **(PEQ-June-21 - 3 Marks)**

What is the main difference between a Guarantee Company and a Company having Share Capital?

Question 3: **(PEQ-Jan-26 - 5 Marks)**

(i) What do you mean by 'Common Seal'? Is it necessary for a company to have Common Seal? Discuss as per provisions of the Companies Act, 2013.

(ii) Whether the phrases "Company Limited by Shares" and "Company Limited by Guarantee" are same? If not, explain any four differences between these two according to provisions of the Companies Act, 2013.

In Narendra Kumar Agarwal vs. Saroj Maloo,

The Supreme Court has laid down that the right of a guarantee company to refuse to accept the transfer by a member of his interest in the company is on a different footing than that of a company limited by shares. The membership of a guarantee company may carry privileges much different from those of ordinary shareholders.

c. | Section 2(92):- Unlimited company

- Section 2(92) of the Companies Act, 2013 defines unlimited company as a company not having any limit on the liability of its members.
- In such a company, the liability of a member ceases when he ceases to be a member.
- The liability of each member extends to the whole amount of the company's debts and liabilities but he will be entitled to claim contribution from other members.
- In case the company has share capital, the Articles of Association must state the amount of share capital and the amount of each share. So long as the company is a going concern the liability on the shares is the only liability which can be enforced by the company.
- The creditors can institute proceedings for winding up of the company for their claims.
- The official liquidator may call the members for their contribution towards the liabilities and debts of the company, which can be unlimited.

CASE BASED QUESTIONS

Question 1: **(RTP-Nov-22)**

Nolimit Private Company is incorporated as unlimited company having share capital of ₹ 10,00,000. One of its creditors, Mr. Samuel filed a suit against a shareholder Mr. Innocent for recovery of his debt against Nolimit Private Company.

Mr. Innocent has given his plea in the court that he is not liable as he is just a shareholder. Explain, whether Mr. Samuel will be successful in recovering his dues from Mr. Innocent?

Answer:

Section 2(92) of Companies Act, 2013, provides that an unlimited company means a company not having any limit on the liability of its members.

The liability of each member extends to the whole amount of the company's debts and liabilities, but he will be entitled to claim contribution from other members. In case the company has share capital, the Articles of Association must state the amount of share capital and the amount of each share.

So long as the company is a going concern the liability on the shares is the only liability which can be enforced by the company. The creditors can institute proceedings for winding up of the company for their claims. The official liquidator may call the members for their contribution towards the liabilities and debts of the company, which can be unlimited.

On the basis of above, it can be said that Mr. Samuel cannot directly claim his dues against the company from Mr. Innocent, the shareholder of the company even the company is an unlimited company. Mr. Innocent is liable upto his share capital. His unlimited liability wil l arise when official liquidator calls the members for their contribution towards the liabilities and debts of the company at the time of winding up of company.

2. | On the basis of members:

a. | Section 2(62):- One person company

- Section 2(62) of the Companies Act, 2013 defines one person company (OPC) as a company which has only one person as a member.
- OPC differs from sole proprietary concern in an aspect that OPC is a separate legal entity with a limited liability of the member whereas in the case of sole proprietary, the liability of owner is not restricted and it extends to the owner's entire assets constituting of official and personal.
- The procedural requirements of an OPC are simplified through exemptions provided under the Act in comparison to the other forms of companies.
- According to section 3(1)(c) of the Companies Act, 2013, OPC is a private limited company with the minimum paid up share capital as may be prescribed and has at least one member.

☞ OPC (One Person Company) - significant points

- Only one person as member.
- Minimum paid up capital - no limit prescribed.
- The memorandum of OPC shall indicate the name of the other person, who shall, in the event of the subscriber's death or his incapacity to contract, become the member of the company.
- The other person whose name is given in the memorandum shall give his prior written consent in prescribed form and the same shall be filed with Registrar of companies at the time of incorporation.
- Such other person may be given the right to withdraw his consent.
- The member of OPC may at any time change the name of such other person by giving notice to the company and the company shall intimate the same to the Registrar.
- Any such change in the name of the person shall not be deemed to be an alteration of the memorandum.

- Only a natural person who is an Indian citizen whether resident in India or otherwise and has stayed in India for a period of not less than 120 days during the immediately preceding financial year
  - shall be eligible to incorporate a OPC;
  - shall be a nominee for the sole member of a OPC.
- No person shall be eligible to incorporate more than one OPC or become nominee in more than one such company.
- No minor shall become member or nominee of the OPC or can hold share with beneficial interest.
- Such Company cannot be incorporated or converted into a company under section 8 of the Act. Though it may be converted to private or public companies in certain cases.
- Such Company cannot carry out Non-Banking Financial Investment activities including investment in securities of anybody corporate.
- If One Person Company or any officer of such company contravenes the provisions, they shall be punishable with fine which may extend to ten thousand rupees and with a further fine which may extend to one thousand rupees for every day after the first during which such contravention continues.
- Here the member can be the sole member and director.

THEORY QUESTIONS

Question 1: **(RTP-Nov-18) (PEQ-May-18 - 6 Marks)**

Define OPC (One Person Company) and state the rules regarding its membership. Can it be converted into a non-profit company under Section 8 or a private company?

CASE BASED QUESTIONS

Question 1: **(RTP-May-20)**

Naveen incorporated a "One Person Company" making his sister Navita as the nominee. Navita is leaving India permanently due to her marriage abroad. Due to this fact, she is withdrawing her consent of nomination in the said One Person Company. Taking into considerations the provisions of the Companies Act, 2013 answer the questions given below.

(a) If Navita is leaving India permanently, is it mandatory for her to withdraw her nomination in the said One Person Company?

(b) If Navita maintained the status of Resident of India after her marriage, then can she continue her nomination in the said One Person Company?

Answer :

(a) Yes, it is mandatory for Navita to withdraw her nomination in the said OPC as she is leaving India permanently as only a natural person who is an Indian citizen and resident in India shall be a nominee in OPC.

(b) Yes, Navita can continue her nomination in the said OPC, if she maintained the status of Resident of India after her marriage by staying in India for a period of not less than 120 days during the immediately preceding financial year.

Question 2: **(PEQ-June-21- 4 Marks)**

Y incorporated a "One Person Company (OPC)" making his sister Z as nominee. Z is leaving India permanently due to her marriage abroad. Due to this fact, she is withdrawing her consent of nomination in the said OPC. Taking into considerations the provisions of the Companies Act, 2013 answer the questions given below:

(i) Is it mandatory for Z to withdraw her nomination in the said OPC, if she is leaving India permanently?

(ii) Can Z continue her nomination in the said OPC, if she maintained the status of Resident of India after her marriage?

Question 3: **(RTP-Nov-21)**

Mr. A is an Indian citizen and his stay in India during immediately preceding financial year is for 115 days. He appoints Mr. B as his nominee who is a foreign citizen but has stayed in India for 130 days during immediately preceding financial year.

(i) Is Mr. A eligible to be incorporated as a One Person Company (OPC). If yes, can he give the name of Mr. B in the memorandum of Association as his nominee to become the member after Mr. A's incapacity to become a member.

(ii) If Mr. A has contravened any of the provisions of the Act, what are the consequences?

Answer:

As per the provisions of the Companies Act, 2013, only a natural person who is an Indian citizen and resident in India (person who stayed in India for a period of not less than 120 days during immediately preceding financial year) –

- Shall be eligible to incorporate an OPC
- Shall be a nominee for the sole member.

(i) In the given case, though Mr. A is an Indian citizen, his stay in India during the immediately preceding previous year is only 115 days which is below the requirement of 120 days. Hence Mr. A is not eligible to incorporate an OPC.

Also, even though Mr. B's name is mentioned in the memorandum of Association as nominee and his stay in India during the immediately preceding financial year is more than 120 days, he is a foreign citizen and not an Indian citizen. Hence B's name cannot be given as nominee in the memorandum.

(ii) Since Mr. A is not eligible to incorporate a One Person Company (OPC), he will be contravening the provisions, if he incorporates one. He shall be punishable with fine which may extent to ten thousand rupees and with a further fine which may extent to One thousand rupees every day after the first during which such contravention occurs.

Question 4: **(MTP-May-22- 4 Marks)**

Rohan incorporated a "One Person Company". The memorandum of OPC indicates the name of his brother Vinod as the nominee of OPC. However, Vinod is starting his new business in abroad and needs to leave India permanently. Due to this fact, Vinod is withdrawing his consent of nomination in the said One Person Company. Taking into considerations the provisions of the Companies Act, 2013 answer the questions given below:-

I. If is it mandatory for Vinod to withdraw his nomination in the said OPC

II. Can Rohan make his 17 year old son as a nominee in such a case.

Answer:

(A) Yes, it is mandatory for Vinod to withdraw his nomination in the said OPC as he is leaving India permanently as only a natural person who is an Indian citizen and resident in India or otherwise and has stayed in India for a period of not less than 120 days during the immediately preceding financial year shall be a nominee in OPC.

Since Vinod will not satisfy this condition, so he needs to withdraw his nomination.

(B) No, Rohan cannot make his 17 year old son as a nominee of his OPC as no minor shall become member or nominee of the OPC or can hold beneficial interest.

Question 5: **(PEQ-Nov-22 - 4 Marks)**

Mr. Anil formed a One Person Company (OPC) on 16 April, 2018 for manufacturing electric cars. The turnover of the OPC for the financial year ended 31 March, 2019 was about ₹ 2.25 crores. His friend Sunil wanted to invest in his One Person Company (OPC), so they decided to convert it voluntarily into a private limited company. Can Anil do so, as per the provisions of the Companies Act, 2013?

Answer:

Section 2(62) of the Companies Act, 2013 defines one person company as a company which has only one person as a member. However, a private company shall have minimum 2 members without any restriction on the share capital or turnover. If OPC is converted into private company Mr. Anil and Mr. Sunil both can be the members of the company and investment from Mr. Sunil can be accepted.

A One Person Company can voluntarily convert itself into a private company by following the compliances given under the Companies Act, 2013.

In the instant case, OPC formed by Mr. Anil can be voluntarily converted into a private company by following the compliances given under the Companies Act, 2013. Here, the information given relating to turnover for the financial year ended 31st March, 2019 is immaterial.

Question 6: **(PEQ-May-22 - 3 Marks)**

Mr. R is an Indian citizen, and his stay in India during the immediately preceding financial year is for 130 days. He appoints Mr. S, a foreign citizen, as his nominee, who has stayed in India for 125 days during the immediately preceding financial year.

Is Mr. R eligible to be incorporated as a One-Person Company (OPC)? If yes, can he give the name of Mr. S in the Memorandum of Association as his nominee? Justify your answers with relevant provisions of the Companies Act, 2013.

Answer:

As per the provisions of the Companies Act, 2013, only a natural person who is an Indian citizen and resident in India (person who stayed in India for a period of not less than 120 days during immediately preceding financial year) –

- Shall be eligible to incorporate an OPC
- Shall be a nominee for the sole member.

In the given case, Mr. R is an Indian citizen and his stay in India during the immediately preceding financial year is 130 days which is above the requirement of 120 days. Hence, Mr. R is eligible to incorporate an OPC.

Also, even though Mr. S's name is mentioned in the Memorandum of Association as nominee and his stay in India during the immediately preceding financial year is more than 120 days, he is a foreign citizen and not an Indian citizen. Hence, S's name cannot be given as nominee in the memorandum.

Question 7:

Kamal, a Chartered Accountant started his e-commerce business by incorporating a One Person Company (the OPC) on 1st October, 2023. He, being a sole member of the OPC named his brother Sudhakar, with his consent, as his nominee in the Memorandum of Association of the OPC. Now, Kamal intends to replace Sudhakar and to nominate any one of the following short- listed friends as a nominee with effect from 1st January, 2024.

(1) Robert, an Indian citizen, and a resident in India shifted his residence to the USA on 31st May, 2022 and has not returned to India till 1st January, 2024.

(2) Dinkar, an Indian citizen, and non-resident in India came for employment in India on 1st April, 2023 and have been continuously staying in India since then.

Referring to the provisions of the Companies Act, 2013, advise Kamal regarding eligibility of his short-listed friends to be appointed nominee and the procedure to be followed for changing the name of the nominee as per the provisions of the Companies Act, 2013. (PEQ-SEP-24-4 Marks)

Answer:

As per Rule 3 of the Companies (Incorporation) Rules, 2014:

Only a natural person who is an Indian citizen whether resident in India or otherwise

(a) shall be eligible to incorporate a One Person Company;

(b) shall be a nominee for the sole member of a One Person Company.

Here, "resident in India" means a person who has stayed in India for a period of not less than one hundred and twenty days during the immediately preceding financial year.

In the instant case,

(i) Robert cannot be appointed as a nominee in the OPC by Kamal as his stay in the preceding F/Y 2022-23 is only for 61 days which is less than 120 days.

(ii) Dinkar can be appointed as a nominee in the OPC by Kamal as he is an Indian Citizen and non-resident in India.

Question 8: **(PEQ-Sep-25 - 7 Marks)**

Mr. RM was engaged in the trading of handloom items with his wife. One of their friends suggested that they should form a private limited company. By corporatizing their business, they could gain better recognition and even explore export opportunities.

They established M/s RM Private Limited with both as the sole members. They got the work orders on job basis from local artisans, sold their products in the Indian market, and exported them as well. The company also secured a line of credit from the bank amounting to Rs. 30 lakhs.

Tragically, Mr. RM met with an accident and passed away. Now Mrs. RM was the only member in the private limited company. A family friend suggested including her brother as a member, but she declined. Instead, she decided to convert the private limited company into a One Person Company (OPC) and nominate her brother, Mr. AK, who is currently employed in London, UK.

Examine with reference to the Companies Act, 2013:

(i) Whether Mrs. RM's decision to convert the private limited company into a One Person Company (OPC) is legally valid; and

(ii) When Mrs. RM's decision to nominate her brother Mr. AK, as a nominee, is not legally valid?

Answer:

(i) A Private Limited Company can be converted into an OPC if it meets the eligibility criteria under Section 2(62) of the Companies Act, 2013.

An OPC can have only one member and the Memorandum of OPC shall indicate the name of the other person, who shall, in the event of the subscriber's death or his incapacity to contract, become the member of the Company.

The member of OPC may at any time change the name of such other person by giving notice to the company and the company shall intimate the same to the registrar.

No person shall be eligible to become nominee in more than one OPC.

Further only a natural person who is an Indian citizen whether resident in India or otherwise-

- shall be eligible to incorporate a One Person Company;
- shall be a nominee for the sole member of a One Person Company.

Explanation I - For the purposes of this rule, the term "resident in India" means a person who has stayed in India for a period of not less than one hundred and twenty days during the immediately preceding financial year. In view of the above, in the given case, Mrs. RM's decision to convert the Company into an OPC is legally valid.

(ii) Nominating Mr. AK may not be valid if he does not meet the residency requirement (i.e., if he has not stayed in India for at least 120 days in the preceding financial year). In that case, Mrs. RM must nominate another Indian resident.

Question 9: **(PEQ-Jan-26 - 7 Marks)**

Prasad incorporated an OPC to run his new start-up in May, 2021. OPC borrowed Rs. 50 Lakhs to meet its long term fund requirements and Rs. 25 lakh to meet its working capital requirements on the basis of his project from a non-banking finance company (NBFC) in Oct, 2021. But due to some running hardships and new govt. policies OPC was failed to pay its debts to NBFC. Assets of the company were insufficient to pay the outstanding debts. According to the provisions of the Companies Act, 2013, decide whether

Prasad would be liable to pay the outstanding debts of NBFC in the following circumstances: -

(i) If the NBFC proceeded against the personal assets of Prasad only on the ground that he is the only shareholder and hence liable for its debts.

(ii) If the NBFC proves that the One Person Company was formed for fraud and cheating.

Answer:

According to Section 2(62) of the Companies Act, 2013, a One Person Company (OPC) means a Company which has only one person as a member. A Company is a separate legal entity distinct from its member and enjoys limited liability.

Separate Legal Entity: When a Company is registered, it is clothed with a legal personality. Its existence is distinct and separate from that of its members.

Limited Liability: The liability of the members of the Company is limited to the extent of the nominal value of shares held by them. In no case, the shareholders can be asked to pay anything more than the unpaid value of their shares. The liability of OPC's sole member is limited to the extent of unpaid share capital, if any.

In the instant case, OPC failed to pay its debts to NBFC. Assets of the company were insufficient to pay the outstanding debts.

According to above provisions, we can conclude that: -

(i) If the NBFC proceeded against the personal assets of Prasad only on the ground that he is the only shareholder and hence liable for its debts: Prasad will not be personally liable to pay the outstanding debts of the NBFC merely on the ground that he is the only shareholder of the OPC because the debts of the OPC are its own and the OPC enjoys limited liability. Creditors cannot proceed against the personal assets of the member merely because he is the sole shareholder.
Therefore, the NBFC cannot proceed against the personal assets of Prasad only on the ground that he is the sole shareholder.

(ii) If the NBFC proves that the One Person Company was formed for fraud and cheating: Where a Company is incorporated or carried on with intent to defraud Creditors or for any fraudulent purpose, the "Doctrine of Lifting of Corporate Veil" applies and the Corporate Veil can be lifted. In such cases, the protection of limited liability is withdrawn and the member can be held personally responsible for the debts of the company.
Accordingly, if the NBFC proves that the OPC was incorporated for fraudulent purposes, the protection of limited liability can be withdrawn and Prasad would be liable to pay the outstanding debts of NBFC and his personal assets can be used to settle the outstanding liabilities.

b. | Section 2(68):- Private Company

"Private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles,—

(i) restricts the right to transfer its shares;

(ii) except in case of One Person Company, limits the number of its members to 200:
Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member:
Provided further that—

(A) persons who are in the employment of the company; and

(B) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, shall not be included in the number of members; and

(iii) prohibits any invitation to the public to subscribe for any securities of the company;

☞ Private company - significant points

- No minimum paid-up capital requirement.
- Minimum number of members - 2 (except if private company is an OPC, where it will be 1).
- Maximum number of members - 200, excluding present employee-cum-members and erstwhile employee-cum-members.
- Right to transfer shares restricted.
- Prohibition on invitation to subscribe to securities of the company.
- Small company is a private company.
- OPC can be formed only as a private company.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov-18, June-23 - 4 Marks)**

Flora Fauna Limited was registered as a public company. There are 230 members in the company as noted below:

(a)	Directors and their relatives	190
(b)	Employees	15
(c)	Ex-Employees (Shares were allotted when they were employees	10
(d)	5 couples holding shares jointly in the name of husband and wife (5*2)	10
(e)	Others	5

The Board of Directors of the company propose to convert it into a private company. Also advise whether reduction in the number of members is necessary.

Answer :

1. According to section 2(68) of the Companies Act, 2013, "Private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles, except in case of One Person Company, limits the number of its members to two hundred.
2. However, where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member.
3. It is further provided that -
   (A) persons who are in the employment of the company; and
   (B) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, shall not be included in the number of members.
4. In the instant case, Flora Fauna Limited may be converted into a private company only if the total members of the company are limited to 200.
   Total Number of members

(i)	Directors and their relatives	190
(ii)	5 Couples (5*1)	5
(iii)	Others	5
	Total	200

5. Therefore, there is no need for reduction in the number of members since existing number of members are 200 which does not exceed maximum limit of 200.

Question 2: **(PEQ-Jan-21 - 4 Marks)**

ABC Limited was registered as a public company. There were 245 members in the company. Their details are as follows:

Directors and their relatives	190
Employees	15
Ex-employees (shares were allotted when they were employees)	20
Others	20

(Including 10 joint holders holding shares jointly in the name of father and son)

The Board of directors of the company propose to convert it into a private company. Advice whether reduction in the number of members is necessary for conversion.

Question 3: **(RTP-May-22)**

Jagannath Oils Limited is a public company and having 220 members. Of which 25 members were employee in the company during the period 1st April 2006 to 28th June 2016. They were allotted shares in Jagannath Oils Limited first time on 1st July 2007 which were sold by them on 1st August 2016. After some time, on 1st December 2016, each of those 25 members acquired shares in Jagannath Oils Limited which they are holding till date.

Now company wants to convert itself into a private company. State with reasons:

(a) Whether Jagannath Oils Limited is required to reduce the number of members.

(b) Would your answer be different if above 25 members were the employee in Jagannath Oils Limited for the period from 1st April 2006 to 28th June 2017?

Answer:

According to Section 2(68) of Companies Act, 2013, "Private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles,—

(i) restricts the right to transfer its shares;

(ii) except in case of One Person Company, limits the number of its members to two hundred:

Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member:

Provided further that—

(A) persons who are in the employment of the company; and

(B) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased,

shall not be included in the number of members; and

(iii) prohibits any invitation to the public to subscribe for any securities of the company;

(a) Following the provisions of Section 2(68), 25 members were employees of the company but not during present membership which was started from 1st December 2016 i.e. after the date on which these 25 members were ceased to the employee in Jagannath Oils Limited.

Hence, they will be considered as members for the purpose of the limit of 200 members. The company is required to reduce the number of members before converting it into a private company.

(b) On the other hand, if those 25 members were ceased to be employee on 28th June 2017, they were employee at the time of getting present membership. Hence, they will not be counted as members for the purpose of the limit of 200 members and the total number of members for the purpose of this sub-section will be 195.

Therefore, Jagannath Oils Limited is not required to reduce the number of members before converting it into a private company.

Question 4: **(MTP-Nov-23 – 4 Marks)**

Parasnath Infra Height Limited is a public company having 215 members. Out of 215 members, 20 members were employee in the company during the period 1st June, 2021 to 30th June, 2023. They were allotted shares in Parasnath Infra Height Limited on 1st April, 2017 which are held by them till today i.e. 31st October, 2023. Now, company wants to convert itself into a private company.

State with reasons, whether Parasnath Infra Height Limited is required to reduce the number of members under the provisions of Companies Act, 2013?

Answer:

According to Section 2(68) of Companies Act, 2013, "Private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles, —

(i) restricts the right to transfer its shares;

(ii) except in case of One Person Company, limits the number of its members to two hundred:

Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member:

Provided further that—

(A) persons who are in the employment of the company; and

(B) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased,

shall not be included in the number of members; and

(iii) prohibits any invitation to the public to subscribe for any securities of the company;

In the given problem, 20 members were employees of the company but they were not employee at the time of getting membership i.e. 1st April, 2017 and nor on existing date i.e. 31st October, 2023. Hence, they will be considered as members for the purpose of the limit of 200 members.

Hence, taking into account the provisions of Section 2(68) of the Act, the company is required to reduce the number of members to 200 before converting it into a private company.

Question 5: **(PEQ-Jan-26 - 3 Marks)**

Stuti Textiles Private Ltd. is a wholly owned subsidiary of SS Textiles Limited. It has only 5 members and restricts the right to transfer their shares to any person other than person who is in employment of the company. Some Members opposed the decision of the company as they want to invite a group of people to subscribe shares in Stuti Textile Private Ltd. Decide with reference to provisions of Companies Act, 2013, whether restriction of company to transfer share is correct?

Answer:

According to Section 2(68) of the Companies Act, 2013 Private Company means a company which restricts the right to transfer its share and prohibits any invitation to the public to subscribe for any share in the company. But, according to proviso to Section 2(71) of the Companies Act, 2013 a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its Articles of Association.

The shares of a Public Company is freely transferable.

In the instant case, since Stuti Textiles Private Ltd. is a wholly owned subsidiary of SS Textiles Limited, restriction of Stuti Textiles Private Ltd. to transfer share is not correct as it is deemed to be a Public Company.

Thus, restriction on transfer of shares is incorrect.

c. | Section 2(71):- Public company

"Public company" means a company which—

(i) is not a private company; and

(ii) has a minimum paid-up share capital, as may be prescribed:

Provided that a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its articles;

☞ **Public company - significant points**

- Is not a private company (Articles do not have the restricting clauses).
- Shares freely transferable.
- No minimum paid up capital requirement.
- Minimum number of members - 7.
- Maximum numbers of members - No limit.
- Subsidiary of a public company is deemed to be a public company.

According to section 3(1) (a), a company may be formed for any lawful purpose by seven or more persons, where the company to be formed is to be a public company.

3. | On the basis of control:

a. | Section 2(46) and Section 2(87):- Holding and subsidiary companies

'Holding and subsidiary' companies are relative terms.

Section 2(46) defines holding company in relation to one or more other companies, means a company of which such companies are subsidiary companies.

For the purposes of this clause, the expression "company" includes any body corporate.

Whereas Section 2(87) defines "subsidiary company" in relation to any other company (that is to say the holding company), means a company in which the holding company—

(i) controls the composition of the Board of Directors; or

(ii) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

Provided that such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.

For the purposes of this section —

(I) a company shall be deemed to be a subsidiary company of the holding company even if the control referred to in sub-clause (i) or sub-clause (ii) is of another subsidiary company of the holding company;

(II) the composition of a company's Board of Directors shall be deemed to be controlled by another company if that other company by exercise of some power exercisable by it at its discretion can appoint or remove all or a majority of the directors;

(III) the expression "company" includes any body corporate;

(IV) "layer" in relation to a holding company means its subsidiary or subsidiaries.

Example

2: A will be subsidiary of B, if B controls the composition of the Board of Directors of A, i.e., if B can, without the consent or approval of any other person, appoint or remove a majority of directors of A.

3: A will be subsidiary of B, if B holds more than 50% of the share capital of A.

4: B is a subsidiary of A and C is a subsidiary of B. In such a case, C will be the subsidiary of A. In the like manner, if D is a subsidiary of C, D will be subsidiary of B as well as of A and so on.

Status of private company, which is subsidiary to public company: In view of Section 2(71) of the Companies Act, 2013 a Private company, which is subsidiary of a public company shall be deemed to be public company for the purpose of this Act, even where such subsidiary company continues to be a private company in its articles.

CASE BASED QUESTIONS

Question 1: **(RTP-Dec-23) (PEQ-Dec-21 - 3 Marks)**

BC Private Limited and its subsidiary KL Private Limited are holding 90,000 and 70,000 shares respectively in PQ Private Limited. The paid-up share capital of PQ Private Limited is Rs.30 Lakhs (3 Lakhs equity shares of Rs. 10 each fully paid).

Analyse with reference to provisions of the Companies Act, 2013 whether PQ Private Limited is a subsidiary of BC Private Limited. What would be your answer if KL Private Limited is holding 1,60,000 shares in PQ Private Limited and no shares are held by BC Private Limited in PQ Private Limited?

Answer:

Section 2(87) defines "subsidiary company" in relation to any other company (that is to say the holding company), means a company in which the holding company—

(i) controls the composition of the Board of Directors; or

(ii) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

For the purposes of this section —

(I) a company shall be deemed to be a subsidiary company of the holding company even if the control referred to in sub-clause (i) or sub-clause (ii) is of another subsidiary company of the holding company;

(II) "layer" in relation to a holding company means its subsidiary or subsidiaries.

(a) In the instant case, BC Private Limited together with its subsidiary KL Private Limited is holding 1,60,000 shares (90,000+70,000 respectively) which is more than one half in nominal value of the Equity Share Capital of PQ Private Limited.

Hence, PQ Private Limited is subsidiary of BC Private Limited.

(b) In the second case, the answer will remain the same. KL Private Limited is a holding 1,60,000 shares i.e., more than one half in nominal value of the Equity Share Capital of PQ Private Limited (i.e., holding more than one half of voting power). Hence, KL Private Limited is holding company of PQ Private Company and BC Private Limited is a holding company of KL Private Limited.

Hence, by virtue of Chain relationship, BC Private Limited becomes the holding company of PQ Private Limited.

Question 2: **(PEQ-May-19 - 3 Marks)**

Popular Products Ltd. is company incorporated in India, having a total Share Capital of Rs. 20 Crores.

The Share capital comprises of 12 Lakh equity shares of Rs.100 each and 8 Lakhs Preference Shares of ₹100 each. Delight Products Ltd. and Happy Products Ltd. hold 2,50,000 and 3,50,000 shares respectively in Popular Products Ltd.

Another company Cheerful Products Ltd. holds 2,50,000 shares in Popular Products Ltd. Jovial Ltd. is the holding company for all above three companies namely Delight Products Ltd; Happy Products Ltd.;

Cheerful Products Ltd. Can Jovial Ltd. be termed as subsidiary company of Popular products. Ltd., if it. Controls composition of directors of Popular Products Ltd. State the related provision in the favour of your answer.

Answer:

In the present case, the total share capital of Popular Products Ltd. is Rs. 20 crores comprised of 12 Lakh equity shares and 8 Lakhs preference shares.

Delight Products Ltd., Happy Products Ltd. and Cheerful Products Ltd together hold 8,50,000 shares (2,50,000 + 3,50,000 + 2,50,000) in Popular Products Ltd. Jovial Ltd. is the holding company of all above three companies.

So, Jovial Ltd. along with its subsidiaries hold 8,50,000 shares in Popular Products Ltd. which amounts to less than one-half of its total share capital. Hence, Jovial Ltd. by virtue of shareholding is not a holding company of Popular Products Ltd.

Secondly, it is given that Jovial Ltd. controls the composition of directors of Popular Products Ltd., hence, Jovial Ltd. is a holding company of Popular Products Ltd. and not a subsidiary company.[Section 2(87) of the Companies Act, 2013]

Question 3: **(MTP-Nov-21, June-22 - 4 Marks)**

The paid-up capital of Ram Private Limited is ₹ 10 Crores in the form of 7,00,000 Equity Shares of ₹ 100 each and 3,00,000 Preference Shares of ₹ 100 each.

Lakhan Private Limited is holding 3,00,000 Equity Shares and 3,00,000 Preference Shares in Ram Private Limited. State with reason, Whether Ram Private Limited is subsidiary of Lakhan Private Limited?

Answer:

According to Section 2(87) of Companies Act, 2013 "subsidiary company" in relation to any other company (that is to say the holding company), means a company in which the holding company—

(i) controls the composition of the Board of Directors; or

(ii) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

For the purposes of this section —

(i) the composition of a company's Board of Directors shall be deemed to be controlled by another company if that other company by exercise of some power exercisable by it at its discretion can appoint or remove all or a majority of the directors;

(ii) the expression "company" includes anybody corporate;

It is to be noted that Preference share capital will also be considered if preference shareholders have same voting rights as equity shareholders.

In the instant case, Ram Private Limited is having paid-up capital of ₹10 Crores in the form of 7,00,000 Equity Shares of ₹100 each and 3,00,000 Preference Shares of ₹100 each. Lakhan Private Limited is holding 3,00,000 Equity Shares and 3,00,000 Preference Shares in Ram Private Limited.

As in the given problem it is not clear that whether Preference Shares are having voting rights or not, it can be taken that there is no voting right with these shares.

On the basis of provisions of Section 2(87) and facts of the given problem, Lakhan Private Limited is holding 3,00,000 Equity Shares of total equity paid up share capital of Ram Private Limited.

Therefore, as Lakhan Private Limited does not exercises or controls more than one-half of the total voting power in Ram Private Limited, Ram Private Limited is not subsidiary of Lakhan Private Limited.

b. | Section 2(6):- Associate Company

Associate company in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

Explanation. — For the purpose of this clause —

(a) the expression "significant influence" means control of at least 20% of total voting power, or control of or participation in business decisions under an agreement;

(b) the expression "joint venture" means a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

The Ministry of Corporate Affairs has clarified that the shares held by a company in another company in a 'fiduciary capacity' shall not be counted for the purpose of determining the relationship of 'associate company' under section 2(6) of the Companies Act, 2013.

Example

5: A Ltd. is a Public Company and holds 23% of share capital in B Ltd. and 15% share capital of C Ltd. By virtue of the shareholding pattern, B Ltd. will be known as the Associate Company of A Ltd. (as the holding is more than 20%), whereas C Ltd. will not be Associate as the required 20% is not there and hence no significant influence.

THEORY QUESTIONS

Question 1: **(PEQ-June-21- 6 Marks)**

Explain the classification of the companies on the basis of control as per the Companies Act, 2013.

Question 2: **(MTP-Nov-18 - 2 Marks)**

Define associate company.

CASE BASED QUESTIONS

Question 1: **(RTP-May-21) (PEQ-Nov-20 - 4 Marks)**

ABC Limited has allotted equity shares with voting rights to XYZ Limited worth Rs.15 Crores and issued Non-Convertible Debentures worth Rs.40 Crores during the Financial Year 2019-20.

After that total Paid-up Equity Share Capital of the company is Rs.100 Crores and Non-Convertible Debentures stands at Rs.120 Crores.

Define the Meaning of Associate Company and comment on whether ABC Limited and XYZ Limited would be called Associate Company as per the provisions of the Companies Act, 2013?

Answer :

As per Section 2(6) of the Companies Act, 2013, an Associate Company in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

The term "significant influence" means control of at least 20% of total voting power, or control of business decisions under an agreement.

In the given case, as ABC Ltd. has allotted equity shares with voting rights to XYZ Limited of Rs. 15 cr, which is less than requisite control of 20% of total share capital (i.e 100 cr) to have a significant influence of XYZ Ltd. Since the said requirement is not complied, therefore ABC Ltd. and XYZ Ltd. are not associate companies as per the Companies Act, 2013.

Holding/allotment of non-convertible debentures has no relevance for ascertaining significant influence.

Question 2: **(MTP-Nov-21 - 3 Marks)**

Manicar Limited has allotted equity shares with voting rights to Nanicar Limited worth ₹ 10 Crores and issued Non-Convertible Debentures worth ₹ 30 Crores during the Financial Year 2017-18. After that total Paid-up Equity Share Capital of the company is ₹ 100 Crores and Non-Convertible Debentures stands at ₹150 Crores.

Define the Meaning of Associate Company and comment on whether Manicar Limited and Nanicar Limited would be called Associate Company as per the provisions of the Companies Act, 2013?

Answer:

As per Section 2(6) of the Companies Act, 2013, an Associate Company in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

The term "significant influence" means control of at least 20% of total voting power, or control of business decisions under an agreement.

In the given case, as Manicar Ltd. has allotted equity shares with voting rights to Nanicar Limited of Rs. 10 crores, which is less than requisite control of 20% of total share capital (i.e. 100 crore) to have a significant influence of Nanicar Ltd. Since the said requirement is not complied, therefore Manicar Ltd. and Nanicar Ltd. are not associate companies as per the Companies Act, 2013.

Further holding/allotment of non-convertible debentures has no relevance for ascertaining significant influence. Hence the issue of non-convertible debentures will not make both the companies Associate Company.

Question 3: **(PEQ-June-23 - 4 Marks)**

ABC Limited has allotted equity shares with voting rights to XYZ Limited worth ₹ 15 crores and convertible preference shares worth ₹ 10 crores during the financial year 2022-23. After that the total share capital of the company is ₹ 100 crores.

Comment on whether XYZ Limited would be called an Associate Company as per the provisions of the Companies Act, 2013? Also define an Associate Company.

Answer:

Associate company [Section 2(6) of the Companies Act, 2013] in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

The term "significant influence" means control of at least 20% of total voting power, or control of business decisions under an agreement.

The term "joint venture" means a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

In the instant case, ABC Limited has allotted equity shares with voting rights to XYZ Limited worth ₹ 15 crore and convertible preference shares worth ₹10 crore during the financial year 2022-23 out of the total share capital of ABC Limited of ₹ 100 crore.

Since XYZ Limited is holding only 15% significant influence (₹ 15 crore equity shares with voting rights) in ABC Limited, which is less than 20%, XYZ Limited is not an Associate company of ABC Limited.

Question 4: **(PEQ-May-25 - 3 Marks)**

The paid-up equity share capital of ACD Ltd. is Rs. 80 crores & preference share capital of Rs.20 crores. B Ltd. holds equity shares in ACD Ltd. worth Rs. 15 crores and preference shares worth Rs. 10 crores.

Can B Ltd. be considered as an Associate Company of ACD Ltd.?

Answer:

As per Section 2(6) of the Companies Act, 2013, an Associate Company in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

The term "significant influence" means control of at least 20% of total voting power, or control of or participation in business decisions under an agreement.

In the given case, the paid up share capital of ACD Ltd. is Rs. 80 crores. B Ltd. holds equity share capital of Rs.15 crore in ACD Ltd. i.e. less than 20% significant influence.

Therefore ACD Ltd. cannot be considered as an Associate Company of B Ltd.

4. | On the basis of access to capital:

(a) Section 2(52):- Listed company

As per section 2(52) of the Companies Act, 2013, it is a company which has any of its securities listed on any recognised stock exchange.

Provided that such class of companies, which have listed or intend to list such class of securities, as may be prescribed in consultation with the Securities and Exchange Board, shall not be considered as listed companies.

Whereas the word securities as per the section 2(81) of the Companies Act, 2013 has been assigned the same meaning as defined in section 2(h) of the Securities Contracts (Regulation) Act, 1956.

Example

6: Scan Steel Rods Limited is a Public Limited Company whose shares are listed in the Stock Exchange, Kolkata. Hence Scan Steel Rods Limited is a Listed Company. The reason for calling it "Listed" is because the company and the Stock Exchange have signed a Listing Agreement for trading of shares in the capital market.

(b) Unlisted company means company other than listed company.

THEORY QUESTIONS

Question 1: **(PEQ-June-23 - 2 Marks)**

Explain listed company and unlisted company as per the provisions of the Companies Act, 2013.

5. | Other companies:

a. | Section 2(45):- Government Company

Government Company means any company in which not less than 51% of the paid-up share capital is held by-

(i) the Central Government, or

(ii) by any State Government or Governments, or

(iii) partly by the Central Government and partly by one or more State Governments, and the section includes a company which is a subsidiary company of such a Government company.

Explanation: For the purposes of this clause, the "paid up share capital" shall be construed as "total voting power", where shares with differential voting rights have been issued.

CASE BASED QUESTIONS

Question 1: **(PEQ-Dec-21 - 3 Marks) (RTP-May-21)**

SK Infrastructure Limited has a paid up share capital divided into 6,00,000 equity shares of Rs. 100 each. 2,00,000 equity shares of the company are held by Central Government and 1,20,000 equity shares are held by Government of Maharashtra. Explain with reference to relevant provisions of the Companies Act, 2013, whether SK Infrastructure Limited can be treated as Government Company.

Answer :

Government Company [Section 2(45) of the Companies Act, 2013]: Government Company means any company in which not less than 51% of the paid-up share capital is held by-

(i) the Central Government, or

(ii) by any State Government or Governments, or

(iii) partly by the Central Government and partly by one or more State Governments,

and the section includes a company which is a subsidiary company of such a Government company.

In the instant case, paid up share capital of SK Infrastructure Limited is 6,00,000 equity shares of Rs. 100 each. 2,00,000 equity shares are held by Central government and 1,20,000 equity shares are held by Government of Maharashtra.

The holding of equity shares by both government is 3,20,000 which is more than 51% of total paid up equity shares.
Hence, SK Infrastructure Limited is a Government company.

Question 2: **(RTP-Dec-23, Nov- 21)**

Narendra Motors Limited is a government company. Shah Auto Private Limited is a private company having share capital of ten crores in the form of ten lacs shares of Rs.100 each. Narendra Motors Limited is holding five lacs five thousand shares in Shah Auto Private Limited. Shah Auto Private Limited claimed the status of Government Company. Advise as legal advisor, whether Shah Auto Private Limited is government company under the provisions of Companies Act, 2013?

Answer:

According to the provisions of Section 2(45) of Companies Act, 2013, Government Company means any company in which not less than 51% of the paid-up share capital is held by-

(i) the Central Government, or
(ii) by any State Government or Governments, or
(iii) partly by the Central Government and partly by one or more State Governments,

and the section includes a company which is a subsidiary company of such a Government company.
According to Section 2(87), "subsidiary company" in relation to any other company (that is to say the holding company), means a company in which the holding exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies.
By virtue of provisions of Section 2(87) of Companies Act, 2013, Shah Auto Private Limited is a subsidiary company of Narendra Motors Limited because Narendra Motors Limited is holding more than one-half of the total voting power in Shah Auto Private Limited.
Further as per Section 2(45), a subsidiary company of Government Company is also termed as Government Company.
Hence, Shah Auto Private Limited being subsidiary of Narendra Motors Limited will also be considered as Government Company.

Question 3: **(PEQ-Dec-23 – 4 Marks)**

The State Government of X, a state in the country is holding 48 lakh shares of Y Limited. The paid up capital of Y Limited is ₹ 9.5 crore (95 lakh shares of ₹ 10 each). Y Limited directly holds 2,50,600 shares of Z Private Limited which is having share capital of ₹ 5 crore in the form of 5 lakh shares of ₹ 100 each. Z Private Limited claimed the status of a subsidiary company of ₹ 100 each. Z Private Limited claimed the status of a subsidiary company of Y Limited as well as a Government company. Advise as a legal advisor, whether Z Private Limited is a subsidiary company of Y Limited as well as a Government company under the provisions of the Companies Act, 2013?

Answer :

According to Section 2(45) of the Companies Act, 2013, Government Company means any company in which not less than 51% of the paid-up share capital is held by-

(i) the Central Government, or
(ii) by any State Government or Governments, or
(iii) partly by the Central Government and partly by one or more State Governments,

and the section includes a company which is a subsidiary company of such a Government company.
As per Section 2(87) of the Companies Act, 2013, "subsidiary company" in relation to any other company (that is to say the holding company), means a company in which the holding company—

(i) controls the composition of the Board of Directors; or
(ii) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies.

In the instant case, the State Government of X, a state in the country is holding 48 Lakh shares in Y Limited which is below 51% of the paid up share capital of Y Limited i.e.
48.45 Lakh shares (51% of 95 Lakh shares). Hence Y Limited is not a Government Company.
Further, Y Limited directly holds 2,50,600 shares in Z Private Limited, which is more than one-half of the total shares of Z Limited i.e. 2,50,000 shares (50% of 5 Lakh shares).

Thus, the Company controls more than one-half of the total voting power of Z Limited. Hence Z Private Limited is a subsidiary of Y Limited.
Therefore, we can conclude that Z Private Limited is a subsidiary of Y Limited but not a Government Company since Y Limited is not a Government Company.

Question 4: **(PEQ-Jan-26 - 2 Marks)**
The paid-up share capital of Abhinav Natural Gases Ltd. (ANGL) is Rs. 140 crores. The holdings of Central Government and Maharashtra Government are Rs. 40.10 crores and Rs. 30.20 crores respectively. In one tender relating to natural gas, directors of ANGL quoted it as Government Company. Decide according to provisions of the Companies Act, 2013 whether ANGL can be tagged as Government Company?
Answer:
Government Company [Section 2(45)]: Government Company means any company in which not less than 51% of the paid-up share capital is held by-
- the Central Government, or
- by any State Government or Governments, or
- partly by the Central Government and partly by one or more State Governments.

and the Section includes a Company which is a Subsidiary Company of such a Government Company.
In the instant case, Abhinav Natural Gases Ltd. (ANGL) cannot be tagged as a Government Company as the total holding of Central Government and State Government is Rs. 70.30 crores (Rs. 40.10 crores + Rs. 30.20 crores) which is less than 51% of the paid-up share capital of ANGL i.e. Rs. 71.40 crores (51% of Rs. 140 crores).
Hence ANGL shall not be tagged as Government Company.
Directors of ANGL cannot quote it as Government Company.

b. | Section 2(42):- Foreign Company

It means any company or body corporate incorporated outside India which—
(i) has a place of business in India whether by itself or through an agent, physically or through electronic mode; and
(ii) conducts any business activity in India in any other manner.

CASE BASED QUESTIONS

Question 1: **(PEQ-Nov-20 - 3 Marks, PEQ-Nov-22 - 3 Marks)**
Mike Limited company incorporated in India having Liaison office at Singapore. Explain in detail meaning of Foreign Company and analysis, on whether Mike Limited would be called as Foreign Company as it established a Liaison office at Singapore as per the provisions of the Companies Act, 2013?
Answer:
Foreign Company [Section 2(42) of the Companies Act, 2013]: It means any company or body corporate incorporated outside India which—
(i) has a place of business in India whether by itself or through an agent, physically or through electronic mode; and
(ii) conducts any business activity in India in any other manner.
Since Mike Limited is a company incorporated in India, hence, it cannot be called as a foreign company. Even though, Liaison was officially established at Singapore, it would not be called as a foreign company as per the provisions of the Companies Act, 2013.

Question 2: **(MTP-Nov-23 - 3 Marks)**
Mike LLC incorporated in Singapore having an office in Pune, India. Analyse whether Mike LLC would be called as a foreign company as per the provisions of the Companies Act, 2013? Also explain the meaning of foreign company.
Answer:
Foreign Company [Section 2(42) of the Companies Act, 2013]: It means any company or body corporate incorporated outside India which—

(i) has a place of business in India whether by itself or through an agent, physically or through electronic mode; and
(ii) conducts any business activity in India in any other manner.
Mike LLC is incorporated in Singapore and having a place of business in Pune, India. Since, Mike LLC is incorporated outside India and having a Place of business in India, hence it is a foreign Company.

c. | Section 8 Company: - Formation of companies with charitable objects etc.

- Section 8 of the Companies Act, 2013 deals with the formation of companies which are formed to
- Promote the charitable objects of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment etc.
  - ✓ Such company intends to apply its profit in promoting its objects and
  - ✓ Prohibiting the payment of any dividend to its members.
- Examples of sec 8 companies are FICCI, ASSOCHAM, National Sports Club of India, CII etc.

Power of Central government to issue the license-

- Section 8 allows the Central Government to register such person or association of persons as a company with limited liability without the addition of words 'Limited' or 'Private limited' to its name, by issuing licence on such conditions as it deems fit.
- The registrar shall on application register such person or association of persons as a company under this section.
- On registration the company shall enjoy same privileges and obligations as of a limited company.

Revocation of license:

- The Central Government may by order revoke the licence of the company where the company contravenes any of the requirements or the conditions of this sections subject to which a licence is issued or where the affairs of the company are conducted fraudulently, or violative of the objects of the company or prejudicial to public interest,
- on revocation the Registrar shall put 'Limited' or 'Private Limited' against the company's name in the register.
- But before such revocation, the Central Government must give it a written notice of its intention to revoke the licence and opportunity to be heard in the matter.

Order of the Central Government:

- Where a licence is revoked there the Central Government may, in the public interest order that the company registered under this section should be amalgamated with another company registered under this section having similar objects, to form a single company with such constitution, properties, powers, rights, interest, authorities and privileges and with such liabilities, duties and obligations as may be specified in the order, or the company be wound up.

Penalty/punishment in contravention:

- If a company makes any default in complying with any of the requirements laid down in this section,
- the company shall, without prejudice to any other action under the provisions of this section, be punishable with fine which shall not be less than ₹ 10 lakh but which may extend to ₹ 1 crore and

- the directors and every officer of the company who is in default shall be punishable with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 25 lakh.
- Provided that when it is proved that the affairs of the company were conducted fraudulently, every officer in default shall be liable for action under section 447.

☞ Section 8 Company- Significant points

- Formed for the promotion of commerce, art, science, religion, charity, protection of environment, sports, etc.
- Requirement of minimum share capital does not apply.
- Uses its profits for the promotion of the objective for which formed.
- Does not declare dividend to members.
- Operates under a special licence from Central Government.
- Need not use the word Ltd./Pvt. Ltd. in its name and adopt a more suitable name such as club, chambers of commerce etc.
- Licence revoked if conditions contravened.
- On revocation, Central Government may direct it to
  - Converts its status and change its name
  - Wind - up - Amalgamate with another company having similar object.
- Can call its general meeting by giving a clear 14 days' notice instead of 21 days.
- Requirement of minimum number of directors, independent directors etc. does not apply.
- Need not constitute Nomination and Remuneration Committee and Shareholders Relationship Committee.
- A partnership firm can be a member of Section 8 company.

THEORY QUESTIONS

Question 1: **(RTP-May-18) (MTP-Nov-18 - 3 Marks)**

State whether a non-profit organization be registered as a company under the Companies Act, 2013? If so, what procedure does it have to adopt?

Question 2: **(MTP-May-21 - 3 Marks)**

Alfa school started imparting education on 1.4.2010, with the sole objective of providing education to children of weaker society either free of cost or at a very nominal fee depending upon the financial condition of their parents.

However, on 30th March 2018, it came to the knowledge of the Central Government that the said school was operating by violating the objects of its objective clause due to which it was granted the status of a section 8 company under the Companies Act, 2013.

Describe what powers can be exercised by the Central Government against the Alfa School, in such a case?

Question 3: **(PEQ-Nov-20 - 6 Marks)**

What are the significant points of Section 8 Company which are not applicable for other companies? Briefly explain with reference to provisions of the Companies Act, 2013.

Question 4: **(PEQ-May 19 - 6 Marks)**

What do you mean by "Companies with charitable purpose" (section 8) under the Companies Act, 2013? Mention the conditions of the issue and revocation of the licence of such company by the government.

Question 5: **(RTP-May-22)**

A, B and C has decided to set up a new club with name of ABC club having objects to promote welfare of Christian society. They planned to do charitable work or social activity for promoting the art work of

economically weaker section of Christian society. The company obtained the status of section 8 company and started operating from 1st April, 2017 onwards.
However, on 30th September 2019, it was observed that ABC club was violating the objects of its objective clause due to which it was granted the status of section 8 Company under the Companies Act 2013.
Discuss what powers can be exercised by the central government against ABC club, in such a case?

Question 6: **(MTP-Nov-23 - 6 Marks)**
Can a non-profit organization be registered as a company under the Companies Act, 2013? If so, what procedure does it have to adopt?

CASE BASED QUESTIONS

Question 1: **(RTP-Nov-22)**
A Company registered under Section 8 of the Companies Act, 2013, has been consistently making profits for the past 5 years after a major change in the management structure. Few members contented that they are entitled to receive dividends. Can the company distribute dividend?
If yes, what is the maximum percentage of dividend that can be distributed as per provisions of the Companies Act, 2013? Also, to discuss this along with other regular matters, the company kept a general meeting by giving only 14 days' notice. Is this valid?

Answer:
A company registered under Section 8 of the Companies Act, 2013 is prohibited from the payment of any dividends to its members.
Hence in the given case, the contention of the members to distribute dividend from the profits earned is wrong. Also, Section 8 company is allowed to call a general meeting by giving 14 days instead of 21 days.

Question 2: **(MTP-May-23) (PEQ- Nov-18 - 4 Marks)**
A company registered under section 8 of the Companies Act, 2013, earned huge profit during the financial year ended on 31st March, 2018 due to some favorable policies declared by the Government of India and implemented by the company.
Considering the development, some members of the company wanted the company to distribute dividends to the members of the company. They approached you to advise them about the maximum amount of dividend that can be declared by the company as per the provisions of the Companies Act, 2013. Examine the relevant provisions of the Companies Act, 2013 and advise the members accordingly.

Answer :
A company that is registered under section 8 of the Companies Act, 2013, is prohibited from the payment of any dividend to its members.
The company in question is a section 8 company and hence it cannot declare dividend. Thus, the contention of members is incorrect.

Question 3: **(PEQ-Jan-25 - 4 Marks)**
"Harmony Foundation" is a newly incorporated company focused on promoting education and healthcare services in rural areas. The company is registered as a section 8 company with a clear plan to reinvest all profits into its activities, and a license has been accorded by the Central Government. For the financial year ending on 31st March, 2024, the company earned a substantial profit and transferred some amount to M/s LMP Associates (a Partnership firm and one of the member of the Harmony Foundation).
Subsequently, on the complaint of one of the members, the Central Government, after giving an opportunity of being heard, directed the company to be wound up on the ground that a partnership firm cannot be a member of the section 8 company and it cannot transfer any part of profit to the firm. Explain, in the light of the provisions of the Companies Act, 2013, whether the ground taken for winding up is sufficient.

Answer
Formation of companies with charitable objects etc. (Section 8 company):
- Section 8 of the Companies Act, 2013 deals with the formation of companies which are formed to

- promote the charitable objects of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment etc.
- Such company intends to apply its profit in
- promoting its objects and
- prohibiting the payment of any dividend to its members.

- The Section 8 company operates under a special licence from Central Government and the Licence revoked if conditions contravened.
- On revocation, Central Government may direct it to
  - Converts its status and change its name
  - Wind–up
  - Amalgamate with another company having similar object.
- A partnership firm can be a member of Section 8 company.

In the instant case, "Harmony Foundation" a section 8 company transferred some amount to M/S LMP Associates (a Partnership firm and one of the members of the Harmony Foundation).

The Central Government, after giving an opportunity of being heard, directed the company to be wound up on the ground that a partnership firm cannot be a member of the Section 8 company and it cannot transfer any part of profit to the firm.

Hence, the ground for winding up taken on the basis of transfer of any part of profit by Harmony Foundation to the M/S LMP Associates is correct and sufficient.

However, M/S LMP Associates can become a member of Section 8 company. Therefore, this ground is not correct hence not sufficient.

Question 4: **(PEQ-May-25 - 3 Marks)**

SNM Ltd. was registered in 2021 with a share capital of Rs. 50 Lakh divided into 5 lakhs equity share of Rs. 10 each under Section 8 of the Companies Act, 2013 for promotion of art in Jaipur. Company earned huge profits during the financial year ending on 31st March 2025 due to boom in the market. On 10th May 2025, 75% members of the company demanded to distribute 10% dividend to the equity shareholders. For this purpose, they passed special resolution in EGM.

With reference to provisions of the Companies Act, 2013 decide whether SNM Ltd. can declare dividend @ 10% to equity shareholders for the year ending 31st March 2025.

Answer:

Formation of companies with charitable objects etc. (Section 8 company): Section 8 of the Companies Act, 2013 deals with the formation of companies which are formed to

- promote the charitable objects of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment etc.
- Such company intends to apply its profit in promoting its objects and
- prohibiting the payment of any dividend to its members.

In the instant case, SNM Ltd. cannot declare dividend @10% to equity shareholders for the year ending 31st March, 2025 as it is a Section 8 company which are specifically prohibited from paying dividend. The profits of a section 8 company must be applied towards promoting its objects.

Therefore, the special resolution passed in the EGM to declare a dividend is invalid.

d. | Section 2(85):- Small Company

Small company given under the Section 2(85) of the Companies Act, 2013 which means a company, other than a public company—

(i) paid-up share capital of which does not exceed ₹ 50 lakh or such higher amount as may be prescribed which shall not be more than ₹ 10 crore; and

(ii) turnover of which as per profit and loss account for the immediately preceding financial year does not exceed ₹ 2 crore or such higher amount as may be prescribed which shall not be more than ₹ 100 crore:

For the purpose of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed Rs. 10 crores and Rs. 100 crores respectively.

Exceptions: This clause shall not apply to:

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov-20 - 4 Marks)**

PQR Private Ltd. is a company registered under the Companies Act, 2013 with a Paid Up Share Capital of ₹ 40 lakh and turnover of ₹ 145 crores. Explain the meaning of the "Small Company" and examine whether the PQR Private Ltd. can avail the status of small company in accordance with the provisions of the Companies Act, 2013.

Answer :

Small Company: According to Section 2(85) of the Companies Act, 2013, Small Company means a company, other than a public company,—

(1) paid-up share capital of which does not exceed ₹ 50 lakh or such higher amount as may be prescribed which shall not be more than ₹ 10 crore; and

(2) turnover of which as per its last profit and loss account for the immediately preceding financial year does not exceed ₹ 2 crore or such higher amount as may be prescribed which shall not be more than ₹ 100 crore.

For the purpose of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed ₹ 10 crores and ₹ 100 crores respectively.

Nothing in this clause shall apply to—

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act.

In the present case, PQR Private Ltd., a company registered under the Companies Act, 2013 with a paid up share capital of ₹ 40 lakh and having turnover of ₹145 crore.

Since only one criteria of share capital of ₹ 10 Crore is met, but the second criteria of turnover of ₹ 100 crores is not met and the provisions require both the criteria to be met in order to avail the status of a small company, PQR Ltd. cannot avail the status of small company.

Question 2: **(MTP-Nov-23 - 4 Marks)**

ABC Private Limited is a registered company under the Companies Act, 2013 with paid up capital of ₹ 35 lakhs and turnover of ₹ 2.5 crores. Whether the ABC Private Limited can avail the status of a Small Company in accordance with the provisions of the Companies Act, 2013? Also discuss the meaning of a Small Company.

Answer:

Small Company: According to Section 2(85) of the Companies Act, 2013, Small Company means a company, other than a public company,—

(1) paid-up share capital of which does not exceed ₹ 50 lakh or such higher amount as may be prescribed which shall not be more than ₹ 10 crore; and

(2) turnover of which as per its last profit and loss account for the immediately preceding financial year does not exceed ₹ 2 crore or such higher amount as may be prescribed which shall not be more than ₹ 100 crore.

For the purpose of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed ₹ 10 crores and ₹ 100 crores respectively.

Nothing in this clause shall apply to—

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act.

In the instant case, since the paid-up capital of ABC Private Limited is ₹ 35 Lakhs and turnover is ₹ 2.5 crore, it can avail the status of a small company as both the requirements with regard to paid- up share capital as well as turnover are fulfilled by the Company.

Question 3: **(PEQ-May-25 - 4 Marks)**

State with reasons whether the following companies can be treated as Small Companies with reference to the provisions of the Companies Act, 2013:

1. STS Pvt. Ltd., having a turnover of ₹ 10 crores and the paid-up capital of ₹ 1 crore (1,00,000 equity shares of ₹ 100 each). Out of these 60,000 equity shares are held by UV Infratech Pvt. Ltd.
2. ZX Ltd., having a paid-up capital of ₹ 3 crores and turnover of ₹ 35 crores.

Answer:

Small Company: According to Section 2(85) of the Companies Act, 2013, Small Company means a company, other than a public company,—

(1) paid-up share capital of which does not exceed ₹ 50 lakh or such higher amount as may be prescribed which shall not be more than ₹ 10 crore; and

(2) turnover of which as per its last profit and loss account for the immediately preceding financial year does not exceed ₹ 2 crore or such higher amount as may be prescribed which shall not be more than ₹ 100 crore.

For the purpose of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed ₹ 10 crores and ₹ 100 crores respectively.

Nothing in this clause shall apply to—

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act.

In the instant case,

(i) STS Pvt. Ltd. though is a small company taking into account its turnover and paid up share capital (i.e. ₹ 10 crores and ₹ 1 crore respectively), but since it is the subsidiary company of UV Infratech Pvt. Ltd. (UV Infratech Pvt. Ltd. holds ₹ 60,00,000 equity share capital of STS Pvt. Ltd.), hence STS Pvt. cannot be considered as small company.

(ii) ZX Ltd. cannot be considered as a small company since it is a public company.

Question 4: **(PEQ-Jan-26 - 2 Marks)**

The paid-up capital and turnover of Aaradhya Cosmetics Private Ltd. (ACPL) for F Y 2025-26 is ₹ 4 crores and ₹ 45 crores respectively. Directors of ACPL decided not to follow some provisions as it is a small company according to section 2(85) of the Companies Act, 2013.

Company secretary of Pooja Fashions Private Limited (PFPL) contended that ACPL is not a small company as ACPL is a holding company of (PFPL).

Decide whether ACPL Cosmetics Ltd. can avail status of small company according to provisions of the Companies Act, 2013.

Answer:

Small Company: According to Section 2(85) of the Companies Act, 2013, Small Company means a company, other than a public company,—

(1) paid-up share capital of which does not exceed ₹ 50 lakh or such higher amount as may be prescribed which shall not be more than ₹ 10 crore; and

(2) turnover of which as per its last profit and loss account for the immediately preceding financial year does not exceed ₹ 2 crore or such higher amount as may be prescribed which shall not be more than ₹ 100 crore.

For the purpose of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed ₹ 10 crores and ₹ 100 crores respectively.

Nothing in this clause shall apply to—

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act.

In the given case, although the paid-up capital and turnover of Aaradhya Cosmetics Private Ltd. is within the terms of Small Company, but Aaradhya Cosmetics Private Limited (ACPL) is the holding company of Pooja Fashions Private Limited (PFPL) and as per the proviso to Section 2(85), holding company shall not be treated a Small Company.

Hence ACPL Cosmetics Private Ltd. cannot avail the status of a Small Company.

Contention of directors of ACPL is incorrect.

e. | Section 455:- Dormant company

Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company.

"Inactive company" means a company which has not been carrying on any business or operation, or has not made any significant accounting transaction during the last two financial years, or has not filed financial statements and annual returns during the last two financial years.

"Significant accounting transaction" means any transaction other than —

(i) payment of fees by a company to the Registrar;

(ii) payments made by it to fulfil the requirements of this Act or any other law;

(iii) allotment of shares to fulfill the requirements of this Act; and

(iv) payments for maintenance of its office and records.

CASE BASED QUESTIONS

Question 1: **(PEQ-Sep-24 - 3 Marks)**

XYZ Ltd. was incorporated to hold the patent for a new product. The company is expecting to start its commercial production within the next two years. In the meanwhile, for timely installation, the company has placed the purchase order for plant and machinery with a down payment of ₹ 1 crore. Referring to the provisions of the Companies Act, 2013 examine, whether the company can go for acquiring the status of a dormant company?

Answer:

According to Section 455 of the Companies Act, 2013, where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company.

In the instant case, XYZ Ltd. has made a significant accounting transaction (down payment of ₹1 crore for plant and machinery), it does not meet the criteria of a dormant company under Section 455 of the Companies Act, 2013.

Therefore, XYZ Ltd. cannot acquire the status of dormant company.

Question 2: **(PEQ-Dec-23 - 3 Marks)**

MTK Private Limited is a company registered under the Companies Act, 2013 on 5th January, 2021. The company has not started its business till now. On 7th April, 2023, a notice has been received from ROC for non-filing of FORM No-INC-20A. Identify under which category MTK Private Limited company is classified. Explain the definition of the category of the company in detail.

Answer

"Inactive company" means a company which has not been carrying on any business or operation, or has not made any significant accounting transaction during the last two financial years, or has not filed financial statements and annual returns during the last two financial years. [Explanation (i) to Section 455 of the Companies Act, 2013]

"Significant accounting transaction" means any transaction other than—

(a) payment of fees by a company to the Registrar;
(b) payments made by it to fulfil the requirements of this Act or any other law;
(c) allotment of shares to fulfil the requirements of this Act; and
(d) payments for maintenance of its office and records.

[Explanation (ii) to Section 455 of the Companies Act, 2013]

In the instant case, MTK Private Limited was registered on 5th January, 2021 and has not started its business till now. On 7th April, 2023, a notice has been received from ROC for non-filing of Form No. INC-20A.

Since the Company has not started its business and a period of more than two years have already elapsed, it will be treated as an inactive company.

f. | Section 406(1):- Nidhi Companies

"Nidhi" or "Mutual Benefit Society" means a company which the Central Government may, by notification in the Official Gazette, declare to be a Nidhi or Mutual Benefit Society, as the case may be.

g. | Section 2(72):- Public Financial Institutions (PFI)

By virtue of Section 2(72) of the Companies Act, 2013, the following institutions are to be regarded as public financial institutions:

(i) the Life Insurance Corporation of India, established under the Life Insurance Corporation Act, 1956;
(ii) the Infrastructure Development Finance Company Limited,
(iii) specified company referred to in the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002;
(iv) institutions notified by the Central Government under section 4A(2) of the Companies Act, 1956 so repealed under section 465 of this Act;
(v) such other institution as may be notified by the Central Government in consultation with the Reserve Bank of India:

Conditions for an institution to be notified as PFI:

No institution shall be so notified unless—

(A) it has been established or constituted by or under any Central or State Act other than this Act or the previous Companies Law; or
(B) not less than 51% of the paid-up share capital is held or controlled by the Central Government or by any State Government or Governments or partly by the Central Government and partly by one or more State Governments.

THEORY QUESTIONS

Question 1: **(MTP-Nov-18 - 2 Marks)**

What are the conditions for an institution to be notified as Pubic Financial Institution.

CASE BASED QUESTIONS

Question 1: **(PEQ-Jan-25 - 5 Marks)**

The extract of the major shareholders holding paid-up share capital in Rural Development Fin. Corp. Ltd., are as follows:

Central Government	26%
State of Maharashtra	18%
State of Tamilnadu	24%
Public	32%

Whether the company would be considered as a Public Financial Institution (PFI) under the provisions of the Companies Act, 2013? Explain in brief about various institutions regarded as 'Public Financial Institutions' under the Companies Act, 2013.

Answer:

1. By virtue of Section 2(72) of the Companies Act, 2013, the following institutions are to be regarded as public financial institutions:

(i) the Life Insurance Corporation of India, established under the Life Insurance Corporation Act, 1956;

(ii) the Infrastructure Development Finance Company Limited,

(iii) specified company referred to in the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002;

(iv) institutions notified by the Central Government under section 4A(2) of the Companies Act, 1956 so repealed under section 465 of this Act;

(v) such other institution as may be notified by the Central Government in consultation with the Reserve Bank of India.

2. No institution shall be so notified unless—

(A) it has been established or constituted by or under any Central or State Act other than this Act or the previous Companies Law; or

(B) not less than 51% of the paid-up share capital is held or controlled by the Central Government or by any State Government or Governments or partly by the Central Government and partly by one or more State Governments.

3. In the instant case, the major shareholders holding paid-up share capital in Rural Development Fin. Corp. Ltd. by the Central Government and State Governments is 68% (i.e. Central Government: 26%, State of Maharashtra: 18% and State of Tamilnadu: 24%),
hence it will be regarded as 'Public Financial Institution' under the Companies Act, 2013.

04 MODE OF REGISTRATION/INCORPORATION OF COMPANY

Section 2(69) :- PROMOTERS

"Promoter" means a person—

(a) who has been named as such in a prospectus or is identified by the company in the annual return referred to in section 92; or

(b) who has control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or

(c) in accordance with whose advice, directions or instructions the Board of Directors of the company is accustomed to act.

In simple terms we can say,

- ✓ Persons who form the company are known as promoters.
- ✓ It is they who conceive the idea of forming the company.
- ✓ They take all necessary steps for its registration.
- ✓ It should, however, be noted that persons acting only in a professional capacity e.g., the solicitor, banker, accountant etc. are not regarded as promoters.

THEORY QUESTIONS

Question 1: **(MTP-Nov-18 - 3 Marks)**

Who shall be considered as promoter according to the definition given in the Companies Act, 2013? Explain.

FORMATION OF COMPANY:

Section 3 of the Companies Act, 2013 deals with the basic requirement with respect to the constitution of the company.

In the case of a public company, any 7 or more persons can form a company for any lawful purpose by subscribing their names to memorandum and complying with the requirements of this Act in respect of registration.

In exactly the same way, 2 or more persons can form a private company and one person where company to be formed is one person company.

Public Co. → 7 or more persons
Private Co. → 2 or more persons
One Person Co. → One Person

Section 7:- INCORPORATION OF COMPANY

Section 7 of the Companies Act, 2013 provides for the procedure to be followed for incorporation of a company.

1. | Filing of the documents and information with the registrar:

For the registration of the company following documents and information are required to be filed with the registrar within whose jurisdiction the registered office of the company is proposed to be situated-

- the memorandum and articles of the company duly signed by all the subscribers to the memorandum.
- a declaration by person who is engaged in the formation of the company (an advocate, a chartered accountant, cost accountant or company secretary in practice), and by a person named in the articles (director, manager or secretary of the company), that all the requirements of this Act and the rules made thereunder in respect of registration and matters precedent or incidental thereto have been complied with.
- a declaration from each of the subscribers to the memorandum and from persons named as the first directors, if any, in the articles stating that
  - ➢ he is not convicted of any offence in connection with the promotion, formation or management of any company, or
  - ➢ he has not been found guilty of any fraud or misfeasance or of any breach of duty to any company under this Act or any previous company law during the last five years,
  - ➢ and that all the documents filed with the Registrar for registration of the company contain information that is correct and complete and true to the best of his knowledge and belief;

- the address for correspondence till its registered office is established;
- the particulars (names, including surnames or family names, residential address, nationality) of every subscriber to the memorandum along with proof of identity, and in the case of a subscriber being a body corporate, such particulars as may be prescribed.
- the particulars (names, including surnames or family names, the Director Identification Number, residential address, nationality) of the persons mentioned in the articles as the first directors and such other particulars including proof of identity as may be prescribed; and
- the particulars of the interests of the persons mentioned in the articles as the first directors of the company in other firms or bodies corporate along with their consent to act as directors of the company in such form and manner as may be prescribed.

Particulars provided in this provision shall be of the individual subscriber and not of the professional engaged in the incorporation of the company [The Companies (Incorporation) Rules, 2014].

2. | Issue of certificate of incorporation on registration:

The Registrar on the basis of documents and information filed, shall register all the documents and information in the register and issue a certificate of incorporation in the prescribed form to the effect that the proposed company is incorporated under this Act.

3. | Allotment of Corporate Identity Number (CIN):

On and from the date mentioned in the certificate of incorporation, the Registrar shall allot to the company a corporate identity number, which shall be a distinct identity for the company and which shall also be included in the certificate.

4. | Maintenance of copies of all documents and information:

The company shall maintain and preserve at its registered office copies of all documents and information as originally filed, till its dissolution under this Act.

THEORY QUESTIONS

Question 1: **(MTP-Nov-18 - 6 Marks)**

What is the procedure for incorporation of a Company under the provisions of Companies Act, 2013?

5. | Furnishing of false or incorrect information or suppression of material fact at the time of incorporation (i.e. at the time of Incorporation):

If any person furnishes any false or incorrect particulars of any information or suppresses any material information, of which he is aware in any of the documents filed with the Registrar in relation to the registration of a company, he shall be liable for action for fraud under section 447.

6. | Company already incorporated by furnishing any false or incorrect information or representation or by suppressing any material fact (i.e. post Incorporation):

Where, at any time after the incorporation of a company, it is proved that the company has been got incorporated by furnishing any false or incorrect information or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company, or by any fraudulent action, the promoters, the persons named as the first directors of the company and the persons making declaration under this section shall each be liable for action for fraud under section 447.

7. | Order of the Tribunal:

Where a company has been got incorporated by furnishing false or incorrect information or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company or by any fraudulent action, the Tribunal may, on an application made to it, on being satisfied that the situation so warrants,—

(a) pass such orders, as it may think fit, for regulation of the management of the company including changes, if any, in its memorandum and articles, in public interest or in the interest of the company and its members and creditors; or

(b) direct that liability of the members shall be unlimited; or

(c) direct removal of the name of the company from the register of companies; or

(d) pass an order for the winding up of the company; or

(e) pass such other orders as it may deem fit:

Provided that before making any order,—

- the company shall be given a reasonable opportunity of being heard in the matter; and
- the Tribunal shall take into consideration the transactions entered into by the company, including the obligations, if any, contracted or payment of any liability.

THEORY QUESTIONS

Question 1: **(MTP-Nov-18, Nov-19 - 3 Marks)**

A company was incorporated by furnishing false information's, the Registrar wants to remove the name of the company from register of companies. Advice the Registrar how he can remove the name of the company from register of companies as per the provisions of Companies Act, 2013?

CASE BASED QUESTIONS

Question 1: **(MTP-May-19 - 3 Marks)**

FAREB Limited was incorporated by acquisition of FAREB & Co., a partnership firm, which was earlier involved in many illegal activities.

The promoters furnished some false information and also suppressed some material facts at the time of incorporation of the company.

Some members of the public (not being directors or promoters of the company) approached the National Company Law Tribunal (NCLT) against the incorporation status of FAREB Limited. NCLT is about to pass the order by directing that the liability of the members of the company shall be unlimited.

Given the above, advice on whether the above order will be legal and mention the precaution to be taken by NCLT before passing order in respect of the above as per the provisions of the Companies Act, 2013.

Answer :

As per section 7(7) of the Companies Act, 2013, where a company has been got incorporated by furnishing false or incorrect information or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company or by any fraudulent action, the Tribunal may, on an application made to it, on being satisfied that the situation so warrants, direct that liability of the members shall be unlimited.

Hence, the order of NCLT will be legal.

Precautions: Before making any order,—

(a) the company shall be given a reasonable opportunity of being heard in the matter; and

(b) the Tribunal shall take into consideration the transactions entered into by the company, including the obligations, if any, contracted or payment of any liability.

Simplified Proforma for Incorporating Company Electronically (SPICe)

The Ministry of Corporate Affairs has taken various initiatives for ease of business. In a step towards easy setting up of business, MCA has simplified the process of filing of forms for incorporation of a company through Simplified Proforma for incorporating company electronically.

Section 9:- EFFECT OF REGISTRATION

- According to Section 9, from the date of incorporation (mentioned in the certificate of incorporation), the subscribers to the memorandum and all other persons, who may from time to time become members of the company, shall be a body corporate by the name contained in the memorandum.
- Such a registered company shall be capable of exercising all the functions of an incorporated company under this Act and having perpetual succession with power to acquire, hold and dispose of property, both movable and immovable, tangible and intangible, to contract and to sue and be sued, by the said name.
- From the date of incorporation mentioned in the certificate, the company becomes a legal person separate from the incorporators; and there comes into existence a binding contract between the company and its members as evidenced by the Memorandum and Articles of Association [Hari Nagar Sugar Mills Ltd. vs. S.S. Jhunjhunwala].
- It has perpetual existence until it is dissolved by liquidation or struck out of the register.
- A shareholder who buys shares, does not buy any interest in the property of the company but in certain cases a writ petition will be maintainable by a company or its shareholders.
- A legal personality emerges from the moment of registration of a company and from that moment the persons subscribing to the Memorandum of Association and other persons joining as members are regarded as a body corporate or a corporation in aggregate and the legal person begins to function as an entity.
- A company on registration acquires a separate existence and the law recognises it as a legal person separate and distinct from its members [State Trading Corporation of India vs. Commercial Tax Officer].
- It may be noted that under the provisions of the Act, a company may purchase shares of another company and thus become a controlling company. However, merely because a company purchases all shares of another company it will not serve as a means of putting an end to the corporate character of another company and each company is a separate juristic entity [Spencer & Co. Ltd. Madras vs. CWT Madras].
- As has been stated above, the law recognizes such a company as a juristic person separate and distinct from its members. The mere fact that the entire share capital has been contributed by the Central Government and all its shares are held by the President of India and other officers of the Central Government does not make any difference in the position of registered company and it does not make a company an agent either of the President or the Central Government [Heavy Electrical Union vs. State of Bihar].

THEORY QUESTIONS

Question 1: **(MTP-May-19 - 6 Marks)**

What is the meaning of "Certificate of Incorporation" under the provisions of the Companies Act, 2013? What are the effects of registration of a company?

Section 10:- EFFECT OF MEMORANDUM AND ARTICLES

As per Section 10 of the Companies Act, 2013, where the memorandum and articles when registered, shall bind the company and the members thereof to the same extent as if they respectively had been signed by the company and by each member, and an agreement to observe all the provisions of the memorandum and of the articles. All monies payable by any member to the company under the memorandum or articles shall be a debt due from him to the company.

THEORY QUESTIONS

Question 1: **(PEQ-Sep-24 - 2 Marks)**

What is the effect of Memorandum and Articles when registered?

05 CLASSIFICATION OF CAPITAL

- In relation to a company limited by shares, the word capital means share capital, i.e., the capital or figure in terms of so many rupees divided into shares of fixed amount.
- In other words, the contributions of persons to the common stock of the company form the capital of the company.
- The proportion of the capital to which each member is entitled, is his share.

In the domain of Company Law, the term 'capital' is used in the following senses:

a. | Section 2(8):- Nominal or authorised or registered capital

- "Authorised capital" or "Nominal capital" means such capital as is authorised by the memorandum of a company to be the maximum amount of share capital of the company.
- Thus, it is the sum stated in the memorandum as the capital of the company with which it is to be registered being the maximum amount which it is authorised to raise by issuing shares, and upon which it pays the stamp duty.
- It is usually fixed at the amount, which, it is estimated, the company will need, including the working capital and reserve capital, if any.

b. | Section 2(50):- Issued capital

- "Issued capital" means such capital as the company issues from time to time for subscription.
- It is that part of authorised capital which is offered by the company for subscription and includes the shares allotted for consideration other than cash.
- Schedule III to the Companies Act, 2013, makes it obligatory for a company to disclose its issued capital in the balance sheet.

c. | Section 2(86):- Subscribed capital

- "Subscribed capital" means such part of the capital which is for the time being subscribed by the members of a company.
- It is the nominal amount of shares taken up by the public.
- Where any notice, advertisement or other official communication or any business letter, bill head or letter paper of a company states the authorised capital, the subscribed and paid-up capital must also be stated in equally conspicuous characters.
- A default in this regard will make the company and every officer who is in default liable to pay penalty extending Rs. 10,000 and Rs. 5,000 respectively. [Section 60].

d. | Section 2(15):- Called-up capital

- "Called-up capital" means such part of the capital, which has been called for payment.
- It is the total amount called up on the shares issued.

e. | Paid up Capital

- Paid-up capital is the total amount paid or credited as paid up on shares issued.
- It is equal to called up capital less calls in arrears.

THEORY QUESTIONS

Question 1: **(PEQ-Dec-2021 - 6 Marks)**

What do you mean by the term Capital? Describe its classification in the domain of Company Law.

06 SHARES

I. | Nature of shares

- Section 2(84) of the Companies Act, 2013 defines the term 'share' which means a share in the share capital of a company and includes stock.
- It is a measure of the interest in the company's assets to which a person holding a share is entitled.

Share is an interest in the company:

- The rights and obligations attaching to a share are those prescribed by the memorandum and the articles of a company.
- It must, however, be remembered that a shareholder has not only contractual rights against the company, but also certain other rights which accrue to him according to the provisions of the Companies Act.

Shares are a movable property:

- According to section 44 of the Companies Act, 2013, the shares or debentures or other interests of any member in a company shall be movable property transferable in the manner provided by the articles of the company.

Shares shall be numbered:

- Section 45 provides, every share in a company having a share capital, shall be distinguished by its distinctive number. This implies that every share shall be numbered.
- However, this shall not apply to a share held by a person whose name is entered as holder of beneficial interest in such share in the records of a depository.

II. | Kinds of share capital

Section 43 of the Companies Act, 2013 provides the kinds of share capital. According to the provision the share capital of a company limited by shares shall be of two kinds, namely:—

i. | Equity share capital —

(1) with voting rights; or

(2) with differential rights as to dividend, voting or otherwise in accordance with prescribed rules;

Example

7: It is to be noted that, Tata Motors in 2008 introduced equity shares with differential voting rights called 'A' equity shares in its rights issue. In the issue, every 10 'A' equity shares carried only one voting right but would get 5 percentage points more dividend than that declared on each of the ordinary shares. Since 'A' equity share did not carry the similar voting rights, it was being traded at discount to other common shares having full voting. Other companies which have issued equity shares with differential voting rights (popularly called DVRs) are Future Retail, Jain Irrigation among others.

ii. | Preference share capital:

However, this Act shall not affect the rights of the preference shareholders who are entitled to participate in the proceeds of winding up before the commencement of this Act.

According to explanation to section 43:

1. ''Equity share capital", with reference to any company limited by shares, means all share capital which is not preference share capital;
2. ''Preference share capital", with reference to any company limited by shares, means that part of the issued share capital of the company which carries or would carry a preferential right with respect to—
   (a) payment of dividend, either as a fixed amount or an amount calculated at a fixed rate, which may either be free of or subject to income-tax; and
   (b) repayment, in the case of a winding up or repayment of capital, of the amount of the share capital paid-up or deemed to have been paid-up, whether or not, there is a preferential right to the payment of any fixed premium or premium on any fixed scale, specified in the memorandum or articles of the company;

Capital shall be deemed to be preference capital, despite that it is entitled to either or both of the following rights, namely:—

(a) that in respect of dividends, in addition to the preferential rights to the amounts specified as above, it has a right to participate, whether fully or to a limited extent, with capital not entitled to the preferential right aforesaid;

(b) that in respect of capital, in addition to the preferential right to the repayment, on a winding up, of the amounts specified above, it has a right to participate, whether fully or to a limited extent, with capital not entitled to that preferential right in any surplus which may remain after the entire capital has been repaid.

Exception: In case of private company - Section 43 shall not apply where memorandum or articles of association of the private company so provides.

THEORY QUESTIONS

Question 1: **(PEQ-Dec-23 - 6 Marks)**

Explain the kinds of share capital as per the Companies Act, 2013. Also explain when the capital shall be deemed to be preference capital.

07 MEMORANDUM OF ASSOCIATION - Section 2(56) & Section 4

- The Memorandum of Association of company is in fact its charter;
- It defines its constitution and the scope of the powers of the company with which it has been established under the Act.
- It is the very foundation on which the whole edifice of the company is built.

Object of registering a memorandum of association:

- It contains the object for which the company is formed and therefore identifies the possible scope of its operations beyond which its actions cannot go.
- It enables shareholders, creditors and all those who deal with company to know what its powers are and what activities it can engage in.
- A memorandum is a public document under Section 399 of the Companies Act, 2013. Consequently, every person entering into a contract with the company is presumed to have the knowledge of the conditions contained therein.
- The shareholders must know the purposes for which his money can be used by the company and what risks he is taking in making the investment.
- A company cannot depart from the provisions contained in the memorandum however imperative may be the necessity for the departure. It cannot enter into a contract or engage in any trade or business, which is beyond the power confessed on it by the memorandum. If it does so, it would be ultra vires the company and void.
- As per Section 4, Memorandum of a company shall be drawn up in such form as is given in Tables A, B, C, D and E in Schedule I of the Companies Act, 2013.
  Table A is a form for memorandum of association of a company limited by shares.
  Table B is a form for memorandum of association of a company limited by guarantee and not having a share capital.
  Table C is a form for memorandum of association of a company limited by guarantee and having a share capital.
  Table D is a form for memorandum of association of an unlimited company.
  Table E is a form for memorandum of association of an unlimited company and having share capital.
  The memorandum and articles of a company must be as closed to model forms, as possible, depending upon the circumstances.

Content of the memorandum:

The memorandum of a company shall state—

a. | **Name Clause:** The name of the company with the last word "Limited" in the case of a public limited company, or the last words "Private Limited" in the case of a private limited company. This clause is not applicable on the companies formed under section 8 of the Act.
The name including phrase 'Electoral Trust' may be allowed for Registration of companies to be formed under section 8 of the Act, in accordance with the Electoral Trusts Scheme, 2013 notified by the Central Board of Direct Taxes (CBDT). For the Companies under section 8 of the Act, the name shall include the words foundation, Forum, Association, Federation, Chambers, Confederation, council, Electoral trust and the like etc. [The Companies (Incorporation) Rules, 2014].
A Government company's name must end with the word "Limited". In the case of One Person Company, the words "One Person Company", should be included below its name.

b. | Registered Office clause: the State in which the registered office of the company is to be situated;

c. | Object clause: the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof.

If any company has changed its activities which are not reflected in its name, it shall change its name in line with its activities within a period of six months from the change of activities after complying with all the provisions as applicable to change of name.

d. | Liability clause: the liability of members of the company whether limited or unlimited, and also state,—

- in the case of a company limited by shares, that the liability of its members is limited to the amount unpaid, if any, on the shares held by them; and
- in the case of a company limited by guarantee, the amount up to which each member undertakes to contribute—
  - to the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be; and
  - to the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves;

e. | Capital Clause: the amount of authorized capital divided into share of fixed amounts and the number of shares with the subscribers to the memorandum have agreed to take, indicated opposite their names, which shall not be less than one share.

A company not having share capital need not have this clause.

f. | Association clause: The Memorandum shall conclude with the the desire of the subscribers to be formed into a company.

Every subscriber to the Memorandum shall take atleast one share, and shall write against his name, the number of shares taken by him.

In the case of OPC, the name of the person who, in the event of death of the subscriber, shall become the member of the company.

- The memorandum must be printed, divided into paragraphs, numbered consecutively, and signed by at least 7 persons (2 in the case of a private company and 1 in the case of One Person Company) in the presence of at least 1 witness, who will attest the signatures.
- The particulars about the signatories to the memorandum as well as the witness, as to their address, description, occupation etc., must also be entered.
- It is to be noted that a company being a legal person can through its agent, subscribe to the memorandum.
- However, a minor cannot be a signatory to the memorandum as he is not competent to contract. The guardian of a minor, who subscribes to the memorandum on his behalf, will be deemed to have subscribed in his personal capacity.

The Memorandum of Association of a company cannot contain anything contrary to the provisions of the Companies Act. If it does, the same shall be devoid of any legal effect. Similarly, all other documents of the company must comply with the provisions of the Memorandum.

THEORY QUESTIONS

Question 1: **(PEQ-Nov-19 - 6 Marks)**

"The Memorandum of Association is a charter of a company". Discuss. Also explain in brief the contents of Memorandum of Association.

08 ARTICLES OF ASSOCIATION - Section 2(5) & Section 5

- The articles of association of a company are its rules and regulations, which are framed to manage its internal affairs.
- Just as the memorandum contains the fundamental conditions upon which the company is allowed to be incorporated, so also the articles are the internal regulations of the company.
- The articles of association are in fact the bye-laws of the company according to which director and other officers are required to perform their functions as regards the management of the company, its accounts and audit.

Section 5 of the Companies Act, 2013 seeks to provide the contents and model of articles of association. The section lays the following law-

1. | **Contains regulations:** The articles of a company shall contain the regulations for management of the company.

2. | **Inclusion of matters:** The articles shall also contain such matters, as are prescribed under the rules. However, a company may also include such additional matters in its articles as may be considered necessary for its management.

3. | **Contain provisions for entrenchment:** The articles may contain provisions for entrenchment (to protect something) to the effect that specified provisions of the articles may be altered only if conditions or procedures as that are more restrictive than those applicable in the case of a special resolution, are met or complied with.

4. | **Manner of inclusion of the entrenchment provision:** The provisions for entrenchment shall only be made either on formation of a company, or by an amendment in the articles agreed to by all the members of the company in the case of a private company and by a special resolution in the case of a public company.

5. | **Notice to the registrar of the entrenchment provision:** Where the articles contain provisions for entrenchment, whether made on formation or by amendment, the company shall give notice to the Registrar of such provisions in such form and manner as may be prescribed.

6. | **Forms of articles:** The articles of a company shall be in respective forms specified in Tables, F, G, H, I and J in Schedule I as may be applicable to such company.

7. | **Model articles:** A company may adopt all or any of the regulations contained in the model articles applicable to such company.

8. | **Company registered after the commencement of this Act:** In case of any company, which is registered after the commencement of this Act, in so far as the registered articles of such company do not exclude or modify the regulations contained in the model articles applicable to such company, those regulations shall, so far as applicable, be the regulations of that company in the same manner and to the extent as if they were contained in the duly registered articles of the company.

The following are the key differences between the Memorandum of Association vs. Articles of Association:

1. | **Objectives:** Memorandum of Association defines and delimits the objectives of the company whereas the Articles of association lays down the rules and regulations for the internal management of the company. Articles determine how the objectives of the company are to be achieved.

2. | **Relationship:** Memorandum defines the relationship of the company with the outside world and Articles define the relationship between the company and its members.

3. | **Alteration:** Memorandum of association can be altered only under certain circumstances and in the manner provided for in the Act. In most cases permission of the Regional Director, or the Tribunal is required. The articles can be altered simply by passing a special resolution.

4. | **Ultra Vires:** Acts done by the company beyond the scope of the memorandum are ultra-vires and void. These cannot be ratified even by the unanimous consent of all the shareholders. The acts ultra-vires the articles can be ratified by a special resolution of the shareholders, provided they are not beyond the provisions of the memorandum.

THEORY QUESTIONS

Question 1: **(PEQ-Sep-25 - 7 Marks)**

Explain the Memorandum of Association (MOA) and Articles of Association (AOA) of a company. Also explain any three differences between MOA and AOA.

Question 2: **(PEQ-Jan-25 - 7 Marks)**

Write in brief the content and model of the Articles of Association (AOA), according to which the director and other officers are required to perform their functions as regards the management of the company, its accounts and audit.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov-19 - 4 Marks)**

Yadav dairy products Private limited has registered its articles along with memorandum at the time of registration of company in December, 2014. Now directors of the company are of the view that provisions of articles regarding forfeiture of shares should not be changed except by a resolution of 90% majority.

While as per section 14 of the Companies Act, 2013 articles may be changed by passing a special resolution only. One of the directors said that they cannot make a provision against the Companies Act. You are required to advise the company on this matter.

Answer:

1. As per section 5 of the Companies Act, 2013 the article may contain provisions for entrenchment to the effect that specified provisions of the articles may be altered only if more restrictive conditions than a special resolution, are met.

2. The provisions for entrenchment shall only be made
- either on formation of a company, or
- by an amendment in the articles agreed to by all the members of the company in the case of a private company and by a special resolution in the case of a public company.

3. Where the articles contain provisions for entrenchment, whether made on formation or by amendment, the company shall give notice to the Registrar of such provisions in prescribed manner.

Discussion & Conclusion: In the present case, Yadav dairy products Private Limited is a private company and wants to protect provisions of articles regarding forfeiture of shares. It means it wants to make entrenchment of articles, which is allowed. But the company will have to pass a resolution taking permission of all the members and it should also give notice to ROC regarding entrenchment of articles.

Question 2: **(MTP-Nov-23 - 6 Marks)**

The Articles of Association (AOA) of Avenue International Private Limited contained a clause that in case of insolvency of any member, his shares in the company should be sold to other person and at the price fixed by directors of the company. Mr. Neeraj, a shareholder was adjudicated insolvent. His official assignee in insolvency claimed that he was not bound by the provisions of AOA and is free to sell the shares at their true value. Referring the provisions of the Companies Act 2013, whether official assignee is bound by AOA?

Answer:

The Articles of Association (AOA) of a company are its rules and regulations, which are framed to manage its internal affairs. Just as the Memorandum contains the fundamental conditions upon which the company is allowed to be incorporated, so also the articles are the internal regulations of the company (Guiness vs. Land Corporation of Ireland). Further according to the decision taken in case of S.S. Rajkumar vs. Perfect Castings (P) Ltd., the document containing the AOA of a company (the Magna Carta) is a business document; hence it has to be construed strictly. It regulates the domestic management of a company and creates certain rights and obligations between the members and the company.

On the basis of above, it can be said that Official assignee of Mr. Neeraj is bound by the AOA.

Question 3: **(PEQ-Jan-25 - 3 Marks)**

Justice Private Limited has 9 directors on its Board of Directors. The company's Articles of Association currently state that the quorum for board meetings shall be 1/3rd of the total strength or 2 directors, whichever is higher. The company now intends to amend this article to specify that the quorum for board meetings shall be 1/3rd of the total strength or 4 directors, whichever is higher. Advise the company on the procedure for including this entrenchment provision in its Articles, in accordance with the provisions of the Companies Act, 2013. Would your advice differ if the company were a public company?

Answer:

Section 5(4) and (5) of the Companies Act, 2013 contains the following provisions:

Manner of inclusion of the entrenchment provision: The provisions for entrenchment shall only be made either on formation of a company, or by an amendment in the articles agreed to by all the members of the company in the case of a private company and by a special resolution in the case of a public company.

Notice to the registrar of the entrenchment provision: Where the articles contain provisions for entrenchment, whether made on formation or by amendment, the company shall give notice to the Registrar of such provisions in such form and manner as may be prescribed.

In the instant case, Justice Private Limited can follow the above procedure i.e. with the consent of all the members and notice to the registrar to include the entrenchment provision in its Articles.

Yes, the advice will differ, if the company is public company, since it has to pass Special Resolution and also inform to the registrar.

09 DOCTRINE

I. | Doctrine of ultra vires:

- The meaning of the term ultra vires is simply "beyond (their) powers". The legal phrase "ultra vires" is applicable only to acts done in excess of the legal powers of the doers. This presupposes that the powers in their nature are limited.
- It is a fundamental rule of Company Law that the objects of a company as stated in its memorandum can be departed from only to the extent permitted by the Act, thus far and no further.
- In consequence, any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company.
- On this account, a company can be restrained from employing its fund for purposes other than those sanctioned by the memorandum.
- Likewise, it can be restrained from carrying on a trade different from the one it is authorised to carry on.
- The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it.
- Since the memorandum is a "public document", it is open to public inspection. Therefore, when one deals with a company one is deemed to know about the powers of the company.
- If in spite of this you enter into a transaction which is ultra vires the company, you cannot enforce it against the company.

Example

8: If you have supplied goods or performed service on such a contract or lent money, you cannot obtain payment or recover the money lent. But if the money advanced to the company has not been expended, the lender may stop the company from parting with it by means of an injunction; this is because the company does not become the owner of the money, which is ultra vires the company. As the lender remains the owner, he can take back the property in specie. If the ultra vires loan has been utilised in meeting lawful debt of the company then the lender steps into the shoes of the debtor paid off and consequently he would be entitled to recover his loan to that extent from the company.

- An act which is ultra vires the company being void, cannot be ratified by the shareholders of the company. Sometimes, act which is ultra vires can be regularised by ratifying it subsequently.
- For instance, if the act is ultra vires the power of the directors, the shareholders can ratify it; if it is ultra vires the articles of the company, the company can alter the articles; if the act is within the power of the company but is done irregularly, shareholder can validate it.

Case law

Ashbury Railway Carriage and Iron Company Limited v. Riche-(1875).

The facts of the case are:

The main objects of a company were:

(a) To make, sell or lend on hire, railway carriages and wagons;
(b) To carry on the business of mechanical engineers and general contractors.
(c) To purchase, lease, sell and work mines.
(d) To purchase and sell as merchants or agents, coal, timber, metals etc.

The directors of the company entered into a contract with Riche, for financing the construction of a railway line in Belgium, and the company further ratified this act of the directors by passing a special resolution. The company however, repudiated the contract as being ultra-vires. And Riche brought an action for damages for breach of contract. His contention was that the contract was well within the meaning of the word general contractors and hence within its powers. Moreover it had been ratified by a majority of share-holders.

However, it was held by the Court that the contract was null and void. It said that the terms general contractors was associated with mechanical engineers, i.e. it had to be read in connection with the company's main business. If, the term general contractor's was not so interpreted, it would authorize the making of contracts of any kind and every description, for example, marine and fire insurance.

An ultra vires contract can never be made binding on the company. It cannot become "Intravires" by reasons of estoppel, acquiescence, Lapse of time, delay or ratification.

The whole position regarding the doctrine of ultra vires can be summed up as:

(i) When an act is performed, which though legal in itself, is not authorized by the object clause of the memorandum, or by the statute, it is said to be ultravires the company, and hence null and void.

(ii) An act which is ultravires, the company cannot be ratified even by the unanimous consent of all the shareholders.

(iii) An act which is ultravires the directors, but intravires the company can be ratified by the members of the company through a resolution passed at a general meeting.

(iv) If an act is ultravires the Articles, it can be ratified by altering the Articles by a Special Resolution at a general meeting.

THEORY QUESTIONS

Question 1: **(RTP- Nov-18, May-20) (PEQ-May-22 - 6 Marks)**

Briefly explain the doctrine of "ultravires" under the Companies Act, 2013. What are the consequences of ultravires acts of the company?

CASE BASED QUESTIONS

Question 1: **(MTP-Nov-18, June-19 - 4 Marks)**

The Object Clause of Memorandum of Association of ABC Pvt. Ltd. authorised the company to carry on the business of trading in Fruits and Vegetables. The Directors of the company in recently concluded Board Meeting decided and accordingly, the company ordered for fish for the purpose of trading.

FSH Limited supplied fish to ABC Pvt. Ltd. worth Rs. 36 Lakhs. The members of the company convened an extraordinary general meeting and negated the proposal of the Board of Directors on the ground of ultra vires acts. FSH Limited being aggrieved of the said decision of ABC Pvt. Ltd. seeks your advice. Advise them.

Answer :

Doctrine of ultra vires: The meaning of the term:

1. Ultra vires is simply "beyond (their) powers".
   The legal phrase "ultra vires" is applicable only to acts done in excess of the legal powers of the doers. This presupposes that the powers in their nature are limited. It is a fundamental rule of Company Law that the objects of a company as stated in its memorandum can be departed from only to the extent permitted by the Act, thus far and no further.
2. In consequence, any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company.

On this account, a company can be restrained from employing its fund for purposes other than those sanctioned by the memorandum. Likewise, it can be restrained from carrying on a trade different from the one it is authorized to carry on.

3. The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it. Since the memorandum is a "public document", it is open to public inspection. Therefore, when one deals with a company one is deemed to know about the powers of the company. If in spite of this you enter into a transaction which is ultra vires the company, you cannot enforce it against the company.
4. Therefore, the resolution passed by the Board of Director ABC Pvt. Limited for an ultra vires transaction is invalid. As a result of this, the transaction entered into the supply of fish with FSH Limited is not legal and is void.

Question 2: **(MTP-Nov-18 - 6 Marks)**

The object clause of the Memorandum of Association of LSR Private Ltd, Lucknow authorized it to do trading in fruits and vegetables.

The company, however, entered into a Partnership with Mr. J and traded in steel and incurred liabilities to Mr. J. The Company, subsequently, refused to admit the liability to J on the ground that the deal was 'Ultra Vires' the company. Examine the validity of the company's refusal to admit the liability to J.

Give reasons in support of your answer.

Answer :

In terms of section 4(1)(c) of the Companies Act, 2013, the powers of the company are limited to:

(1) Powers expressly given in the "Objects Clause" of the Memorandum (which is popularly known as 'express' power), or conferred by the Companies Act, or by any other statute and

(2) Powers reasonably incidental or necessary to the company's main objects (termed as "Implied' powers).

(3) The Act further provides that the acts beyond the powers of a company are ultra vires and void and cannot be ratified even though every member of the company may give his consent [Ashbury Railway Carriage Company Vs Richee]

(4) The objects clause enables the shareholders, creditors or others to know what its powers are and what is the range of its activities. The objects clause therefore is of fundamental importance to the shareholders, creditors and every other person who deals with the company in any manner what so ever. A company being an artificial legal person can act only within the ambit of the powers conferred upon it by the Memorandum through the "Objects Clause".

(5) Every person who enters into a contractual relationship with a company on any matter is presumed to be aware of its objects and is supposed to have examined the Memorandum of Articles of the company to ensure proper contractual agreement. If a person fails to do so, it is entirely at his own peril. It is also pertinent to note that the objects of a company may be changed by following the provisions for the change of Memorandum as laid out in section 13 of the said Act.

(6) M/s LSR Pvt. Ltd is authorised to trade directly on fruits and vegetables. It has no power to enter into a partnership for Iron and steel with Mr. J. Such act cannot be treated as being within either the 'express' or 'implied' powers of the company. Mr J who entered into partnership is deemed to be aware of the lack of powers of M/s LSR (Pvt) Ltd. In the light of the above, Mr, J cannot enforce the agreement or liability against M/s LSR Pvt. Ltd under the Companies Act. Mr. J should be advised accordingly. This conclusion is supported by the decision reported in the case of the 'Ganga Mata Refinery Company (Pvt) Ltd CIT'.

However, under the Indian Contract Act, 1872 where a person derives any benefit either in the absence of a contract or under a void agreement, will be liable to make a reasonable payment for the value of such benefit. (Please refer to Quasi Contracts and Void Agreements)

Question 3: **(PEQ-May-18 - 4 Marks)**

Ravi Private Limited has borrowed Rs. 5 crores from Mudra Finance Ltd. This debt is ultra vires to the company. Examine, whether the company is liable to pay this debt? State the remedy if any available to Mudra Finance Ltd.?

Answer:

As per the facts given, Ravi Private Limited borrowed Rs. 5 crore from Mudra Finance Ltd. This debt is ultra vires to the company, which signifies that Ravi Private Limited has borrowed the amount beyond the expressed limit prescribed in its memorandum. This act of the company can be said to be null and void.

In consequence, any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company.

So is being the act void in nature, there being no existence of the contract between the Ravi Private Ltd. and Mudra Finance Ltd. Therefore, the company Ravi Private Ltd. is liable to pay this debt amount upto the limit prescribed in the memorandum.

Remedy available to the Mudra Finance Ltd.: The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it. Since the memorandum is a "public document", it is open to public inspection. Therefore, a company which deals with the other, is deemed to know about the powers of the company.

So, Mudra Finance Ltd. can claim for the amount within the expressed limit prescribed in its memorandum.

Question 4: **(PEQ-Nov-21 - 4 Marks)**

AK Private Limited has borrowed Rs.36 crores from BK Finance Limited. However, as per memorandum of AK Private Limited the maximum borrowing power of the company is Rs. 30 crores. Examine, whether AK Private Limited is liable to pay this debt? State the remedy, if any available to BK Finance Limited.

Answer :

This case is governed by the 'Doctrine of Ultra Vires'. According to this doctrine, any act done or a contract made by the company which travels beyond the powers of the company conferred upon it by its Memorandum of Association is wholly void and inoperative in law and is therefore not binding on the company.

This is because, the Memorandum of Association of the company is, in fact, its charter; it defines its constitution and the scope of the powers of the company. Hence, a company cannot depart from the provisions contained in the memorandum however imperative may be the necessity for the departure. Hence, any agreement ultra vires the company shall be null and void.

(i) Whether AK Private Limited is liable to pay the debt?

As per the facts given, AK Private Limited borrowed Rs.36 crores from BK Finance Limited which is beyond its borrowing power of 30 crores.

Hence, contract for borrowing of Rs.36 crores, being ultra vires the memorandum of association and thereby ultra vires the company, is void. AK Private Limited is not, therefore, liable to pay the debt.

(ii) Remedy available to BK Finance Limited:

In light of the legal position explained above, BK Finance Limited cannot enforce the said transaction and thus has no remedy against the company for recovery of the money lent. BK Finance limited may take action against the directors of AK Private Limited as it is the personal liability of its directors to restore the borrowed funds. Besides, BK Finance Limited may take recourse to the remedy by means of 'Injunction', if feasible.

Question 5: **(MTP-May-23, May-22 - 6 Marks) (RTP-June-23)**

ABC Limited was into sale and purchase of iron rods. This was the main object of the company mentioned in the Memorandum of Association. The company entered into a contract with Mr. John for some finance related work. Later on, the company repudiated the contract as being ultra vires.

With reference to the same, briefly explain the doctrine of "ultravires" under the Companies Act, 2013. What are the consequences of ultravires acts of the company?

Answer:

Doctrine of ultra vires: The meaning of the term ultra vires is simply "beyond (their) powers". The legal phrase "ultra vires" is applicable only to acts done in excess of the legal powers of the doers. This presupposes that the powers in their nature are limited. It is a fundamental rule of Company Law that the objects of a company as stated in its memorandum can be departed from only to the extent permitted by the Act, thus far and no further.

In consequence, any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company. On this account, a company can be restrained from employing its fund for purposes other than those sanctioned by the memorandum. Likewise, it can be restrained from carrying on a trade different from the one it is authorised to carry on.

The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it. Since the memorandum is a "public document", it is open to public inspection.

Therefore, when one deals with a company one is deemed to know about the powers of the company. If in spite of this you enter into a transaction which is ultra vires the company, you cannot enforce it against the company.

An act which is ultra vires the company being void, cannot be ratified even by the unanimous consent of all the shareholders of the company.

Hence in the given case, ABC Limited cannot enter into a contract outside the purview of its object clause of memorandum of association as it becomes ultra vires and thus null and void.

Question 6: **(PEQ-May-25 - 4 Marks)**

The Object clause of Memorandum of Association of ABC Pvt. Ltd. authorized the company to carry on the business of trading in property in Gurgaon. Since the company was not doing well, the Directors of the company in a recent board meeting planned to diversify the business and enter into Construction business. For this purpose, they borrowed a sum of Rs. 5 crores from Magnum Finance Ltd. But the members of the company did not approve the decision of the board hence, company refused to repay the loan. According to provisions of the Companies Act, 2013 what is the recourse available to Magnum Finance Ltd. for recovery of the loan?

Answer:

It is a fundamental rule of Company Law that the objects of a company as stated in its memorandum can be departed from only to the extent permitted by the Act, thus far and no further. In consequence, any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company.

On this account, a company can be restrained from employing its fund for purposes other than those sanctioned by the memorandum. Likewise, it can be restrained from carrying on a trade different from the one it is authorised to carry on.

The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it.

Since the memorandum is a "public document", it is open to public inspection. Therefore, when one deals with a company one is deemed to know about the powers of the company. If in spite of this you enter into a transaction which is ultra vires the company, you cannot enforce it against the company.

In the instant case, ABC Pvt. Ltd. was authorised to trade in property only, so taking loan for construction business was ultravirus the power of the company.

Therefore, Magnum Finance Ltd. cannot enforce against ABC Pvt. Ltd. for recovery of the loan. But,

(a) It can recover the money to the extent it has been utilised in meeting lawful debt of the company, then it steps into shoes of the debtor paid off and consequently it would be entitled to recover the loan to that extent from the company.

(b) if the money is not spent, it may stop ABC Pvt. Ltd. from spending by means of injunction and recover the unspent amount.

II. | Doctrine of Constructive Notice:

- Section 399 of the Companies Act, 2013 provides that any person can inspect by electronic means any document kept by the Registrar, or make a record of the same, or get a copy or extracts of any document, including certificate of incorporation of any company, on payment of prescribed fees.
- The memorandum and articles of association of a company when registered with Registrar of Companies, become public documents, and they are available for inspection to any person, on the payment of a nominal fees.

- In other words, Section 399 confers the right of inspection to all.
- It is, therefore, the duty of every person dealing with a company to inspect its documents and make sure that his contract is in conformity with their provisions but whether a person reads them or not, it will be presumed that he knows the contents of the documents.
- This kind of presumed/implied notice is called constructive notice.

By constructive notice is meant:

(i) Whether a person reads the documents or not, he is presumed to have knowledge of the contents of the documents,
He is not only presumed to have read the documents but also understood them in their true perspective, and

(ii) Every person dealing with the company not only has the constructive notice of the memorandum and articles, but also of all the other related documents, such as Special Resolutions etc., which are required to be registered with the Registrar.
Thus, if a person enters into a contract which is beyond the powers of the company as defined in the memorandum, or outside the authority of directors as per memorandum or articles, he cannot acquire any rights under the contract against the company.

III. | Doctrine of Indoor Management:

- The Doctrine of Indoor Management is the exception to the doctrine of constructive notice.
- The aforesaid doctrine of constructive notice does in no sense mean that outsiders are deemed to have notice of the internal affairs of the company.
- For instance, if an act is authorised by the articles or memorandum, an outsider is entitled to assume that all the detailed formalities for doing that act have been observed.
- This is the doctrine of indoor management popularly known as Turquand Rule.

Case law

Royal British Bank vs. Turquand

Mr. Turquand was the official manager (liquidator) of the insolvent Cameron's Coalbrook Steam, Coal and Swansea and Loughor Railway Company. It was incorporated under the Joint Stock Companies Act, 1844. The company had given a bond for £ 2,000 to the Royal British Bank, which secured the company's drawings on its current account. The bond was under the company's seal, signed by two directors and the secretary. When the company was sued, it alleged that under its registered deed of settlement (the articles of association), directors only had power to borrow up to an amount authorized by a company resolution. A resolution had been passed but not specifying how much the directors could borrow.

Held, it was decided that the bond was valid, so the Royal British Bank could enforce the terms. He said the bank was deemed to be aware that the directors could borrow only up to the amount resolutions allowed. Articles of association were registered with Companies House, so there was constructive notice. But the bank could not be deemed to know which ordinary resolutions passed, because these were not registrable. The bond was valid because there was no requirement to look into the company's internal workings. This is the indoor management rule, that the company's indoor affairs are the company's problem.

Exceptions to the doctrine of Indoor Management:

The above mentioned doctrine of Indoor Management or Turquand Rule has limitations of its own. That is to say, it is inapplicable to the following cases, namely:

a. | Actual or constructive knowledge of irregularity:

The rule does not protect any person when the person dealing with the company has notice, whether actual or constructive, of the irregularity.

In Howard vs. Patent Ivory Manufacturing Co. where the directors could not defend the issue of debentures to themselves because they should have known that the extent to which they were lending money to the company required the assent of the general meeting which they had not obtained.

Likewise, in Morris v Kansseen, a director could not defend an allotment of shares to him as he participated in the meeting, which made the allotment. His appointment as a director also fell through because none of the directors appointed him was validly in office.

b. | Suspicion of Irregularity:

The doctrine in no way, rewards those who behave negligently. Where the person dealing with the company is put upon an inquiry, for example, where the transaction is unusual or not in the ordinary course of business, it is the duty of the outsider to make the necessary enquiry.

The protection of the "Turquand Rule" is also not available where the circumstances surrounding the contract are suspicious and therefore invite inquiry. Suspicion should arise, for example, from the fact that an officer is purporting to act in matter, which is apparently outside the scope of his authority. Where, for example, as in the case of Anand Bihari Lal vs. Dinshaw & Co. the plaintiff accepted a transfer of a company's property from its accountant, the transfer was held void. The plaintiff could not have supposed, in absence of a power of attorney that the accountant had authority to effect transfer of the company's property.

Similarly, in the case of Haughton & Co. v. Nothard, Lowe & Wills Ltd. where a person holding directorship in two companies agreed to apply the money of one company in payment of the debt to other, the court said that it was something so unusual "that the plaintiff were put upon inquiry to ascertain whether the persons making the contract had any authority in fact to make it." Any other rule would "place limited companies without any sufficient reasons for so doing, at the mercy of any servant or agent who should purport to contract on their behalf."

c. | Forgery: The doctrine of indoor management applies only to irregularities which might otherwise affect a transaction but it cannot apply to forgery which must be regarded as nullity. Forgery may in circumstances exclude the 'Turquand Rule'. The only clear illustration is found in the Ruben v Great Fingall Consolidated.

In this case the plaintiff was the transferee of a share certificate issued under the seal of the defendant's company. The company's secretary, who had affixed the seal of the company and forged the signature of the two directors, issued the certificate.

The plaintiff contended that whether the signature were genuine or forged was apart of the internal management, and therefore, the company should be estopped from denying genuineness of the document. But it was held, that the rule has never been extended to cover such a complete forgery.

THEORY QUESTIONS

Question 1: **(RTP-Nov-19, Nov-20) (PEQ-Nov-21 - 6 Marks)**

Explain clearly the doctrine of 'Indoor Management' as applicable in cases of companies registered under the Companies Act, 2013. Explain the circumstances in which an outsider dealing with the company cannot claim any relief on the ground of 'Indoor Management'.

Question 2: **(MTP-Nov-19, May 21 - 6 Marks)**

The persons (not being members) dealing with the company are always protected by the doctrine of indoor management. Explain. Also, explain when doctrine of Constructive Notice will apply.

Question 3: **(PEQ-May-18 - 3 Marks)**

State the limitations of the doctrine of indoor management under the Companies Act, 2013.

Question 4: **(PEQ-May-25 - 7 Marks)**

Doctrine of indoor management allows all those who deal with the company to assume that the officers of the company have observed the provisions of the articles. In light of the above statement, explain the doctrine of indoor management and its exceptions, if any, according to provisions of the Companies Act, 2013.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov-20) (PEQ-May-19 - 4 Marks)**

Sound Syndicate Ltd., a public company, its articles of association empowers the managing agents to borrow both short and long term loans on behalf of the company, Mr. Liddle, the director of the company, approached Easy Finance Ltd., a non banking finance company for a loan of ' 25,00,000 in name of the company.

The Lender agreed and provided the above said loan. Later on, Sound Syndicate Ltd. refused to repay the money borrowed on the pretext that no resolution authorizing such loan have been actually passed by the company and the lender should have enquired about the same prior providing such loan hence company not liable to pay such loan.

Analyse the above situation in terms of the provisions of Doctrine of Indoor Management under the Companies Act, 2013 and examine whether the contention of Sound Syndicate Ltd. is correct or not?

Answer :

Doctrine of Indoor Management

According to this doctrine, persons dealing with the company need not inquire whether internal proceedings relating to the contract are followed correctly, once they are satisfied that the transaction is in accordance with the memorandum and articles of association.

Stakeholders need not enquire whether the necessary meeting was convened and held properly or whether necessary resolution was passed properly. They are entitled to take it for granted that the company had gone through all these proceedings in a regular manner.

The doctrine helps protect external members from the company and states that the people are entitled to presume that internal proceedings are as per documents submitted with the Registrar of Companies. Thus,

1. What happens internal to a company is not a matter of public knowledge. An outsider can only presume the intentions of a company, but do not know the information he/she is not privy to.
2. If not for the doctrine, the company could escape creditors by denying the authority of officials to act on its behalf.

In the given question, Easy Finance Ltd. being external to the company, need not enquire whether the necessary resolution was passed properly. Even if the company claim that no resolution authorizing the loan was passed, the company is bound to pay the loan to Easy Finance Ltd.

Question 2: **(MTP-May-21) (PEQ-Nov-18 - 3 Marks)**

Mr. X had purchased some goods from M/s ABC Limited on credit. A credit period of one month was allowed to Mr. X. Before the due date Mr. X went to the company and wanted to repay the amount due from him. He found only Mr. Z there, who was the factory supervisor of the company.

Mr. Z told Mr. X that the accountant and the cashier were on leave, he is in-charge of receiving money and he may pay the amount to him. Mr. Z issued a money receipt under his signature.

After two months, M/s ABC Limited issued a notice to Mr. X for non-payment of the dues within the stipulated period.

Mr. X informed the company that he had already cleared the dues and he is no more responsible for the same. He also contended that Mr. Z is an employee of the company whom he had made the payment and being an outsider, he trusted the words of Mr. Z as duty distribution is a job of the internal management of the company. Analyse the situation and decide whether Mr. X is free from his liability.

Answer :

Doctrine of Indoor Management:

The Doctrine of Indoor Management is the exception to the doctrine of constructive notice. The doctrine of constructive notice does not mean that outsiders are deemed to have notice of the internal affairs of the company. For instance, if an act is authorised by the articles or memorandum, an outsider is entitled to assume that all the detail ed formalities for doing that act have been observed.

The doctrine of Indoor Management is important to persons dealing with a company through its directors or other persons. They are entitled to assume that the acts of the directors or other officers of the company are validly performed, if they are within the scope of their apparent authority.

So long as an act is valid under the articles, if done in a particular manner, an outsider dealing with the company is entitled to assume that it has been done in the manner required.

In the given question, Mr. X has made payment to Mr. Z and he (Mr. Z) gave to receipt of the same to Mr. X. Thus, it will be rightful on part of Mr. X to assume that Mr. Z was also authorised to receive money on behalf of the company.

Hence, Mr. X will be free from liability for payment of goods purchased from M/s ABC Limited, as he has paid amount due to an employee of the company.

Question 3: **(RTP-May-18)**

The Articles of Association of XYZ Ltd. provides that Board of Directors has authority to issue bonds provided such issue is authorized by the shareholders by a necessary resolution in the general meeting of the company.

The company was in dire need of funds and therefore, it issued the bonds to Mr. X without passing any such resolution in general meeting. Can Mr. X recover the money from the company? Decide referring the relevant provisions of the Companies Act, 2013.

Answer :

According to the Doctrine of Indoor Management, if an act is authorised by the articles or memorandum, an outsider is entitled to assume that all the detailed formalities for doing that act have been observed. As per the case of the Royal British Bank vs. Turquand [1856] 6E & B 327, the directors of R.B.B. Ltd. gave a bond to T.

The articles empowered the directors to issue such bonds under the authority of a proper resolution. In fact, no such resolution was passed. Notwithstanding that, it was held that T could sue on the bonds on the ground that he was entitled to assume that the resolution had been duly passed. This is the doctrine of indoor management, popularly known as Turquand Rule.

Since, the given question is based on the above facts, accordingly here in this case Mr. X can recover the money from the company considering that all required formalities for the passing of the resolution have been duly complied.

Question 4: **(PEQ-Nov-22) (MTP-Dec-23 - 3 Marks)**

Mr. R, a manufacturer of toys approached MNO Private Limited for supply of raw material worth ₹1,50,000/-. Mr. R was offered a credit period of one month. Mr. R went to the company prior to the due date and met Mr. C, an employee at the billing counter, who convinced the former that the payment can be made to him as the billing-cashier is on leave.

Mr. R paid the money and was issued a signed and sealed receipt by Mr. C. After the lapse of due date, Mr. R received a recovery notice from the company for the payment of ₹ 1,50,000/-.

Mr. R informed the company that he has already paid the above amount and being an outsider had genuine reasons to trust Mr. C who claimed to be an employee and had issued him a receipt.

The Company filed a suit against Mr. R for non-payment of dues. Discuss the fate of the suit and the liability of Mr. R towards company as on current date in consonance with the provision of the Companies Act 2013? Would your answer be different if a receipt under the company seal was not issued by Mr. C after receiving payment?

Answer:

(i) Fate of the suit and the liability of Mr. R towards the company: Doctrine of the Indoor Management

According to the Doctrine of the Indoor Management, the outsiders are not deemed to have notice of the internal affairs of the company. They are entitled to assume that the acts of the directors or other officers of the company are validly performed, if they are within the scope of their apparent authority.

So long as an act is valid under the articles, if done in a particular manner, an outsider dealing with the company is entitled to assume that it has been done in the manner required.

This is the indoor management rule, that the company's indoor affairs are the company's problem. This rule has been laid down in the landmark case-the Royal British Bank vs. Turquand. (Known as "Turquand Rule"). In the instant case, Mr. R is not liable to pay the amount of ₹ 1,50,000 to MNO Private Limited as he had genuine reasons to trust Mr. C, an employee of the company who had issued him a signed and sealed receipt.

(ii) Liability of Mr. R in case no receipt is issued by Mr. C:

Exceptions to doctrine of indoor management: Suspicion of irregularity is an exception to the doctrine of indoor management. The doctrine of indoor management, in no way, rewards those who behave negligently. It is the duty of the outsider to make necessary enquiry, if the transaction is not in the ordinary course of business.

If a receipt under the company seal was not issued by Mr. C after receiving payment, Mr. R is liable to pay the said amount as this will be deemed to be a negligence on the part of Mr. R and it is his duty to make the necessary enquiry to check that whether Mr. C is eligible to take the payment or not.

Question 5: **(MTP-Apr-23 - 4 Marks)**

Mr. Mohan had purchased some goods from Sunflower Limited on credit. A credit period of one month was allowed to Mr. Mohan. Before the due date, Mr. Mohan went to the company and wanted to repay the amount due from him. He found only Mr. Ramesh there, who was the factory supervisor of the company. Mr. Ramesh told Mr. Mohan that the Accountant and the cashier are on leave, he is in-charge of receiving money and he may pay the amount to him.

Mr. Ramesh issued a money receipt under his signature. After two months, Sunflower limited issued a notice to Mr. Mohan for non-payment of the dues within the stipulated period. Mr. Mohan informed the company that he had already cleared the dues and he is no more responsible for the same.

He also contended that Mr. Ramesh is an employee of the company whom he had made the payment and being an outsider, he trusted the words of Mr. Ramesh as duty distribution is a job of the internal management of the company. Analyse the situation and decide whether Mr. Mohan is free from his liability.

Answer:

Doctrine of Indoor Management: The Doctrine of Indoor Management is the exception to the Doctrine of Constructive Notice. The Doctrine of Constructive Notice does not mean that outsiders are deemed to have notice of the internal affairs of the company. For instance, if an act is authorised by the Articles or Memorandum, an outsider is entitled to assume that all the detailed formalities for doing that act have been observed.

The doctrine of Indoor Management is important to persons dealing with a company through its directors or other persons. They are entitled to assume that the acts of the directors or other officers of the company are validly performed, if they are within the scope of their apparent authority. So long as an act is valid under the articles, if done in a particular manner, an outsider dealing with the company is entitled to assume that it has been done in the manner required.

In the given question, Mr. Mohan has made payment to Mr. Ramesh and he (Mr. Ramesh) gave to receipt of the same to Mr. Mohan. Thus, it will be rightful on part of Mr. Mohan to assume that Mr. Ramesh was also authorised to receive money on behalf of the company. Hence, Mr. Mohan will be free from liability for payment of goods purchased from Sunflower Limited, as he has paid amount due to an employee of the company.

Question 6: **(MTP-Nov-22 - 4 Marks) (RTP-June-23)**

Articles of Association of XYZ Private Limited provides that Board of Directors can take the loan upto ₹50,00,000 for company by passing the Board Resolution. In the case where the loan amount is in excess of the said limit, Special Resolution is required to be passed in general meeting.

Due to urgent need of funds, Board of Directors applied for loan in a reputed bank for ₹ 60,00,000 without passing the Special Resolution in the general meeting. Board of Directors gave an undertaking to bank that Special Resolution has been passed for such loan. The bank on believing on such undertaking lend the money. On demanding the repayment of loan, company denied the payment as the act was ultra vires to company. Advise.

Answer:

According to doctrine of Indoor Management, persons dealing with the Company are presumed to have read the registered documents and to see that the proposed dealing is not inconsistent therewith, but they are not bound to do more; they need not enquire into the regularity of internal proceedings as required by M & A. This was also decided in case of Royal British Bank Vs. Turquand.

In the instant case, Articles of Association of XYZ Private Limited have taken loan from reputed bank for ₹ 60,00,000 by passing Board Resolution while Special Resolution was necessary for such amount. Board of Directors gave an undertaking to bank that Special Resolution has been passed for such loan. The bank on believing on such undertaking lends the money.

On the basis of provisions of doctrine of Indoor Management, the bank can claim the amount of his loan from the company. The bank can believe on the undertaking given by board and no need to enquire further.

Question 7: **(PEQ- Sep-24 - 4 Marks)**

JV Limited borrowed a secured loan of ₹ 5 crore from Star Bank Limited (the bank) to meet its working capital requirement. However, the borrowing powers of the company, under its Memorandum of Association, were restricted to ₹ 1 crore. The bank released the loan amount in two instalments of ₹ 1 crore and ₹ 4 crore. On the due date for repayment of the loan, the company refused to accept the liability of ₹ 5 crore on the ground that the borrowing was ultra vires the company. The company's books of account show that the company has utilised the loan amount of ₹ 3 crore for repayment of its lawful debts. The utilisation of the remaining ₹ 2 crore cannot be traced. Referring to the doctrine of ultra-vires under the Companies Act, 2013, examine the validity of the decision of the company denying the repayment of the loan and explore the remedy, if any, available to the bank for recovery of the loan.

Answer:

Doctrine of ultra vires: The meaning of the term ultra vires is simply "beyond (their) powers". It is a fundamental rule of Company Law that any act done or a contract made by the company which travels beyond the powers not only of the directors but also of the company is wholly void and inoperative in law and is therefore not binding on the company.

The impact of the doctrine of ultra vires is that a company can neither be sued on an ultra vires transaction, nor can it sue on it. Since the memorandum is a "public document", it is open to public inspection. Therefore, when one deals with a company one is deemed to know about the powers of the company. If in spite of this you enter into a transaction which is ultra vires the company, you cannot enforce it against the company.

In the instant case, borrowing more than ₹1 crore was clearly beyond JV Limited's powers as per its MoA, making the loan transaction ultra vires to the extent of the excess amount over ₹1 crore.

Hence, the decision of the company denying the repayment of the loan being ultra virus the company shall be valid for ₹ 4 crore.

If the funds have been applied for legitimate business purposes (such as repaying lawful debts), the lender steps into the shoes of the debtor paid off and consequently he would be entitled to recover his loan to that extent from the company.

Therefore, JV Limited cannot deny repayment of ₹3 crore, as it was utilised for lawful purposes, despite the ultra vires nature of the loan.

Ultimately, the company has no remedy available to recover the balance amount of loan of ₹ 1 crore as the spending thereof is not traceable.

MULTIPLE CHOICE QUESTIONS

1. Maximum number of members under a private company as provided under the Companies Act, 2013.
(a) 50 (b) 150 (c) 200 (d) No limit

2. Document that regulates the management of internal affairs of a company are-
(a) Memorandum of Association (b) Prospectus
(c) Article of Association (d) Certificate of incorporation

3. Under the Companies Act, 2013, "Significant influence" constitutes how much % of total share capital or of business decisions under an agreement?
(a) At least 2% (b) At least 2.5% (c) At least 10% (d) At least 20%

4. A Private Company which is subsidiary of a Public Company is treated as-
(a) Public Company (b) Private Company
(c) Holding Company (d) Dormant Company

5. Which one of the following is not the content of the Memorandum of Association?
(a) Name clause (b) Registered office clause
(c) Objects clause (d) Board of Directors clause.

6. An Act is said to be ultra vires a company when it is beyond the powers.
(a) Of the Company (b) Of the Directors
(c) Of the Directors but not the company
(d) Conferred on the company by the Articles of Association.

7. Turquand Rule is related to:
(a) Doctrine of ultra vires (b) Doctrine of constructive notice
(c) Doctrine of indoor management (d) Doctrine of subrogation

8. The minimum number of members in a private company and public company are
(a) Three and Seven respectively (b) Two and seven respectively
(c) Two and nine respectively (d) None of the above

9. Only a natural person who is an Indian citizen and who has stayed in India for a period of at least days during the immediately preceding financial year shall be eligible to incorporate an OPC.
(a) 180 days (b) 181 days (c) 120 days (d) 183 days

10. XYZ Limited is having 15% share capital held by X Limited and 50% held by Central Government and 10% held by State Government and 25% held by other people then that company will be .
(a) Government Company (b) Private Company
(c) Public Company (d) Dormant company

11. The Doctrine of indoor management is a protection that is available to:
(a) Shareholders (b) Outsiders who deal with the company
(c) Board of Directors (d) Creditors

12. The doctrine which advocates the fact that company cannot act beyond the scope of its memorandum of association is:
(a) Doctrine of constructive notice (b) Doctrine of indoor management
(c) Doctrine of ultra vires (d) Doctrine of intra vires

Answers to MCQs

1.	(c)	2.	(c)	3.	(d)	4.	(a)	5.	(d)	6.	(a)
7.	(c)	8.	(b)	9.	(c)	10.	(a)	11.	(b)	12.	(c)